Steel Authority of India Ltd. (SAIL)

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STEEL AUTHORITY OF INDIA LIMITED
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The General Manager (MO)
Bombay Stock ExchangeThe Asstt. Vice President
National Stock Exchange of India Ltd.
Through BSE Listing CentreThrough NEAPS
Sub: Transcipt of conference call held with Analysts & Investors on ll"' Anoin^f,2022*
Regulation 46 of SEBI(LODR) Regulations, 2015: (Security TDrSAn,).
Dear Sir,
This is in continuation to our letter No.CA-l7{44)/2022 dated 12'^ August 2022intimating the link to the Audio Recording of the Conference Call held on I T"" August, 2022.
Transcript of aforesaid Conference Call is attached herewith.
Thanking you,
Yours faithfully,
For Steel Authority of India Limited
(M B Balakrishnan)
CGM(Finance) & Company Secretary
End: As above
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There's a little bit of SAIL in everybody's life

“Steel Authority of India Limited
Q1 FY2023 Earnings Conference Call ”

August 11 , 2022

ANALYST : MR. VISHAL CHANDAK – MOTILAL OSWAL

MANAGEMENT : MR. ANIL TULSIANI – DIRECTOR FINANCE – STEEL
AUTHORITY OF INDIA LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Steel Authority of India Limited Q1 FY20 23 Earnings Conference Call. As a reminder all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vishal Chan dak from Motilal Oswal . Thank you and over to you Sir!
Vishal Chandak : Thank you very much , Seema. Good day everyone and thank you very much for joining us for the Q1 FY2023 earnings call for Steel Authority of India Limited. I would like to thank

the management of SAIL for giving us the opportunity to host them again for the earning call. From the management, we have Shri Anil Tulsiani, Di rector Finance and his team . So without much ado, I would call upon Tulsiani Sir to start with his opening remarks. Over to you Sir.

Anil Tulsiani: Thanks Vishal. Good afternoon everyone and welcome to the investor conca ll on the financial results for Q1 FY22 -23 of SAIL. I would briefly take you through the results of the company before we take up the question s. This was a challenging quarter causing profits to slide for numerous steel companies not just in India but abroad as well.

Let me start with the economic scenario . The global economy has been thrown into a battle with inflationary forces across the globe and the government s all around are tightening the respective fiscal policies , which is likely to impact the GDP growth rates in the coming years. Agencies like IMF and World Bank have started revising the projected GDP for various economies onwards. IMF which came out with the world economic scenario in the last week of July has reduced that GDP forecast to 3.2% in current year 2022 from the earlier projection of 3.6% for the entire world. The rate is expected to further slow down to 2.9% in 2023. The major advanced economies which include countries like US, Germany, Japan, UK, France, etc., are all seeing projected growth rates curta iled significant ly. The emerging economies are faring only slightly better than the advanced counterparts. The uncertainties relating to fresh waves of COVID, the Russia Ukraine conflict brining in further bad news for the inflationary forces which have al ready been around and taking a toll on the government polices.

Coming to India , the economy is placed much better and pegged to grow in the range of 7% to 7.5% in the financial year FY2023 in the various reports like IMF , World Bank projections, RBI MPC , etc. This is likely to keep India amongst the fastest growing major

economies. The domestic industries will , however , have to guard themselves from audio cut 3:15 . the import threats, etc.

Now coming to the steel industry , the global steel industry has seen a decline in the demand and corresponding realization for the past few months. With China seemingly cutting down its production in the wave of environment concern s, it has had its impact on the prices of iron ore . The cok ing coal which earlier saw unprecedented high prices during February to May following the Russia Ukraine war saw a substantial reduction in its prices from June - July onwards. The prices which had soared to as high as $670 to $680 per tonne for HCC have now come down to around $200 level. The forces on inflation , uncertainty, etc., have also had a negative impact on the global steel industry especially the flat products. The impact has percolated to the Indian market s as well. The prices of steel which were at the peak during April have considerably declined with flat products feeling relativel

y much
greater adverse impact than the longs, since it is guided by the international market. In the longs segment, secondary sector plays a major role and uses thermal coal for its EAF DRI route . The prices of thermal coal have not come down much as compared to the coking coal which has kept the prices of longs relatively in a better position.

Now coming to the company performance, the company has clock ed its best ever production during the quarter as compared to the Q1 of previous years. The numbers of Q1 FY2023 vis -à-vis CPLY are as follows :

Crude steel current quarter production is 4.3 3 MT and Q1 FY2022 it was 3.77 MT. The sales however are a bit low er at 3.15 million tonnes as compared to 3.33 million tonnes in Q1 FY2022 . Sales have been affected due to lower exports during the quarter however the home sales has seen a growth compared to CPLY. The financial performance has seen a growth in the topline whereas the profitability has taken a hit in line with the industry trends. The revenue from operations is at Rs.24 029 Crores as compared to Rs.20,642 Crores in Q1 FY2022. The EBITDA stood at Rs. 2076 Crores as compared to Rs.6674 Crores in Q1 FY202 2. The PBT is at Rs.1038 Crores vis -à-vis Rs. Crores.5145 Crores for Q1 FY2022 and the PAT at Rs.776 Crores as compared to Rs.3 850 Crores in Q1 FY2022. The revenue has grown higher due to higher average realization during the quarter as compared to CPLY. P rofitability has been adversely affected due to increase in the input cost especially coking coal. With the coking coal prices coming down , we expect the cost of production to also correct and enable us to deliver better results in the coming quarters. Wit h these words , I hand it back to Mr. Chandak for opening the question and answer session. I am sure you all have a lot of queries on the performance. Thank you.

Moderator : Thank you very much Sir. We will now begin with the question and answer session. We take the first question from the line of Mr. Amit Dixit from Edelweiss . Please go ahead Sir.
Amit Dixit: Yes good afternoon everyone and thanks for the opportunity. I have two questions. The first one is essentially on the finished product inventory lev el so if you can let us know the finished product inventory level at the end of the quarter and is the company advancing maintenance shut down or taking so long production cut so what is the plan on production in Q2 that is my first question?
Anil Tulsiani : As regards to our finished steel inventory it was 1.336 million tonnes and regarding the production cut , we do not have any plans of having any production cut in the coming quarter as well.
Amit Dixit: You said 1.566?
Anil Tulsiani: 1.366.
Amit Dixit: 1.366 okay thank you. The second question is on the debt levels if you can, earlier it used to be as a part of the debt but this time around it is not so just wanted to understand the gross debt level at the end of Q1 and also if you can indicate the treas ury?
Anil Tulsiani: The debt level was at Rs.22101 Crores as on June 30, 2022 .
Amit Dixit: This is gross debt Rs.22101 Crores?
Anil Tulsiani: You can say that yes.
Amit Dixit: And what about cash balance?
Anil Tulsiani: It is just marginal Rs.30 Crores odd .
Amit Dixit: Okay so Sir there has been a substantial increase in debt level if you can quantify there? Is it working capital debt or is it some other thing?
Anil Tulsiani: It is basically the working capital debt because we had to give substantial payments for coal during this quarter so it is the basic reason for which the debt has gone up.

Amit Dixit: Okay fair enough Sir. Thank you. I have more questions but I will come back in the queue. Thank you so much and a ll the best.
Moderator : Thank you. We take the next question from

the line of Pinakin Parekh from JP Morgan .
Please go ahead Sir.
Pinakin Parekh : Thank you very much Sir. Sir just trying to understand the earnings trend over the next few quarters so steel prices have fallen sharply over the last three months so first what would be sales blended realizations today versus what the company reported in the first quarter and similarly what was the coking coal cost for the company on the first quarter and what it is purchase price at this point of time and when will that flow through into the P&L? Will it flow through in the September quarter or will it be in the December quarter?
Anil Tulsiani: Regarding the coal price it is quite clear that the Q2 the prices will be substantially lower because basically the prices of coal which were there during the Q1 we took the impact of basically the brunt of the supplies which were affected from March to Ma y so the prices at that point of time means if you see the flat index it was hovering between $500 to $600, but now when the prices are coming down we will have to take some brunt of the month of June which will go down till you can say middle of August. S ubsequently , we will get the prices of coal will be much cheaper. It will be in the range of roundabout we can say round about $230 to $240 so the benefits will start accruing of that from you can say middle of August.
Pinakin Parekh: Sure Sir in terms of prices steel realizations at this point of time there is a decline around Rs.12000 to Rs.15000 a tonne versus what SAIL reported on a blended basis in Q1? Is it higher? Is it lower?
Anil Tulsiani: Actually in the month of June it was around Rs.58000 and in the month of July it was around about Rs.1200 to Rs.1300 lower and there is a tendency to push down the prices of flats but the long s are holding ones . So we expect that if this trend goes through for the quarter then though the results for July are not good if you see the trend but then may be from August onwards , our performance will be better on the financial front also.
Pinakin Parekh: This Rs.58,000 compares to what average price for the June quarter Sir?
Anil Tulsiani: For the June quarter it was Rs.66,000.
Pinakin Parekh: Thank you very much Sir.

Moderator : Thank you Sir. We take the next question from the line of Divyansh Kalra from Shaurya Capital . Please go ahead Sir.

Divyansh Kalra: Thank you. Thank you for taking my question . Sir I had some q ueries about how the COGS is going to be in Q1 and Q2 so basically you are telling that coking coal prices are going to be lower in Q2 so I think COGS per tonne as per as of Q4 FY2022 and Q1 FY2023 was close to Rs.35,000 on a per tonne basis so if coking coal prices are going to go down where can we expect this to go through?
Anil Tulsiani: Regarding the cost of goods we normally do not disclose that.
Divyansh Kalra: Okay so can you give some guideline as to what was the coking coal prices back in Q4 FY2022 versus Q1 FY2023?
Anil Tulsiani: Yes in Q1 2022 -23, the price of imported coal was in the range of Rs.37,000 to Rs.38,000 and in the Q4 of 2021 -2022 it was in the range of around Rs.29,000.
Divyansh Kalra: Okay may be 30% or 20% increase right? Sir my second question will be regarding the volume so if I compare Q4 FY2022 with Q1 FY2023 so I think sales volume has taken a 29% hit and realizations have in fact been very strong despite of the steel prices corre cting post April ? I think based on my calculations the realization have gone up from around Rs.65,000 to Rs.72,00 based on my calculations so can you please provide some more details as to why was the reason for the significant 30% fall in volumes and stro nger realization despite so much correction on steel prices?
Anil Tulsiani: Basically we should not compare the volume for Q4 with the next quarter volumes because if you b

asically see it is always a trend that the Q4 volumes are always higher in all the industry and if we compare the volumes of this financial year as compared to the previous financial year it is more or less hovering at the range of 3.1 to 3.3 to 3.4. It is similar volumes also in the Q1 and Q4 volumes are not basically comparable. It shou ld not be compared . It will always be high for the entire industry.
Divyansh Kalra: Is there a seasonality in this business so Q4 was not going to be higher? Q1 was going to be the lowest comparing the seasonality I just wanted to understand?
Anil Tulsiani : I could not get your question actually you are not audible.

Divyansh Kalra: So the thing which I am asking is so you are telling that I should compare the Q1 volumes of FY2023 with FY2022 and not with Q4 FY2022 so I was asking if there is some sort of seasonality that Q4 volumes are going to be the highest and Q1 volumes is going to be at the lower end of the spectrum so is there some seasonality in this business I was asking this?
Anil Tulsiani: Sir it is a similar trend in all the years. Like what I was telling you just now is that if take audio cut 16:50 the 2021 -2022 we are leaving out 2020 -2021 because of the COVID impact it was 3.33 and now it is 3.154. The lower volumes have been basically because of exports. Exports were substantially higher in Q1 FY2021 -2022 at 3,6 4,000 which are now at 1,66,000 in this particular year.
Divyansh Kalra: Okay and you are telling that Q4 was not comparable?
Anil Tulsiani: Yes Q4 is not comparable. Actually if you just see the entire industry I think you will probably get the same trend everywhere.
Divyansh Kalra: Thank you Sir. I will get back in the queue.
Moderator : Thank you Sir. We take the next question from the line of Mohit Bhansali from Bonanza Portfolio Limited . Please go ahead Sir.
Mohit Bhansali: Thank you for the opportunity Sir. I just want to ask that URM head hardened rail was supposed to be made last year so what is the status ? Do we plan to make it in this year or what quantities if you can quantify? Thi s is my first question?
Anil Tulsiani: The head hardened rail is still under trial and we will be of course producing some quantity in this year but once the trials are successful then we will be able to finalize how much quantities we can produce for the head hardened rail .
Mohit Bhansali: Can you give some time two months, three months or another if you can give?
Anil Tulsiani: I will have to collect that information. I can give it you offline.
Mohit Bhansali: Sir the second question is on employee cost is it rising do you think it is sustainable the way you are selling or producing the quantity and if you compare with private companies your employee costs are too high? Suppose there is down turn or if there is COVID like scenario

like last year so I am wo ndering how you are going to survive ? Can you please give us some details on that Sir?
Anil Tulsiani: The salaries and wages cost the employee related cost which you are mentioning we had wage revision last year in the month of November. Subsequent to the wage revision last

year the expenditure is on a quarterly basis around Rs.3000 Crores so it is a similar trend. If you see in Q4 of 2021 -2022 and in 2022 -2023 it is around Rs.3000 Crores and prior to that in the Q1 of 2021 -2022 it was around Rs.2800 Crores so the rise is not much and basically what is happening people are at the higher end of the ir service career so many, many will be retiring in the coming years and the recruitments will not be commiserate with that and moreover one thing is that whoever i s retiring is having a very high pay and the person joining will be at the basic scale so we do not apprehend much of an increase in the salarie

s
and wages in the coming years.
Mohit Bhansali: But your sales are not rising to that level I mean if you are s elling Rs.25,000 Crores to Rs.26,000 Crores in a quarter and having a 3000 bill it is almost 12% to 15% , in case of down turn that is what I was asking is a down turn like COVID like scenario you will have having a fixed cost? Then it will be like very burdensome thing since you are carrying over that also your expenses? Your expansions are also getting delayed so how you are envisaging further expansion which you are planning in such as scenario?
Anil Tulsiani: Basically what happens is that this manpow er will come of use. At that point also when we have an expansion because with the larger volume and the same number of manpower may be even the lower level of manpower the productivity will be much better in that case.
Mohit Bhansali: So you are trying to improve the productivity and Sir my last question since I was tracking SAIL for very long time? This time in the presentation it is not as detailed as it used to be earlier like you have not mentioned the employee total number of employees in the presenta tion and financial detail also debt level and all and the third thing is that in mining also where your mines earlier in your presentation everything was very crystal clear so this time it was no there so is there any change in policy in disclosure or some thing else?
Anil Tulsiani: There is nothing like that. I think lot of additional information was given this time so I think maybe we will have to take up with our people that your thing is taken care means our point is we ll taken.
Mohit Bhansali: Last time you have given plant wise details that where extension has completed and what expenses are pending? Everything was very detailed? This time it is not there?

Anil Tulsiani: But that is very old. I think all our expansion plans are more or less been completed except may be a few casters here and there because of which some production capacities are in that otherwise all our expansion plans are in place.
Mohit Bhansali: Like mining was also there where your mining and how much your mining and in futu re how much you are going to mine everything was there? This time it is not there? If you can elaborate it is better for us that is my request Sir?
Anil Tulsiani: Okay you can just otherwise talk to our people about it. If you want addit ional information they can surely provide it to you.
Moderator : Thank you. We take the next question from the line of Vikas Singh from Phillip Capital . Please go ahead Sir.
Vikas Singh: Good afternoon Sir and thank you for the opportunity. Sir I just wanted to understand in our other costs which has inflated sharply are there any inventories loss which we have booked for this quarter?
Anil Tulsiani: Come again.
Vikas Singh: Sir any inventory losses or inventory value write downs which we have also booked in this quarter since our other costs are very high sequentially?
Anil Tulsiani: No. There is no inventory loss.
Vikas Singh: No inventory losses have been booked?
Anil Tulsiani: No nothing at all.
Vikas Singh: Sir my second question pertains to our yearly guidance while we have not said anything about guidance saying that the 1Q numbers 3.15 million tonnes so you do really thing that you would be able to recover and would be able to meet our guidance at this point of time?
Anil Tulsiani: Your voice was cracking Mr Vikas. We could not get your question.
Vikas Singh: So just wanted to understand your yearly volume guidance so given the 1Q what dull and still the export duty stays in place so how confident are we in terms of meeting our volume

guidance? I know the production is not a problem but about sales so how confident are we meeting our sales volume g

uidance or are we cutting the volume guidance now?
Anil Tulsiani: Absolutely not. We will be achieving our sales as per whatever guidance we have given because we feel that in this coming quarters the domestic consumption is surely going to go up and we will be surely achieving our target. I think in the month of July we had a sales of more than 1.4 million.
Vikas Singh: So volumes has been recovering as of now?
Anil Tulsiani: Yes and we also have a very strict targets for our marketing team and we are planning to have the highest ever August also.
Vikas Singh: Understood Sir just one clarification about the earlier participant question regarding no plans to cut produc tion, there was a news regarding you are shutting down couple of older blast furnaces so just wanted to understand is the permanent shut down of older furnaces because new furnaces had been ramped up fully or is it basically something wrong news which we h ave come across?
Anil Tulsiani: Actually the blast furnaces are some time shutdown for some major capital repairs so is it because of that otherwise we do not have any plans of shutting down any blast furnace as such until some major capital repairs has to be taken up for that.
Vikas Singh: Even after that there is no impact on the monthly production on it?
Anil Tulsiani: No impact on our production.
Vikas Singh: Thank you Sir. That is all from my side.
Moderator : Thank you. We take the next question from the line of Sumangal Nevatia from Kotak Securities Limited . Please go ahead.
Sumangal Nevatia: Thank you for this chance. First thing is on the net debt question? Quarter -on-quarter there is Rs.6000 to Rs.7000 incr ease is it possible to give the breakup of what was the capex in 1Q and what is the working capital increase and also directionally given that we have a lot of creditors almost Rs.17,000 Crores to Rs.18,000 Crores do we expect working capital to keep incre asing in 2Q as well?

Anil Tulsiani: There has been an increase in the working capital. No doubt about it and regarding the cash flows we have had capex of around Rs.1000 Crores in this quarter in Q1 and regarding the cash from operations there has been ris e by around about Rs.8000 Crores. This is mainly on account of the coal payment.
Sumangal Nevatia: Okay so working capital increased by Rs.800 Crores and cash flow is Rs.1000 Crores right?
Anil Tulsiani: Yes.
Sumangal Nevatia: Okay understood and directionally how do you see it shaping up in 2Q and 3Q the working capital requirement?
Anil Tulsiani: The working capital requirement will come down now because our payments of coal are supposed to come down quite a lot in this coming month so we expect a substantial reduction in the working capital.
Sumangal Nevatia: The second question is on the coal cost you said Rs.37,000 to Rs.38,000 in June quarter what was it in July and August?
Anil Tulsiani: In July it is around Rs.38,000 and it is expected to come down by another Rs.4000 to Rs.5000 more in the month of August and further down from September onward.
Sumangal Nevatia: Understood and the last one in terms of prices you said?
Anil Tulsiani: This I am talking about is the impo rted coal.
Sumangal Nevatia: So Rs.38,000 in July same as June quarter average right?
Anil Tulsiani: Yes Rs.38,000 is in July and in the month of August it is going down to come down by further Rs.5000 and yes Q1 the procurement cost of this was around Rs. 39,500 .
Sumangal Nevatia: Understood and just one last clarification on the price? Thanks.
Moderator : Thank you. We take the next question from the line of Falguni Dutta from Jet Age securities Private Limited . Please go ahead.
Falguni Dutta: Good afternoon Sir. Just a clarification so the coking coal cost that you mentioned for the June quarter Rs.39,500 this is on consumption basis right?

Anil Tulsiani: Yes. This is on consumption basis, but it is not that we consume entirely this. Besides this there is a CDI and the indigenous coal so all put together the consumption will be much lower.
Falguni Dutta: Sir can you give a range or a broad number?
Anil Tulsiani: I can just tell you that the indigenous coal is round about Rs. 13,000 per tonne and you c an say 14% to 15% of the total component.
Falguni Dutta: How much did you mention?
Anil Tulsiani: 14% to 15%.

Falguni Dutta: No in indigenous coal cost absolute how much did you say?
Anil Tulsiani: Around Rs.13,000.
Falguni Dutta: Rs.13,000?
Anil Tulsiani: Yes 13.
Falguni Dutta: Sir one more clarification the realization that you mentioned for June Q1 average Rs.66,000 per tonne is the blended realization right?
Anil Tulsiani: Yes that is the blended realization.
Falguni Dutta: Okay thank you Sir. That is a ll from my side.
Moderator : Thank you Madam. We take the next question from the line of Pratim Roy from B&K Securities . Please go ahead Sir.
Pratim Roy: Thanks for the opportunity. I have two questions. One is how much uplifting you can expect from coking and the second one is what is the NSR upliftment that we can exp ect blended bas in 2Q like you have mentioned that the 1Q the NSR is around Rs.66,000 so how much upliftment you can expect form that level and what is the outlook for the iron ore sales that you are doing so if you can throw some light on that?

Anil Tulsiani: Regarding the NSR it is basically market driven so wherever the market takes us we will go there because it is not that SAIL decide s the market prices. It is basically market driven so regarding the sales we have not had any sales in this quarter. It was just basically the liftment of the old orders placed in the last quarter that some quantities are lifted in this quarter.
Pratim Roy: I got my answer. So 1Q iron ore sales was nil and now 2Q you can expect from the iron ore right?
Anil Tulsiani: Provided we get the right price for that.
Pratim Roy: Okay thank you Sir.
Moderator : Thank you very much . We take the next question from the line of Pallav Agarwal from Antique Stock . Please go ahea d Sir.
Pallav Agarwal: Good afternoon Sir. Sir I had a question on realization so you mentioned that the flat products have been impacted more than long products so given that we have a very fairly health y proportion of long products in our mix so the decline in Q2 realization should be lower than us as compared to our competitors is that a fair understanding?
Anil Tulsiani: I think your understanding is quite correct because we are in long products and we expect, the Indian market is basically with this coming with the monsoon just going off from August the purchases will go up basically in the long products so yes we surely have a good advantage since we have a slight a big range of the long products also and quite a large component also.
Pallav Agarwal: Sure Sir so also if I just look at the segment PBIT so again Durgapur and some of the other plants IISCO have again probably gone into a loss so is this because again the semi proportion in the mix is high and so there we did not get the benefit of better realization?
Anil Tulsiani: Yes actually it is basically Durgapur has got semi s so it is an impact of that and regarding IISCO there is a slightly lower production in the Q1 which once it goes up we feel th at it will surely come out of the red into the black.
Pallav Agarwal: Thank you.

Moderator : Thank you Sir. We take the next question from the line of Kamlesh Bagmar from Prabhudas Liiladher Private Limited . Please go ahead Sir.
Kamlesh Bagmar: Thanks for the opportunit

y Sir. Sir one question on the part of your capex guidance. Sir last quarter you mentioned that you will spend around Rs.8000 Crores and in this quarter we had a Rs.1000 Crores of capex and despite the fact that there is no visibil ity on the new capacity additions no orders have been floated so is there chance for this guidance to come down or we are going to settle with like say to Rs.4000 Crores to Rs.5000 Crores of capex or what would be the capex in this year?
Anil Tulsiani: It is too early to give you the guidance of the entire year. Yes we have lot of projects in the pipeline for which already the Board has given approvals and the orders will fructify in this year only but yes our endeavor is to do as much as possible because t hese schemes whatever are there they are basically some debottlenecking schemes so the more we finish them off in a faster time , it will be better for the plants also.
Moderator : I see the participant line has got disconnected Sir. The next question is fro m the line of Anuj Singla from Bank of America . Please go ahead Sir.

Anuj Singla: Thank you very much for the opportunity Sir. Sir you talked about the NSR blended NSR at Rs.66,000 can you also give the long and flat of NSR for this quarter and what they were in the March quarter?
Anil Tulsiani: Actually the difference between the two NSR in the quarter was around about Rs.7000 to Rs.8000.
Anuj Singla: Okay and the blended NSR for M arch quarter Sir what was it?
Anil Tulsiani: For the March quarter , it was around Rs.59,000 to Rs.60,000.
Anuj Singla: Okay Sir got it and Sir the second question when you talked about the realizations in July being a bit lower? I think it is Rs.1200 to Rs .1300 lower versus June quarter so if the prices were to stabilize her e is it fair to assume this is the trend we should be assuming for the full quarter as well given the scenario the fact it has declined further from here?
Anil Tulsiani: The market is qu ite volatile. We really do not know where the prices will end up so we have not been able to comment on this at this point of time.

Anuj Singla: Sir for the inaudible 37:30 have we seen a further decline in August versus July?
Anil Tulsiani: It is more or less flat.
Anuj Singla: So August pricing is still Rs.1200 to Rs.1300 lower versus the June level?
Anil Tulsiani: Yes.
Anuj Singla: Okay got it. Thank you.
Moderator : Thank you very much. We take the next question from the line of Saket Kapoor from Kapoor & Co . Please go ahead.
Saket Kapoor: Sir thank you for the opportunity. Sir if you could give us some color on what is the quantum of inventory for the industry in the system currently because of now it is a quarter now almost that export tax has been impl emented so how are currently the inventory is being in the system Sir?
Anil Tulsiani: Actually in the month of July inventory has come down but we do not have the figures readily with us for the industry as a whole.
Saket Kapoor: Okay Sir as the Pallav Sir was speaking about the capex part of the story that if you could complete that answer? You were telling that there is some debottlenecking exercise in the various units that we are going ahead so if you could give some color what kind of amount, I think R s.1000 Crores has been spent so what are we planning to spend and how are those resulting is cost optimization for our units and also in our result presentation Sir as one of the speakers did mention we hope that if unit wise explanation is provided to us wherein the variation in profitability is explained that would suffice a lot of questions on the part of the speaker so if the major units we can get how the Bhilai , Durgapur and Rourkela plants have performed vis -à-vis the comparative numbers that would give us an understanding the reasons why the profitability has changed the way i

t has been so that is the request on the part and on the capex front kindly conclude that answer that how mu ch is to be spent on the debottlenecking and what would be the cost optimization that will happen post the same?
Anil Tulsiani: Regarding this capex our plan for the year was Rs.8000 Crores and we are still maintaining our plan for that. Of course there ma y be some slippages but we are not too sure about it but there is just one thing that this Rs.8000 Crores whatever we are mentioning it is also the capex being spent by our subsidiaries and joint ventures also. That also forms a part of this

so we expect s ome of our subsidiaries and joint venture to have some expenditure during the coming quarters and regarding our expenditure if you normally speak in the Q1 everywhere the capex was low. It normally starts picking up from the month of October and November s o these things if you see because what is happening we place orders in the Q1 and then the funds start flowing out from the Q2 only so based on that I think we are quite optimistic but we are not too sure whether we will able to achieve the target of Rs.80 00 Crores in this quarter.
Saket Kapoor: That is true Sir but on the cost optimization front it is in your presentation you can come up with an explanation what are we envisaging to spend and what would be the modernization and the benefit that would be really helpful for us as you have already outlined how much to be spent so that would give more color? Sir would you like to share more on the same Sir where is this amount going to be spent and how is that going to benefit the unit in terms of cost of pro duction going down or value addition in the final product?
Anil Tulsiani: Basically in the value addition of products there may not be much of an investment now but the main thing is on the iron side where we will have some investments for improving our

production .
Saket Kapoor: Correct Sir and in the line item other expenses Sir how should one treat this line item with the lower revenue for this quarter also on a comparative basis? This line item has gone up significantly to Rs.7200 Crores so what are the key components and the reasons for this moving ahead?
Anil Tulsiani: One major component which has increased is the royalty. The royalty has gone up by around about you can say round about Rs.400 Crores and then there is some hit on us on the foreign excha nge variation also.
Saket Kapoor: On the foreign exchange variation how much would it be?
Anil Tulsiani: Foreign exchange variation we have had a hit of around about Rs.500 Crores.
Saket Kapoor: Sir the only request was to make the presentation more update on capex and the business environment currently so kindly into the request going ahead?
Anil Tulsiani: We will see whatever best is possible.

Saket Kapoor: Whatever best can be done so that it could optimize and it is for the benefit of all the investor c ommunity? Thank you Sir.
Moderator : Thank you very much. We take the next question from the line of Ritesh Shah from Investec . Please go ahead Sir.
Ritesh Shah: Sir thanks for the opportunity. Just two questions. One is on any specific update on what our t ake is on export tariffs?
Anil Tulsiani: On the export tariffs actually we have been also requesting the ministry to wa ive off those tariffs but not much headway has been made so for that. There is an organization by the name of Indian Steel Association . This agency normally takes up this ministry for this so we are also following up with them to o.
Ritesh Shah: Right Sir just wanted to stress on this? Is there any particular variable that the government is looking at a particular steel price or a particula r inflation number what they are targeting and post they will look to revise t

his?
Anil Tulsiani: We do not have any idea from that.
Ritesh Shah: Okay no problem and Sir second question was on PLI scheme with respect to steel are we going to participate in it? How do we look at it? Thank you so much.
Anil Tulsiani: In the PLI scheme we will be participating for this rails which we have got from Bhilai. We will be participating in that front.
Ritesh Shah: Sir what will be the extent of capex here?
Anil Tulsi ani: This is being worked out now.
Ritesh Shah: Sure. Thank you very much for the answers.
Moderator : We move to the next question from the line of Kamlesh Bagmar from Prabhudas Liiladher Private Limited . Please go ahead.
Kamlesh Bagmar : Thanks for the opp ortunity. Sir a question on the part of realization. Sir over the years SAIL has been very consistent in giving the exact numbers so it is very surprising that you are

giving the ranges for the realization 59 to 60 can you give the precise realization numb ers what was there in this quarter and last quarter Sir?
Anil Tulsiani: The average NSR for Q1 is 66,829 and for Q4 2021 -2022 it is 59,495 and for Q1 2021 - 2022 it is 53,929.
Kamlesh Bagmar : Sir lastly on this Rs.489 Crores of price revision for the rails w hich we have booked in this particular quarter Sir that is also an one time in nature because it is for the prior year and what is the process or the thought process on this like say provisional based revenue which we are recognizing on the part of realizing that amount?
Anil Tulsiani: This money we will get it. We have already raised invoices for this so the money will start coming for this and this is actually just a provisional figure which they have given us. Since we have already submitted the p ricing for 2020 -2021 to the chief advisor cost the organization which finalizes the price for us so we expect something like around about Rs.5000 to Rs.6000 extra for 2020 -2021 and this price whatever they have given it is basically for 2021 -2022 a provisi on of Rs.5000 increase. This will also further go up. Once we submit our pricings to the CA cost so this is an ongoing affair till probably all our these costs are finalized up to 2021 -2022.
Kamlesh Bagmar : Okay but Sir when we took it for the last year so even in the Q1 we took that as a base for our realizations in rails?
Anil Tulsiani: Yes in the last year it was at around Rs.62,000 when we had taken it and they have given us

an increase of Rs.5000 in this year.
Kamlesh Bagmar : So even for the Q1 it would be priced at Rs.67,000?
Anil Tulsiani: Yes.
Kamlesh Bagmar : Sir lastly realizations which you mentioned for the July was around Rs.56,000 how much was the realization since July month NSR?
Anil Tulsiani: July.
Kamlesh Bagmar : July month Sir NSR?
Anil Tulsiani: July it was around Rs.57,000.

Kamlesh Bagmar : Okay Sir thank you Sir. Thanks a lot.
Moderator : Thank you Sir. Ladies and gentlemen, that was the last question for the day . I now hand the conference over to Mr. Vishal Chandak from Motilal Oswal for closing comments. Over to you sir.
Vishal Chandak : Thank you every one for participating so I would request Director Finance for closing remarks. Over to you Sir for closing remarks.
Company Speaker: Like thank you very much Vishal and I thank the peop le who are there who could participate in this concal l and just a few closing remarks. The government has done a commendable job in ensuring this vaccination and we feel that now there may not be further jolts of COVID and the economy will surely rebound. The results of the Q1 of SAIL were basically impacted due to the input cost and they have also come down now to manageable levels and we expect things to improve from hereon. We will meanwhile continue with our efforts to improve the internal fa

ctors like increasing volumes, improving product mix with higher volumes of value added steel even greater t hrust on operating operational efficiencies to reduce cost of production. With coking coal cost coming down we are also smell opportunities to again take the path towards a net debt free company. Thank you.
Moderator : Thank you Sir. On behalf of Motilal Oswal that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

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STEEL AUTHORITY OF INDIA LIMITED
CA-17(44)/2022-2322"^ February, 2023
The General Manager (MO)The Asstt. Vice President
Bombay Stock E.xchange National Stock Exchange of India Ltd.
Through BSE Listing CentreThrough NEAPS
Sub: Transcipt of conference call held with Analysts & Investors on 15^"
February. 2023.
Ref: Regulation 46 of SEBULODR) Regulations. 2015: fSecuritv IDiSAIL).
Dear Sir.
This is in continuation to our letter No.CA-l7(44)/2022-23 dated 16^" February, 2023,intimating the link to the Audio Recording of the Conference Call held on February, 2023.
Transcript of aforesaid Conference Call is attached herewith.
Thanking you.
Yours faithfully.
For Steel Authority of India Limited
Cu'(M B Balakrishnan)
CGM(Finance) & Company Secretary
End: As above
: 110 003, : 011-2436 7481-86, : 011-2436 7015, : www.sail.co.in
Ispat Bhawan, LodI Road, New Delhi-110 003, Phone : 011-2436 7481-86, Fax : 011-2436 7015, Website : www.sail.co.in
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^ ^ ^ §3TT t ^ There's a little bit of SAIL in everybody's life

“Steel Authority of India Limited
Q3 FY 2023 Earnings Conference Call ”
Febru ary 15, 202 3

MANAGEMENT : MR. ANIL TULSIANI – DIRECTOR FINANCE – STEEL AUTHORITY OF INDIA LIMITED

MODERATOR : MR. ASHISH KEJRIWAL – NUVAMA INSTITUTIONAL EQUITIES

Moderator : Ladies and gentlemen, good day and welcome to the Steel Authority of India Q3 FY 2023 Earnings Conference Call, hosted by Nuvam a Institutional Equities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. I now hand the conference over to Mr. Ashish Kejriwal from Nuvama Institutional Equities. Thank you and over to you, sir.
Ashish Kejriwal: Thanks, Arman. Good afternoon, everyone. On behalf o f Nuvama Institutional Equities, we would like to thank the management of Steel Authority of India to give us an opportunity to host this call. Today, we are happy to host Mr. Anil Tulsiani, Director, Finance, along with his team.
Now, I would request the management for his opening remark and thereafter we will open the floor for Q&A. Over to you, sir.
Anil Tulsiani: Thanks. Ashish Ji. This is Anil Tulsiani, Director Finance, SAIL. Good afternoon, everyone. I welcome you all to the investor con call on the financial results for Q3 and nine months

financial year 2023 of SAIL. Financial year so far has been quite volatile with sudden surprises. While the first quarter saw the coal prices at the peak, the second quarter witnessed a sharp decline in steel prices on global cues.

The demand has been steady in India and has resulted in the prices again showing a rising trend and aided by the reduction in the coking coal prices, this helped the Indigenous producers to stem back this sl ide. Before I brief you on the p erformance of the company in Q3, let me take you through the macroeconomic scenario which influences the steel industry in a big way. Therefore, as mentioned by Ashish, we will take up your queries thereafter.

Starting with the world economy, the industrie s across the globe seem ed to have adjusted quite well to the new norm, leaving behind the effects of COVID -19. The inflationary forces which affected a major part of the year, now have been slowly pointed to a recession, maybe in the near future. The slowd own in China due to the lockdown from their zero -tolerance policy also affected the scenario and making the matters worse has been the fluid geopolitical situation from the prolonged Russia -Ukraine conflict.

The measures taken by the economies to necessita te are leading to slowdown in growth. Despite these headwinds, real GDP was surprisingly strong in the third quarter of 2022 in numerous economies, including the United States, the euro areas and the major emerging market and developing economies, as repor ted by IMF in its World Economic Outlook published last month.

Another silver lining in the offing has been the recent uptick in the economic activities in China as they come out of the lockdown. This has resulted in the financial agencies being upbeat abo ut the improved scenario in the near future. IMF in its Jan 2023 World Economic Outlook has raised the projection for global GDP to 2.9% for calendar year 2023 from the earlier 2.7%.

The rate is expected to further improve to 3.1% in 2024. The major advanc ed economics, which include countries like US, Germany, Japan, UK, France, etc. are seeing much slower increase in GDP growth projection for 2023 with UK actually projected to contract by 0.6%. The emerging economies are expected to fare much better than t he advanced counterparts. World Bank, however, is less upbeat on the global GDP growth, cutting it down to 1.7% for 2023, as the impact of central bank rate hikes intensifies, Russia’s war in Ukraine continues and the world’s major economies slow down.

Now coming to the Indian economy. The Ind

ian economy meanwhile stands out as a silver
lining, with strong demand and consumption pack. Amongst the major economies, we are placed much better and beating the growth projections even over China. India is expected to grow in the range of 6% to 7% over the next year in various reports like IMF, World Economic Order, World Bank Projections, Monetary Policy Committee of RBI etc.

As per IMF, growth in India is expected to moderate in calendar year 2023 to 6.1% from 6.8 % estimated for 2022, reflecting the less favorable outlook and tighter financial conditions before climbing again higher to 6.8% in 2024. Uncertainty around the outlook though remains high with risks tilted to the downside. A sharp global growth slowdown in the near term would affect India through trade and financial channels. Intensifying spillover from the war in Ukraine can cause disruptions in the global food and energy markets with significant impact on India.

The domestic industry will also have to g uard themselves from the import threats. The global steel industry, which was seeing a decline in demand and corresponding realizations for past few months, seems to have woken up to a new beginning in the new year with prices in January exhibiting an impr ovement. With China also crawling back to life, there are expectations and hopes of the international demand picking up, not only for steel but also the raw materials that go into making it.

However, in the wake of environment concerns, it remains to be se en how far the Chinese government will be allowing its producers to increase their production. Meanwhile, with China again starting to procure coal from Australia after a gap of nearly three years, there are concerns on coking coal prices pushing higher. T he prices for hard coking coal sourced from the world’s biggest suppliers are already operating in the range of $360 to $370 per ton. For steel industry, the price of this fossil fuel dictates the cost of production for major producers to a large extent.

Now coming to the Indian steel industry, the impact of improvement in global markets has poured over to the Indian markets as well. The prices of steel have seen an improvement during past few weeks for both flat and long segment. The demand projections for steel in India, however, remains upbeat with the crude steel production in the country recording a growth of around 5% during April to December financial year 2023 over CPLY. Meanwhile, the consumption of steel has also grown by around 12% in the country during this period. As per the World Steel Association, short -range outlook has projected growth of 6.1% and 6.7% in calendar years 2022 and 2023, respectively.

Now coming to the performance of the company. The company has recorded its best -ever nine-month production performance during April to December financial year 2023 for all the segments, like hot metal, crude steel, as well as saleable steel. The crude steel production during the nine -month period stood at 13.337 million tons as against 12.770 millio n tons during the CPLY. This is a growth of around 4%.
At the same time, the saleable steel production has grown to 12.547 million ton during nine - months period financial year 2023 vis -a-vis 12.454 million tons during CPLY. The sales volume during the peri od has also been the highest ever nine -month performance, growing to 11.516 million tons from 11.447 million tons. The sales in the domestic market have grown from 10.314 million ton to 11.213 million ton, a growth of nearly 9%. During the period, however, exports have been lower by around 830,000 tons.
Now coming to the financial performance, the financial performance during the nine -month financial year has seen a growth in top line, whereas the profitability has taken a hit in line with the industry tren ds. The average realization during nine mon

ths remained higher than the
CPLY period, coupled with higher sales volume. This has helped in revenue from operations in growing to INR 75,317 crores for the nine -month period financial year 2023 from INR 72,715 crores during CPLY, a growth of 3.6%.
EBITDA, PBT and PAT during the nine months financial year 2023 stood at INR 5,978 crores, INR 1,157 crores and INR 854 crores, respectively. During quarter three financial year 2023, the steel prices have reduced significantly, led by -- which has led to the revenue from operations showing negative growth over CPLY, as well as previous quarter. With the cost coming down in quarte r three, the company has posted a positive PBT and PAT of INR 635 crores and INR 464 crores respectively, vis -a-vis a loss in the previous quarter. Meanwhile, EBITDA has increased by more than 87% over Q2. The increase in coking coal prices again is threat ening to increase our cost of production in the current quarter. However, the simultaneous improvement in the steel prices is expected to cover up the same.
With these words, I hand it back to Mr. Kejriwal for opening the question -and-answer session. I'm s ure you have a lot of queries on the performance. Thank you.
Moderator: The first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.
Amit Dixit: Yes, hi. Good afternoon, everyone. Thanks for taking my question, sir. Congratulat ions for good performance. I have two questions. The first one is on essentially the rail price revision that we have been -- that impact we saw in Q1, we saw in Q3 also. How much quantum of this is left actually for FY 2022, FY 2020, FY 2021, if you can m ention it? That is the first question.
Anil Tulsiani: Okay. The rail price revision, we have got it till 2021. We have already submitted our rail price to the CA Cost Organization for 2021 and 2022 and it's expected that we will get the benefit of this in this financial year itself. So it will be for roundabout 1.1 million ton, there be a revision in price.
Amit Dixit: Is it possible to quantify at this stage?

Anil Tulsiani: We may not be able to quantify it, because it entirely depends on the way the CA Co st calculates it, but we should get a good amount.
Amit Dixit: Great. The second question is essentially on wagon wheel capacity that we have. Now, we have been hearing that government is focusing on this. There's a plan to set up another factory. So just wanted to understand the current utilization of this wagon wheel capacity that we have and whether we'll be participating in some sort of investment in that new facility.
Anil Tulsiani: Yes. Actually, we have also participated in the tender, which has been floated by the government of -- by the railways for this. And at present, our wheel capacity -- we are able to supply wheels to the extent of 40,000 wheels per year, but this year planning to increase it to the next year with some modifications in our -- in the plant also.
Amit Dixit: Okay. I will take it up offline some more details. Thank you, sir and all the best.
Moderator: Thank you. The next question is from the line of Pinakin Parekh from JPMorgan. Please go ahead.
Pinakin Parekh: Yes. Thank you ver y much sir. Sir, my first question is, if we look at the crude steel production, 4.7 million tons is what we did in this quarter, which is higher if we compare to the

last few quarters. But what is the maximum that we can do at this point of time if demand were to be very strong, given what you're -- all the expansions that the company did? And what will it translate into saleable steel volumes on an annualized basis if everything was maxed out at full utilization?
Anil Tulsiani: Yes, actually, this time, w hatever we have done, it's more or less at our capacity. Our capacity is roundabout 19 million ton of crude steel. So if you tak

e a proportionate of that, so we have
present capacity, but we can sweat out our assets more and get a better quantity maybe in this quarter. We have already -- January was one of the best months ever for SAIL and we expect the trend will continue in the remaining two months. So we feel that we should be doing more than 4.5 million ton of crude steel in the last quarter.
Pinakin Pa rekh: Understood, sir. So to that extent, while there is some scope for higher volumes, not beyond much -- unless we see a new round of capacity expansion at the crude steel level. My second question, sir, is on the balance sheet and their borrowings, what is the outlook for borrowings and debt for FY 2023 and FY 2024, given where the profitability and the capex commitments are?
Anil Tulsiani: Yes. We have our capex commitments of roundabout -- we will be spending roundabout INR 5,500 crores. We have alread y spent around INR 3,500 crores already and we expect to end the year with a capex of roundabout INR 5,500 crores. And slightly more than that, we can say roundabout INR 6,500 crores to INR 7,000 crores in the coming financial year. And regarding the borro wings, yes, there was an increase in borrowings as compared to the beginning of the financial year, but now we have stemmed it and we had a reduction of borrowings even in the month of January. And it's at roundabout INR 28,000 -odd crores levels and we exp ect it to come down by another INR 3,000 crores to INR 4,000 crores by the end of this financial year.

Pinakin Parekh: So INR 28,000 crores and another INR 3,000 crores to INR 4,000 crores, so we are talking about INR 24,000 crores, INR 25,000 crores borro wing number?
Anil Tulsiani: INR 24,000 crores, INR 25,000 crores, Yes, it should be. Until unless there are some surprises somewhere and otherwise we should have a borrowings of INR 24,000 crores to INR 25,000 crores.
Pinakin Parekh: Understood. Thank you very much sir.
Moderator: Thank you. The next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.
Sumangal Nevatia: Yes. Sir, just continuing on the previous question, what is the net debt as on March 31 -- December 31, so rry?
Anil Tulsiani: INR 29,270 crores.
Sumangal Nevatia: Sorry, INR 29,270 crores? Okay, sir.
Anil Tulsiani: Yes.
Sumangal Nevatia: Okay. And sir, what is the like -- I mean, the reason behind the very sharp increase over the last nine months, is it unwinding of working capital?
Anil Tulsiani: Now, basically what was happening was that we had -- the coal prices have increased. So because of that, plus besides that, the capex also was quite high. So these are the major factors which have actually led t o the increase in the borrowings. And quarter -wise, if you see, in the first quarter, the borrowings were to the tune of INR 9,000 crores higher and which have now come down by -- to roundabout INR 2,000 crores in this particular quarter.
Sumangal Nevatia: Okay. And sir, given that coal prices again are back to -- I mean, almost approaching $400, do we expect a further build -up on the working capital side and a increase in borrowings?
Anil Tulsiani: Yes, actually the prices of coal which has gone up, luckil y along with that there has been some increase in the price of steel also. So it is going to offset, more or less neutralize the effect of the increase in coal prices.
Sumangal Nevatia: Okay. But, sir, neutralizing maybe on margins, but at least on the wor king capital side, it should increase, right, logically?
Anil Tulsiani: We will try to -- because our collections will also be going up because of this and we are trying to also reduce our receivables by something like INR 1,500 crores to INR 2,000 crores in the remaining two months. So this will surely help us in reducing our borrowings also.
Sumangal Nevatia: Understood,

understood. Sir, my second question is with respect to our growth plans in the medium term. In between, we had articulated a plan to add almost 10 million -to-15-million -ton capacity. Now if you see, we are approaching our rated capacity as far as volumes are concerned and we have not yet started any growth expansion. So from a next three to four -years point of view, I mean what sort of vol ume or capacity addition are we looking at?

Anil Tulsiani: We are already on our -- we have already firmed up some sort of plan for expansion, but there are two things what we are doing. One, whatever assets which we have now, we are trying to sweat them o ut, means whatever is there -- we are doing some debottlenecking schemes and all that. With that, we will try to probably increase the capacity by another 3 million tons in the coming three to four years. And in the meantime, we will be going in for our ex pansion plans and most probably we will be initially starting with the modernization -- I mean it's a new expansion at our IISCO Steel Plant, which will be the first one, where we are planning to increase the capacity by 4.5 million ton and then staggering the other expansions also, which will take place subsequently to probably go in for a 12 million -to-13-million -ton expansion by 2030 -2031.

Sumangal Nevatia: Okay. And this, sir, 4.5 million ton, when should we expect the capex to start, because FY 2024 yo ur guide, Yes.

Anil Tulsiani: Capex should start from the year 2024, 2025, because we'll have to, firstly, finalize the DPR and then go in for the tendering process, so the entire process should take almost one and a half to two years.

Sumangal Nevatia: Okay, got it. And just one last question, if you could just guide on the NSR realization and coal cost movement which we are expecting in the fourth quarter versus third quarter?

Anil Tulsiani: Fourth quarter, so far so good, like we've got some improvemen ts in NSR in the month of January, but February, now, there are again some tremors which are coming up, like there has been some stabilization and maybe some cooling off of the NSR. March, we cannot predict anything now, it's too early to predict for the M arch.

Sumangal Nevatia: And sir, coal cost?

Anil Tulsiani: Coal cost, it's -- for January and February, the coal cost whatever we will be having really more or less in line with the December costs, maybe INR 1,000 or INR 1,500 extra, but March we can have an increase of roundabout INR 4,000 in the cost of coal.

Sumangal Nevatia: Understood. All right. Thank you, sir and all the best.

Moderator: Thank you. The next question is from the line of Aakash Goel from Tara Capital Partners. Please go ahead.

Aakash G oel: Yes. Hi, sir. Sir, I just wanted to get an idea on the employee cost because when I'm looking at it, I see there has been a significant reduction from -- both on a Y -o-Y basis and on a quarterly basis. So if you can give me some insights on what was t he reason for the coal cost reduction as such?

Anil Tulsiani: The employee cost has been gradually reducing, that is basically because the senior level people who are in the age category of 60, around 3,000 have left the company now and the

recruitment has not been that much, it has been very less. We are not -- we are trying to reduce the recruitment to the extent possible. So there is a gradual decrease of roundabout -- you can say, in a quarter roundabout INR 50 crores to INR 100 crores reduction is ther e in every quarter. I think probably this trend should continue on for the future also, because retirements are there in the near future also of -- you can say in a year, almost 3,000 to 3,500 people will be retiring, so that benefit we will get in the emp loyee cost coming down.

Aakash

Goel: So going forward, we can expect the trend to continue?

Ashish Kejriwal: Surely. Yes, Yes, it will continue, because whatever recruitment we'll be doing also that will be at the lowest of the scales, so -- means at the l owest of the grades. So, their salary is quite low as compared to the people who are retiring now.

Aakash Goel: Understood. Thank you so much and all the best, sir.

Anil Tulsiani: Thank you.

Moderator: Thank you. The next question is from the line of Rahul Jain from Systematix. Please go ahead.

Rahul Jain: Yes. Sir, coming again on the debt question, so if you see on March, we were at about some INR 13,000 -odd crores and we have reached this massive number of INR 29,000 crores. So I'm wondering, what gives you the confidence to go ahead for this another leag ue round of capex. So -- earlier because I remember in, say, 10 years ago when we started this capex round, we were net cash, we had INR 10,000 crores cash and after that we pursued massive expansion and where we are today at whatever, 20-million -ton produ ction. So I'm just wondering what is giving this kind of confidence to -- despite setting on such a huge debt number to go ahead with this capex?

Anil Tulsiani: Basically, the past gives us the confidence for the future. As on June 20, we had total borrowi ngs of nearly INR 52,000 crores, which you can say in a matter of -- you can say, less than two years, we could bring it down to roundabout INR 13,386 crores. And now, yes, it has inched up, it has gone up, basically because coal prices being extremely hig h and -- but -- and steel price has not been commensurate with that. But I think the industry is not going to last just with very high coal prices and lower NSR.

So they'll come -- the time has now more or less come where it will stabilize, like the coal prices are also at a level where we can sustain our steel production. And with higher volumes coming up, so the benefits of higher volumes and lower fixed costs will surely help us. So we are very optimist that by this year -end, though we had at one point of time nearly -- at least more than INR 29,000 crores, but by this year -end we should be at roundabout INR 25,000 crores level.

Rahul Jain: Right, right. Sir, and secondly on the -- we had huge revaluation, which we have done for iron ore and we've had th ese plans of selling good quantity of iron ore. Any major progress over there in the anvil, I think Jharkhand we will not get approval, something like that.

Anil Tulsiani: See, there is not much of a progress during this financial year, basically because t he price which we expect from that, until unless you don't get a good price, we are not going to sell it, because it's an asset for us. So if you get a good price for it, we are probably going to sell it. And if there is something like in case of -- we hav e got a major resource at -- in Jharkhand mine. So we are awaiting clearances from the Jharkhand state government. So once we get the clearances from Jharkhand state government, the sale of fines from there will go up.

Rahul Jain: Right. And sir, lastly, o n this revaluation exercise which we have every year. So you think this is going to be a feature which is going to remain with us or are we working to have a more streamlined method that we have a correct accounting picture, right, because from railways, like you said, you're going to get money from 2022, right? And for this year, you will get probably next year. And what I can understand the adjustment would be at least more than INR 5,000 a ton, right? So it can be -- it really has a lot of mismatch in yo ur accounting -- reporting?

Anil Tulsiani: Are you talking about the fines part of it?

Rahul Jain: No, no, I'm talking about the railways sales, 1-million -ton sale which we are having. So there is a huge timing difference, right

? I mean, last year sales di fference you will get this year, right?

Anil Tulsiani: Yes. See, actually what has happened is that the cost of -- input costs have gone up tremendously. So what happened was railways also realized that there was a point at one point of time where the cost was high and even the NSR for structures, it was higher than that of the rail products. So then the railways immediately realized this and they gave us a INR 5,000 hike in our NSR -- in the price for the rails. Okay? But that is also not substantial for t he cost which we are -- which are there for 2021, 2022 and now on 2022, 2023 also. So we have already given our pricing for coal to the CA cost and they are evaluating it. So we will -- we should get a benefit on that account.

Rahul Jain: But how much bene fit have we been asking and what benefit that is?

Anil Tulsiani: No, we cannot disclose th at at this point of time , Yes, the moment it will be made public , we will let you know .

Rahul Jain: And when will you submit the revision for this year that is FY 202 3?

Anil Tulsiani: FY 2023 will be done only after the AGM. They actually normally take the annual report and based on that only they just do the working. So it will be probably, you can say, in the month of September or October, then we will have to submit for financial year 2023.

Rahul Jain: So the ad hoc payments are made based on the pricing which was prevailing in FY 2022, is that the right way to look at it?

Anil Tulsiani: Yes, Yes. That is the thing. And now what is happening is, if FY 2022 gets revised, then -- and it goes on a higher side, then they probably revise the ad hoc price for 2023 also.

Rahul Jain: Right. Okay, sir, thank you so much.

Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead .

Ritesh Shah: Hi, sir. Thanks for the opportunity. Sir, two questions. One is, I just wanted to understand how much is our total iron ore production, out of that how much comes from Orissa? And specifically, with respect to the Orissa iron ore, how should one understand the royalty aspect? The reason I ask this is, we understand that the Orissa state government has been very aggressive in giving out demand notices pertaining to the revised IBM -notified rates. So is there any impact that we have over here?

Anil Tulsiani: The iron ore prices -- see, basically, it is guided by the IBM rates for royalty. Okay? Now what has happened is this time on the contrary, I would just like to tell you that Orissa government earlier, they were charging us the royalty on fi ne at the highest rate for lumps. Okay? But they in this particular financial year, they have changed it for the royalty being charge to us is the highest rate for fines, instead of royalty for lumps. So that has given us some benefits in this particular f inancial year. It's not basically a benefit. What they should have done it years ago they have done it correctly for this financial year. Otherwise, the rates of royalty in Orissa basically those IBM rate, so we don't have much of a thing in that. I don't think the Orissa government has got anything in -- any role to play in this.

Ritesh Shah: And sir, what percentage of a production comes from Orissa?

Anil Tulsiani: I'll just give you the figure.

Ritesh Shah: Right. And sir, my second question was…

Anil Tu lsiani: Can I give it to you offline?

Ritesh Shah: Yes, sir, that should be fine. And sir, my second question was, if you could please help us with what is the current prevailing rate for long product prices and flat product prices and the average for the quarter gone past?

Anil Tulsiani: For January, the long product prices are hovering in the range of, we can say, INR 56,000 and the flat product prices are in the range of INR 54,000. And when we come to the previous quarter, the long product prices were i n the range of INR 54,500 and so were the flat products at roundabout between INR 54,000 to INR 54,500.

Ritesh Shah: Right. Sir, just one question. Sir, you indicated that the coking coal prices are moving up very sharply what we see for the month of March . Sir, are we confident of increasing the steel prices in a similar way? Are we confident of demand and our ability to increase the steel prices?

Anil Tulsiani: That is purely on demand and supply. We cannot decide -- the market only basically decides. But yes, there's just one thing which we should always bear in mind that this increase in coal prices is basically for the entire industry, it doesn't impact only SAIL. So, the industry will surely try to push up the prices.

Ritesh Shah: Sure. This is very he lpful sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Prashanth Kumar Kota from Emkay Global. Please go ahead.

Prashanth Kumar Kota: Sir, good afternoon and thanks for the opportunity and also guiding us on the net debt part that we are almost peaking over here and things like that. Sir, my question -- you have alluded to this point on coking coal. Sir, if we see next year, we may be buying about 15 million tons or 14 million tons of coking coal and at the current price, close to $400, just SAIL will be spending $5 billion to $6 billion, India as a whole will be spending $20 billion, $25 billion. And it's -- I think probably the second largest import item for a country now that we are the world's largest coking coal import er etc.

And sir, the thing is, something does not seem right over here, rather after doing everything correct, not just SAIL or the Indian industry as a whole, we still -- we are suboptimal profitability, just because of one reason -- one external force. T hen there is -- something is not right, probably there is also this -- various managements have indicated that the Platts Index which is the reference index has to be more transparent, etc., those things are there. Sir, what should we be doing so that we m ove to something like a more -- India as a country, more negotiated deals for example, the thermal coal, Japan is to set the price and with -- large miners and the smaller miners benchmark their grades with these negotiated prices and for the quarters of t he month, those prices prevail.

And that's a function of what -- at the end of it, we are buying coal to produce using the -- doing business out of it. Now this is completely isolated -- they are just increased in isolated way, and sir the one provision is , iron ore prices, if they go up by -- impact on steel is one is to one. But in the case of coking coal, various parts of the world have different sources, different mix, different -- their own domestic sources, gas -based steel etc etera , it's not one is to one sir. In a country like India tends to bear the brunt more than others and the pricing is global anyway sir. So what is this long -term solution, apart from India developing its own research facility it will take 5 to 10 years maybe or but apart from t hat, what can we do on the negotiations as a country? Can we take the help of our leadership, as in the -- Indian leadership, how do we go?

Anil Tulsiani: I'll just tell you one thing, actually this Indian Steel Association is basically looking into these aspects, wherever high coal pricing is concerned or wherever this import of steel is concerned, they are basically looking at it and where all are involved, SAIL, Tata Steel and all and so this is there. And besides that there is just one thing that we are -- it's just that the index is like that, but we are getting some discounts on that when we are purchasing from the parties.

And we also have our own -- SAIL has got its this thing, a company, a joint venture in the

name of ICL, which has got its own mine s at Mozambique. So though the coal quality is slightly not as good as Australian or US coal, but then we are getting it at a comparatively lower price. And we have also forayed into Russian coal also, where also we are getting quite a lot of discount.

So I think the more we find avenues to -- with other suppliers of coal, this will put pressures on the regular suppliers and who are playing a part in the Platts Index and all -- Argus and Platts index. It will put pressure on them to also bring down the pric es to some extent. Yes, at this moment a price of 380 is hovering at this point of time, it is really very difficult to absorb it, but I think this industry has seen a time when we were having the index at more than $650 also. So we are just keeping our fi ngers crossed that this sudden hike which has started taking place from middle of Jan, I think, should now start showing a downward trend.

Prashanth Kumar Kota: Okay, sir. Hope things get resolved and wish you all the best.

Anil Tulsiani: Thank you.

Modera tor: Thank you. The next question is from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: Hi, sir. Sir, just one question in terms of our volumes, like, we have almost have, I think, sir, 1.6 million tons to 1.7 million tons of inventory. So in terms of our 4Q guidance, what kind of sales volumes can we expect in 4Q?

Anil Tulsiani: The inventory is actually 1.2 million ton. And if you see, at the beginning of the year, we had roundabout 6 lakh tons of inventory. So our target s are to bring it down, maybe to less than 1 million ton in this financial year.

Siddharth Gadekar: So, sir, what sales volume can we expect in the fourth quarter or the current run rate that we are looking at?

Anil Tulsiani: 4.8 -- around 4.8 million tons .

Siddharth Gadekar: Okay, sir. Got it. Thank you.

Moderator: Thank you. The next question is from the line of Somaiah V from Avendus Spark. Please go ahead.

Somaiah V: Thanks for the opportunity, sir. Couple of clarifications, one on the coking coal. You did mention from December levels, there is a INR 1,000 per ton increase. Can you just help us with what was the carrying cost last quarter for coking coal?

Anil Tulsiani: Last quarter, it was in the range of roundabout INR 25,500 per ton, the imported coal.

Somaiah V: Got it, sir. The second one, the debt number that you referred to with the INR 4,000 crores reduction that is by which financial year?

Anil Tulsiani: This is by the end of this financial year.

Somaiah V: FY 2023?

Anil Tulsiani: Yes, FY 202 3.

Somaiah V: Got it. Sir, one question on the industry trends. You did say that February, you were seeing a bit of softening in NSR. How do you see domestic demand? That's one. And second, given that international prices have gone up for the industry, is exports becoming a viable option now? And also we are seeing that rebar is at a premium to HRC. I mean, what has been the driver there?

Anil Tulsiani: Actually, there is a very good demand for steel in India. There is absolutely -- means, whatever we are p roducing we are able to sell. And rebar prices which were higher, now they have slightly come down in the month of February also and HR coal has gone up marginally. So more or less, you can say they are at par.

Somaiah V: The question on the export options for the industry, given that Europe prices…

Anil Tulsiani: Exports up to March, everybody is booked. SAIL is less on exports and concentrating more on the domestic market, but the others what we have come to know, they have booked up to the March.

Somaiah V: Are we seeing any import pressures in recent months at an industry level?

Anil Tulsiani: It was there, now i

t is not there. At one point of time, it was there, but now it is not there.

Moderator: Thank you. Next question is from the line of Kirtan Meht a from BOB Capital Markets. Please go ahead.

Kirtan Mehta: Thank you, sir, for giving this opportunity. It's good to see basically the SAIL plant coming up at the full capacity now. I just wanted to understand the opportunity available in improving the product mix based on the existing plant configuration. So in this regard, I wanted to understand is there a possibility to reduce needs further below 9% at which we are operating? Second, related part was, what is the utilization level in Universal Section Mi ll as well as Mid -Section Mill? And what sort of the improvement we can achieve there? And the third related part was, are there any other products where we are operating at a lower utilization on where we can upgrade the product mix further?

Anil Tulsiani : As you have rightly said, the component of semis is gradually coming down in SAIL. And yes, we have got two new mills, if you see the USM in IISCO Burnpur and the Medium Structural Mill in Durgapur. Medium Structural Mill has now stabilized and we are ge tting orders even to the extent of roundabout 50,000 tons per month. And the USM has also picked up from levels of, say, 15,000 to 20,000 which was there last year and now it is at 35,000 and we continue to get orders. So once the USM stabilizers, which wi ll have a capacity of roundabout 840,000, we can be 70,000 per month, so I think semis components will further come down.

Kirtan Mehta: And apart from these two mills, are there any other products where there is a possibility to increase the production lev el?

Anil Tulsiani: In the flat product range, there's not much, except we may have -- we have got this Hot Strip Mill 2. So Hot Strip Mill 2, which is a new plant, we will try to ramp up that further and that is

also -- there is one good advantage that the product is very good of that and we'll get a higher NSR for that also.

Moderator: Thank you. The next question is from the line of…

Anil Tulsiani: Let this be the last question, please.

Moderator: Yes, sir. It's from the line of Falguni Dutta from Jet Age Securities. Please go ahead.

Falguni Dutta: Yes, good afternoon, sir. Thank you for allowing me. Sir, I had just one question. We have seen a price increase of INR 6,000 per ton in the secondary markets, HRC Mumbai from mid - December to now, 6,000 per ton increase. So if steel prices were to remain where they are now, should we see this kind of an increase translating into our numbers in Q1 FY 2024?

Anil Tulsiani: This will basically like, we are not too sure how it will happen -- what is going to happen in Q1 2024, because this increase of coal prices which are there, that will start having an impact in Q1 also. So that will have a major impact in Q1. So…

Falguni Dutta: Sir, just wanted to know if -- sorry for interrupting -- assuming coking coal prices rem ain where they are and steel prices remain where they are, how do you see Q1 margins directionally, better than Q4 or flat?

Anil Tulsiani: Maybe flat.

Falguni Dutta: Okay, thank you sir. That's all from my side.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference back to the management for their closing remarks. Thank you, and over to you.

Anil Tulsiani: Yes. Thank you, Ashish ji and we hope to do well in this quarter. We have started this quarter on a good note and we are continuously getting support from the -- we have got a good support from the government in the form of the budget, where lot of investments have been made in -- means investments have been made in infrastructure, which will also help us to a large extent in marketing our products. So we hope that this quarter and the year to come

also will be good
for us, as well as the steel industry. Thank you very much.

Moderator: Ladies and gentlemen, on behalf of Nuvama Institutional Equities, that concludes today's call. Thank you all for joining us, and you may now disconnect your lines. Thank you.

Call: Jun 2023

ASTEEL AUTHORITY OF INDIA LIMITED
CA>17(44)/2023-24 2"^ June, 2023
The General Manager (MO) The Asstt. Vice President
Bombay Stock Exchange National Stock Exchange of India Ltd.
Through BSE Listing Centre Through NEAPS
Sub: Transcipt of conference call held with Analysts & Investors on 26"* May, 2023.
Ref: Regulation 46 of SEBIfLODR) Regulations, 2015: (Security IDiSAIL).
Dear Sir,
This is in continuation to our letter No.CA-17(44)/2023-24 dated 26^ May, 2023, intimating the link to the Audio Recording of the Conference Call held on 26*^ May, 2023.
Transcript of aforesaid Conference Call is attached herewith.
Thanking you,
Yours faithfully,
For Steel Authority of India Limited
(M B Balakrishnan)
CGM(Finance) & Company Secretary
End: As above

“Steel Authority of India Limited Q4 FY23 Earnings Conference Call”

May 26, 2023

MANAGEMENT : MR. ANIL TULSIANI – DIRECTOR FINANCE , STEEL AUTHORITY OF INDIA LIMITED

MODERATOR : MR. ASHISH KEJRIWAL – NUVAMA WEALTH MANAGEMENT

Moderator : Ladies and gentlemen, Good day and welcome to Steel Authority of India Limited Q4 FY23 Earnings Conference Call hosted by Nuvama Wealth Management .
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Shoul d you need assistance during this conference call, please signal an operator by pressing „*■ and then „0■ on your touchtone phone.
I now hand the conference over to Ashish Kejriwal from Nuvama Wealth Management . Thank you and over to you.
Ashish Kejriwal : Thank you Selvin. Good morning everyone. On behalf of Nuvama Institutional Equities, we welcome you all for Q 4 FY23 Conference Call of Steel Authority of India Limited . We are happy to host Mr. Anil Tulsiani – Director (Finance) along with his team.
Now I would request Mr. Anil Tulsiani for his opening remarks and thereafter we can open the call for Q&A. Over to you, Sir.

Anil Tulsiani : Thank you Ashish ji. Good afternoon everyone. It is my pleasure to welcome you all to the Investor Concall of Q4 and Financial Year „23 .
Let me first briefly run through the economic scenario in which we operated during the Financial Year „22 -23 which was quite challenging. We saw a consistent decline in the prices of steel in the first three quarters on the back of international prices. There was some stabilization of prices in Q4. The year also saw fluctuating prices of inputs, inflationary pressures forcing corrective action by the central banks which in turn led to growth getting compromised , disruption s in supply chains, slowdown in Europe and US, lockdown in China etcetera which impacted the GDP of economies across the globe.
As a result, the apparent steel consumption saw a decline over 3% during calendar year 22 over the previous year. Indian economy however fared better than the other major economies and the growth duri ng Financial Year „23 is estimated at 7%. The domestic production and consumption of steel registered growth of 5% a nd 13% respec tively during Financial Year „23 .
As per WSA , India at the rate of 5.8% was the one of the only two countries to register a positive growth growing during Financial Year „22 among the top 10 steel producing nations.
Coming to the performance of the Company Steel Authority of India Limited :
Despite all challenges , SAIL registered best ever production and sales performance during Financial Year „23 . During the financial year, the Company produ ced the highest ever hot

metal , crude steel as well as saleable steel. The hot metal produc tion stood at 19.4 million tons as against the previous best of 18.7 million tons. Crude stee l product ion stood at 18.3 million ton as against prev ious best of 17.3 million ton in Financial Year „22 . Saleable steel production stood at 17.2 million ton s as against the previous best of 16.9 million ton in Financial Year „22.
Now coming to marketing, the mar keting had to face numerous challenges as already narrated . Despite the same , the Company registered its best ever sales volume during the Financial Year „23 at 16.20 million ton , marginal ly higher than the previous best of 16.15 m illion ton a chieved in Financial Year „22 . In fact, the domestic sales at 15.8 million ton grew by 7% over 14.8 million tons during Financial Year „22 . The exports, however, declined to 0. 4 million ton in Financial Year „23 from 1.4 million ton in Financial Year ■22, a degrowth of 68 % as the international market faced the stress .
On the Financial Front:
The Company once again reached the Rs. 1 lakh crore mark for its turn over. The turnover of 1,03,7 68 crore was the best ever , outperforming the previous best of Rs. 1,02,805 crore achieved during Finan

cial Year „22 . The profita bility , however , could not match the levels
achieved during Financial Year „22 majorly due to high input prices and marginal decline in the NS R. EBITDA for the year stood at Rs. 9,379 crores , a reduction of 58% over CPLY of Rs. 22,364 crores. PBT and PAT at Rs. 2,637 crores and Rs. 1,903 cro res respectively saw reduction vis -à-vis Rs. 16,039 crore and Rs. 12,015 crores i n the previous year. The borrowings have increased to Rs. 29,270 crores as on 31st December 22 as against Rs. 13,386 crore as on 31st March 2022 and has reduced in the Q4 by around Rs. 3,608 crores turning down to Rs. 25,662 crore as on 31st March 2023 .
The recent decline in steel prices especially for the long product is agai n a cause of concern and may affect the profitability to some extent. Howe ver, the simultaneous correction in the prices of impo rted coal is expected to cover up the sa me.
Now coming to our sust enanc e and operational efficiencies. I n addition to the production and sales in the current year , the Company is committed to take measures for ensuring sustainab le operations . In the area of operational efficiency , the Company has been making steady progress for redu cing coal and coke consumption, highe r usage of CDI and improving its BF productivity. The Company has achieved its best e ver performance on these performance parameters during Financial Year „23 .
The Company is leveraging its new facilities to a good effect. We have already stopped productio n through the twin -hearth furnace route . The production of ingot route is also being

brought down consistently. The Financial Year „23 the same stood at 0.8% versus 1.1% in Financial Year „22 .
The share of value added steel i ncreased to 52.7% in financial year „23 vis-à-vis 51.1% in Financial Year „2 2. The percentage of semis in production is also coming down with higher capacity utilization of the mills . The percentage which stood at 19.3% in Financial Year „22

has now come down to 13.1% in Financial Year „23 . By engaging conversion services in and around the plant /demand pockets , the percentage share of s emis in Steel Authority of India Limited h as been even lower at 9% coming down from 15% in Financial Year „22 .
As a r esponsible corporate, we have been working towards cleaner and greener steel by ensuring environment conservation over the years by use of initiatives like waste utilization over 100% in Financial Year „23 as compared to 83% in financial year „17, reduction in carbon footprints, v arious pro jects un der our commitments to zero liquid discharge, eco restoration of areas, regions around the plant s and mines, plantation of more than 21 million happening till date, use of alternate source of en ergy like hydropower and solar power.
Towards stakeholder mana gement, the Company had paid a total dividend of Rs. 3 and 25 paisa per share in Financial Year „23 which included Rs. 2.25 per share at final dividend of Financial Year „22 and Rs. 1 at interim dividend of Financial Year „23 . Further, the board of directors has recommende d a final dividend of 50 paisa p er share for Financial Year „23 subjec t to shareholder approval at AGM .
As a means to improve transparency , the Company has been procuring materials thro ugh Government e Marketplace (GeM). The procurement doubled during Financial Year „23 to round about Rs. 9200 crores against the previo us year figure of around Rs. 4,600 crores.
The Company has been engaging in numerous CSR activities across the country and primarily in the vicinity of our plants an d units. The activities are undertaken in conformity with the Companies Act as well as DP E guidelines.
IMF in its latest World Economic Outlook of April 23 has projected global growth to bottom out at 2. 8% this year. As supply chain disruptions are unwinding

, dislocations to energ y and
food markets are receding , IMF expects global growth to rise modestly to 3% in 2024 as inflation comes down further to 4.9 %. The major advanced economies are see ing much lower increase in GDP growth at 1.3% for 2023 with Ger many and UK act ually projected to contract by 0. 1% and 0 .3%. The emerging economies are expected to fare much better than the advanced counterpart growing at 3.9 %.

The Indian economy, meanwhile, stands out as a silver lining with a strong demand and consum ption pattern. Amongst the major economies , we are placed much better and beating the growth projections even for Chi na. India is expect ed to grow in the range of 6 to 7% over the next few years in various reports like IMF, WE O, World Bank projection, Monetary Policy Committee of RBI , etc.
As per IMF , growth in India is expected to moderate in CY „23 to 5.9% before climbing higher to 6.3% in 2024. As for the World Steel Association , demand will see a 2.3% rebound this year to reach 1822.3 million ton. St eel demand i s forecast to grow by 1.7% in 2024 to reach 1854 million ton . In India, the demand is expected to show healthy growth o f 7.3% in 2023 and 6.2% in 2024.
I am hopeful that the good times await us and our investor s. With these words, I hand it back to Mr. Kej riwal for opening the Q&A session. I a m sure you all have some queries on the performance. Thank you.
Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.
Amit Dixit : I have a couple of questions . The first one is on co king coal cost, if you could let us know what was the change QoQ in the co king coal cost in Q4 and what do you expect in Q1 that is the first questio n?
Anil Tulsiani : The imported co king coal cost duri ng the third quarter was around Rs. 25,500 and in the fourth quarter also it was in the same rate of round about Rs. 25,500 an d coming to the projection for the next few months it will be a bit higher at around Rs. 28,000.
Amit Dixit : So, when you will get the benefit of the lower co king coal p rices prevailing in the country?
Anil Tulsiani : See the cycle is you can say around 75 to 80 days like when we get coal from US. So, the time taken t o reach our ports is around about 40 to 45 days and when it is from Australia it is round about 2 0 days to 25 days. So, 40 to 45 days plus the movement inside within India and at the ports. So, the average is around 75 to 80 days. So, the benefits of you can say the month of May, from May we have started getting the real benefit of lower price of coal April and May it will probably start getting i t from the last week of June second half of June and July onwards.
Amit Dixit : The second que stion is essentially on demand w hat we have seen that in several quarters there are I mean as we talk to different channel guys t hey mentioned about the subdued de mand prevailing in the country c urrently while we are saying that the demand will g row by 13 odd perce nt now given all these aspects where in which sectors do you see for yourself demand growing and what would be our sales volume target for this year FY24?

Anil Tulsiani : For the year FY24 we have projected a sales volume of around 18.7 million ton which is an improvement of 15% over „22-23 and we expect that demand to be there all throughout means in all the segments especially in the infrastructure and of course there will be a slowdown in the demand during the monsoon season, b ut we expect more or less consistent demand thereafter also.
Amit Dixit : In last two months have you seen any slowdown in demand particularly in fra and allied business ?
Anil Tulsiani : No, there is no slowdown in

demand at least for our products.
Moderator : Thank you. Th e next question is from the line of Mohit Bhansali from Bonan za Portfolio Limited . Please go ahead .
Mohit Bhansali : First of all I want to know what was the employee strength comparatively in the year end last year to this year how much r eduction it has been?
Anil Tulsiani : There has been a reduction of around 3 ,800 to be exact, there has been a reduction in manpower.
Mohit Bhansali : 3,800.
Anil Tulsiani : Yes.
Mohit Bhansali : So, I am curious to know that since the r eduction is year -to-year why the employee cost has gone up 15% year -to-year?
Anil Tulsiani : 15% I do no t think so. Year -on-year there has been a r eduction of around about Rs. 800 crores.
Mohit Bhansali : Last year it was 3 ,000 crore i t is showing now it is showing 3 ,400 crore.
Anil Tulsiani : I thin k you are talking about quarter -to-quarter.
Mohit Bhansali : No, I am talking a bout last March quarter last financial year March quarter?
Anil Tulsiani : I think you are talking quarter -on-quarter. Actually , what has happened is that at the year-end normally what happens i s we have a fresh evaluation of some of our actua ry because otherwise normally go by the previous year figures only with some marginal escalation. So , when we have done the actual evaluatio n this year there was an increase of around about 400 crores because of that s o which has impacted in the particular quarter and besides that the pension provision which we had made up to the third quarter t hat was considering since the profit was

low at u p to the third quarter we had taken it at 3% and now we had t o do it at the rate of 6.6%. So, that 3.6% additional for p ension and another 300 to 400 crores approximately for this revaluation after the actua ry had given the figures for „22-23.
Mohit Bhans ali: So, what is th e call for this financial year like it will be gradual like earlier concall y ou said that wage revision will gradually come down?
Anil Tulsiani : Yes, it will be it will b e coming down this year also. Se e there is a reduction of round abo ut 5%. See when the manpower is coming down ther e will be a reduction for that, b ut besides that see there i s a normal increments and the DA provision which we have to keep. So, that also had some impact on the salaries and wages at least you can say 6 % to 7% for the normal employees who are still working. So, basical ly every year we can expect around 4% to 5% in salaries and wages.
Mohit Bhansali : So, it will be more or less same or it may come down a little bit?
Anil Tulsiani : Yes, it will come little bit.
Mohit Bhansali : Second quest ion is on your debt trajectory w hat do you think your debt trajec tory will be in this financial year , it will come down or it will go up?
Anil Tulsiani: We expect it to come down especially with th is softening of the coal prices w e will surely get a benefit of that because at the present whatever the outflow for coal it is surely expected to come down by you can say around about Rs. 1,000 to 1 ,200 crores per months, b ut the other thing which plays a vital role is the net sales realization of our products. So, we have to keep our fingers crossed for that. So, if this happens maybe with the CAPEX also what we are planning around about Rs. 6,000 crore we may still be able to reduce our debt s to some extent.
Mohit Bhansali : One thing I just want to submit that CAPEX you are doing every year Rs. 4,000 to 5,000 crore so that is a huge CAPEX so why do no t you mention what CAPEX you are doing in your presentation like new co ke oven or SMS in Rourkela and what is the timeline of co mpletion i t will be very helpful for us if you mention everythin g in your presentation as well?
Anil Tulsiani: Okay we wi ll keep it in mind.
Moderator : Thank you. The next question is

from the line of Pratim Roy from B&K Securities. Please go ahead.

Prati m Roy : First question is that you have mentioned full year sale s guidance of 18.7 million ton, s o if you can tell me where this is coming from whether domestic or export and how the mix will come so that will be a great that is my first question?

Anil Tuls iani: Shall I get back to you regarding the domestic and this thing in a few m inutes by the end of this call.

Pratim Roy : My main question is there any what is the mix from that and from which sector it will come from that is the main question and the seco nd question is that that employee expense that you have explained just now, but the other expense there is a jump in sequential basis, s o if you can mention is there any one off on that basis or anything else that you ?

Anil Tulsiani: There was a substantial jump this year b ecause of the foreign currency l osses which we have taken in this year because of the sudden hike in the dollar rate. Most o f our exports , imports for coal are there nearly 85% of our entire coal is being imported. So, because of the sudden jump of the dollar rate in this particular financial year we had to take quite a l ot of hit because of that.

Pratim Roy : And you just mentioned that the overall debt will come down by Rs. 6,000 crore for this year FY24 is it right?

Anil Tulsiani: Like our original plan is bringing down d ebt, b ut we are not too sure about this thing it entirely depends on the market dynamics the NSR as well as the coal prices. T he coal prices if they continue like this then there is a good chance of the debt coming down.

Pratim Roy : By 6,000 right?

Anil Tulsiani: We cannot commit the figures at this point.

Pratim Roy : And the last question is sir can you please quantify the CAPEX number for this full year ?

Anil Tulsiani: Come again.

Pratim Roy : CAPEX guidance for the year?

Anil Tulsiani: CAPEX you want to know about „22-23.

Pratim Roy : 24.

Anil Tulsiani: 23-24 we have projected a CAPEX of almost Rs. 6,500 crore.

Pratim Roy : For the coming year right?

Anil Tulsiani: Yes.

Moderator: Thank you. The next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia : I have couple of questions the first on the volume guidance of 15% growth sir if we look at last five, six years I mean it took almost five to six ye ars to achieve this 15% growth from say 14 million to 16 million tons, now we are guiding t o achieve the similar performance in one year, so just want to understand some breakup as to which all plan ts and how should we see on a quarter -on-quarter basis the growth coming, i s it more back ended or should we start seeing this growth from Q1 itself ?

Anil Tulsiani: Actually, the gr owth is more or less from the Quarter 3 i t will be substantially higher like if you see that even in every year we have a substantial growth from the third quarter onwards, but we have not done too bad in the month of April also I think we have crossed 1.3 MT we have crossed. So, if you take that 1.3 MT into 12 that only works out around about 16 million ton and with some sort of a g rowth tow ards the third and fourth quarter we expect t o achieve this target.

Sumangal Nevatia : So, my next question is on working capital now every year there is a big swing l ast two years there was a release of almost more than 20,000 crores and in FY 23 the workin g capital increase is almost 14,000 odd crores, s o sir what is t he stable level year to expect a nd why such sharp increase in working capital?

Anil Tulsiani: See basicall y what is happening is we are we are basically the trade payables whatever we have got they are fluctuating a lot t hat is basically depending on the coal pri

ce s and we have got these deferred payment terms. So, that is basically playing a major role i n this working capital this thing, collecti ons we are doing it quite well o ur debtors are c oming down means you can see that they are in the range of round about Rs. 5,000 crores. They were there last year and this year also they are on the same level s. So, it is basically the payables which are playing a d ominant role in that because it entirely de pendent on our payment terms with our coal suppliers.

Sumangal Nevatia : What is net debt as on the year end?

Anil Tulsiani: Rs. 28,400 and there is one more thing t here has been an increase in the stock of steel this year

as compared to last year by round down about 4.5 lakh tons. So, that has also had a impact on
the wor king capital .
Sumangal Nevatia : Sir one last question on iron ore sales s o what is the sales we did in FY23 and I mean we are still carrying the inventory when we revalued in 2019 of around 8 ,000 crore, 4 ,000 in each current and noncurrent, s o what is the comfort we are having i n terms of realizing this value?

Anil Tulsiani: See basically the majority of our iron ore is located in Jharkhand. So, there are some issues in the case of Jharkhand for evacuation of ore f rom there, some clearances are requir ed from the Jharkhand government. So, we are worki ng on that and we are optimist that it will be cleared very soon. We ha ve already deposited some royalty also in the GeMs portal als o for evacuation of ore. So, we feel that we will be able to evacuate quite a l ot of quantity this particular year like I think w e have projected more than roundabout 2 million tons from Jharkhand group of mines in this particular financial year and last y ear I think the total sale of fines was round about 4,00,000 tons a nd yes we are optimist and regarding this we plan to liquidate these stocks in a rap id manner because we have got you can say three pronged strategy in this . We will be supplying to our ow n steel plants , we wi ll be usin g it for conversion to pellets, t ry to sell it also and we are also planning beneficiation and a pellet plant in our mines through an MDO route. So, we feel that this evacuation will be quite fast once all the things fall in p lace.
Sumangal Nevatia : Sir you said 4,00,000 ton s for FY23?
Anil Tulsiani: 4 lakh tons yes.
Moderator: Thank you. The next question is from the line of Rahul Jain from Systematix Group . Please go ahead.
Rahul Jain: Sir firstly on the the re is a large amount of provisional sales I think around 8,500 odd crores you have mentioned in your result, s o when is this going to conclude and what do you expect the direction of is it going to higher and also how much is receivable out of this ?
Anil Tulsiani: Actua lly this is mainly we have this provisional sales for our rails w hich we suppl y to the railways. So, basically what is happening is the pricing is done after the financial year ends, but the issue which has come up is that till now we have not been able to get the price for „21-22 also. So, the price at which we are billing to the railways is around Rs. 67, 500 per ton. So , we expect a substantial amount from the railw ays once the CA cost finalizes t his pricing of the railways for „21-22 and „22-23 also we w ill try to get it th is year otherwise because there is normally a lag of round about one year. So, „21-22 we expect and say by the beginning or say by the second quarter of „23-24 and we will try to tell that „22-23 pricing also which is again still at Rs. 67,500 in maybe end of „23-24 or maybe „24-25 beginning.
Rahul Jain : So, you have booked 30, 000 crores cumulatively s o on that number we should see a b ig jump, is that the right way to look at it?
Anil Tulsiani: And that will probably add straight to our bottom line also.
Rahul Jain: Any

number you want to give what percentage in a range?

Anil Tulsiani: We have submitted a cost, but then I think we should not disclose it at the moment because it is subject to CA (Cost) checking it and finalizing it.
Rahu l Jain: Secondly we have now completed this large round of CAPEX which took us almost a decade , any further plans to look at say go to 30 million or beyond and what is the big picture over here?
Anil Tulsiani: Yes, we have got plans lined up. We will be go ing in for ramping up of some of our facilities and that will add one more 30 million tons in the n ext you can say three to four years a nd besides this we a re planning expansion plans in IISCO Burnpur of round about 4.5 million tons and another you can say 3 million tons in Bokaro and e ven to some extent we may also up to 31-32 we can have a plant in Rourkela steel plant. So, our plans are to achieve around you can say 35 million tons by you can say 31 -32. So, already we have obtained the in-principle appro val of the board to go a head with the preparation of DPRs for Bokaro and IISCO Burnpur and shortly we will be also going in for Durgapur in some time now Durgapur also we are planning expansion.
Rahul Jain: So, in the next two to three years any meaningful number like, for example, for this year you have said 15% volume growth say in the next three years any number which we have worked based on the plan ts we have?
Anil Tulsiani: Yes, actually what I was telli ng you that there are some d ebottlenecking facilities and some new facilities which will be bringing up which will help us to increase our production by around about 2.5 t o 3 million t ons in th e next three to four years and a fter that the benef its of

the e xpansion will also s tart coming in.
Moderator : Thank you. The next question is from the line of Siddharth Mehrotra from Kotak Institutional Equities. Please go ahead.
Siddharth Mehrotra : Also, a small clarification sir our tax rate in this year has been ar ound 15% odd and this is the cash tax rate, s o do we have any leftover credits and what w ill be the taxes in the future year any guidance on that?
Anil Tulsiani: At 25%.
Siddharth Mehrotra : So, we ha ve exhausted a ll our previous year tax credit?
Anil Tulsiani: Yes we have exhausted.
Siddharth Mehrotra : And secondly just a small clarification so we are spending around 4,000 crores annually when it comes to our CAPEX , but when it comes to capacity additions there has no t been any really

meaningful capaci ty additions, s o am I to assume that this 4,000-crore odd number is mainly for the maintenance CAPEX level, is that understanding correct ?
Anil Tulsiani: You are correct to a very large extent. See we ha ve got th ese old coke oven batteries so it is every 15 to 20 years we have to keep changing these batteries means again replace the battery mainly on the same foundation, but we have to replace it. So, it is basically this and then some improvement for bringing up the improvement i n productivity and all those things we have these BF stoves and we also have some facilities within the SMS and all which you know actually will help us improve the operations but will not add to the capacities. So, they are basically debottlenecking a nd like improvement efficiency improvement facilities which we are h aving installed in thes e in our plants at the moment.
Siddharth Mehrotra : Sir, if that is the case when do we start to actually start incurring the growth CAPEX because you highlighted repeate dly that we plan to expand our capacities. My qu estion is on the timeline sir, w hat sort of timelines do we expect for the growth CAPEX part to come in?
Anil Tulsiani: Growth CAPEX as I was telling you that we are in the stage of preparing the DPR for ou

r
IISCO Burnpur and also for Bokaro it has also started. So, these DPR once they are finalized it will take some time for the DPR and the tender specifications to b e finalized which will be round about 6 months you can say from now onwards 5 to 6 months by A ugust or September we will be getting our stage 1 clearances for our these projects this expansion project t hen we go out for a tendering activity and maybe another 4 to 5 months down the line we wi ll be able to finalize the tenders and com e back for order placements. So, we can expect by the end of this financial year we'll be ready for order placement.
Siddharth Mehrotra : And one s ir last small question, what so rt of steel price change are we seeing quarter -on-quarter for us Q 3 versus Q4 in the realizati on sir?
Anil Tulsiani: Q3 versus Q4 in case of l ong Products there was an increase of round about Rs. 2000 and in case of flat pro ducts there was an increase of round about 2,700.
Siddharth Mehrotra : And sir the gui dance for the upcoming quarter?
Anil Tuls iani: Upcoming has not been too good like there has been April was quite steady, May slightly down as comp ared to April. So, it is round about Rs. 2,000 to Rs. 2,500.
Siddharth Mehrotra : Basically, it means we are roughly back at Q 3 levels a ll the gains o f the past qu arter have sort of disappeared?
Anil Tulsiani: It will be at that level or m aybe slightly marginally more than that.

Moderator: Thank you. The next question is from the line of Aditya Welekar from Axis Securities. Please go ahead.
Aditya Welekar : Sir you just touch based on the next lag of expansion, so for FY 25 what will be our CAPEX guidance, s o I just wanted to understand from when which year there will be a material increase in CAPEX going forward?
Anil Tulsiani: Material increase in CAPEX will probably be fr om you can say from FY25 second half because we will be trying to place the orders by the end of FY24 and then initially like basically the up front payments which are round about you can say 3 % to 5% of the total project cost for design and engineering and all, but the real thing will start probably from the second half of FY25.
Aditya Welekar : So, what will be that full year FY25 CAPEX plan ?
Anil Tulsiani: Because since our DPR is not yet ready so we are not yet sure what will be the total outlay. We have projected a total outlay of nearly Rs. 1,00,000 crore for our entire expansions and these debottlenecking faciliti es over the next you can say 9 to 10 years and it will be peaking basically in the year 27 -28 and 28 -29 w hen all the mod ernizations will be th ere means going

on together. So, initially in „24-25 you do no t expect much in that because it wil l be only one particular plant for w hich the expansion will be commencing 25 -26 the next pl ant expansion will commence. So, basically the real expen diture will start coming from 27 -28 and 28 -29.

Aditya Welekar : So, second question one of these other expens es you can see in this quarter t here was a jump of 9% sequentially and 6% on a year -on-year basis any one off in that or it i s largely because of the increased production?

Anil Tulsiani: You a re talking about the financial year?

Aditya Welekar : No, I am talking for Q4 other expenses.

Anil Tulsiani: Can you j ust give me some time for that I will just revert back to you or I will send it to you separately.

Moderator: Thank you. The next question is from the line of Mohit Bhansali from Bonan za Portfolio Limited . Please go ahead.

Mohit Bhansali : What is the inventory level closing year?

Anil Tulsiani: The inventory level is 1.05 million tons .

Mohit Bhansali : And since you are saying that co king coa l is very important and major factor so you are again going for the big, large expansion. So, are you going to in the DPR are you going to make sure that you ha ve the raw materials security or that is what you are at present doing that sourcing coal from other sources the same will go on?

Anil Tulsiani: See, b asically at the moment we are sourcing you c an say round about 84% to 85% of our coal from our resources at Mozambique , Aust ralia and USA we are importing from there. We are importing from our own, we have our own ICVL which is supplying us round about 1 million ton of coal a nd the sense that indigenous coal is around 15% which is mainly supp lied from the BCCL and some of our own operations, but shortly we will be now operating our Tasra mine. So, this Tas ra mine will be able to give us around 1.6 to 1.7 million tons of coal annually number one and the IC VL has got lot of reserves and it has g ot a lot of potential. So, some more a dditional capacities beyond this 1 million ton also we will be sourcing fr om our own resources in Mozambique . So, balance also we will be re quiring some more additional coal from Australia, US, and Canada so we will be going in for long term agreements for that a nd we are also trying to get our coal from Russia also now. W e have started that also.

Mohit Bhansali : Basically, the question was like you always have this volatility and how you are going to escape from this volatility because already you a re going to spend lot of money on the expansion and after that expansion if same problems occur then you will be like in trouble again?

Anil Tulsiani: This time w e have actually worked out a strategy where the expansion is phased out like initially we are planning our expansion in IISCO Burnpur a nd the next expansion which you are planning is in Bokaro which will come you can say around about a year later a year down the line and then Durgapur which wil l again be a year furt her down the line. So, that all the funds requirement is not bunched u p at one place. So, this is the str ategy which we have worked out and we hope we wi ll be successful in this system.

Mohit Bhansali : And you said that your Tasra mine you a re going to st art so when it is expected to start sir?

Anil Tulsiani: Tasra mine we have already finalized the tender so let us see a s soon as possible.

Mohit Bhansali : So, all the pe rmissions are in place to mine?

Anil Tulsiani: Yes, all clearances are there.

Mohit B hansali : And second thing is that I was g oing through some news that in p arliament St eel Ministry has put up that that expansions which sales are doing around of 2 ,500 crores are delayed a nd because of contractor issue, s o are these issues are resolved or still going on?

Anil Tulsiani: See we are resolving issues one by one like we had some issues in Rourkela which we resolved last year and maybe in this particular year also we will try to reso lve as many issues as possible but there ■s just one thing that I do not know in the Parliament whatever it is there. Our objecti ve now is to close all the old c ontracts so that you know like they have been th e confidence of the people who are part of the project. So, our objective is basically that. S o, we have closed quite a lot of projec ts in the last 1.5 years and our aim is to close the projects as soon as possible. So, whatever is there we are even sometimes go in for out of court settlement also with the parties also.

Moderator: Thank you. The next question is fr om t he line of Kirtan Mehta from BOB Capital Markets. Please go ahead.

Kirtan Mehta: I had a specific question on the Rourkela and Bokaro profitability when I compare the Q4

profitability with the average quarterly profit ability that we have seen over FY 22 Rourkela and
Bokaro ste el operates at 20 % to 30% level, s o are there any sp ecific factors which is holding
back profit s in these

two mills ?
Anil Tulsiani: Actually , there is a thing t hat what has happened in „21-22 we fetched a very g ood price for
our flat product. Basically if you see the difference between flat and long Products in „21-22
was in the r ange of Rs. 11,000 to Rs. 12,000. Now this has come down and especially if you
see in the last you can say three quarters Q2, Q3, Q4 th ere is hardly a difference between the
long and the flat prod ucts in the market. So, the major reason for very good profits last year
was the good N SR which we got for the flat products. I think all the entire steel industry
whoeve r is in the flat product range m ade substantial profits because of that.
Kirtan Mehta: So, largely is our understanding it is attributable to the external pricing fa ctor and there are no
material plant related issues here?
Anil Tulsiani: No plant related issue or anything it is ba sically the external fact or which has played a very big
role la st year.
Kirtan Mehta: Another question was about understanding the specific improvements that has been done this
year particularly we see that the semis volume has gone down f rom 19% in FY22 t o 13% in
FY23, VAP products have also increase d from 49% to 52.7%, so what are the specific
improvements that has come through this year which is helping in this?
Anil Tulsiani: See basicall y what is happening is our mills are performing quite well especia lly the long
product mills we had set up a medium structural mill in Durgapur and u niversal structural mill
in ISP. So, these have started performing really very well means like earlier the thing was that
they were prod ucing something like even the 4 lakh or say 3.5 lakh tons per annum. Now we

are we are seeing that their p roduction from these mills has gone up to even you can say 6 lakh
tons per annum average of 50,000 per month and universal structural mill is also doing very
well. So, this is the major factor because of which we are having less of semis for sale now and
more of our own finished products.
Kirtan Mehta: Would you be able to also share the current ut ilization level at both this mil ls?
Anil Tulsiani: I will just convey to y ou later on.
Kirtan Mehta: And one more question I just want to know I am not sure whether this has been shared earlier
what was the iron ore sale during the year?
Anil Tulsiani: 4 lakh ton. Somebody wanted to know why was there an increase in expenditu re during Q4 as
compared to Q3. So, the major reason is royalty which had gone up around over Rs. 270 crores
then conversion charges of Rs. 23 crores and expenditure on CSR of around about Rs. 91
crores. These are the major three reasons for which the ex penditure in Q 4 was higher than Q3.
Moderator: Thank you. The next question is from the line of Sumangal Nevatia from Kotak Securities.
Please go ahead.
Sumangal Nevatia : Just two things o ne is overall in terms of capacity from say currently 20 odd for next three
years where are we going and what is the overall CAPEX intensity of this expansion?
Anil Tulsiani: See the total CAPEX which we have planned up to 31 -32 is in excess of 1 lakh crore and with
peaking in the years from 27 -28 and 2 8-29. This is the main thing and otherwise the normal
CAPEX which we will be having say our debottlenecking and our normal AMR schemes and
coke oven rebuilding and that will be you can say around Rs. 5,000 crores to Rs. 5,500 crores
every year. This is going to be o ur normal expenditure and besides this next transaction will
come in.
Sumangal Nevatia : So, 5,000 normal expenditure which includes maintenance and then maybe around 1 lakh crore
over next 7 -8 years?
Anil Tulsiani: Yes.
Sumangal Nevatia : And sir what sort of lev erage level are we comfortable b ecause today also I mean FY23 we
have almost 3.5 times net debt to EBITDA, so this part of CAPEX of aroun

d 1,40,000,
1,50,000 crore over next 7, 8 years?
Anil Tulsiani: Actually, the debt to EBITDA is bad basically the EBITDA being low also. A ctually , the
denominator being low also is the cause of worry for us. It was very good la st year, but this

year again it is a cause of concern we also understand that. S ee last year it was a round about
0.59 now it is in the range of 3. Hopefully, if our EBITDA improves I think it will have a
correspon ding effect on the debt part also because we are able to reduc e our debts also to some

extent because of that.
Sumangal Nevatia : But sir beyond what level then we will rea ssess our expansion plan and to what level from say current 3 and half years comfortable increasing the leverage to ….
Anil Tulsiani: We have got our plans there our cash flows are there w e have done some preliminary work. We are trying to restrict our debt equity ratio t o 1 is to 1 means not go beyond that. So, that is the so rt of plans which we have got on hand .
Moderator: Thank you. Due to time constraints this was the last question. I would now like to hand the conference over to the management for closi ng comments.
Anil Tulsiani: Thank you. The global economy which was earlier reeling under the str ess due to inflationary forces , tighter monetary policies, supply chain disruptions has started to breathe easy as inflation is also coming under control. Even in case of steel production and apparent consumption , India is expected to outperform its peers quite handsomely which augers well for the industry in India. W ith a strong government spending on infrastructure the share of investment in GDP has been rising consistently. The residential s ector is also expected to grow backed by affordable housing projects and urban demands. Private investment is improving on the back of production linked incentive schemes. India's capital sector capital goods sector is also expected to benefit from the momentum in infrastructure and investment in renewable energy, automotive and consumer durables are expected to maintain healthy growth driven by sustained growth in the private consumption. W e hope that Steel Authority of Indi a Limited will also be able to deliver performance consistent with the projections for the domestic industry.
Moderator: Thank you. On behalf of Nuvama Wealth Management that concludes this conference. Thank you for joining us and you may now disconnect your line s.

Call: Aug 2023

STEEL AUTHORITY OF INDIA LIMITED
CA-17(44)/2023-24 17^ August, 2023
The General Manager (MO) The Asstt. Vice President
Bombay Stock Exchange National Stock Exchange of India Ltd.
Through BSE Listing Centre Through NEAPS
Sub: Transcipt of conference call held with Analysts & Investors on 11^'^ August
2023.
Ref: Regulation 46 of SEBIfLODR) Regulations. 2015: (Security IDrSAIL).
Dear Sir,
This is in continuation to our letter No.CA-17(44)/2023-24 dated ll"" August, 2023,
intimating the link to the Audio Recording of the Conference Call held on 11^ August, 2023.
Transcript of aforesaid Conference Call is attached herewith.
Thanking you,
Yours faithfully,
For Steel Authority of India Limited
CL,'(M B Balakrishnan)
Executive Director (F&A)&
Company Secretary
End: As above
- 110 003, : 011-2436 7481-86,^^ : 011-2436 7015, ; www.sail.co.in
Ispat Bhawan, LodI Road, New Delhi-110 003, Phone : 011-2436 7481-86, Fax : 011-2436 7015, Website : www.sait.co.in
PAN No. AAAC57062F Corporate Identity No. L27109DL1973 GOI006454
37 ^ 1^353# ^ ^ §3IT t ^ There's a little bit of SAIL in everybody's life

“Steel Authority of India Limited
Q1 FY 202 4 Earnings Conference Call ”
August 11 , 202 3

MANAGEMENT : MR. ANIL TULSIANI – DIRECTOR FINANCE – STEEL
AUTHORITY OF INDIA LIMITED

MODERATOR : MR. ASHISH KEJRIWAL – NUVAMA WEALTH
MANAGEMENT

Moderator : Ladies and gentlemen, good day, and welcome to the Steel Authority of India Q1 FY '24 Conference Call hosted by Nuvama Wealth Management. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phon e. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ashish Kejriwal from Nuvama Wealth Management.
Thank you, and over to you.
Ashish Kejriwal: Thanks, Zico. Good afternoon, everyone. On behalf of Nuvama Institutional Equities, we welcome you all for the Q1 FY '24 post results con call of Steel Authority of India. We are delighted to have Mr. Anil Tulsiani, Director Finance, along with his team. Now I would request Mr. Tulsiani for his opening remarks a nd then we can open the floor for Q&A. Over to you, sir.
Anil Tulsiani: Thank you, Ashish. Good afternoon, everyone. It is my pleasure to welcome you all to the investor con call on the financial results for Q1 financial year '24 of SAIL. Let me begin with the economic scenario. I would like to first apprise you on the economic scenario in which we have been operating currently. The global econom y continues to be impacted adversely due to

inflationary pressures and the monetary tightening policy by the cen tral banks across the globe.
The hopes that emerge d from the opening of Chinese economy ha ve also not been fulfilled.
On the steel front, as for the data published by the World Steel Association, the global steel output during H1 of calendar year '23 has re gistered a decline of 1.1% over CPLY. However, as per the April '23 short -term outlook, demand is projected to grow at 2.3% and 1.7% in calendar year '23 and calendar year '24, respectively. By this, it can be inferred that the demand will improve in H2 of calendar year '23.
The Indian economy, however, fa red better, registered a GDP growth of 7.2% in financial year '23. The domestic steel industry also outshined its peers again, with production growing by 5% and consumption increasing by 13% during finan cial year '23 over financial year '22. The current financial year so far has been and -- has seen an increase of around 11% in both production and consumption.
The financial year 22-23 gone by , was ruled by higher prices of input, especially imported coking coal. During the current financial year, the prices of coking coal seem to have stabilized considerably with hard coking coal of Australian origin in the range of USD 230 to 250 per tonne. However, during this period, the steel prices have registered a significant fall of nearly 15% over CPLY.
The company performance for the quarter. SAIL has registered its best -ever first quarter physical performance during Q1 financial year 23-24. The production of hot metal stood at 5.04 million tonnes as against 4.69 million tonnes in CPLY, a growth of 7%. Crude steel production stood at 4.67 million tonnes as against 4.33 million tonnes in CPLY, a growth of

8%. The saleable steel production stood at 4.40 million tonnes as against 4.08 million tonnes in CPLY, agai n, a growth of 8%.
Now coming to marketing. The sales volume stood at 3.88 million tonnes as against 3.15 million tonnes in CPLY, which is a growth of 23%. The domestic sales stood at 3.74 million tonnes as against 2.99 million tonnes in CPLY, which is a growth of 25%. The exports, however, have declined from 0.14 million tonnes to 1.1 -- to 0.14 million tonne from 0.17 million tonnes in CPLY.
On the financial front, the company registered a marginal growth of 1% towards CPLY in the sales turnover, which stands at

INR24,093 crores during Q1 financial year '24, which is again
the best -ever showing for the first quarter. The profitability, however, could not sustain the levels achieved in CPLY due to the declining NSR and increase in the coking coal prices o n a consumption basis. EBITDA for the quarter stood at INR2,090 crores while PBT and PAT stood at INR202 crores and INR152 crores, respectively.
In the area of operational efficiency, the company has been making steady progress for reducing coal /coke consumption, increasing the use of CDI , bringing down the specific energy consumption and improving BF productivity. Continuing with the drive towards improving the product mix, the proportion of semis in the saleable steel production stood at 16%. B y engagin g conversion services in and around the plants and the demand sectors, the percentage share of semis in sales has been even lower at 8%.
As a responsible corporate, we have been taking several measures for environment conservation over the years by focusi ng on reduction in carbon footprint. Specific CO_2 emission has reduced to 2.48 tonnes per tonne of crude sheet during Q1 financial yea r '24. At the same time, solid waste utilization has gone up in excess of 100%. Other drivers like zero liquid discharge, ec o-restoration of areas, regions around the plant and mines, plantation of trees and saplings, use of alternate sources of energy like hydro power and solar power, etcetera, will continue as we move towards sustainable and green steel.
The company has been engaged in numerous CSR activities across the country and primarily in the vicinity of our plants and units. The activities are undertaken in conformity with the Compan ies Act as well as the DPE guidelines. The company expects to gain from lower cost of imported coal procured during the period April to June '23. Now with the prices of co al stabilizing and outlook positive for the sustained growth in domestic consumption, we are hopeful the realizations and consequently the margins will improve for the company. Further, we are also expect ing benefit of price revision of rails by the Indian Railway. This will add straight to the bottom line of the company.
With these words, I hand it back to Mr. Kejriwal for opening the Q&A session. I'm sure you all have a lot of queries on the performance. Thank you.
Moderator: Our first question is from the line of Amit Dixit from ICICI Securities.

Amit Dixit: I have a couple of questions. The first one is on the coking coal of -- essentially. So if you could quantify the coking coal cost in this quarter. And what kind of decline you are building in for Q2?
Anil Tulsiani: Yes. The coking coal -- imported coking coal as per our Q1 is in the range of INR28,000 and the indigenous coal at around about INR12,000. The average comes to around the INR25,800. And we expect in the imported coal, a reduction of roundabout INR4,500 to INR5,000 in the coming quarter.
Amit Dixit: INR4,500 crores to INR5,000. So what would be the blended cost in for INR25,800?
Anil Tulsiani: Basically, we are having around 85 % of imported and 15% of indigenous component in it. So we can just say that it can be around about -- the domestic will be in the range of INR12,500 and the imported at INR25,000 -- INR23,000, INR24,000. So it will be in the range of -- it should be aroun d about 22,000.
Amit Dixit: Got it, sir. The second point is that we have seen that debt level have gone up if I look at the borrowing, it is INR29,414 crores. While I understand that this might be a quarterly phenomenon because of building up of working capital and all, so is this the peak level debt that we can assume for sales at least in the near term because coking coal prices have also come out and that should get reflected in our profitability?
Anil Tulsiani: Yes. Actually, this --

there has been an increase of around INR3,000 crores in this particular quarter. Basically, what happened is that, that has gone up, but our payables have come down to that extent. So that's the reason for the payables coming down. Again what we have also mentioned, that i s because of the coal prices.
So now what we see is that we have also observed one more thing. In the month of July, the -- even in the month of June and in the month of July, there has not been much of an increase in the borrowing. And August also, we ar e seeing that for the same term. So we are hopeful that the borrowings will come down. It may not be in the second quarter to that extent, but maybe from the third quarter it will start coming down. And we are hopeful that by the end of this financial year , the borrowings will be around about INR4,000 to INR5,000 less.
Amit Dixit: So from the current level...
Anil Tulsiani: May, not from the current level. We feel that it should be from the beginning of the year, from the beginning of the year.
Amit Dixit: Okay. So you said from the beginning of the year, 3,000 to 4,000.
Anil Tulsiani: It should be in the range of the year, 22,000 approximately.
Amit Dixit: 22,000.
Anil Tulsiani: Yes.
Moderator: Our next question is from the line of Somaiah V. from Avendus S park.

Somaiah V : So first question pertains to the domestic demand. So how are you seeing things from the domestic front? And how w as the channeling of the situation ? And also in terms of NSR moments, so are we close to the bottom for the season and do you think it's in the -- can start improving , your thoughts?
Anil Tulsiani: There is a very good demand for steel as far as local demand is concerned. We have a very good demand of steel. It can be also seen by the figures for the Q1 also. There has been a jump of the sales of nearly 23% as compared to the CPLY.
Regarding the NSR, yes, it's a matter of concern. But I think some sort of stability has been seen in the mon th of July and also in the month of August, though the July trend was also lower as compared to June. But there are obviously some resistance in the NSR now. So moving down further. So we are hopeful that maybe from September, August, second fortnight or maybe from September, things will start looking good for us.
Somaiah V: Got it, sir. Second question is on the other expenditure. On a per tonne basis, it has gone up Q -o-Q. So I mean, any color on the royalty expense? What was it last quarter? And how much it is and -- I mean, is there any other impact on opex that are...
Anil Tulsiani: The royalty, in case of our Dalli group of mines, actually, what has happened is from middle of May, the royalty rates have gone up in case of listing, Dalli group of mines. But overall, there is a downward trend as far as royalty is concerned because we had an expenditure of 60 -- again, service expenditure of INR1,675 crores.
In Q1 of 22-23, our expenditure is around about INR1,411 crores for this. But there is some expenditure increase as far as some power and fuel is concerned and a few other expenses. But overall, if you see our expenditure, our other expenditure has come down from INR7,279 crores to INR6,814 crores. There i s a reduction of around INR400 crores.
Somaiah V: Got it. So one last question, if I may. Your production target for this year and also your capex plan.

Anil Tulsiani: The production target for this year is 19 million tonnes, and our capex target is INR6,800 crores.
Moderator: Our next question is from the line of Sumangal Nevatia from Kotak Securities.
Sumangal Nevatia: The first question on this capex is continuing. After the INR6,800 crores, what would you break up into maintenance? And how much are we spending on growth? And also from -- over the next 2, 3 years perspective, you're not starting any new proj

ects. So what is our plan as far as growth is concerned because, eventually, we will kind of max out on capacity and might lose market share. So in t erms of new projects and expansion plans, if you could just elaborate a little bit.
Anil Tulsiani: Yes. Actually, our expansion plans include like having expansion in basically 4 major plants by 31-32. We have covered in -principle approval for our 2 pla nts to IISCO Steel Plant where we are envisaging capacity increase by around 4.5 million tonnes. And in case of Bokaro,

around 3 million tonnes. The DPRs are under preparation now. And we expect to come up for the Stage 1 approval of maybe existing plant by -- you can s ay the third or maybe the fourth quarter, third quarter or the fourth quarter of 2024. Bokaro also may come out -- come up in the similar time line. Durgapur also we are on the verge of finalizing our product mix for the particular plant. So t hese 3 plants will be going ahead with the expansion plan.
Now regarding these -- the expenditure of INR6,800 crores, what we are initiating, this is basically for our existing schemes and some replacement schemes, like coke ovens and all, which we have to replace over the period. Once the lifecycle is over and again, like going for rebuilding of Coke Ovens and some other major schemes, which are like the casters are there in Rourkela steel plant and SMS is there. So we think our expenditure will be mainly -- we will be concentrating on these schemes for expanding our - incurring our capex .
But yes, one thing is there that, besides these expansion in this plant, we are also initiating our ramping up ou r existing capacity to the extent of 3 million to 3.5 million tonnes. This is how we are going to arrive at that and with this capacity of around 35 million tonnes, like '30/'31. So this particular 3 million tonnes, the expenditure for that also starts fro m this. It will be carried off for the next few years.
Sumangal Nevatia: Okay. So this -- I mean, in terms of maintenance, INR4,000 crores, INR5,000 crores per year should continue …
Anil Tulsiani: Yes. It should.
Sumangal Nevatia: And I should say -- and a s far as all this entire 15 million tonne of growth is concerned, so that will be over and above this capex . What could be that ballpark number, sir? I mean what could be a peak capex in a year? So next year, should it be around 8,000 cores, INR10,000 cror es?
Anil Tulsiani: Yes. It should be -- provided the -- see, what happens is it depends on the order placement. And you must be also aware that whenever we place the orders in the initial first years, it is wrong but the expenditure is almost 10% to 15%. A nd in the second and third year, it speaks to around about 20% to 25%, and then it goes -- when it starts coming down after that. So that is the normal thing. So it entirely depends on how fast we can place orders for our expansion there.
Sumangal Nevatia: Understood, sir. That's very clear. Sir, there were news flow with regards to restart of the VISL plant apparently under some social pressure. So what would be the operating losses once we restart this plan?
Anil Tulsiani: Actually, the – I would not call -- like we haven't got any guidance of restarting this plant or anything like that. But yes, there are some losses, which we are incurring. In the quarter, we have incurred a loss of around about INR15-odd crores.
Sumangal Nevatia: Okay. Got it. Got it. And just one last question. So we've been carrying this iron ore inventory since long. And over the last many quarters, we have seen -- we are hardly able to sell anything. There's some INR4,000 odd crores of noncurrent inventory sitting on our books. Sir,

any plan to write off this eventually, given -- I mean it's been quite a few long pe

riod that we've not been able to sell?
Anil Tulsiani: See, basically, this inventory, whatever we have got is not exactly for sale also. Like it is for our internal consum ption also for which we have laid out plans for ourselves, for the major inventory is in Gua mine . So the inventory is there in Gua mine, it will be basically used for our own pellet and beneficiation plant, which we are planning to set up out there throug h an

MDO.
So the majority of the consumption will go there. Of course, we will try to -- whenever we get a good opportunity and we get a good price for this product, we may try to sell it in the market also. But some clearances are awaited from the government, state government. So once we get the clearance, we'll take a call of how much consequently we can sell in the market.
Moderator: Our next question is from the line of Ritesh Shah from Investec.
Ritesh Shah: Sir, I have 3, I'll restrict to 2. Si r, first question is you indicated coking coal decline of INR4,000 on a sequential basis. Sir, can you indicate how much would be the indicative NSR moment for flats, longs and on a blended basis?
Anil Tulsiani: Ahead the future, it's very difficult to pre dict the future. But as compared to the previous quarter, that could be marginal, you can say. So far, there was a decline. There's a decline on this thing. Around about -- you can say around about INR800 to INR1,000 decline in there. And -- but let's hope that, in fact, the -- as I was talking about it earlier, the certain fragment of August and September, if things pick up. So may be -- we may be at par with the Q1 NSR.
Yes, regarding this differential of NSR of flats and longs, during the previous quart er, there was a difference of around about INR3,000. So we hope that with longs being lower and the flats being higher. So we are just hoping that, as we mentioned, that goes off and others start picking up, so we may see some improvement in the NSR on long s ide.
Ritesh Shah: Sure. Sir, my second question is, do we under still authority of India have any stainless steel assets? If yes, what is the capacity utilization level of profitability? And what are the incremental plans?
Anil Tulsiani: Yes, we have got a – in our Salem Steel plant. We have got the stainless steel building capacity. But then what is happening is off around of 180,000 tonnes. And -- but it's not only just for stainless steel. We also have -- we also roll mild steel out there . So that produc t has also been produced out there. And overall, we have incurred a loss of around INR60 crores in Salem Steel Plant for the quarter 1 23-24.
Moderator: Our next question is from the line of Kirtan Mehta from BOB Capital Markets.
Kirtan Mehta: You have m entioned about the improvement in the CDI and the blast furnace productivity. CDI has actually improved from 85 kg per tonne in FY '23 to 104 kg per tonne. So what are the steps that have been taken to improve it? And how far we see this improvement contin uing? So what could be the target rate for FY '24 and '25 or the CDI consumption?

Anil Tulsiani: Yes. The CDI, basically, what has happened is that last year, there were some challenges of getting CDIs. But this time, we have got some good tie -ups for CDIs. We have got our -- some resources from Russia also, focus from Russia. So we are planning to in crease it further.
Actually, our operation budget has certified that it will be in the range of 110 to 112, and we are operating at 104.
So basically, the target is that the larger blast furnaces, whatever we have, we would like to maximize the CDI so that the operating efficiencies of the blast furnaces go up. So we have -- we feel that this target of 112, it can be fulfilled for the financial year '23/'24, which will be quite a big jump. And this will subsequently have an impact on the corporate,

which wi ll come
down to a very large extent because of that.
Kirtan Mehta: One more question was about the capex -- debottlenecking capex for 3 million tonnes to 3.5 million tonnes. So in terms of the project approvals and order placement, when do we expect that to start? And what could be the time line of delivering on this 3 million to 3.5 million tonne increase at the existing projects?
Anil Tulsiani: Yes. The time spent for this is 3 to 3.5 years. And we have quite a few projects, which we have already sanctioned at the Board level. Like we have also sanctioned the increasing the capacity of the blast furnaces at Durgapur and Bokaro, and because that having the clusters at Rourkela Steel Plant. These are all sanctions that -- and also, of course, we are having standard batteries in some of our plants. So all these, we have already cleared. And principle approval has been given by the boar d, and they are under tendering. And most probably, we should see that by the end of this year. We can place orders for them, so that the cash flow -- cash outflow for them start from next year.
Kirtan Mehta: And would this come after 3 to 3.5 years? Or wi ll it come in sort of the phases?
Anil Tulsiani: It is on phases because there will be some -- which will be commissioned probably, and I say they'll be in a span of 1 to 1.5 years and some like standard battery, which will normally take around about 30 to 36 months to have a production. So it will come in phases.
Moderator: Our next question is from the line of Vikash Singh from PhillipCapital.
Vikash Singh: Sir, I just need a little bit clarification. In previous calls, you have always said that you would go by plant -by-plant in terms of new capex and road map, try to do everything in one go. But right now, you just said that on 3Q and 4Q, the IISCO Plant, Bokaro as well as the

debottlenecking capex would start. This is like 13 million tonnes in one go or running concurrently. So just wanted to understand is there any change in our approach to capex or we are understanding it differently?
Anil Tulsiani: It's absolutely what we are saying that we will continue going in phases. See, what happens is, here, at the moment, we have this -- for example, we take IISCO Steel Plant. IISCO Steel Plant is now coming up immediately. So probably, even like we get this phase on approval by, say, the end of the third quarter or in the fourth quarter, and we start tendering for that. So it's a very big project where we will be having 4.5 million tonnes. So the order placing of that will take substantial size. But at the same time, Bokaro where there is -- you can have brownfield

sort of project. So the time for that for place ment of orders will take less maybe. So maybe Bokaro Plant, the expansion will start immediately, and the IISCO Steel Plant will start maybe a bit later.
So overall, if you see, there will be a 6 months to nearly 12 months lag between all these things. Bu t then overall, our sector was to complete all our expansion of all the 4 plants by 31-32.
Vikash Singh: Understood, sir. And sir, is this debottlenecking plan also include the pellet capacities, which we wanted to put to use our iron ore fines or those are separate? And if you can give us some idea about the status of those plants.
Anil Tulsiani: Actually, we have got our pellet plants we have envisaged at basically 3 or 4 locations now. One is at July, where we are already -- we have already placed orde r for a pellet plant of 1 million tonnes per annum capacity on boo basis, where the operator will come and install the plant and then give us the pellets.
Then we have envisaged one more 4 -million -tonne plant, which will be at G ua Mines . So this is also on an MDO basis. And this, we expect that by, you can say, like '24, mid or something, we should be able to place or

der for MDO. And when we come to -- there is another 2 -million -
tonne plant, which we are initiating at Rourkela Steel Plant.
So this also is in the tendering stage. So these are the 3 plants, which are there. And when we are having this expansion plans, when we're having this modernization, so we are also contemplating plants in IISCO Plant also. And maybe also if you find there is a shortage for pellets, maybe either in Durgapur or Bokaro.
Vikash Singh: Understood, sir. And sir, just one -- second question. This pertains to our provisional pricing of INR1,768 crores, which we have taken. This is a benchmark to what we did basically. Just wante d to understand if this pricing is at par with current spot prices or lower or higher? And what's the gap basically?
Anil Tulsiani: Are you talking about the rail prices?
Vikash Singh: Yes, sir. Just fourth number of basic...
Anil Tulsiani: Okay, okay. I w ill explain it you. See, what happens is that the rail pricing, it is normally finalized by the railways with us. The time lag between the financial year for which the prices are to be fixed and the actual price when it is fixed for the railways, there's a tim e lag of around 1.5 years. So what happens in between is that at the beginning of the year, we approach the railways to give us an ad hoc rate.
So when we give, we ask for this ad hoc rate. That is the price which is approved by the railways. And based on that, we do our invoicing to them. So this amount is basically on that. So for the current year, 23-24 -- in the year -- in April '23 or May '23, you can say, the fixed price for 22-23. So that price is still carrying on in 23-24. So that is what I c an mention out there.

Vikash Singh: That's what I understand, sir. I just wanted to know whether this benchmark prices or the ad hoc prices, which was given to you is lower than the current spot prices or higher? So...
Anil Tulsiani: It is much lower. It i s much lower.
Vikash Singh: So there is a provision for getting extra money into...
Anil Tulsiani: And that will straight away improve our bottom line.
Moderator: Our next question is from the line of Pallav Agarwal from Antique Stockbroking.
Pallav Agarwal: I had a question on the employee cost. So this quarter, we've seen a lower employee cost compared to Q4 and even compared to last year. So what is the guidance for the full year that we have?
Anil Tulsiani: Guidance will be that probably -- it will be in this range only around -- you can say, by the year-end, we may have it at round about INR11,500 crores or something like that, INR11,500

crores to INR12,000 crores.
Pallav Agarwal: Okay. So probably...
Anil T ulsiani: See, you must have compared to the last quarter. In the last quarter, normally, what happens is we take some -- we do the actuarial valuation. And at that point, the actuarial valuations have done at that point of time. So sometimes there is a hig her impact of that. That was the reason why in Q4 of '22/'23, the salary and wages were higher to some extent.
Pallav Agarwal: Okay. Sir, also on the sales volume for this quarter. So you mentioned that demand continues to remain strong, but it seems we hav e built up some inventory in the quarter because saleable steel production was higher than the sales volume. So what kind of inventory finished steel in carrying right now?
Anil Tulsiani: Yes, it is around about 1.4 million tonnes. It's around 1.4 million tonnes. See, always what happens is that at the year -end, there is a lot of emphasis on clearing the stock and people are also interested in trying to achieve the MoU target. So the inventory normally comes down by the year -end. There is a stock buildu p. There is a stock buildup of around 3.5 lakh tonnes in this particular quarter. But we are confident that we'll come back to the levels of March '23

by
March '24.
Moderator: Our next question is from the line of Raashi Chopra from Citigroup.
Raashi Chopr a: Just coming back to the realizations. Could you just give us the NSR for the flat and long in the quarter versus the fourth quarter, please?
Anil Tulsiani: For this quarter, the flats were in the range of 57,700. And the longs were in the range of 55,00 0. For Q4, I'll just try to get the figure. I will give it to you offline.
Raashi Chopra: Okay. And you indicated that in the current quarter, which is 2Q, prices hopefully should be lower by about INR1,000 and the coking coal prices should be lower by abo ut INR4,500 to

INR5,000 on your imported coal side. So essentially, we are talking about a reasonable EBITDA per tonne expansion. Is that a fair assumption?
Anil Tulsiani: You can say so.
Raashi Chopra: Okay. Then just on the capex side, out of the INR6,800 crores that you mentioned, how much of that is -- or do you have like a breakdown on how much of it is maintenance, how much of it is going into the debottlenecking?
Anil Tulsiani: The maintenance should be around about INR1,500 crores to INR2,000 crores , which is normally the maintenance which we have. The next -- the remaining should be in debottlenecking. And besides this figure, whatever is there, this also includes the expenditure because this is a target which is fixed by the ministry for us. So thi s is a MOU target where the expenditure incurred by our JV has also form s a part of it. Our proportion of the share in the JV to that extent the capex , whatever is incurred by the JV, is also shown as a part of this. So there is some component of the JVs also, which is also in the INR6,800 crores.
Raashi Chopra: Is that a significant number?
Anil Tulsiani: Not much.
Raashi Chopra: And what was the capex in the first quarter, sir?
Anil Tulsiani: INR920 crores.
Raashi Chopra: And just last question for me, sir, just in terms of the expenses for the moment, there is a sweating of 3 million, 3.5 million tonnes. IISCO, 4.5 million tonnes, 3 million tonnes at Bokaro, right? That's what's in the pipeline.
Anil Tulsiani: Yes.
Moderator: Our next question is from t he line of Aditya Welekar from Axis Securities.
Anil Tulsiani: Let this be the last question, please.
Aditya Welekar: So in terms of these expansion projects that we are planning, so any thoughts on raw material integration means, particularly on coking co al? So the proportion of backward integration, will it remain the same currently what we have or you are planning to explore more in terms of coking coal exploration as we go for higher steel production targets in the coming decade?
Anil Tulsiani: See, we have got Tasra mine, which is in that Jharia coal belt . So the board has cleared the proposal for that for having it run by an MDO. So this is basically a place from where we'll get about 1.6 million to 1.7 million tonnes of coking coal. So this is one are a, which we are planning to get additional indigenous coal.
And of course, we are here also on the lookout of getting much more coal from BCCL and requesting them to set up washeries to have it converted through washeries and supply to us.

So basically, if you see, our target is around about at least 20% of indigenous coal in our entire

coal mix.
Aditya Welekar: Understood. Sir, the next question remains for the -- as we are going for a capex intentions again. So from a capital allocation perspective, any deleveraging target you have in mind in medium to long term?
Anil Tulsiani: Yes. This time, we expect the borrowings to come down by around INR4,000 crores. We are expecting that much. So the thing is that -- but of course, again, it depends entirely on how the coal costs move during this quarter and also

the NSR. But otherwise, we're optimist ic that we should bring it down to INR22,000 to INR22,500 crores.
Moderator: Ladies and gentlemen, that was the last question of our question -answer session due to time constraints. I would now like to hand the conference over to Mr. Ashish Kejriwal for closing comments.
Ashish Kejriwal: Yes. I understand there was a shortage of time, and 3, 4 people are sti ll in the queue, but I'll request them to reach out to us or to Investor Relations for the questions. Sir, any closing remarks which you want to give?
Anil Tulsiani: It's just that the company remains committed to improving operational efficiency. And with the market expected to be more benevolent in the coming quarters, I'm hopeful that the good times await us and our investors. Thank you.
Ashish Kejriwal: Thank you, sir. Thank you very much.
Moderator: Thank you. On behalf of Nuvama Wealth Management, that c oncludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

ASTEEL AUTHORITY OF INDIA LIMITED
CA-17(44)/2023-24 21®^ November, 2023
The General Manager (MO) The Asstt. Vice President
Bombay Stock Exchange National Stock Exchange of India Ltd.
Through BSE Listing Centre Through NEAPS
Sub: Transcipt of conference call held with Analysts & Investors on 16*''
November, 2023.
Ref: Regulation 46 of SEBKLODR) Regulations, 2015: (Security IDiSATLl
Dear Sir,
This is in continuation to our letter No.CA-17(44)/2023-24 dated 17^ November, 2023,
intimating the link to the Audio Recording of the Conference Call held on 16^ November, 2023.
Transcript of aforesaid Conference Call is attached herewith.
Thanking you,
Yours faithfully,
For Steel Authority of India Limited
(M B Balakrishnan)
Executive Director (F&A) &
Company Secretary
End: As above

"Steel Authority of India Limited
Q2 FY 202 4 Earnings Conference Call "
November 16, 202 3

MANAGEMENT : MR. ANIL TULSIANI – DIRECTOR FINANCE – STEEL
AUTHORITY OF INDIA LIMITED

MODERATOR : MR. ASHISH KEJRIWAL – NUVAMA WEALTH
MANAGEMENT

Moderator : Ladies and gentlemen, good day, and welcome to the Q2 FY '24 Earnings Conference Call of Steel Authority of India, hosted by Nuvama Wealth Management.
As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an oper ator by pressing star then zero on your touchtone phone. Please note, this conference is being recorded.
I now hand the conference over to Mr. Ashish Kejriwal from Nuvama Wealth Management.
Thank you, and over to you.
Ashish Kejriwal: Thank you, Yashash ri. Good afternoon, everyone. On behalf of Nuvama Wealth Management, we are delighted to have Mr. Anil Tulsiani, Director of Finance, along with his team, for Q2 FY '24 conference call. Now I would request Mr. Tulsiani to have his opening remarks, and therea fter, we can open the floor for Q&A. Over to you, sir.
Anil Tulsiani: Thank you, Mr. Ashish. Good afternoon, everyone. Let me welcome all our investors and analysts who are joining this results con call for the financial results of SAIL for the period Q2 FY '24 and H1 FY '24. Though the detailed results are already available on the website of the company and the stock exchanges, I would briefly appraise you on the same before we move to the question -and-answer session, where we would be happy to address you r queries.

Let me first appr ise you on the economic scenario in which we have been operating. The global economy, we saw a sharp improvement in 2021 after the initial waves of COVID, was adversely impacted on account of multiple factors like the inflatio nary pressures and consequent tightening of the monetary policies, geopolitical sessions leading to disruptions in supply chain, slowdown in major economies like China and Europe causing major imbalances in the global demand supply, etcetera .
The inflatio nary situation in 2023 has eased to an extent vis -a-vis 2022, but the decline has been gradual, leading to a growth rate rising moderately. There are projections of further decline in the inflation, which is a sign of relief, although the rate is expected to remain gradual as the global economy continues to be impacted adversely due to the factors discussed earlier. International Monetary Fund in its latest World Economic Outlook of October '23 has projected a growth of 3% and 2.9% in 2023 and 2024, respect ively, which is lower than the estimates of 3.5% for 2022.
Now coming to the world steel scenario. In line with economic situation, the global steel scenario has seen its graph falling drastically after the phenomenal rise in 2022. In fact, the world's st eel output during nine months of the calendar year '23 has fallen by 0.1% over CPLY.
The world's steel narrative cannot be complete without the men tion of Chinese steel industry. China after two straight years of decline in the crude steel production is po ised to improve upon its performance in the current calendar year. The growth during nine months was 1.6% over CPLY. However, the worrying factor here is that despite this modest performance by the world's largest steel producer, its share in the global ou tput has risen consistently and reached

the pre -COVID levels of around 57%. This highlights the contraction of the performance by the rest of the world, barring isolated performances by India and a few other countries. However, the projections for steel d emand points to a turnaround during 2023 and 2024, although again, a gradual recovery. World Steel Association in its Short Range Outlook published during October '23 has projected a growth of 1.8% and 1.9% duri ng 2023 and 2024, respectively.
Meanwhile, Indian economy continues to fare be

tter than its counterpart and this has
maintained relative stability in the domestic market. The Indian economy registered GDP growth of 7.2% in financial year '23 and 7.8 % during Q1 of financial year '24, which has helped it maintain its position as one of the fastest growing amongst the major economies. At the same time, the economy has countered the forces of inflation better than the other economies by judicious use of increase in repo rates by the RBI.
Indian steel industry has been one of the few to maintain a positive growth in both production and consumption of steel during financial year '23. The steel production grew by more than 5% and the consumption by more than 13%. During the current financial year as well, the increase in production and consumption has been in the range of 15%. The demand in India is projected to grow by 8.5% and 10.7% during the calendar year '23 and calendar year '24, respectively.
The domestic industry has, however, felt the impact of vo latility in the prices in line with the global trends. The coking coal prices, which had cooled in Q1 of financial year '24 are currently hovering in the range of $300 per ton for hard coking coal and around $200 per ton for PCI. The pricing of steel have also been operating in a narrow ban d due to pressures of imports of cheaper steel.
Coming to the performance of the company , SAIL has registered its best -ever second quarter physical performance during Q2 financial year '24. The performance during the first half has also grown accordingly. Crude steel production during Q 2 stood at 4.8 million ton as against 4.3 million ton in CPLY, a growth of 12%. Crude steel during H1 stood at 9.5 million ton as against 8.6 million ton in CPLY, a growth of 10%.
Saleable steel production during Q2 stood at 4.8 million ton as against 4.1 million tons in CPLY, a growth of 17%. Saleable steel production during H1 stood at 9.2 million tons as against 8.2 million tons in CPLY, a growth of more than 12%.
Sales volume during Q2 stood at 4.8 million tons as against 4.2 MT in CPLY, a growth of more than 13%. Sales volumes during H1 stood at 8.7 million tons as against 7.4 million tons CPLY, a growth of more than 17%. Domestic sales during Q2 stood at 4.7 million tons as against 4.1 million tons in CPLY, a growth of more than 14%. The exports, how ever, declined to 0.07 million tons from 0.11 million tons in CPLY. Domestic sales during H1 grew by around 19% to reach 8.4 million tons.
On the financial front, the company registered a growth of 13% over CPLY in the sales turnover to stand at INR29,560 crores during Q2 financial year '24, which is again the best ever Q2. The sales for H1 also are the highest recorded in any H1 ever. The improvement in

the turnover was aided by the benefit of rail price revision for financial year '22 of about INR1,750 c rores, which was long overdue. There was consequent improvement in the profitability as the company turned back into black during Q2 financial year '24 compared to the loss during CPLY.
The profit before and after tax during the quarter stood at INR1,696 crores and INR1,241 crores, respectively. H1 profit registered an improvement of more than 250% over CPLY despite taking the hit on account of liability under Vivad se Vishwas Scheme II of INR415 crores. PBT and PAT during H1 stood at INR1,898 crores and INR1,390 crores compared to INR523 crores and INR391 crores, respectively in CPLY.
In the area of operational efficiency, the company has been making steady progress for reducing coal, coke consumption, increasing the usage of CDI, bringing down the speci fic energy consumption and improving BF productivity. Continuing with the drive towards improving the product mix. The proportion of semis and saleable steel stood at less than 15%. By engaging conversion services in and around the plant

/demand sector, the percentage share
of semi in sales has even lower at 8%. As a responsible corporate, we have been taking several measures for environme nt conservation over the years.
Drives like Zero Liquid Discharge, eco -restoration of areas /regions around the plant s/mines, plantation of trees and saplings, use of alternate sources of energy like hydropower and solar power, etcetera , will continue as we move towards sustainable and green steel.
The company has been engaged in numerous CSR activities across the coun try and primarily in the vicinity of our plants and units. The activities are undertaken and conformity with the Companies Act as well as the DPE guidelines.
Going forward, the challenges from higher coking coal price during Q3 prevail , but given the current price trend, the cost should come down in Q4 financial year '24. With the outlook positive for a sustained growth in domestic consumption, we are hopeful of realizations and consequently, the margin will improve for the company in the quarters to come . Further, we are also expecting the benefit of revision and the provision al price of rails by the Indian railways for the current supply. This will add straight to the top line as well as the bottom line of the company.
With these words, I hand it ba ck to Mr. Kejriwal for opening the Q&A session. I'm sure you all have a lot of queries on the performance. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session We have our first question from the line of Amit Dixit fro m ICICI Securities. Please go ahead.
Amit Dixit: Yes. Congratulations for a good set of numbers. I have a couple of questions. The first one is on coking coal. So, if you can let us know the coking coal cost that went into P& L in Q2? And how is it likely to evolve in Q3? Also, I'd like to understand that we have seen BCCL raising its production and sales. How does it help us because BCCL is a primary subsidiary for coking coal in India? That is the first question.

Anil Tulsian i: Yes. Thank you. Actually, the coking coal prices, which were around INR27,800. This is -- we are talking about the imported coal. It was in the range of around about INR27,800 in Q1. They came down to the levels of INR23,000 in Q2. But again, the prices have started going up. And we expect that the average cost of this imported coking coal will be in the range of INR27,000 per ton as far as consumption is concerned.
And coming to BCCL, we have got sort of an MOU with them regarding coal. And most of our coal -- indigenous coal is supplied by BCCL to us. And we have a pricing arrangement with them, which is basically linked with the price of imported coal.
Amit Dixit: Sir, is it possible to quantify if you are getting some -- if you're getting higher supp ly from BCCL? And what would be approximate ballpark difference between international price and BCCL?
Anil Tulsiani: Yes. You can say that we are getting around about 15% of our coal, which is indigenous in nature. Out of which some you can say 3% to 4% wi ll be from our own washeries and collieries. And the rest is supplied by BCCL. And the price differential between the two because we have got some upper and low bands where -- of the supply is being made by the BCCL. So, the upper band is around INR12,500, which we are operating now.
Amit Dixit: Okay. Okay. Got it. The second question is essentially on the benefit of this revision provisional rail prices. So, while we have booked around INR1,750 crores this quarter, is there a further benefit that we can ex pect for FY '22 and -- in this -- in Q3 or Q4? And will some

benefit of Q3 -- sorry, FY '23 will also come or FY '23 will come next year?
Anil Tulsiani: Basically, what has happened is that we have taken the entire benefit for FY '22. Now for FY '23 and co n

tinuing on in FY '24, we have been getting a provisional price of INR67,500 per ton. Whereas the fire price finalized for FY '21 -'22 is around about INR85,300. So basically, what will happen is that we will be getting -- we will be approaching the railway s to give us an ad hoc increase until we submit the cost data of '22 -'23 to the CA Cost Office and it is finalized. So, we will be requesting for an ad hoc increase for '22 -'23 as well as '23 -'24 since our costs are much more.
Amit Dixit: Sir, just t o be clear, sir, you said INR57,500 per ton we are getting for FY '23 -'24?
Anil Tulsiani: INR67,500.
Amit Dixit: INR57,500?
Anil Tulsiani: INR67,500. 6 -7.
Amit Dixit: INR67,000. And we are -- and the price increase that we have got for FY '22 is INR87,300?
Anil Tulsiani: INR85,300.
Amit Dixit: INR85,300. But sir, since FY '22 prices have also come down, so do you expect to get INR85,300 only or prices for FY '23 -'24 would be a little bit lower?

Anil Tulsiani: We will not be able to comment on the FY '23 -'24. But regarding the FY '22 -'23, it is basically -- the entire thing is based on our costs, which is being intimated to the CA Cost Office who verifies that. So, we don't see that there will be any reduction from that since -- in the financial year '22-'23, the cost of coal had also gone up substantially as compared to '21 -'22.
Moderator: Thank you. We have a next question from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.
Kirtan Mehta: Strong performance on the sales and production side. One follow -up on the rail pricing. In terms of -- we are currently sort of getting a provisional price of INR67,500. Against that, what would be our current cost-based rail cost at this point of time?
Anil Tulsiani: We would not like to disclose our cost. But then based on our costs and on return on our equity and all the -- whatever is the calculation made, for financial year '21 -'22, they had initially given us INR67,500 as the ad hoc pricing for that and finally gave us INR85,300 -- so based on, again, our costs in '22 -'23 and subsequently in '23 -'24, we'll be again working it out and submitting it to the CA cost Office for their evaluation and finally giving us the price.
Kirtan Mehta: Right. S o right now, FY '23 as well as FY '24 billing is also getting done at INR67,500 only? Or is that a different number?
Anil Tulsiani: That is at INR67,500.
Kirtan Mehta: And FY '23, have we already submitted our cost workings to them? And is it waiting for t heir approval? Or we are yet to submit it?
Anil Tulsiani: We will be submitting it shortly. Actually, we are waiting for the finalization of the '21 -'22 cost. So, once it is finalized, based on whatever assumptions are there, which are acceptable to both t he CA Cost Office and SAIL, we will rework and submit for '22 -'23.
Kirtan Mehta: Understood. Another question was about the semis. During the opening remark, you mentioned that currently proportion is 15%. But using the external conversion services, we are able to reduce it to 8%. Could you give us more colour on what exactly the semis' proportion in the sales currently is? And where are we deploying the external conversion services?
Anil Tulsiani: External conversions, we have got our wet leasing arr angements also, and we also have our conversion agents who convert mainly our long products. It's basically for the long products. So, we have got conversion agents for our TMTs and also for our structur als. So, we have it converted by them and sell it on o ur brand name. So, semis are basically sales, which are used out there for that. And besides this, we also have had some semis which we provide to our customers who use it for other purposes also, not using our brand name.
Kirtan Mehta: Understood. So, is our semis proportion in the sales mix i

s down to 8% after using the conversion agents?
Anil Tulsiani: Yes, yes, yes.

Kirtan Mehta: And how much do we spend externally with -- what would be the average cost of conversion that we pay out externally? So, what would be the margin difference on the conversion -- externally converted items?
Anil Tulsiani: See, it's basically what is happening is that we have our this thing, our cost for the semis,

which we have got. And we have our contracts with our conversion a gents, which are finalized based on a proper tendering process. And then again, whatever we go and sell in the market, it is based on whatever is the prevailing market rate for those particular products. So, the margins are always there in that.
Kirtan Mehta: Understood. Just 1 more question was on the -- our universal section mill and the mid structural section mill that we have been operating, what would be the utilization rates on those mills at this point of time?
Anil Tulsiani: They've improved a lo t. Actually, we have planned for more than 6 lakh tons of -- from the medium structural mill and even a similar quantity from the universal structural mills also.
And the growth of production from these mills has been, you can say, phenomenal in the last two years to three years. The exact figure, I can just give it to you off -line if you want it later on.
Kirtan Mehta: Sure, sir. So, which is the plant where -- as of now but we are not seeing the corresponding improvement coming into the respective plant p rofit level. So, is it primarily because of the higher coking coal cost that we are facing? Because of that this is not visible into the plant profit levels?
Anil Tulsiani: Yes. It is basically on two counts. Though, as I have mentioned to you, in the seco nd quarter, the price of imported coal has come down by around over INR5,000, okay? But then the NSR fall has also been quite a large quantum. the NSR debt, which was there in Q2 as compared to Q1, has been around, you can say, INR3,000.
Kirtan Mehta: Okay . Right. And 1 more question, if I may. Would you be able to give us a colour on the current sort of the flat and long product realization? And how does they compare with the QT averages that we have realized?
Anil Tulsiani: Yes. Actually, the differential is in the range of INR3,000 to INR4,000. The flat being higher than the long.
Kirtan Mehta: This is the current differential. And how was it during the Q2?
Anil Tulsiani: Then I'm talking about -- actually in the Q2, it was -- the flat was in the range of INR55,000 as compared to INR51,000 of long. And if you take for Q1, again INR57,500, it was almost INR54,500.
Kirtan Mehta: Right, sir. And would you be able to indicate the current pricing levels as well?
Anil Tulsiani: Current pricing actually in the average of the month of October was INR56,000 -- around INR56,000. In which, the long was INR54,000 and again, the flat was INR57,000.

Moderator: Thank you. We have a next question from the line of Rajesh Majumdar from B&K Securities. Please go ahead.
Rajesh Majumdar: Sir, I had actually a question on your overall debt and capex . It seems that the cash flow from operations has improved substantially this first half but there has been no debt reduction. And the capex rate is still very high. So, what is going on in terms of our debt plans? And we are still doing a significantly high rate despite all our major expansion program coming to an end. So, what is going to be our long -term plan in terms of steel production, capex and debt, if you could give us s ome light on that?
Anil Tulsiani: The capex during the first half was in the range of INR2,000 -odd crores, INR2,100 crores, you can say. And for the year '23 -'24, we are likely to end up with a

capex of INR5,500 crores,
which is more or less in line with t he capex which was there in '22 -'23.
Now coming to a debt reduction, a ctually, if you would see our figures, as on 31st March '23, the debt was in the range of INR25,500 crores. It went up to almost INR29,500 crores as on 30th June. And then again, we have brought it down to the 31st March levels of INR25,500 crores. And we expect that by the year -end, we'll be probably having a debt around about INR22,000 crores.
So, this INR22,000 crores -- a reductio n of, you can say, INR3,500 crores with a capex of INR5,500 crores during this period. This is what we are looking at.
Rajesh Majumdar: And this is despite coking coal price increase this quarter which you had already mentioned, right?
Anil Tulsiani: Yes. Yes. This is including that.
Rajesh Majumdar: And sir, how much of the capex is maintenance capex and how much of it is gross capex ? And what is the guideline for that?
Anil Tulsiani: At the moment, the growth capex is quite minimal. It is mainly the maint enance capex . The growth capex , we expect it to start only after, you can say, from maybe '25, 2025 onwards.
Rajesh Majumdar: Will we increase our capex significantly in FY '25 including the growth capex in that year?
Anil Tulsiani: No, no, not much becaus e see -- I'm not talking about '24 -'25. I'm talking about '25 -'26, where there will be some payments -- payment outflows for the design engineering part, you can say, of the first moderation, which is going to come up. That is for ISP, we will be having th e

expenditures on these design engineering part of it and some supplies and some civil jobs and all. That will take place in '25 -'26. And subsequently, it will peak from '27 -'28 onwards.
Rajesh Majumdar: And our normal maintenance capital is about INR4,000 crores, INR5,000 crores still, right?
Anil Tulsiani: Yes. Between that range. It is that much only.
Rajesh Majumdar: So '26 onwards, our growth capex will pick up, is what you're saying?

Anil Tulsiani: Yes.
Rajesh Majumdar: So, what is our estimate o f cash flows -- annual cash flows in that year that we are looking at in terms of full capacity? And what is the kind of annual cash flows we're looking at to fund that kind of growth capex ?
Anil Tulsiani: Yes, it will be in the range -- because we are envisagin g investment in moderation and expansion of more than INR1 lakh crores . So, when it peaks, in those particular years, it may be in the range of INR25,000 crores in each year.
Rajesh Majumdar: This is -- cash flows?
Anil Tulsiani: Yes, that is the cash flows.
Moderator: Thank you. We have our ne xt question from the line of Ra shi Chopra from Citigroup. Please go ahead.
Rashi Chopra: Sorry, if I repeat question. I missed some of the data points on the NSR. So, could you just please highlight again what we average NSR for this quarter? What was it for flat and long?
Anil Tulsiani: Yes. For this quarter, the average NSR was INR53,400. And if you take -- if you bifurcate it between flat and long; for flat, it was INR55,190 or INR55,200, you can say; and for long, INR51,300.
Rashi Chopra: And you indicated that the October prices are INR57,000 for flat and INR54,000 for long, is that correct?
Anil Tulsiani: Yes.
Rashi Chopra: Okay. And what are your expectations -- I mean, for November, December, like given that there is still some premium to import parity?
Anil Tulsiani: Actually, there is a lot of pressure of imports, which are now coming up. So, November, we are trying to at least retain the prices, whatever was t here in the month of October. December, we cannot predict the future. So, though we would like to -- we would like to say that December onwards, the infrastructure activities and all the building activities start picking up. So maybe we may get some sor

t o f improvement in pricing during these two months -- during the month of December.
Moderator: Thank you. We have our next question from the line of Aditya Welekar from Axis Securities. Please go ahead.
Aditya Welekar: Sir, if you can just reiterate our capex expansion plans and plant -wise, how we are -- currently where we are in the stage of approvals and what will be the sequence of capex and start of expansion? When it will start? From which fiscal year? And our internal threshold when we go for an exp ansion, what will be our internal ratio with respect to our debt management?

So -- because we have seen in the past that in the expansion phase, the debt was slightly -- I mean, the debt control is one of the concern -- area of concern. So, from that persp ective, when we go for the next phase of expansion, how we will look at our capital allocation and our debt control?
Anil Tulsiani: Yes. initially now, first of all, but going in for s weating of our assets, where actually we'll be trying to improve our exist ing utilization of our existing assets by some minor investments.
And then after that, we are going in for the greenfield expansion of IISCO Steel Plant.
For that, we will be most probably will be coming to the Board for its in -principal approval maybe b y the end of this quarter or maybe at the beginning of the next quarter. So, we start with the expansion of IISCO Steel Plant, for which we'll get approvals and then we'll go in for tendering.
And subsequently, we are also going in for some brownfield exp ansions that will take place, maybe in Durgapur Steel Plant, and also to some extent in Bokaro Steel. So, these will also take place subsequently. So, the expansion plans are such that we'll be phasing it out over the next three years to four years.
So tha t we don't have that liquidity crisis which we had faced in the earlier expansion, where we had taken up three major expansions at IISCO, Bhilai and Rourkela at the same time. So that is the thing. And the other guidelines, which we have finalized in our v ision document the 2030 that we will try to maintain a debt -to-equity ratio of 1:1. So all our calculations will

basically depend on the debt equity ratio of 1:1.
Moderator: Thank you. We have our next question from the line of Vikash Singh from PhillipCap ital. Please go ahead.
Vikash Singh: Sir, just wanted to understand our net saleable capacity. We will peak out at 19 million tons or there is some scope of squeezing out some more volumes?
Anil Tulsiani: Yes. That's what I was telling me about that we'll be sweating our assets. And we'll be seeing wherever there is an opportunity to improve our production and -- means utilization on our equipment by some debottlenecking schemes and all that. We'll be taking that up within the next couple of years. So that we can...
Vikash Singh: Sir, can you quantify something?
Anil Tulsiani: Pardon?
Vikash Singh: Can you quantify what could be the debottlenecking additional volume?
Anil Tulsiani: Casters at Rourkela -- even at Bhilai having the casters out there. So, these will help because we have got certain extra facilities available like a blast furnace hot metal capacity is more. So, we can actually use the blast furnaces more and get more steel produced through these steel -- steelmaking units. We can do that. And we may -- we are also planning to go in for finished products like we as -- we are trying to set up a TMT bar mill at Durgapur steel plant also. And

certain other finishing facilities also will be improving on their efficiencies to improve the finished product.
Vikash Singh: So as of now, these are only plans, so no concrete action has been taken and that's why you can't give us quantity which could increase, righ

t?
Anil Tulsiani: The casters and all, they are already under implementation.
Vikash Singh: Okay. How much extra can...
Anil Tulsiani: The only thing is that TMT mill what we are planning to set at Durgapur Steel Plant, that will be going in for -- means -- we'll be able to finalize that in the next few months.
Vikash Singh: Sir, in casters, just a follow -up on casters. Any quantity which you can get, this much of extra can come out in terms of finished steel?
Anil Tulsiani: In both the plants, it will be around about 1 million tons. So, you can say , 2 million tons.
Vikash Singh: Understood, sir. Sir, seco ndly, if I look at the Slide #20, our semi sales seems to be increased on sequential basis quite sharply. So, I couldn't understand the specific reason for the same?
Anil Tulsiani: Vikash Ji, there seems to be some error in that slide. We have already aske d that to be corrected. The current proportion, I'll just let you know. This would be around 14.6%.
Vikash Singh: Semis?
Anil Tulsiani: Semis.
Vikash Singh: So incrementally, everything comes down to the flat?
Anil Tulsiani: Yes.
Vikash Singh: Understood. And just 1 more thing. Can you just give us an update on the -- our mining assets, basically Gua, which we wanted to do a 10 million tons, and even Rowghat? Can you just give us some update on the same?
Anil Tulsiani: Yes. As far as Gua is conc erned, we had gone in for a tender for appointment of MDO out there. But we have not been able to get a response out there. But in case of Rowghat also, the -- interim mining has begun already out there. And we are able to evacuate around about 30,000 to 35,000 tons per month from there. But the main project, which is there, it will start -- we have already appointed an MDO for that particular project also. And some tree -felling activity have started out there. And we hope that in the next three years to four years, we'll be able to get sufficient material from Rowghat also.
Vikash Singh: Understood, sir. And just 1 last question. Any update on the Jharkhand inventory sell?
Anil Tulsiani: Not yet. We have not been able to get the clearances for that. But we are hopeful that during this financial year '23 -'24, we will get the clearances for evacuation from that to some extent.

Moderator: Thank you. We'll take our next question from the line of Somaiah V from Avendus Spark. Please go ahead. I'm sorry, his line got disconnected. I now hand over the call to Mr. Ashish Kejriwal from Nuvama. Please go ahead.
Ashish Kejriwal: Sir, one question from me before we can pick up two more questions, which are in the queue. Is it possible if you can give a volume guidance fo r this year? And in terms of capex plans also, like, for example, IISCO, how much capacity we are putting in and what kind of our capex will be involved at least in the first plant? And besides that, the s weatin g of assets involves -- what kind of capex and inc remental volume from there and the timeline , that will

be helpful, sir?

Anil Tulsiani: First, if we talk about the capex of ISP, the DPR is under preparation and under finalization. So, we are analyzing the DPR mainly to cut down the cost. So, it will be too early for us to comment on this.

Regarding the sweating of assets, we have got an expenditure of around about, you can say, INR15,000 crores to INR20,000 crores, which will take place in the next four years to five years on these additiona l debottlenecking schemes and like the casters which are coming up and other. Even we are planning Coke Oven -- Stamp Charged Coke Oven batteries also. So, there will be certain expenditure involved for these.

Ashish Kejriwal: So, sir, when we are talking about INR15,000 crores to INR20,000 crores , how much additional steel volume can be generated from there?

Anil Tulsiani: As I told you, it w

ill be around about 3.5 million to 4 million tons. 3.5 million tons, you can say.

Ashish Kejriwal: Okay. And this wi ll be in phases or it will come at one go in...

Anil Tulsiani: It'll be in phases. It will gradually come over the next three years, you can say.

Ashish Kejriwal: And starting from FY '25 or '26?

Anil Tulsiani: From FY '25, you can say. '24 -'25, there will be some facilities and then '25 -'26, also...

Ashish Kejriwal: Okay. Okay. And sir, this year's volume guidance, if you want to give?

Anil Tulsiani: Volume guidance, I think, 19 million tons.

Ashish Kejriwal: You're talking about sales volume?

Anil Tulsian i: Production. Production. Sales also should be in the same...

Moderator: Thank you. We'll take our next question from the line of Somaiah V from Avendus Spark. Please go ahead.

Somaiah V : So, first question is on the domestic demand between first half of this financial year and currently what we have seen, has demand kind of come off this first half? That's the first

question. The second part to that is that you did mention import -- a bit of an increase in imports? This import parity pricing differential has been there for quite some time. What is changing now which is adding a lot more pressure from the import side?

Anil Tulsiani: Yes. Regarding the demand part of it, there is a very good demand as far as domestic is concerned, like we have not increased our stock levels or anything like that. On the contrary, from the Q1 stock levels, we have been able to bring it down by around about 3 lakh tons -- around 3 lakh tons. And regarding the -- what was your second question about?

Somaiah V : Imports added pres sure. So...

Anil Tulsiani: There is a lot of pressure for that -- there is a lot of pressure building up for that. But then if you -- actually, see, that the quantity of imports will be quite less as compared to the total production in India. So, it will have an impact to -- no doubt that it will have an impact. But we are just hoping that it should not have a major impact on the local producers...

Somaiah V : Got it. Sir, this softening in prices in the last 1 month in the industry, so I mean, is it more to do with imports, while you still see domestic demand quite strong compared to first half? Is it primarily driven by import pricing pressure?

Anil Tulsiani: Yes. See, the flat products will be driven by the import pricing -- because long products is slightly not affected by these -- by the imports, but the flat are being affected to some extent because of the import pricing pressures.

Somaiah V : Got it, sir. Sir, second question on the cost, whereas your coking coal has gone up, thermal cores on t he relatively lower side. So, is there -- within the industry, there is a dynamic that, probably a DRI player or a secondary player are seeing their cost kind of coming lower when compared to the traditional integrated players?

Anil Tulsiani: Yes. Actually , the price differential is there. So that is why there is a price differential when you go for the NSR pricing also. The longs which are produced by the primary producers, they demand a premium as compared to the secondary producers. And basically, 1 more thing is that they are also not operating at capacity. They also are operating at lower than the capacity because maybe the demand is not there for that product.

Somaiah V : Got it, sir. Sir, also with respect to the railway provision. So, what was the ori ginal -- I mean, the number that we have taken for FY '21 -'22 vis -a-vis the number that we have got per ton? And also, what is the quantum for FY '21 -'22?

Anil Tulsiani: It was INR67,500, which was a provisional pricing which we had taken earlier, and we g ot a pricing of around about INR85,300. And we had actually sold around about 0.92 million tons to the railways during '21 -'22.

Somaiah V : Got it, sir. Sir, 1 last question on the opex front. You did mention that coking coal during the

quarter had come dow n INR4,000 to INR5,000 per ton -- so -- but when I see on opex per ton,
the number is only marginally lower. Is there any other increase in opex that kind of offset this
full benefit? I mean...

Anil Tulsiani: Some marginal increase was there in the stores and spares expenditures and the expenditure on account of salaries and wages also, there were some increase. But otherwise, there is not much of an increase. Basically, if you see, though the volumes had gone up, but the net sales realization being lower.
So, it was -- because of that, that the profitability has not improved to the extent. But as far as salaries are concerned, they have gone up by around about INR280-odd crores. This is basically because we have taken -- in the first quarter some provisions were not considered since the profitability was not there.
But with the improvement of profitability, some incentives and bonuses are to be given. So that has been considered for the entire half year during the period and so also for the pension also, wh ich was considered at a base of 3% and which we are now considered at a higher rate of 8%. So, the impact is for the entire year. And some expenditure on stores and spares and repairs and maintenance has been higher because in this particular quarter, some higher maintenance has been done and also the production has been substantially higher.
Moderator: Thank you. We have a next question from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.
Kirtan Mehta: In terms of the -- you mentioned two casters, one at Rourkela and the another one, I think, at Bhilai. Would you be able to give a timeline or target date for starting this caster? How would the ramp -up of 1 million ton production would be the -- would it ramp up within three months to six months? Or could it take longer there?
Anil Tulsiani: Bhilai will come soon. Probably the benefits of that will start accruing from the year '24 -'25, maybe initially at a capacity utilization of 60%, then it will gradually ramp up to 75% and 90% after. And Rourkela will take two years.
Kirtan Mehta: Right, si r. One more follow -up was on the sales and production level. You mentioned that production would be 19 MT for this year, and sales would be around that. But as we don't have much inventory in our system, would sales target for the year be lesser than that?
Anil Tulsiani: No -- if the production is 19 MT and we have 1 million ton of inventory, so we expect our sales also to be in the levels of around 19 MT. You can s ay we can consider around about 18 million tons to 18.5 million tons.
Kirtan Mehta: Understoo d, sir. And last question on the run rate for the employees cost from here on. Is the Q2 numbers include basically some of the additional provisions for the Q1 as well, what should we take as a run rate going from here on a quarterly basis?
Anil Tulsiani: Yes -- you can consider that for the entire year that the employee -related expenses will be to the tune around about INR12,000 crores.
Moderator: Thank you. We have a next question from the line of Pratim Roy from B& K Securities. Please go ahead.

Pratim Ro y: I have 1 question that you mentioned the 2 million ton debottlenecking is possible and another 3 million ton to 4 million ton is capex with extra capacity will come in three years to four years. So, for FY '25, you made a comment on that, the 19 million ton production and 18.5 million ton sales. So, for FY '25 -'26, if you can give some ballpark number, how much sales guidance we can expect or any idea about that?
Anil Tulsiani: See, as -- see, basically the c aster in Bhila

i will be stabilizing by that point of time. So, we expect at least 1 million ton more from '25 -'26 onwards. And after that, Rourkela when it comes, so you can expect maybe from '26 -'27 onwards, another 1 million ton from there.
Pratim Roy: Means for FY '25, 1 million ton addition and then '25 -'26 onwards 1 million ton addition. And this 3.5 million to 4 million ton extra production...
Anil Tulsiani: See, '24 -'25, we cannot have that because once the cas ters are there, it takes some time to stabilize and ramp up. So, we'll not be getting that much production from there. But once it is stabilized and realized then in the year '25 -'26 we can get 1 million ton extra.
Pratim Roy: Okay. And all over, it will c ome from FY '26, not '25?
Anil Tulsiani: Yes. '26.
Moderator: Thank you. As there are no further questions, I now hand over the call to Mr. Ashish Kejriwal for closing comments. Over to you.
Ashish Kejriwal: Thanks, you. And thank you, everyone for attending the call and special thanks to the

management for their insightful remarks over the company as well as the industry. So, any closing remarks, sir, you want to give?

Anil Tulsiani: Yes, just 1 sentence, that the c ompany remains committed towards improving operational efficiencies and with the market expected to be more benevolent in the coming quarters, I'm hopeful that the good times await us and our investors. Thank you.

Moderator: Thank you. On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

ASTEEL AUTHORITY OF INDIA LIIVIITED
CA-17(44)/2023-24 19^^ February, 2024
The General Manager (MO) The Asstt. Vice President
Bombay Stock Exchange National Stock Exchange of India Ltd.
Through BSE Listing Centre Through NEAPS
Sub: Transcipt of conference call held with Analysts & Investors on 14
February. 2024.th
Ref: Regulation 46 of SEBIfLODR) Regulations. 2015: (Security IDrSAIL).
Dear Sir,
This is in continuation to our letter No.CA-17(44)72023-24 dated 14^ February, 2024,
intimating the link to the Audio Recording of the Conference Call held on 14^ February, 2024.
Transcript of aforesaid Conference Call is attached herewith.
Thanking you,
Yours faithfully.
For Steel Authority of India Limited
(M B Balala:ishnan)
Executive Director (F&A) &
Company Secretary
End: As above
^ 110 003, : 011-2436 7481-86, ^INrT : 011-2436 7015, : www.sall.co.inIspat Bhawan, Lodi Road, New Delhi-110 003, Phone
: 011-2436 7481-86, Fax : 011-2436 7015, Website : www.sail.co.in
PAN No. AAACS7062F Corporate Identity No. I.27109DL 1973 GOI006454
57 elSt ^ f3fr ^ ^ There's a little bit of SAIL irt everybody's life

"Steel Authority of India Limited
Q3 FY '2 4 Earnings Conference Call "
February 14, 202 4

MANAGEMENT : MR. PRAVEEN NIGAM – EXECUTIVE DIRECTOR OF
FINANCE AND ACCOUNTS - STEEL AUTHORITY OF
INDIA LIMITED

MODERATOR : MR. ASHISH KEJRIWAL - NUVAMA WEALTH
MANAGEMENT

Moderator: Ladies and gentlemen, good day, and welcome to the Steel Authority of India Q3 FY '24 Conference Call hosted by Nuvama Wealth Management. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero o n your touch -tone phone .
I now hand the conference over to Mr. Ashish Kejriwal from Nuvama Wealth Management. Thank you, and over to you, sir.
Ashish Kejriwal: Thank you, Aditya. Good afternoon, everyone. On behalf of Nuvama Institutional Equities, we welcome you all for post results con -call of Steel Authority of India. We are delighted to have with us Mr. Praveen Nigam, Executive Director of Finance and Accounts, along with his team. Now I would request Mr. Nigam for his opening remarks. And thereafter, we will open the floor for question and answer. Over to you, sir.
Praveen Nigam: Yes. Thank you, Ashish and good afternoon, everyone. Let me welcome all our investors and analysts who are joining this results con -call for the financial result of SAIL for the period ending quarter 3 of financial year'24 and 9 months of financial year'24. Though the detailed results are already available on the website of the company as well as stock exchange, I would

briefly apprise you on the same before we move to the que stion -and-answer session, where we would be happy to address your queries.
As far as the world econom ic scenario is concerned, which we have seen operating, but the global economy has moved a long way from the aftermath of COVID -19 and the same, however, was impacted adversely during 2022 on account of multiple factors like inflationary pressure, consequent tightening of the monetary policies, geopolitical situations leading to disruption in supply chain, slowdown in the major e conomies like China, Europe, etcetera, causing major imbalance in the global demand supply, et cetera.
The inflationary situation has eased faster than expected in 2023, reflecting favorable supply side developments and tightening by the Central Bank, which has kept our inflation expectation anchored . At the same time, high interest rate aim at fighting inflation and the withdrawal of physical support amid high debt are expected to weigh on growth in 2024. Meanwhile, on account of greater -than-expected resilienc e in the United States and several large emerging markets and developing economies as well as physical support in China, global growth is projected at 3.1% in 2024, and 3.2% in 2025, which -- with that 2024 forecast, which is 0.2% higher than that in the l ast World Economic Outlook.
As far as the world steel scenario is concerned, the global steel industry saw the year 2023 pick up slowly with China recording negative growth in the initial month s. The performance especially caught up later and helped the w orld's crude steel production stands at nearly the same level as 2022.
Despite this modest performance by world largest steel producer , its share in the global output has been consistently and reached the level in excess of 55%. This highlights the contra ction of

performance by rest of the world barring isolated performance by India and a few other countries.
However, the projection for steel demand points towards turnround during 2023 and 2024, although again a gradual recovery. The World Steel Associati on in its Short Range Outlook published during October 2023 has projected a growth of 1.8% and 1.9% during 2023 and 2024, respectively.
Let me talk about the Indian economy also. Meanwhile, the Indian economy continues to fare better than its counterpart, and this has maintained relative stabil

ity in the domestic market. As
per the advanced estimate published by Ministry of Statistics and Programme Implementation, the Indian economy is projected to grow at a rate of 7.3% in financial year '24, after reachi ng a GDP growth of 7.2% in financial year '23. The projection by some of the major agencies like RBI, World Bank and IMF, etcetera, the economy is priced to grow in the range of 6.5% to 7% in financial '25, helping it to maintain its position as one of the fastest growing amongst major economies. At the same time, the economy has countered the forces of inflation, better than the other economies by judicious use of increase in the repo rates by the RBI.
Now let me talk about the Indian steel industry. Indi an steel industry has consistently been growing in terms of production as well as consumption number in the post COVID era during April to January financial year '24, the crude steel production has grown by 13% and the consumption of finished steel has gro wn by 14%. As per WSA, the demand in India is projected to grow at a rate of 7.7% during calendar year '24. With the price of imported coal declining of late, the industry can also have a sigh of relief on the cost front. However, we need to watch out for the subdued price in the steel at the same time. The price of steel have also been operating in narrow band, but there is -- there are of hopes for improvement in the near future.
Now as far the performance of our company is concerned for the quarter in the -- coming to the company that is Steel Authority has registered best -ever physical performance during 9 months out of financial year '24. The performance of the company during 9 months '24 stand as follows. The Saleable steel production stood at 13.718 MT, that is an increase of 9% over CPLY. The saleable steel sales volume stood at 12.4 63 MT registering a growth of 8% over CPLY.
The NSR o f the mild steel, however, during the period was at 54,921, which was 6% lower than the CPLY. Sales turnover was at INR76,801 crores that is an increase of 3% over CPLY.
As for the profitability is concerned, the company has registered an EBITDA of INR 8,451 crores, that is an improvement of 41% over CPLY. Profit before tax and profit after tax stood at INR2,359 crores and INR1,722 crores as against INR1,157 crores and INR854 crores, respectively, during CPLY.
As far as the performance of the company during the quarter 3 is concerned, then the saleable steel stood at 4.551 MT, that is improvement of 4% over CPLY, but a reduction of 4% over the

previous quarter, that is Q2 of financial '24. The saleable steel sales volume stood at INR3.813 crores, that is a reduction of 8% per CPLY and 20% over the previous quarter versus Q2 of

financial '24. The total saleable steel inve ntory stood at 1.795 MT that is an increase of about 0.616 MT over the previous quarter, which was 1.179 MT. And as far as a mild steel, the 5 integrated steel ton during the quarter was INR55,361 per ton. That is an increase of 4% over the previous quarter. However, sales turnover at INR23,148 crores, that is a decrease of 7% over CPLY and 22% over the previous quarter.

Under profitability front, the company's registered EBITDA of INR2,319 crores improve ment of 5.5% over CPLY, but the decline of 43% over the previous quarter. Profit before tax and profit after tax stood at INR461 crores and INR331 crores as against INR635 crores and INR464 crores, respectively, during CPLY.

As far as sustenance and opera tional efficiencies are concerned, in the area of operational efficiency, the company has been making steady progress for reducing coal and coal consumption, increasing use of CDI, bringing down the specific energy consumption and improving the blast furna ce productivity. Continuing with the drive towards improving the product mix, the proportion of semis in the

saleable steel production stood at less than 15%, by engaging conversion services in and around the plant and the demand sector. The percentage of share of semis in sales has been even lower at 7%.

Going forward, the boost from the various measures announced by the government in the recent interim budget for infrastructure spending are boosted well for steel demand in the country. With the overall outlook positive for sustained growth in domestic consumption, we are hopeful of the resilience and consequently, the margin will improve for the company in the quarters to come.

With this word, I h and it back to Mr. Kejriwal for opening the question -and-answer session. I'm sure you all have lots of queries on the performance of the company.

Moderator: Thank you very much. Our first question is from the line of Amit Dixit from ICICI. Please go ahead.

Amit Dixit: I have a couple of questions. The first one is essentially on the coal cost. If you could let us know the coal cost for this quarter and what is the percentage or in absolute terms change Q -o-Q? And what kind of coal cost on consumption basis we can expect for Q4?

Praveen Nigam: As far the coal cost consumption is concerned, in Q3, the consumption was INR26,500 tons. And in Q2, it was INR22,751 tons, that is almost increase of almost INR4,000 per ton from Q2 to Q3.

Amit Dixit: And sir, what do we expect in Q4?

Praveen Nigam: In the Q4?

Amit Dixit: Yes.

Praveen Nigam: Actually, Q4, we do not have, but as far as January is concerned, in the January, the prices are at INR26,633 which we feel will remain in February and March also.

Amit Dixit: Okay . So we see roughly INR300 increase in Q4 as of now, as of things stand now?

Praveen Nigam: Yes. Amit, Let me tell you this INR26,000 was excluding the CDI coal. If we include the CDI coal, then our coking coal cost was INR23,700 for quarter 3.

Amit Dixit: Okay. INR23,700 and this compares with INR22,751 number.

Praveen Nigam: No, no, no. Because what I have told you is the imported coal consumption cost. If we include the CD I also both the costs will come down. And if we include CDI in the Q2, it was INR23, 271 and Q3 it was INR23,693 including CDI.

Amit Dixit: Okay. Okay. Okay. And on sales volume, given that we have done around 12.4 million tons in 9 months. What do you expect to end the year with? And what is the target for next year?

Yes. Actually, we will try to do the best of what we can, but we cannot give you any number as of now.

Amit Dixit: Okay. Sir, any indication on how the demand is panning out in January? Is it better compared to Q3? Because we have built sizable inventory as well. So just wa nted to get your views on that.

Praveen Nigam: Yes. In the month of January, we have done sales of 1.489, you can say roughly 1.5 million tons.

Amit Dixit: Okay. So you saw demand improving in January compared to Q3?

Praveen Nigam: Yes.
Amit Dixit: Okay. O kay. All right, sir, I have other questions, I will come back in the queue.
Moderator: Our next question is from the line of Ritesh from Investec.
Ritesh: A couple of questions. Sir, first, can you detail how are of the flat prices and long prices trending ? And what it means on implied parity business?
Praveen Nigam: Yes. As far as long is concerned, in Q3 long was INR53,938, can say roughly INR54,000 and flat was INR56,600.
Ritesh: Sir, how much will be the spot right now?
Praveen Nigam: Yes. In the January, as far as the long is concerned, it is INR51,900 and flat is around INR53,000.
Ritesh: And sir, on an import parity basis, are we trading at a premium discount? How should we understand that?
Praveen Nigam: Just a minute. Yes, presentl y import prices are at par with the domestic prices.

Ritesh: Sir, I have

just 2 other questions. Sir, we had a lot of ore inventory, which was there, which we were looking to monetize. Sir, any specific update over there?
Actually, there were 2 states where the ore inventory was there. In Odisha, there was no issue because the permission was there and that inventory is getting liquidated. As far as Jharkhand is concerned, initially, there was no permission for the moment. But now we have got the permiss ion for using internally within our plants. So we have started moving the inventory. This is the update as far as the inventory in Jharkhand is concerned. That is old inventory, which we have accounted for.
Ritesh: Sir, would it be possible for you to quan tify the impact of the Odisha sales where in you say that it is getting liquidated. And what sort of impact it was there on Q3 and 9 -month basis, if it's possible?
Praveen Nigam: That we will give you offline because right now, I'm not having that figure s pecifically for Odisha inventory, that is price for what we have sold.
Ritesh: Sure, sir. And sir, just last question specific to RINL what we understand from the print media was, I think, one of the other private listed companies, they were looking for so me working capital infusion in exchange of metallics. Did steel authority consider a proposal of that sort, given both the entities are PSUs? Or is it something that we have not looked at?
Praveen Nigam: No, no, no. We -- yes, there is no such official com munication to us. We are not given any working capital assistance to RINL as of now.
Ritesh: Okay. But sir, will we be open to something of that sort?
Praveen Nigam: We have to see, we have to wait. Let the proposal be there, then only we can answer. As of now, it is difficult for me to comment on this.
Moderator: Our next question is from the line of Rajesh from B&K Securities.
Rajesh Majumdar: So sir, I think that you have given the outline of the NSR fall in Q4, that is very helpful. However, Q4 is norma lly the highest volume quarter for the steel company. So is it worthwhile to assume that on higher volume, the fixed cost other expense will be spread out in such a way that the overall margins will not get impacted or they will get impacted?
Praveen Nigam : As far as the trend of the current year concern, the NSR is -- under stress in Q4 also. So what you are saying that Q4 historically has been the best NSR that we are not seeing in this particular quarter...
Rajesh Majumdar: Not the best NSR, highest volu me, since the highest volume will be spread over the higher fixed costs. So the NSR fall will be captured in the cost in better utilization of the assets? Or will we see a fall in the margins?
Praveen Nigam: There -- what we have said that we will try to m aximize the volume, but how much that we cannot quantify as of now. What we have done in the month of January that we have told you.

But it is difficult for me to quantify the volume in February and March. But yes, we will try to maximize it as much as pos sible.
Rajesh Majumdar: And sir, my second question was that out of the INR30,000 -crores debt you have outlined, what is the short -term debt or what is the inventory -related debt that you have? And will that come down substantially when the inventories com e off a little bit in this quarter?
Praveen Nigam: This entire INR33,000 crores actually is not the short term. It is basically short -term debt, long-term debt, and this accounting of the leases as for the Ind AS, this INR33,000 debt

consists of all these 3. As far as the litigation is concerned, yes, if the inventory will be liquidated, we are trying to bring down the debt in Q4 as much as possible, but difficult how much it will come down. If you want to see that in the month of December, ou r total debt in absolute terms. I'm not talking about the accounting debt. Ab

solute terms, it was INR28,000 crores.

Rajesh Majumdar: And what is it now?

Praveen Nigam: In the month of January, it has increased, now presently it is INR29,000 crores as of th e January is concerned, 31st January figure.

Rajesh Majumdar: Okay. Despite the higher sales, debt is still high?

Praveen Nigam: Yes, debt is still high that we are trying to bring down in February and in the month of March, because we are expecting a high er sales and the coal price probably will remain constant, so the debt would come down.

Rajesh Majumdar: Okay, sir. And sir, what is our target capacities over the next 2 years? What is the capex we will do, keeping in mind the debt that we have and what k ind of debt equity or debt EBITDA ratio will we assume in terms of the capex and the overall increase in capacity we are targeting going forward over the next 2 or 3 years?

Praveen Nigam: For next year, we have taken a target of INR6,000 crores that much I can tell. But thereafter, what would be the capex , it is difficult to predict at this juncture. But next year, we have taken a target of 6,000 capex .

Rajesh Majumdar: And what is the target capacity, sir, over the next 2 or 3 years from where we are right now?

Praveen Nigam: Almost -- we are almost at, you can say, 95% of the capacity, so we'll retain in this range only.

Rajesh Majumdar: And the next expansion will happen after the 2 years or the next big expansion once we are -- because we already had 95% utilization.

Praveen Nigam: The next big expansion is going on. And what we have already said that by 2030, '31, we are expecting that our capacity will increase to around 35 million tons.

Rajesh Majumdar: I wanted actually a more 3 -year kind of picture. I know '30, '31 you've given that figure. But 3 years we'll be at what, 18 or 20, what kind of figure can we assume for that?

Praveen Nigam: Yes. No, no. Here, there will not be any major shift as the capacity is concerned.

Moderator: Our next question is from the line of Kirtan Mehta from of BOB Capital Markets.

Kirtan Mehta: I wanted to check in terms of the near -term demand trends, if you would be able to elaborate beyond the January sales numbers to give any color around how particularly thing is happening on the volume side, which would be helpful.

Praveen Nigam: You see we have already given you January numbers, that was 1.5 million tons. Traditionally, the demand is strong in the month, as far as Q4 is concerned. We are exp ecting that the demand will be there. We are trying to maximize it. But how much that I cannot quantify at this juncture.

Kirtan Mehta: Sure. In terms of the -- another question was about the provisional rail price hike based on the FY '22 numbers for the FY '23. Are we sort of pitching in for the FY '23 hike at this point of time, at least at the provisional rate when is that likely to come through?

Praveen Nigam: We have taken up with the railway. We cannot, for sure, say whether any benefit will come in Q4 or not. It's very difficult to commit at this juncture -- at this moment. Yes, we are taking up with railways for giving us the provisional price, but no commitment as of now.

Kirtan Mehta: Sure. And one last question was between the Q2 and Q3 EBITDA pe r ton bridge. So what we understand is that if we exclude the effect of the prior period rail benefit, there was sort of an improvement into the EBITDA per ton number and this was despite basically the INR4,000 per ton increase that we have seen in the cok ing coal cost, which was partly offset by the increase in the realization. So would you be able to explain the delta between Q2 and Q3?

Praveen Nigam: Yes. In Q2, our EBITDA was INR4,043 crores and in Q3, it is INR2,390 crores. The major reason for differe nce is that in Q2, we have g ot this rail price revision of INR1,700 approximately. And th

en there were certain improvement in NSR also.

Moderator: Our next question is from the line of Pallav Agarwal from Antique.

Pallav Agarwal: So just wanted some clarif ication on our salable steel capacity. So if I remember, it was about 20.2 million tons, and there was some balancing issue with the Bhilai caster. So is that now sorted out?

Praveen Nigam: Yes, the implementation of caster is going on in Bhilai, and we ar e expecting that next year we will come to it .

Pallav Agarwal: So once that is done, we'll have a saleable steel capacity of 20.2 million tons?

Praveen Nigam: Yes, it will remain between 19.5 million tons to 20 million tons.

Pallav Agarwal: Okay. And right now, if I look at the 9 -month saleable steel production, and probably extrapolate that, then the utilization comes to about 90% to 92%. So how much -- what is like any ramp -up over the next couple of years? Can we reach those production lev els of close to 20 million tons?

Praveen Nigam: We will try to sweat our assets further, but yes, some improvement will be there because there are certain capacities in a few of our plants, and that we will try to exploit.
Pallav Agarwal: Sure, sir. Also, just on the employee costs. So I think broadly, we are at a quarterly run rate of INR3,000 crores of employee cost and the number of employees continues to reduce. So going ahead also, we broadly see this increasing in line with inflation? Or this is proba bly stable at these levels.
Praveen Nigam: As far as this year is concerned, we will remain in the range of INR3,000 crores , as we have said per quarter. But yes, later on, as the employee numbers will go down, this cost will come down further.
Pallav Agar wal: Okay. So any percentage if you can guide us?
Praveen Nigam: It depends upon the superannuation , which is nearly about 3,000 employees per year.
Pallav Agarwal: Sure, sir. Okay. Sir, lastly, just on the royalty that we pay on our captive iron ore, I th ink the pricing is linked to the general IBM price index. So with NMDC having taken significant price hikes, so will that impact reflect in higher royalty premiums going ahead?
Praveen Nigam: Naturally, if the NMDC has increased the price, if the ideal pri ce will go up, automatically the royalty impact will be there because the royalty is calculated on IBM price.
Pallav Agarwal: So have you seen any impact on 3Q over 2Q of this?
Praveen Nigam: Yes, some impact will come, but that calculation, we are not h aving at this time, can't say how much impact will come.
Moderator: Our next question is from the line of Aditya Welekar from Axis Securities.
Aditya Welekar: Yes, sir, can you just come again on coking coal consumption cost in Q4 versus Q3 on a blended ba sis? I know you have touch based on that, but if you can repeat that.
Praveen Nigam: On a blended basis, including the CDI in Q2, it was INR23, 271, in Q3, it was INR23,600.
Aditya Welekar: Okay. And same for blended realizations, Q4 to Q3?
Praveen Nigam: This realization -- average utilization, if you talk then it is in Q2 was INR53,400 crores and in Q3, it is INR55,300 crores .
Aditya Welekar: Okay. And if you can elaborate on the status of the expansion projects when we are planning to peak on the CapEx and various approval status and all?
Praveen Nigam: We have already told you that we have a plan for increasing the capacity to 15 million by 2030, '31. As far as the CapEx is concerned, expansion is concerned, yes -- just a minute -- we have already got a nd you can say, Stage 1 approval from SAIL Board for expansion of 4.08 MT for our -- one of our plants is crude steel plant. So Stage 1 approval of the crude steel plant is already there. PFR for the expansion of Bokaro is complete, and it has been accordi ng to

pr

inciple approval by the SAIL Board and a consultant has already been appointed for the preparation of the DPR. And as per the brownfield expansion of the Durgapur is concerned, it has submitted -- it
was submitted in October and the same has been accorded in -principle approval of the SAIL Board and we are expecting it will come soon. So this is our status of expansion as of now.
Moderator: Our next question is from the line of Amit Dixit from ICICI Securities.
Amit Dixit: I have a couple of questio ns again. The first one is on what kind of finished good inventory we would be having at the moment.
Praveen Nigam: Presently, as of 31st December, it is 1,795,000 tons., 1.7 million, you can say.
Amit Dixit: 1.79, you said, right? 1.8 million tons...
Prav een Nigam: 1,795,000 tons.
Amit Dixit: Okay. Okay. Okay. And sir, what was the working capital buildup in Q3 and how much working capital unlocking can we expect in Q4?
Praveen Nigam: This, I will provide you offline.
Amit Dixit: Okay. Okay. Sir, just want ed to understand here from a -- I mean, I know you were speaking about the EBITDA bridge in answer to people's questions, but unfortunately, my line got disconnected. So for the sake of repetition, just wanted to understand, we had a negative operating lev erage Q -o-Q, but still, our EBITDA per ton , if I look at it .

If I exclude the benefit from the provisional rail prices in last quarter, it was not as impacted as other deals. One thing I understand is, of course, the coal cost increase was much lower, but what the other factors played out in this quarter? Because other expenses also if I look at it, that is significantly within control. So just wanted to understand, what did you do differently in this quarter compared to your peers in the industry?

Praveen Nigam: This detail, we will provide you offline because right now, I'm not having that break up what you are asking for but reconciliation between the 2, that is Q2, and the Q3 EBITDA that we are having that, we have explained also.

Ashish Kejriwal: Yes. If you could repeat it again, maybe my line was logged off, so I was unable to -- yes, yes.

Praveen Nigam: Yes, just a minute. Yes, our EBITDA in Q2 was INR4,043 crores and EBITDA in Q3 was INR2,319 crores. The major reason for this downfall in Q4 was the rail price impact, what we have taken in Q2 was INR1,700 crores. We have got better rail realization, NSR is concerned to the tune of INR600 crores. Some material users, there was a negative impact of INR333 crores and the volume mix INR1,037 crores. So th ese are the major reasons for EBITDA, which came down from Q2 to Q3. If you exclude the rail price, then this EBITDA was better than Q2.

Moderator: Our next question is f rom the line of Manav from Yes Securities Limited.

Manav: My first question is basical ly on the debt part, I wanted to just come back again. Earlier, we had a discussion and had said that probably by the end of this year, we will roughly be in the range of INR23,000 crores. And on a Q -on-Q basis, the debtors increased again. So can I assume that there would be significant debt reduction in the next couple of months? So if you could just enlighten me on that.

Praveen Nigam: Yes. We have said that by the end of this financial year, our debt should come down to the level of INR23,000 to INR24,000 crores. But because of the pressure on the NSR and the coal prices, which in the Q2 were quite low, we were expecting that this will continue and our debt will come down further. But as you know the coal prices have increased and there was a pressure on the NSR, that has resulted in increase in debt. I'm not expecting that in February or March, by the 31st March, there will be any major reduction that debt is concerned. Still we are trying that by increasing the sales volume, we will reduce our debt to s ome extent.

Manav: Yes. Okay. Sure, sir. My other question is it's not basically for this particular quarter. I was just going through the company's annual report, the total amount of contingent liabilities mentioned now over there was counted roughly abou t INR38,000 crores as the claims against the company and pending the judicial decision. I just wanted to know the nature of these claims and what is the company's outlook and how much of these liabilities can we see as a cash outflow in the upcoming fiscal .

Praveen Nigam: These are actually -- most of the cases are subjudice and they are pending at various courts. As far as our understanding is concerned, we have a very fair chance of winning this case. We are continuously evaluating these cases. And as far as we are concerned, we have a better chance of winning these cases and these are pending in various forums. These are -- all are subjudice.

Moderator: Our next question is from the line of Vikas Singh from PhillipCapital.

Vikash Singh: Sir, I want to und erstand first that our semis , mainly the compo sition is very high in DSP and ESCO plan. So the steps we are taking to bring it down and realistically, can it be bring down to the level of DSL or DSP or not?

Praveen Nigam: So Durgapur is concerned particularly, then we have a plan to bring a TMT mill there, so once the TMT mill will come, the impact this semis , which is being sold in the market from Durgapur will get consumed there and will be converting into the finished goods. And we are also tryi ng to increase the production of our mills. So there also additional consumption will come.

Vikash Singh: So this TMT, what is the timeline and the capex which we are investing?

Praveen Nigam: It is actually 1 million ton plant we are bringing in Durgapur. And I think about 0.4 million also on the comp basis. But timeline is not yet decided.

Vikash Singh: Understood. Sir, second question pertains to the new expansion in IISCO, given that if the kind of a plant is already t here and I assume that the basic infrastructure would be there. So why the capex cost per ton seems to be pretty high...

Praveen Nigam: It is a totally greenfield project. It will come in the area in which they are having an old plant.

It's not that this e xpansion is of the existing plant. The entire new setup is going to come in the IISCO. It is a greenfield expansion and that too in the flat.
Vikash Singh: So -- but then you have already the land with you with the site leveling, et cetera, would have been done already, right? Is it coming in place of some old plant, what you said?
Praveen Nigam: Yes.
Vikash Singh: So even then the cost seems to be on a higher side. So just wanted to understand this module is in HRC or still CRC, galvanized. So what is the o verall setup you are looking at? Is it still HRC, CRC, galvanized, till what level basically, the entire 4.5 million tons we are looking at?
Praveen Nigam: Initially, it is at the HRC level, once it will get stabilized, then we go for the CRC also. So as the project -- this project is concerned, CRC is under consideration, but that will come at a later stage.
Vikash Singh: And that cost is over and above what we have announced now, right?
Praveen Nigam: No, no, no, no, it's including CRC.
Vikash Singh: Okay . So the entire project cost includes the CRC -- till the CRC level?
Praveen Nigam: Hello?
Vikash Singh: I'm here, sir.
Praveen Nigam: Yes. I told you that the cost, what we have declared is including CRC. Initially, HRC will come, once that is stabilized, then the CRC will come. But the cost what we have declared is including the CRC.
Vikash Singh: Understood, sir.
Moderator: Our next question is from the line of Mohit Bhansal i from A ryan Group.
Mohit Bhansali: Sir, can you hear me?
Praveen Nigam: Yes.
Mohit Bhansali: Si

r, my first question is that just we are heard in the month of July 2023, you have awarded one big coal mining project to one MDO that is Power Mech. And we hear that they are going to mine the coal from your Tasra mine, and they will be getting around INR1,200 crores per annum. So just want to know what benefits SAIL can have by that mining and how much it is going to be expected. And what is the timeline?

Praveen Nigam: Yes. Approximately, you can say, 1.5 million of the coal will be ext racted from the Tasra mine, and that will help us in placing the imported coal as it will ultimately bring down my cost as the overall blend cost is concerned.
Mohit Bhansali: So had the mine started sir?
Praveen Nigam: Not yet, not yet.
Mohit Bhansali: So what is the timeline, sir?
Praveen Nigam: Most probably, it will start coming -- the production will start from next year onwards, later part of next year.
Mohit Bhansali: So all the approvals like environmental and everything is in place, sir?
Praveen N igam: Yes, yes, yes. All the approvals are there, no issue on that.
Mohit Bhansali: Okay. So you'll be getting 1.5 million tons of coal?
Praveen Nigam: Yes, once it will get fully operationalized, then we will get 1.5 million, and that will decrease our im ported coal.
Mohit Bhansali: Okay.
Praveen Nigam: [inaudible 0:42:44] portion will increase in the blend...
Mohit Bhansali: Okay. Okay. Okay. And sir, second question is that I heard that you are going for the big expansion. And by 2020, you have a big plan of expanding your capacity by around 15 million to 16 million tons. So I just want to know before going to this expansion, have all the raw material securities like coking coal or iron ore and everything has been placed or after expansion you are going to look for because coking coal and iron ore are the major cost in your production of steel. And if coking coal prices goes up like INR400, INR500 as we have seen earlier, it affects the company a lot. So just wanted to know, the curiosity, that before going the big expansion, we are spending almost INR1 lakh crores, do you have the plan first to have the raw material security, then go ahead or after completing the expansion you are going to scout for the raw maternal security?
Praveen Nigam: This expansion was planned after taking into consideration the raw material securities for which already the projects are there to increas e the capacities of our mines from where the major raw material is coming. So there is no issue as far the raw material is concerned.
Mohit Bhansali: And coking coal sir?
Praveen Nigam: Coking coal, we will be importing, no issue on that, but Tasra -- Second, Tasra mine will get fully operationalized. Third, in this expansion, we are planning for the [inaudible 0:44:32] factory where the more of the indigenous coal will be placed, we can use as compared to the

present where we are using more of the importe d coal. So all these have been taken into consideration and factored in while going for the expansion.
Mohit Bhansali: Okay, sir. Okay. And my other question is sir, are you getting railway payments on time? Or right now, how much is the due? How much you are going to get from the railway sir for your...
Praveen Nigam: There are 2 shoes. One is the provisional price that Railways is giving, there are no issues, payments are coming in time. Second, the final price is decided by the chief adviser of course, they have already decided the price for the '21, '22, which will be finalized soon by the Railway, and we'll get the money. As of the '22, '23 is concerned, we have su bmitted all the information to the CFO and we are waiting for their confirmation of the fa ir price.
Mohit Bhansali: Right now, how much is the -- do yo

u -- can you quantify the provision you are saying that, provisional you are getting...
Praveen Nigam: You cannot quantify. You -- We cannot quantify because it is under the discussion stage. So until it is under the discussion stage, it's not right to quantify at this juncture -- at this moment.
Mohit Bhansali: Okay. Okay. And sir, last question is, your Rowghat mine, can you update, sir, what is the update on Rowghat mine? Since we heard that yo ur Bhilai, Rajhara mine is depleting very fast. And you need Rowghat mine to supply the iron ore for your Bhilai already expanded plant. So what is the status of your Rowghat mine?
Praveen Nigam: In Rowghat, in one of the blocks, I think it's under rail. W e have started interim mining. The interim mining in that block has started. That is the update as far as the Rowghat is concerned.
Moderator: Our next question is from the line of Siddharth Gadekar from Equirus.
Siddharth Gadekar: Equirus Securities Priva te Limited, Research Division
Just, first, on your iron ore mine, what is the total capacity that we have and what -- how much are we mining this year? In terms of royalty, what is the royalty plus premiums that we are paying to the government in terms of percentage? And in terms of the validity, until when our mines are valid?
Praveen Nigam: Total production as far as iron ore is concerned, it is roughly 36 million, you can say. And the royalty, what you have talked about that extra royalty that is being paid in Jharkhand and not in Odisha.
Siddharth Gadekar: Equirus Securities Private Limited, Research Division
So when does our Odisha mine come up for renewal?
Praveen Nigam: That I have to check, actually, because they are different mines and every mine have a different renewal that I have to check. Ashish?
Ashish Kejriwal: Sir, I think that will be the last question. I'll request for you for closing remarks, please.

Praveen Nigam: Yes. Thank you, Ashish. While we are -- my closing remarks, while we are q uite part with the global economy scenario and the forecast, the Indian economy has stood out as a silver lining with a strong demand and the consumption pattern. The forecast for the Indian economy by various agencies had been quite encouraging and the ec onomy is expected to grow in the range of 6.5% to 7% over the next 2 years, which is enough to categorize it as the fastest growing amongst the major economies. The steel demand forecast by the World Steel Association for India are also quite promising at the rate of 7.7% in current year '24. The government focuses on the infrastructure spending is a big boost to the economy in general and the steel industry, in particular. The residential sector is also expected to grow backed by affordable housing projec ts and urban demand.
Private investment is improving on the back of the production -linked incentive scheme. Indian capital goods sector is also expected to benefit from the momentum. And the infrastru cture as the investment in the renewable energy , automo tive and the consumer durable are expected to maintain healthy growth, driven by the sustained growth in the private consumption. The company remains committed towards a sustainable performance, including impresses on the decarbonization, improving the cap acity utilization, value addition and achieving the cost competitiveness. I'm hopeful that are good times are there and our investors in the coming -- for our investment in the coming quarters. Thank you.
Moderator: On behalf of Nuvama Wealth Management, t hat concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

AStEEL AUTHORITY OF INDIA LIMITED
CA-17(44)/2024-2529'^ May, 2024
The General Manager (MO)
Bombay Stock ExchangeThe Asstt. Vice President
National Stock Exchange of India Ltd.
Through BSE Listing CentreThrough NEAPS
Sub: Transcipt of cnnfcrpnoe call held with Analysts & Investors on 21'' Mav
2024.
Rfegulation 46 of SEBIfLODRI Regulations. 2015: (Security miSATT.).
Dear Sir,
^ This is in continuation to our letter No.CA-17(44)72024-25 dated 2V' May 2024intimating the link to the Audio Recording of the Conference Gail held on 21'^ May, 2024.'
Transcript of aforesaid Conference Call is attached herewith.
Thanking you,
Yours faithfully.
For Steel Authority of India Limited
(U,(M B Balakrishnan)
Executive Director (F&A) &
Company Secretary
End; As above
fWcT ^ ^ •• 110 003, : 011-2436 7481-86, x^NrT : 011-2436 7015, : www.sail.co.in
Ispat Bhawan, Lodi Road, New Deihi-110 003, Phone: 011-2436 7481-86, Fax; 011-2436 7015, Website : www.saii.co.in
PAN No. AAACS7062F Corporate Identity No. L27109DL1973 GOI006454
^ ft §3Tr dd There's a little bit of SAIL In everybody's life
A^SAIL
"Steel Authority of India Limited
Q4 FY '24 Earnings Conference Call
May 21,2024
A1 ^SAIL C H O R
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Management: Mr. Praveen Nigam - Executive Director of
Finance and Accounts - Steel Authority of
India Limited
moderator: Mr. Ashish Kejriwal - Nuvama Institutional
Equities

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Moderator:
Ashish Kejriwal:
Praveen Nigam:Steel Authority of India Limited
May 21, 2024
Ladies and gentlemen, good day, and welcome to the Steel Authority of India Q4 FY '24 Eamings Conference Call hosted by Nuvama Institutional Equities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ashish Kejriwal from Nuvama Institutional Equities. Thank you, and over to you, Mr. Ashish.
Thank you, Manuja. Good afternoon, everyone. On behalf of Nuvama Institutional Equities, we welcome you again for Steel Authority of India's Q4 FY '24 Post Result Call. We are glad to have Mr. Praveen Nigam, Executive Director of Finance and Accounts. And along with that, we have experts from different departments like operations, marketing, raw material, etcetera. So that we will have holistic view. So I would request now Mr. Nigam for an opening remark, and then we can open the question-and-answer round. Over to you, sir.
Yes. Thank you, Mr. Kejriwal. Good afternoon, everyone, and welcome all our investors and analysts who are joining tliis result con call for the fmancial result of sale for the period Q4 and Annual FY '24.1 believe you have already seen the results on the website of the company and the Stock Exchange with BSE and NSE. I would briefly run through the same before we move to the question-and-answer session where we would be happy to address your queries.
Let me first apprise you on the economic scenario in which we have been operating. The scenario for the global economy looked gloomy at the beginning of the year. There was supply chain disruption in the aftermath of the pandemic, Russia-Ukraine war triggered global energy and the food crisis, shortly the inflation followed by globally synchronized monetary policy, threatening all painted a bleak scenario I had pointing to a recession.

However, the economy showed a remarkably resilience as inflation subsides gradually, and the bank has ease monetary policies. These have showed a steady path for the economy with estimate for CY '23 at 3.2% and prediction for tlie next 2 years holding at the same level as per the latest IMF World Economic Outlook published in April 2024.
At the same time, the highest interest rate political conflict as were high debt level and withdrawal of the physical su

pport for the downside risk to the same. As far as Indian
economy is concemed, Indian economy continues to silver lining in the other\vise gloomy global economy by counting the forces of inflation better than the other economies, Indian economy had, they are better than its counterpart and this has maintained relatively ~ relative stability in the domestic market.
As per the second estimate for this by industry of statistics and program implementation for fmancial year '24, the Indian economy has grown by 7.6% during the period. The projection by some of the major agencies like RBI, World Bank, IMF, etcetera, the economy is poised to grow 7% in FY '25, at 6.5% in FY '26, helping it maintained its position as one of the fastest growing amongst major economies. In fact. World Bank has improved its forecast for India in

FY '25 significantly from 6.4% in Jan 2024 to 6.6% in April 2024. At the same time, IMF has .improved its forecast for the economy.in CY '24 from 6.5% to 6.8%.
In respect to the world extreme scenario, the global steel industry was impacted during 2023 on account of several factors like high inflation, falling household, purchasing power, and rising geopolitical uncertainties. The higher cost and the tighten credit policies have contributed to slowdown in housing and manufecturing sector. The overall demand in 2023 has contracted by 1.1% over the previous year.
The demand in China, the biggest consumer of steel is a cause of worry as the real estate investment continues to decline. While steel demand declined by 3.3% in 2023 over previous year and is expected to remain stagnant in 2024, followed by contraction of 1% in 2025. Also, the steel growth in European Union remains the reason witli the biggest challenge, multiple factors like geopolitical conflicts, high energy, commodity prices, etcetera, led to substantial 10% decline year-to-year. The reason is, however, expected to recover in the coming years with a growth of 2.9% and 5.3% in 2024 and 2025, respectively.
The overall growth in demand is poised to tum positive with World Steel' Association forecasting is 1.7% and 1.2% grouth in steel demand during 2024 and 2025 respectively, as countries like India, Russia, Germany, Iran, etcetera, driving that growth. As far as
Indian steel industry is concerned, Indian steel industry has consistently been growing in terms of production as well as consumption numbers in the post-COVID era during financial year 2024 as well as crude issue production, as well as finished steel consumption has grown by more than 13%.
As per the World Steel Association, SRO, India has been one of the strongest driver of the demand for steel in 2021. The projection for 2024 and 2025, at 8.2% each suggests Indian steel demand will continue to charge ahead driven by continued growth in all steel using sector and especially by continued strong growth in the infrastructure and investment.
Witli the prices of imported coal declining of late, the industry can also have a sigh of relief on the cost fi"ont. At the same time, the prices of steel have also been operating in a narrow band, and there are cause for improvement in the coming quarters.
Now let me tell you something about the company's performance for the quarter. Coming to the performance of the company, sale has registered its best ever physical performance during financial year 2024. The performance of company during the financial 2024 stand as follows. Our crude steel production stood at 19.239 MT, which is an increase of 5% over CPLY, CPLY, it was 18.291 MT, Saleable steel production stood at 18.437 MT, an increase of 7% over CPLY. The CPLY season was 17.246 MT.
Saleable steel sales volume stood at 17.024 MT, registering a growth of 5% over CPLY. The CPLY figure was 16.197 MT. In fact, tlie domestic sale has grown by more than 6%, with export registering a decline of 22%. The turnover at INRI,04,545 crores has, however, gr

own
by 1 % as the decline in the price realization by 6% had an adverse impact on the same. On the profitability front, the company restored an EBITDA of INR12,280 crores, that is an

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Moderator:
Amit Dixit:
Praveen Nigam:
Amit Dixit:Steel Authority of India Limited

improvement of 31% over CPLY, the CPLY EBITDA was INR9,329 Profit before tax and profit after tax stood at INR3,688 crores and INR2,733 crores as against tlie INR2,637 crores and INR1,903 crores, respectively, during CPLY.
As regards sustenance and operational efficiencies in the area of operational efficiencies, the company has been making steady progress for reducing all of the crude cost, increasing the uses of GDI, bringing on the specific energy consumption, improving the blast furnace productivity, continuing with that drive towards improving the product mix, the production of semis in the saleable steel production stood at less than 15% by engaging conversion services in and around the plant of the demand sector, the percentage share of semis this year has been even lower by -- lower at 8%.
Going forward, the boost from the various measures being taken by the government and the infrastructure spending augurs well for the steel demand in the country with the overall outlook positive for sustained growth in domestic consumption, we are hopeful of the realization and consequently, the margin will improve for the company in the quarters to come.
Witli this word, I hand it back to Mr. Kejriwal for opening up question-and-answer session. I'm sure you all have lots of queries on tlie performance of the company. Thank you. Mr. Kejriwal.
Tliank you very much. We will now begin the question-and-answer session. The first question is finm the line ofAmit Dixit from Hitech Group. Please go ahead.
Good afternoon, everyone, and thanks for the opportunity. So I have couple of questions. The first one is on -- if I look at operating mix sorry other expenditure and employee cost, they seem to have gone down in this quarter Y-o-Y basis, Q-o-Q, if you look at other expenditure that basically constant despite sales volume going up significantly. So Just wanted to understand the key drivers of both and what should we consider I mean what is the run rate that we should consider going ahead in employee cost in particular that was the first question?
Yes. As far as the employee cost is concerned you see there has been a constant decline as far the employees - in terms of numbers are concemed. On an average in SAIL employees are reducing in the tune of 3,000 per year. That is one of the major reason for reduction in the employee cost.
So what would be the employee strength now in this year-end and how much is reduced this year?
Praveen Nigam:
Amir Dixit:
Praveen Nigam:It is already available in the presentation what we have uploaded you can see the slide just a minute it is 55,989 as on 31st March. You can see the slide what we have uploaded.
But sir 17% Y-o-Y decline in employee cost tliat is a significant decline that we see and particularly over Q3 over Q4 we always saw an increase because of actuarial provisions and all. So just wanted to understand from that perspective where employee cost is headed?
Apart from reduction in the numbers there have been actuarial gain on account of the lean we get encashment particularly. That is also one of the factor for reduction in the employee cost.

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Amit Dixit:
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Moderator:

And what about other expenditure sir it has also been under control?
Yes, other expenditure there has been reduction in the power and fuel cost and also certain provisions which we have you can say provided last year which we have not provided this year. That is one of the reason for reduction in the other expenses.
What could be that can you

quantify those provisions, sir?
The provision ~ actually last year what we have made provision was to tlie tune of INR229 crores. This year, we have made a provision in Q4 of INR52 crores. So there is a decline of INR177 crores as far as provisions are concerned.
And the second question is on capex, sir if you could just give us the details of this 31 -million-

ton capacity increase that you are targeting where we are, what are the key configurations we have decided and what would be the capex plan for tliis year that Is the second question.
So you have actually in the capex two question what is likely expenditure in the current year. And what is our overall capex plan particularly what we have announced that from the present level of 20 million ton of crude steel we will be increasing our capacity to 35 million by the end of 2030, '31. As far as current year is concemed current year capex would be in the range of INR6,300 crores what we have planned. As far as our modernization or expansion plan is cdncemed there, we have already announced that we will be having a sales rise expansion. In the first phase, we are going for expansion of our Scoot steel plant where this approval of the board for the stage 1 is already available. For Bokaro Steel Plant and Durgapur Steel Plant pre-feasibility report has already been prepared. The Board has given also go ahead and we will be going further for firming of the project report as far as Bokaro and Durgapur is concemed and thereafter we will move forward.
Sir, as per the pre-feasibility report what would be the total expenditure that you envisage and what will be the peak year of that expenditure?
As far as Scott steel plant is concemed in the Scoot steel plant it is around INR36,000 crores.
And in the other case?
And in other cases still the consultancy is working on, we have not yet formed up the cost of other ~ in other cases. But roughly, if you see, there is an increase of 15 million ton then if you see SAIL as a whole then it will be in the range of INRl lakh to INRl,10,000 crores.
Okay sir great. Thanks so much. I will come back in the queue and all tlie best.
Thank you. The next question is from the line of Somaiya from Avendus Spark. Please go ahead.
Thanks for the opportunity. First question, some clarification on the price revision on a provisioiial basis you have taken for the SAIL. So the INR17 billion that you have mentioned this quarter, so this is for both FY '23, '24? That's one. And with this, we are by and large

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Somaiya:

Praveen Nigam:

Somaiya:

Moderator:

complete at least till end of FY '24 we don't expect any further provisions going forward? I just want to clarify on this?
Yes, the provision what we have made in Q4 is, yes, INRI,714 crores which includes for financial year '22-'23 and also '23-'24. In that, if you see that the provisions pertaining to the period prior to Q4 are for '22, '23 is INR8,077 crores and impact of the 9 months is INR559 crores and pertaining to Q4 it is INR278 crores.
So going forward, we don't expect anything related to at least till FY '24 bookings. Is that the right understanding?
Th^e prices are actually provisional prices. You see there is a mechanism as far as the rail prices is concerned, there is one department known as CA cost and under the department of expenditure and the Ministry of Finance, they are deciding the cost which is ~ prices this is to be given by the railway. So our figures are with them. They will decide finally what would be the prices. We are expecting a price better than whatever the provisional price given by the railway as of now.
Sir, can you just give what is tlie booking rate on a rupees per ton basis say for FY '22, '23, '24 and what we are planning to do for FY24?
As far the prices precisely are concerned, I will give you offline.
Second question is on coking

coal. Could you just give some color on ~ I mean, what was the
coking coal drop the quarter gone by and what you're expecting for this quarter and also if you could provide some color on the mix of coking coal sourcing that should be fine?
As far as the prices of the coking coal are concemed, yes, if you see Q3 the coking coal prices were INR23,693 to be precise. And in the Q4, the cost was INR26,524 and in indigenous it was INRI2,000. And in Q4, it was INR13,000.
The expectations for current quarter?
The expectation for current quarter it will be roughly USD30 down as compared to Q4.

Got it sir. Helpful. I will join back the queue.
Thank you. The next question is from the line of Vikas Singh from PhillipCapital. Please go ahead.
Vikas Singh:
Praveen Nigam:
Vikas Singh:Just wanted to understand what kind of volume growth target we are targeting this year especially in the context that we have significant inventory also with us?
We are targeting a production in excess of 20 million tons and as the sales are concemed, it would be 90 million tons.
So this includes some sale of the inventory as well because if I believe rightly, we have over 1.6 million ton of inventory at this point of time?

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Praveen Nigam:Steel Authority of India Limited
May 21, 2024
Yes, you are right. We have over 1.6 million tons of inventory, and we are targeting to reduce our inventory, which is included here also. The inventory reduction in these two months, in particular, is to the tune of 2.09 lakh ton. At present, if you say our other inventory is 1.452 million tons.
Vikas Singh:
Praveen Nigam:
Vikas Singh:
Praveen Nigam:
Moderator:
Kirtan Mehta:
Praveen Nigam:
Kirtan Mehta:
Praveen Nigam:Understood, sir. And sir, with this context, again, how do we see our net debt moving because significant inventory liquidation would also happen. And what is our target date for FY'25?
You see, our total borrowing was to the tune of INR30,500 crores. In this quarter, the bonowing has increased mainly because of the high inventory, no doubt and also lower realization from the railway. At present, our borrowing is to the tune of INR35,000 crores. But we are expecting that by the end of this financial year because the coal prices are coming down, we will be realizing our rail prices also from the railway. And as far, we are expecting will not slide further, and it will maintain its position. So our borrowings should come down below INR30,000 level as it was this year.
Sir, just one clarification on the railway side. Did we also get the ad hoc price also, so that going forward aU the billing would be at the new prices? Or we will still be doing billing at the FY'22 prices, just need some explanation there?
The policy is that till the price are given by the CA costs. And thereafter, the approval of the CRB is given, all the billing is done based on the provisional prices only. As of now, our prices — billing for '21-22, '22-23 and '23-24 is based on the provisional prices only. Because FY'21, '22 is concemed, CA cost has given their recommendation. We are waiting further approval of the CRB, once the approval of the CRB is available, we will get the final bill. And '22-'23, '23-24, CA cost has not yet finalized the prices. They have not given any recommendation. So we are waiting for the recommendation of the CA cost. Thereafter, it will be given to the railways for the approval of the CRB.
The next question is from the line of Kirtan Mehta from BOB Capital Markets.
One question on the Slide 27, where you have indicated the INR903 crores of quarter-on-quarter benefit from raw material usage, which was partly offset by INR894 crores of input price and cost. Could you elaborate on specific items which were included under the quarter-on-quarter benefit of INR903 crores raw material usage?
So that EBITDA movement, what we have shown on account of coal, it is around INR452 crores and on account of users of other raw, it is INR196 crores. And there are others al

so like
miscellaneous, etcetera. So that sum up to INR900 crores what we have shown in our presentation.
And what would be the impact, which has also shown next number INR894 crores, which is offsetting some of this benefit?
Yes, this is actually regarding the input prices, that is NSR, that is a reduction in the NSR.

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Moderator:
Nalin Shah:
Praveen Nigam:Sleel Authority of India Limited
May 21, 2024
And the second question was about the utilization level of structural mill at two plants, universal section as well as mix section mill. Could you elaborate on the current utilization?
Structural mill, particularly Burnpur and Durgapur. I have Mr. Puri. He is from the Operation Directorate; he will address your query.
The structural mills at Durgapur that is MSM and the USM at ISP Bumpur, they have done their eVer best in the utilization of our capacity this year. And the next year, going forward, tlie next year targets in ABP are still more stringent for them. And they are quickly ramping up towards ~ a lot of enablers have been made available to these two mills, just to, because it involves a lot of foreign technology, which took a lot of time in their ramping up. But now the spares and all positions have been frozen, and we are going to grow in a big way in these two mills and a lot of growth is planned in the ABP in these two mills.
Would you be able to indicate the actual utilization level in terms of a number? Was it about 70% or some quantitative indication?
Yes, what Mr. Puri has told that as far as USM of Burnpur is concerned, the improvisation is 70% of the capacity and MSM is in the range of 55% to 60%.
The next question is from the line of Ritesh Shah from Investec. The participant is on hold. The next question is from the line ofNalin Shah from NVS Brokerage.
At one end, India is going through an infrastructure boom and at other end, we also have the China factor. So in light of these contrasting factors, how do you think FY'25 will pan out for steel companies?
Yes. If you see that as far as FY'23, '24, as I told in my opening remarks that both production of crude steel and consumption of finished yield has increased by 13%. We are expecting that there will be a positive growth in '24, '25 also. Yes, China sector, you are saying, yes, since there is -- tlie economy in that China is not in a very good shape. And particularly with the imposition of certain restrictions by the US, which include steel also, there are every likelihood that steel from China will come to India and might put pressure on our Indian steel also.
But the kind of growtli which we are seeing as far as our — Indian steel consumption is concerned; we are still hopefril that whatever we are producing will get consumed within the country. Government impetus is already there for development and infrastructure, and we are expecting that this year also the growth will be to the tune of active 12% to 13% both production as well as consumption.
And whatever the import will be coming to China, that will have -- might have some impact, but that will not have any severe impact. Still, we are keeping a wide watch, or we are keeping an eye on the imports from China. In fact, you can see that in this particular quarter, the prices of the long products have already increased by 12% to 13%. This shows that there is a positivity in the market.

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Praveen Nigam:Sleel Authority of India Limited
May 2J, 2024
Yes, sir. And one more thing. I guess we have the posilion to sell the low-grade fines. So what impact would it have, sir?
We have provision to sell the low-grade fines. You see, there is a heap in the Jharkhand and then it is also available in the Orissa group of mines. In the .Tharkhand, we have got the permission for the internal consumption

of those fmes. We are not in a position to sell those
fines. We have certain plans whereby these fmes can be pelletized and after the palletisation, these wll be consumed by our own plants. That palletization process is on, it is still under construction and other COMM method. Tliis is what I can tell you.
The next question is from the line of Pratim Roy from B&K Securities.
I have a couple of questions. Firstly, what will be the NSR for the 4Q, long and flat, both? And what kind of investment improvement we can expect for IQ considering that you have just mentioned the long since prices have moved up by 13%. So what kind of- by the end of this

quaner, how much price increase we can expect. That is the first question, sir?
In the Q4, the long was fetching an NSR to the tune of INR55,400 and the flat was fetching an NSR to the tune of INR53,700. As far as this Q1 of financial year '24, '25 is concerned, the long, what we have got is to the tune of INR54,600 and the flat, it is INR53,500.
So sir, you just mentioned 12% to 13%, increase in the long steel prices. So -- but you mentioned that the IQ long price is INR64,600, if I'm not wrong, and 4Q to INR66,400?
You see in the month of April, if you see what I said in the month of April, the prices of the long were in the range of INR5I,700. What I told in the Q4 was the average of the Q4. But if you see m the month of April, the prices oftlie long was INR51,700, which has increased to INR54,600 in the month of May; So that is what I'm saying there is a possibility the prices in a month has increased as long is concerned. And similarly, the position in the flat also.
And second thing that what is the capex guideline for FY '25, that is INR6,300 crores, right?
Yes, yes.
Yes. And if you can give me some material output, when we can expect a proper capex guideline and when we can expect that how much capacity will come by FY '26 or '27, around May or it will - everything will come on FY '30, '31?
Not exactly. Everything will come, by average, about '30-'31. You see as I told that as the IISCO Steel Plant is concerned, we have already got the approval from tlie Board. We are in the process of finalising the party. Tending process is on, and we are expecting that by the end of October, probably it will be in a position to firm up the party, and we'll get the approval, that is second stage approval from the Board, thereafter, the extension at the IISCO will start. In the initial phase, you can understand that only the drawing and design, etc., are shared. So, this year we are not expecting much expenditure as the capex is concerned, as well the modernisation is concerned. As far as our expectation goes, from '26-'27 and particularly '27-

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'28 and '28-'29, the major capex will come, and as far as the facilities are concemed, as far as Burnpur is concemed, we are expecting by 2029.
77.-28?
Yes. Yes, 2027 or '28, late we will be in a position to start commissioning of the facility at IISCO Steel Plant. And thereafter, gradually all the facility wll get commissioned by 2030-'31.
Okay. And sir, lastly, as I had one question, what is the debt guideline for FY '25 that you have mentioned, it will be around less than INR30,000 crores. So we will be at the same range for FY '26, or It may go up or something like that? Or any deleverage ratio that we are maintaining for the upcoming years?
You see, we have always been saying that we will keep our ratio ofl: 1 as far the debt equity is concemed. Our present borrowing is in the mne of, as of 31st Maixjh, INR30,000. This has increased to INR35,000 because I said the lower realization from tlie railway and because of the piling of the inventory also, but what we are expecting tliat tliis in

ventory will get regulated
in this year and the prices on the railway will also come to us. Secondly, the prices of coal, which has come down substantially, if this remains in the same range, then our borrowing will come down further and it will be lower than INR30,000 crores by the end of March '25.
The next question is from the line of Rashi Chopra from Citigroup.
Just on the NSR again. To clarify, you said that the loan realization was INR55,400 in the quarter, right?
Yes.
And the realization of INR54,600 that you've given, is that an average of April May, or is that just a May relate?
It is mid-month of May.

And April was 51,000?
51,000, yes.
Okay. So on a blended basis, it's still lower than the fourth quarter?
It is still — it is — you said blended, it is still lower. But if you see the current what are prices we are, it is overing. As a long is concerned, it is mid-nionth it was INR54,000, but as of now, whatever tlie feedback we have from the market, it is in the range of INR58,000. So that is what we are saying that there is a positivity in the market, the prices in tlie long has increased as compared to the April, and we are expecting that this positive sentiment will remain in the - remaining months also in this financial year.
Okay. And how do flats stack up here? So what was April mid-month?

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Fiat, from April to May, if you see mid-month in the April, it was in the range of 51,500, and in May mid-month, it was 53,500. And flat more or less, is maintaining its position, is not increasing the way long product has increased.
Okay. And sorry, just the average NSR for the quarter was what? Blended for flats and long?
Quarter means quarter 4, right?
Yes.
Our quarter 4's the average NSR, both long and flat taken together, was in the range of 54,500.
Okay. Just on the cost side, you mentioned that the imported blending coking coal cost was INR26,500?
Yes.
This compares to quarter 3 at 23,700, right?
Yes.
So there was an increase in the coking coal cost, but in that slide, tlie bridge that you showed, you said there was a INR450 crores improvement on the coking coal side. So was there a change in the blending ratio? I mean how was that decline explained by an increase?
No, no. You see the slide; this is 453 on accoimt of the users. Users in the sense that we have made improvement in about blend and also improved our techno-cHmate parameter. For that, this improvement has come. Am I able to clear?
Yes, I understood that. Okay. Just one more question on the capex side. This year, what did you say the target was? I missed that.
6,300 approx.
And what was this largely on?
It will be more mostly you can say sustenance capex, and there will be some payment, as I told that we are expectmg that IISCO Steel Plant, this party will be finalized and expansion will start maybe from October, November. In the initial state, some payment may be made, but largely on the sustenance capex.
Okay. nSCO's capacity 4 million tons, right?
Yes.
In the - apart from USCO, Bokaro and Durgapur, are you also trying to set capacities?

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Praveen Nigam:
Rashi Chopra:
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Moderator:

Ridhi Paocha:Steel Authority of India Limited
May 21, 2024
Yes. We are also trying to set capacity because whatever we have planned this year is higher than what we have achieved in tlie current year. So we are -- there are certain facilities which we are trying to set. And ~ yes.
Sorry, how much will that add, this swatting of capacity?
Swatting of capacity, how much it will add. Yes, you see we have a new -- we will be having a new cluster at Rourkeia steel plant, which will add 1.4 MT. We are also upgrading up a blast furnac

e at Durgapur Steel Plant, which will add around 0.9 MT. We are also having a new Coke ovens battery in IISCO Steel Plant, which ■will add 0.4 MT. So this is what we are going to increase as far as the capacity is concerned.
Thank you. The next question is from the line of Ridhi Pancha from Chankya Capital. Please go ahead.
My first question was approximate how much energy is required to produce I ton of liquid steel for SAIL?
Praveen Nigam:
Ridhi Pancha:How much energy Is required to produce 1 ton liquid of steel? 6.31 gigacalorie. That was the ever best we achieved last year, 6.31.
And my second question is how much does iron ore per ton cost for sale given that SAIL has the same iron mine?
Praveen Nigam: Iron ore cost. Yes, it would be in the range of INR1,300 to INR1,400 per ton and plus royalty on that.
Ridhi Pancha:
Praveen Nigam:
Ridhi Pancha:
Praveen Nlgnm:
Ridhi Pancha:
Praveen Nigam:
Ridhi Pancha:Sorry? Can you come again, please?
INR1,300 to INR1,400 per ton plus royalty.
How much is the royalty percent if you could provide?
Actually, there are -- we have a mine in different states like Jharkhand. We have in Odisha, and we have in Chhattisgarh as well. So the royalty in Jharkhand is higher because the mines got renewed after 2015. In Rourkeia, it's still lower because the old lease are continuing. And in Bhilai also, the royalty is high. So give ~ the average figure of the total royalty, we will give you offline.
Okay. And just one last question. So for electric arc furnaces, SAIL uses industrial scrap, right? So just wanted to know whether this scrap is similar to mild steel scrap? Or is it something else that we use? And what is the cost per ton to SAIL for that?
As such, it doesn't produce its steel through arc furnaces. It is mainly BOF route only for producing steel. So what are you referring to in particular?
On the west side, it says that one of the sources is industrial scrap excess steel that is trimmed by the auto and appliance standards. So that is bought under auction by SAIL.

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Praveen Nigam:Steel Authority of India Limited
May 21, 2024
We are producing in our alloy steel plants and our ferro-alloy plant. We are using arc flirnaces. So alloy steel plant we have at Durgapur, that is using steel scrap for mainly the generation from the plant itself. And as far as the cost is concerned, cost, we will share offline. Cost, we will not share online.
Thank you. The next question is from the line of Tushar Chaudhari from Prabhudas Lilladher. Please go ahead.
Sir, we were also adding 1 million ton of casters in Bhilai and Rourkela each, I think last few quarters, we were discussing. Any update on that? Plus, there was one TMT, also DSP.
Yes. As far as Bhilai is concerned, that 0.8 MT, it is another tile. And far as Rourkela is concemed FY'25, we are expecting that casters will come.

The Bhilai one is capable of producing beams and blooms growth. So the beam part has been already commissioned and the bloom part is under trials. It has been tried for normal steel, but it is under trials for real steel.
And the TMT, DSP?
DSP, TMT, there are 2 proposals. One is, I think, under the comp basis and then another is we will be constructing on our own, that is MEP. Both are still under process. Not yet freeze. Yes, 1 million ton is on MEP on our overall, and 0.4 is on home basis. But it will take time. It will take time.
Okay. And sir, I missed the breakup of INR1,700 crores, which we have given. How much was the FY'23 portion in that railway price revision?
This INR1,700 crores railway price, there are 3 portions. If you see how much pertains to Q4 of'23-'24, it was INR278 crores and rail price pertaining to prior to Q4, in which 9M figure of the '23-'24 was around INR550 crores and tlie impact of that '22-'23 was around INR877 crores.
Tushar Chaudhari:
Praveen Nigam:
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mlesh Jain:827?
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Thank you. The next question comes from the line of Kamlesh Jain from Lotus Asset Managers. Please go ahead.
Sir, one question on the part of capex. like the SAIL completed the capex span of roughly around 10 years. And today, we are getting those volumes in real time. So now with the government being very focused on divestment part, like, say, sometime like RINL was also on the selling block, then NMDC's Nagamar plant is also sale. So how sure are we on this particular project like on this capacity expansion?
And if you can like say throw some light on the part that when this commissioning or ordering will happen because, honestly, like over the last 5 years, we have been only on the

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Praveeo Nigam:
Kamlesh Jain:
maintenance capex. We are able to play around INR4,800 ore capex every year. And despite that, our debt has performed to FY'22 levels.
There are reasons that coking coal prices have also gone up, but if you see rest of the players, their capex -- there, like I said, debt was at multiyear low despite heavy on the capex side. Everybody is expanding capacity, and they have a lot more visibility on the capacity expansion. While in our case is where the primary shareholder is on the divestment part, how sure are we on this capex guidance which we are highlighting?
Regarding this modemization expansion front, what we have announced from 20 million to 35 million tons, as I've already told that it will be done in the phases. I have already explained that as far as IISCO are concerned, we have already got the stage 1 approval. We are in the tending process, and we are expecting that our tending process will complete, and party will be finalized by -- maybe by October.
Bokaro and Durgapur pre-feasibility report is already over, and we are in the process of going for stage 1 approval from the board and thereafter, we will move further Rourkela and Bhilai Steel Plant. We have learned from our past experience that there were delays in the expansion, tlie time overrun was there. Taking leamings from that, we are pretty confident that this year, whatever we have planned, we will be in a position to commission all of our facilities as per the plan and by 2030-'31, our facility will increase from present 20 million tons to 35 million.
As far as the debt is concerned, what you have referred that debt has increased, yes, we have seen debt has increased. We are concerned about that. But the primary reason for the increase in debt in this particular year, particularly as I told that our net debt has increased, if you can see our results to the tune of almost INR3,000 crores to INR3,500 crores, because the realization from the railway was not available, which we are expecting will be available in this financial year and also piling of the inventory, particularly in Q3, because of the low demand. Since the demand is picking up, we are expecting that all this inventory will also get degraded. The ligation from these 2 sources will also help us in reducing our debt.
Second, the prices of coal in both 2023-24 were pretty high NSR was continuously dipping, which we are seeing a better positive picture, a better position in '24-'25. The prices of the coal has come down substantially, which are hovering the range of around INR239 to INR240, which we are expecting will continue this year. So there will not be much stress as far as imported coal prices are concerned. This will further help us in reducing our debt. So we are

expecting, by the end of this particular year, our debt will be substantially lower to 2023-24.
That is INR30,000 crores.
Yes. And secondly, on the side of, like, how much capex cost per ton we are looking at because these are mainly brownfield projects. And even in the past, SAIL has committed only to the brownfield expansion. So iff see the EBITDA per ton today, it is roughly around $60. And if I assume we spend roughly around $900.
So li

ke on the ROE front, our return parameters doesn't justify to expand capacity and rather focus on curtailing down the cost despite having the fact that we have our captive ore mine. So

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even in that scenario, we are making $50, $65 per ton. How does it justify to expand capacity rather than working more on the cost side?
As far the capacity expansion is concerned, we are more focusing on the value-added product, which will give us a better NSR. On the cost also, we are continuously monitoring and trying to improve our efficiency, which will, in turn, help us in revising our costs. As to the expansion, you said how much is the per ton. As I told that 15-million-ton expansion, we are expecting to the tune of INRl lakli crores to INRl,10,000 crores. This roughly would be in the range of 7,000 to 7,500 per million ton.
And so what additional improvement are we seeing in our product mix? Because we are already at the best product mix in the last 7 years, 8 years, like the semis have gone down to 8%, which earlier used to be at roughly around 18% to 19%. And even major portion of the semis is conversion in the open market. So there are also the semis, which are really not semi. It is getting converted by the re-rollers. So what additional improvement are we seeing on the product mix once the expansion comes online?
As I told that we are more focusing on the value-added production. If you see that m 2023-24, our value-added production was to tlie time of almost 9.5 million ton. But we are expecting that going forward it will increase to 11 million ton. So more focus is on the value-added products. Also in the - we are focusing on the reduction in the cost, improving our techno-economic parameters. These all will help us improving our bottom line.
Great, sir. Thanks a lot.
Thank you. The next follow-up question is from the line of Somaiya from Avendus Spark. Please go ahead.
Thanks for the opportunity again, sir. First question is in terms of employee costs. So you did mention close to 3,000 headcount reduction per year. So what kind of aimual savings does that bring in?
Aimual saving by reduction in the employee cost. Reduction in the employee number?
Yes.
Exact number, it is very difficult to give because there is a mix because in the sense that there is a continuous increase in the DNS announced of the existing employee and number also reducing, so to tell exactly what will be the impact for employee is difficult to tell at this time.
Somaiya:
Praveen Nigam:Not a problem, sir. Broadly, Fy'24, our employee cost, is that the run rate that you're looking forward going forward that can be more or less in and around that number, factoring for normal wage revisions offset by headcount reduction?
Current - going forward, current financial would be to the range of INR11,000 crores to INRl 1,500 crores considering all the aspects.

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Somaiya:Steel Authority of India Limited
May 21, 2024
So that is what you are expecting going forward also. So just wanted to?
Yes.
Got it. Sir, second question is the domestic demand. So you did mention prices are getting better on the long side. So what on the ground you are seeing as a change between April to May? Is it surely demand-driven? Or there is also a bit of a restocking demand help that is happening? Or there has been a bit of a supply constraint on the secondary side? Or there has been a cost pass-through? Which of these factors are driving this sharp uptick in the last 1 month?
I have with me Mr. [inaudible 55:23]. He's from the marketing side. He will answer your queries.
Good morning to all ofyou. Since April, the prices of long products have increased, and there's a significant change in the trend

of the long product prices. And we hope that because of the
good consumption trend, consumption has increased by 13% over [CPLY 55:45]. We expect the consumption to continue.
There is a lot of visibility with respect to infrastmcture growth in this current financial year, with stability of the government and with a lot of infrastructure push, and primarily, the secondary prices have gone up. Secondary market, secondary players, they control around 70% of the total long products.
So secondary prices have gone up primarily based on cost push because of domestic coal prices increasing by around INR2,000 per ton from INR9,000 to INRl 1,000 per ton. So that is the main driver of the prices in the long product segment, and the demand from tlie infrastructure is likely to be very robust.
Going forward, I see long product sustaining, the demand is sustaining and the prices also sustaining. At current levels, how much funher increase will be a matter of speculation. But going forward, we see a good demand in the long products segment. Flat products will continue to remain at similar position because the flat product is primarily determined ~ the prices are determined, to a great extent, by the import from China and other countries. But in long product, it is mostly domestically driven, infrastructure push and cost push. We'll see that prices will remain similar. Thank you.
Got it. Sir, one last question on cash taxes. So it has been quite minimal. So what is our expectation? How long will this difference continue in terms of cash taxes?
Can you repeat once again?
The cash taxes that we pay is currently very minimal. So I mean this benefit, how long can it continue?
This answer I will give you offline, because right now, I'm not having that figure with me.
Okay, sir. Thank you that's all for my side.

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Moderator:
Ashish Kejriwal:
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Ashish Kejriwal:Steel Authority of India Limited
May 21, 2024
Thank you. Due to time constraints, that will be the last question for the day. I now hand the conference over to Mr. Ashish -Kejriwal from Nuvama Institutional Equity for closing comments. Over to you, sir.
Yes. Thank you, everyone. Thank you very much. And again, on behalf of Nuvama, we thank the management of SAIL for giving us an opportunity to host this call and thank you for your detailed answers. From my side, I only have 2 questions, and tlien we can give a closing remark. What could be our finished steel capacity as of FY'24 end, and how you are seeing this increasing year-by-year till the time our ISP Bumpur capacity comes in? That's tlie one question.
And second is in terms of inventory days, our inventory days seems to be among the highest in the street as compared to our peer groups. So can we do something over there to reduce the number of inventory days?

First, I will take your second question regarding inventory. Yes, inventory, what we are holding is higlier than even whatever the norm we are having. We are concemed about that, and we are trying to bring down. If not possible, at least substantially. Presently, yes, it is at a very high level.
Because not only presently, we look at on the -- over last five years, seven years also, there seems to be very higli as compared to the industry standard. Seems to be more than 3 montlis on an average. In fact, sometimes it's 4 months also?
When we talk about the inventory, we are talking about only finished steel inventory. You see financial '21-22 and '22-'23, our inventory holding was to the tune of almost 18 days to 20 days, which actually has increased in this financial substantially. There, we are focusing to bring it down for that.
And sir, second, finished steel capacity?
Yes. Finished steel capacity, actually, we call this saleable steel, so saleable steel capacity as far as our — this — we see about 5 steel integrated steel plants is concemed. It

will be to tlie
tune of 19.04 million, and operating capacity would be to the tune of 15.57 million ton, and if taking a smaller plant tliat is a specialist plant also, then our operating capacity would be to the tune of 19.09 million ton. And the growth percentage, if you see that the growth percentage was superior will be to the tune of 9%.
So this 19.09-million-ton capacity, how it is moving in the next two years?
Next financial year, we have a plan as our annual business property concern is 20.09 million ton. .And with the addition of tliis cost RSP, we are expecting another 0.4 million ton in increase. And if you see year wise, can we give it separately offline?
Thank you so much sir, and any closing comment.

Praveen Nigam:
Moderator:
Yes. Thank you, Mr. Kejriwal. Yes. As we have said that the forecast of the Indian economy by various agencies have been quite encouraging, and the upgrade in that same is strengthening the belief that tlie economy will continue to do well. In fact. In fact the forecasts are not holding good for just a few years, there are reports which are forecasting India to become the third largest economy in the world in the near future.
The steel demand forecasts are also quite promising at 7.7% in CY'24. And the focus of the government and the infrastructure spending is a big boost to the economy in general and the steel industry in particular. The residential sector is also expected to grow back by affordable housing projects and urban demand.
Private investment is also improving on the back of the production-linked investment schemes. India's capital goods sector is also expected to benefit from the momentum in the infrastructure and the investment in renewable energy. Automotive and the consumer durable are expected to maintain healthy growth driven by sustained growth in the private consumption.
The company remains committed towards a successful performance, including improvements on the decarbonisation, improving capacity utilization, value addition and achieving cost competitiveness. And I thank all our investors for their opposing faitli in us and I am hopeful that the same shall continue in the future as well. Thank you, Mr. Kejriwal.
Thank you. On behalf of Nuvama Institutional Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

ASTEEL AUTHORITY OF INDIA LIMITED
CA-I7(44)/2024-25 16''^ August, 2024
The General Manager (MO) The Asstt. Vice President
Bombay Stock Exchange National Stock Exchange of India Ltd.
Through BSE Listing Centre Through NEAPS
Sub: Transcript of conference call held with Analysts & Investors on 9^*^ August.
2024. —
Ref: Regulation 46 of SEBKLODR) Regulations. 2015: (Security ID:SATT.).
Dear Sir,
This is in continuation to our letter No.CA-17(44)/2024-25 dated 9'^ August, 2024,
intimating the link to the Audio Recording of the Conference Call held on 9''^ August, 2024
Transcript of aforesaid Conference Call is attached herewith.
Thanking you,
Yours faithfully.
For Steel Authority of India Limited
(M B Balakrishnan)
Executive Director (F&A) &
Company Secretary
End: As above

"Steel Authority of India Limited
Q1 FY '25 Earnings Conference Call "
August 09, 202 4

MANAGEMENT : MR. ANIL TULSIANI – DIRECTOR FINANCE – STEEL
AUTHORITY OF INDIA LIMITED

MODERATOR : MR. ASHISH KEJRIWAL – NUVAMA WEALTH
MANAGEMENT

Moderator : Ladies and gentlemen, good day, and welcome to the Q1 FY '25 Earnings Conference Call of Steel Authority of India, hosted by Nuvama Wealth Management. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on you r touch -tone phone.
I now hand the conference over to Mr. Ashish Kejriwal from Nuvama Wealth Management.
Thank you, and over to you, sir.
Ashish Kejriwal: Thank you, Sid dhant. Good afternoon, everyone. On behalf of Nuvama Institutional Equities, we welcome you all again for SAIL Q1 FY 25 post -result call. We are pleased to have with us Mr. Anil Tulsiani, Director Finance, along with his team. Now I will request Mr. Tulsiani for his opening remarks, and then we can open the floor for Q&A. Over to you, sir.
Anil Tulsiani: Thank you, Mr. Ashish. Good afternoon, everyone, and welcome to all our investors and analysts who are joining this results con call for the financial results of SAIL for the previous Q1 financial year 2024 -25. The performance of the industry in general and SAIL, in particular, has been impacted significantly due to the softening of the steel prices on the back of international price trends. I believe you would have already seen the results on the website of the company and Stock Exchanges . I would briefly run through the same before we move to

the question -and-answer session, where we would be happy to address your questions. Coming to the world economic scenario.

The economic scenario across the globe has been impacted in recent times by inf lationary forces and consequent monetary tightening policies to counter the same, supply chain disruption, geopolitical crisis, etcetera . The scenarios has, however, been showing a gradual improvement, especially the emerging and developing economies have outperformed the advanced counterparts. As inflation subsides gradually, the banks have also eased monetary policies. These have chalked a steady path for the economy with estimates for current year -- for the calendar year '23 at 3.3%.

As per the IMF Wor ld Economic Outlook published in July of '24, predictions for calendar year '24 and '25 stand at 3.2% and 3.3%, respectively. At the same time, the renewed geopolitical tensions, risk of elevated inflation, especially in the services sector due to higher nominal wages accompanied by relatively lower productivity pose a downside risk to the growth which economies need to guard against.

Now coming to the Indian economics, India has countered the forces of inflation better than the other economies. Thereby ma intaining relatively stability in the market. The revised data on financial year '24 has led to practically all agencies raising the estimates for the year upwards. As per MOSPI, the estimates for the year now stand at 8.2% instead of earlier projection of 7.6%. The sustained momentum in manufacturing and services, high frequency of investment activity, government's continued thrust on infrastructure development, expansion in steel consumption, improved prospects in private consumption, etcetera , all point to a robust outlook.

The projection by major agencies like RBI, World Bank, IMF, etcetera , the economy is poised to grow between 6.7% to 7.2% over the next 2 years helping maintain its position as one of the fastest growing amongst the major economies.

Now coming to the world steel scenario. The global steel industry continues to be impacted on account of several factors like high inflation, rising geopolitical uncertainties, etcetera . The demand in China, the biggest producer and consumer of steel is a c au

se of worry. The
consumption in the real estate investment has been consistently coming down. Though production in China during H1 calendar year '24 declined by 1.1% over CPLY but the growth in steel demand continues to be negative. As per WSA, the same is expected to contract by around 1 % in 2025.

Also, the steel growth in European Union remains the region with the biggest challenges. Multiple factors like geopolitical shifts, high energy and commodity prices led to a substantial 10% decline year -on-year. The region is however expected to recover in coming years with a growth of 2.9% and 5.3% in '24 and '25, respectively. The overall growth in demand is poised to turn positive with WSA forecasting a 1.7% and 1.2% growth in steel demand during '24 and '25, respectively, with countries like India, Russia, Germany, France, etcetera , driving the growth.

Indian steel industry has consistently been growing in terms of production as well as consumption numbers in the past -- in the post -COVID area. During H1 '25 as well, crude steel production as well as finished steel consumption has grown by around 5% and 15%, respectively. As per the WSA, India remains one of the strongest drivers of demand for steel since 2021, and projected to grow at more than 8% in near future. Indian steel demand will continue to charge ahead driven by continued growth in all steel using sectors and especially by continued strong growth in infrastructure investment.

With the price of imported coal declining of late, the industry can al so give a sigh of relief on the cost front. However, with prices of steel softening in the international market, this may impact the margins for steel plant.

` The company's performance for the quarter is that crude steel production stood at 4.683 million tons, whereas saleable steel production stood at 4.182 million tons. Saleable steel sales volumes stood at 4.012 million tons, registering a growth of 3.3% over CPLY. In fact, the domestic sales have grown by 5%, but exports have registered a substantial decline. The turnover stood at INR23,764 crores due to decline in the price realization. On the profitability front, the company registered an EBITDA of INR2,420 crores an improvement of around 16% over CPLY of INR2,090 crores.

In the area of operational efficiency, the company has been making steady progress for reducing coal -coke consumption increasing the use of CDI, bringing down the specific energy consumpti on and improving BF productivity. Continuing with the drive towards improving the product mix, the proportion of semis in saleable steel production stood at 15% by engaging conversion services in and around the plant and the demand sector, and the percenta ge share of semis in sales has been lower at 7%.

Going forward, the boost from the various measures being taken by the government on infrastructure spending orders well for the steel demand in the country with the overall outlook positive for the sustaine d growth in domestic consumption. We are hopeful of the realization and consequently the margin will improve for the company in the quarters to come. As mentioned earlier, the company is making all out efforts to bring down the cost by diversifying the sou rces of coal, improving the techno -economic parameters, etcetera .

With these words, I hand it over to Mr. Kejriwal for opening the Q&A session. I'm sure you all have lots of queries on the performance.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Amit Dixit from ICICI Securities.

Amit Dixit: I have two questions. The first one is on your coking coal cost. What was the cost in this quarter? And how much decline do you expect in Q2? That was the first question.

Anil Tulsiani: Yes. The coking coal cost during this quarter, actual

ly, we have got the imported as well as the indigenous component of that. The imported coking coal was in the range of around about INR24,500 per ton landed a t our steel plant and the indigenous was around INR13,500 per ton. So the average is working out to around about INR23,000 per ton.

Amit Dixit: Okay. And what is the expectation for Q2, sir?

Anil Tulsiani: It should be in the similar range because what is happening is that not much of a fluctuation is taking place and whatever coal we have purchased in the first quarter, it will be consumed in the second quarter. So it should be more or less in the similar range.

Amit Dixit: Because some of your peers actua lly have guided for roughly $30 to $40 decline. So that's why I was wondering that why it would be in the similar range for us? Whether it is due to inventory effect or I mean, the different procurement policy maybe?

Anil Tulsiani: Yes, it's that. And ther e is just one thing that I have got some extra stock of coal, lying out here. So I'll be consuming that. So it's -- during the first quarter. So it will be, I think, more or less -- it will be in the more or less in the same range.

Amit Dixit: Okay. The se cond question is around debt. If I look at debt that has actually went up significantly compared to last quarter. And I also assume that finished product inventory also would have gone up. So whether the -- most of this debt is due to the working capital? And if so, when can we expect this unlocking of working capital? And also if you could highlight the finished product inventory as on date?

Anil Tulsiani: Actually, the debt has gone up by around about INR5,000 crores during this quarter. The main reason i s, as I was telling you that we have accumulated some coal stocks. Actually, we had some long -term agreements with some of the coal miners and they were having their shutdowns during the second half of this financial year. So we had to take some stock in advance from them. So that has had an impact. So this, we will be gradually bringing it down. And our levels are normally at 30, 35 days of stock level, which is that. So it will come down

by, you can say, December or January. So this will surely help us in reducing our this thing -- our borrowings because we'll not have to pay for the coal for -- we'll have to pay less for the coal in the coming months.

Yes, the inventory of finished steel as well as semis has gone up. The finished inventory has gone up by -- has not increased much -- but the inventory of semis has gone up by around about, you can say, by roundabout -- you can say 0.5 million tons it has gone up. So this is a matter of -- actually, what has happened is in our Bokaro Steel plant, we had a shu tdown for our hot strip mill. So -- but we did not stop the production because we kept that slab. We started producing, we kept the slabs in our stock. So this slabs will be liquidating now gradually. So this has an impact also. So basically, if you see th e finished steel inventory, finished and semifinished steel inventory has gone up around about INR1,000 crores in this quarter itself.

Amit Dixit: Okay. And what could be the finished product inventory in million tons as of now?

Anil Tulsiani: The finish -- It is at 1.84 million tons.

Moderator : The next question is from the line of Rohan Vora from Envision Capital.

Rohan Vora: The first question was under semis mix and how to see that going forward because it was around 13% in this quarter. So how do we plan to bring it down? Or what is the outlook on that?

Anil Tulsiani: The semis will remain at almost at the same levels. It will not come down drastically. The only thing is that our basic target is to maximize conversion through our conversion agents and wet leasing agents. So this we'll be doing it. But I don't see much of a reduction in the percentage

of semis.
And the expansion which we are planning, we will have -- we are planning a few more mills. We are having TMT mills at Durgapur Steel plant. Then the Saleable now will come down to more or less, you can say when -- you can say, it will not be there at all.
Rohan Vora: And what would be the timeline for that?
Anil Tulsiani: That's the timeline of around about 3 years. 3 to 3.5 years.
Rohan Vora: So in 3 years, semis will be negligible is what you're saying?
Anil Tulsiani: It will come down to -- you can say, virtually zero level.
Rohan Vora: Got it. And sir, I was also seeing the mix of value -added products have gone up in this quarter. However, on t he mix side, when we report our bridge for the EBITDA, we see a negative on that. So how to look at that?
Anil Tulsiani: Actually, see, what has happened is that adverse variance, whatever has been shown, that impacted basically because of Bokaro. Bokaro, we had this -- the hot strip mill had not worked for, you can say, most part of the quarter. So that said, the volume mix, the mix has changed.

Rohan Vora: Got it. I was referring to the value -added mix that you reported. So you've reported a value -added m ix of around 55.2% in Q1. And still the mix is negative on the EBITDA bridge. So can we connect these and how to see that?
Anil Tulsiani: See, that is on the volumes. Volumes are -- it's basically a combination of volume and mix. So volumes have come down. You are probably comparing with Q4 of '24. Isn't it? 2023 -24?
Rohan Vora: Yes, sir.
Anil Tulsiani: So basically, what happened in the last quarter, the volumes are substantially high as compared to the first quarter. So it is mainly because of volumes.
Rohan Vora: Okay. Mix has positively contributed is what you're saying.
Anil Tulsiani: Yes.
Moderator: The next question is from the line of Kirtan Mehta: from Bank of Baroda Capital Markets.
Kirtan Mehta: This quarter, we are reporting a coke rate at 428 kg, versus 440 kg of average in FY '24. What is the driver for this reduction in coke rate? And will this remain at this level? Or will it move up again?
Anil Tulsiani: Come again with your question?
Kirtan Mehta: In our slide pack, we are showing the coke rate at 428 kg during Q1 versus 440 kg in FY '24. So what is driving the reduction in coke rate?
Anil Tulsiani: See, there is one more thing that our operational efficiencies are improving. We are emphasizing more on better quality of iron ore also. And b esides that, we are also -- the CDI rate is also going up. So , the CDI rate -- the moment the CDI rate goes up and this thing, your SC quality improves. So , we get a better coke rate then in these cases. And we are planning a further reduction in the coke rate in these coming months and with an improved quantity of CDI push.
Kirtan Mehta: In terms of the CDI rate shown on the slide has remained more or less like from 106 to 107. So, there was a sort of proportionate change in the CDI rate, but coke rate had gone down. I mean that's the reason I was asking the question.
Anil Tulsiani: See, can you come again with your question, please?
Kirtan Mehta: I was saying that in terms of the CDI rate has remained sort of more or less similar between Q1 and FY '24. It is shown as 107 versus 106 in Q4 FY '24. But despite that, the coke rate had come down. So is it more due to the better quality of SC, as you were saying?
Anil Tulsiani: It is because of better quality of SC, and better and improved efficiencies in the blast furnaces also. Like no oxygen pushing and all also helps to a very large extent and bringing out the operational efficiency.

Kirtan Mehta: And what would be the target for this year?
Anil Tulsiani: This year we have targeted 440, but we may not be ab

le to achieve that. We may not be here.
But I'm sure that another you can say 6 to 8 kg of coal will be during the balance period.
Kirtan Mehta: Right -- and what about the CDI rate?
Anil Tulsiani: CDI will go up. Because CDI basically, we were -- we have got new sources for supply of CDI. So the CDI portion will increase in the coming months. So that will also increase by at least 10 to 12 Kgs.

Kirtan Mehta: One more question was what are the sort of the capex fees which are running, which could have a benefit either increasing the volume or sort of the big volume mix. So in terms of the caster that we are adding at couple of locations or the TMT bar could you sort of run us through all the projects which are ru nning currently? You are under execution currently?
Anil Tulsiani: See, basically, we are -- we have got our capacities around 20 million tons. But we are going to have some de -bottlenecking schemes. I can just give you a few examples like with the blast furnace 3 of Durgapur. That is going to be revamped and that will give us higher volumes. Similarly, the casters are coming up in Rourkela and Bhilai. And these will be also giving us higher volumes.
So these things have been added so that with the some modifications in the existing system or adding certain capacities in certain areas where there was some bottlenecks, they are trying to bring it up. So we are planning to bring it up by 3 million tons in the next 3 to 4 years by putting in something like INR10,000 crores to INR11,000 crores of impact. So these are basically action plans for like increasing the capacities by investing the least amount.
Kirtan Mehta: And when are the casters at Rourkela and Bhilai be? When are we targeting it for completion?
Anil Tulsiani: Bhilai has already done, and it is under trials. And Rourkela, it is 2 years down the line.
Kirtan Mehta: Right. And what about BF -3 revamping at Durgapur?
Anil Tulsiani: Yes, BF -3, we'll be placing the order for that, and I think it is 18 mont hs from the placement of...
Kirtan Mehta: Sure. And in terms of the two new sort of the revamp of the plants proposal that we are progressing. Is there -- where we are working on the DPR and sort of we finalizing the cost estimates. Could you gives us a bi t more insight into -- what is the progress been during the quarter?
Anil Tulsiani: One particular plant, IISCO plant, already the Board has accorded stage 1 approval for that. And it is that -- it's a 4 million ton plant, and the total investment will be around INR37,000 crores. And the other 2 plants which are there, they are basically brownfield expansion in which Bokaro is going to be ramped up to 7 million tons. And Durgapur, we'll be going up by around about, you can say 1 million -- around 1 million tons. So these 2, they are still at discussions table, and they will be put up to the Board shortly. We are just looking into it

because the cost given by the consultant appears to be on the higher side. So we are having it evaluated again.
Kirtan Mehta: And for IISCO steel plant, when are we targeting to go to the Board for the Stage 2 approval?
Anil Tulsiani: Actually, Stage 2, I think it will -- the tendering will start now very shortly. And the moment we freeze the major packages for the BOF and BF and SMS -- so the moment we finalize these packages, we'll come back to the Board.
Moderator: The next question is from the line of Sumangal Nevatia: from Kotak Securities.
Sumangal Nevatia: I joined the call late, so please excuse if it's a repeat. Is it poss ible to share what was the blended NSR for 1Q? And how are we looking at 2Q based on how the July month has gone by?
Anil Tulsiani: Yes. The NSR for Q1, it's in the range of INR53,700. Going forward, like we are -- it has declined further in the month of J uly by, you can say, around about INR500

to INR600. And
there is a further reduction in the month of August also.
Sumangal Nevatia: Sir, was August around INR1,000 or INR1,500 decline or more?
Anil Tulsiani: It could be in that range or maybe slightly more than that also.
Sumangal Nevatia: Okay. So , from the average somewhere around INR1,500 to INR1,000 to INR1,500 for 2Q, it looks like based on July, August?
Anil Tulsiani: I think so. I think so .
Sumangal Nevatia: Sir, on the coking coal, you're saying flat. Is it possible to share what is the cost in 1Q. And given the declining trend, why are we expecting flat prices in 2Q?
Anil Tulsiani: See, what is happening is, as I had explained earlier, that we have accumulated some stock of coal. They are importe d coal during this April to June because some of our suppliers had some issues of supplying in the second half of the financial year. So , we have accumulated the stocks. So , we'll be basically that is the more or less the stock of the -- whatever is the st ock rate in Q1, it will probably be in the Q2 also because we'll be basically liquidating that stock, which we have already accumulated.
Sumangal Nevatia: Understood. So , is it possible to share the net debt number as on 1Q end?
Anil Tulsiani: Q1 was INR35,659 crores.
Sumangal Nevatia: And I mean what would be the reason behind the sharp increase? Is it largely working capital buildup?
Anil Tulsiani: Yes. It is basically working capital build up. As I explained earlier, it was basically we got some accumu lated coal out here. And moreover the inventory has also gone up to some extent.

So these are the two major reasons, because of this -- and we expect to bring it down in the balance period of...
Sumangal Nevatia: So is it possible to share net debt number because this, I believe, is gross debt, right?
Anil Tulsiani: It's the same thing. We don't have much of cash in hand.
Sumangal Nevatia: Okay. Roughly the same. Okay. And sir, just one last clarification in the previous question you answered, some 4 millio n tons for INR37,000 crores. I did not get that. Is it possible to share what exactly the expansion and the cost estimate?
Anil Tulsiani: Okay. So basically, we are having a flat product plant out there which will have blast furnaces -- which will have 1 l arge blast furnace. And along with that, the steel making dealers and hot strip mill. So these are the major three facilities. Besides that, all the raw material handling plants and the evacuations, all those things taken together, plus the power supplies and other things. Even I think on pellet plant is also there. So putting all these things put together, it's working out.
Sumangal Nevatia: So this number is right? INR37,000 crores for 4 million tons?
Anil Tulsiani: Yes, for 4 million tons. This includes all the hard and soft cost. We are talking about EDC -- expenditure during construction, whatever we have got the consultancy, that interest during construction. So it includes all these elements also.
Sumangal Nevatia: Okay. Sir, I mean when -- I mean a f ew of the other peers are expanding brownfield, the capital cost is around $600. -- ours is around $1,100, $1,200. So , what are the key reasons behind such higher cost even for brownfield expansion? And then what sort of....
Anil Tulsiani: I think this is not a brownfield expansion. If you see. This is not at all a brownfield. This is absolutely a new plant, which is being set up outside.
Sumangal Nevatia: Okay. So is the land and...
Anil Tulsiani: Because at the moment, IISCO is around the 2.5 million to 2 .8 million ton plant. It's a long product plant. So , in the area which is available, we are going in for these facilities. But everything can be new for this.
Sumangal Nevatia: Okay. And sir, what is the capex guidance? When do we start spending for this?
Anil Tulsiani: This

-- we will be going on for the tendering activities for this very shortly, maybe in a month or 2. And finalizing it should take around about 6 to 8 months. And then after that, you can say the capex guidance for this will be from -- the initial payments can be from the end of '25. And I am taking about calendar year '25. And the majority of the expenditures will st art coming in from you can say 2027 -28.
Moderator: The next question is from the line of Kunal Kothari from Centrum Broking L imited.

Kunal Kothari: Sir, firstly, can you give a breakup on the NSR of long strip price and HRC price? And how much in that segment as we have seen fall in 12 months -- in last month and in August?
Anil Tulsiani: Yes. In the long segment, the NSR was in the range of, you can say, around about INR54,000 crores. And in the flat, it was INR53,500 crores. Then the average was coming to around about INR53,700 crores.
Kunal Kothari: And in both how much fall we have seen in July and August?
Anil Tulsiani: July, there has been a dip of round about, you can say, INR700 crores to INR800 crores in case of long. And in case of flat, it has been around about INR1,500 crores.
Kunal Kothari: Okay. Okay. Sir, any medium -term outlook you can provide on the pricing front, like from this price front, how you see the price to go from here?
Anil Tulsiani: You see July and August has been ba d. We expect at least with some infrastructure expenditure being pumped in by the government, the long segment should start looking up. Flats, there is a challenge because there are some imports also. So those imports percentage is very low, but it is pulling down the overall price in the market. So let's hope that there is something -- some bright spot in the future for the flat also.
Kunal Kothari: My second question is in regard of capex . So, what expectation one can build on the total capex in FY '25, '26, '27 per year basis?
Anil Tulsiani: For FY 2024 -25, we have projected around about INR6,000 crores. It's actually INR6,300 crores, which we have given to the ministry. And the expenditure in the coming year also will be in the similar range around about INR7,000 crores or something. The real jump in the capex will come from, you can say, 2026-27 onwards.
Kunal Kothari: Okay. And lastly, sir, there are reports about the merger between RINL NMDC steel with SAIL, any assessment of yours in these reports, sir?
Anil Tulsiani: We are not aware of it.

Moderator: Next question is from the line of Rashi Chopra from Citigroup.
Rashi Chopra: Sir, just to clarify on the pricing correction, the INR700 crores, INR800 croresin long and INR1,500 crores flat. That's the July correction. Is it?
Anil Tulsiani: Yes, that's the July.
Rashi Chopra: In August, what is that number for long and f lat?
Anil Tulsiani: You can say another dip of around about INR1,000 -odd crores maybe more than that also, INR1,500 crores odd in the long products and similar thing in the flat products.

Rashi Chopra: So -- and during this quarter, essentially, as in the quarter has gone by, flat prices almost flattish sequentially, but long witnessed the correction. And ongoing both are witnessing a correction.
Anil Tulsiani: See, already, there has been a fall off quite a lot in these 2 months. So if you see the quarter, I don't think there will be any improvement over the previous quarter. It has to be lower than the previous quarter.
Rashi Chopra: Sorry, just to be clear, my question was the first quarter number that you reported, that was anywhere down on a quarter -on-quarter basis? For the long and flats are largely sort of flattish, right? On the -- on the capex side, what was spent on the first quarter?
Anil Tulsiani: On the capex side, the expenditure in the first quarter?
Rashi Chopra: Yes.
Anil Tulsiani: It's INR986 crores.
Rashi Chopra: Okay. And the expansion at the IISCO you said it will 4 million tons and what you're evaluating at Bokaro and Durgapur, they are both around 1 million tons each?
Anil Tulsiani: No. Bokaro, it's nearly 3 million -- 2.4 million tons. And Durgapur, it is around 0.9 million tons. So it will go up to around about 3 -odd, 3 plus million tons. See Bokaro will go up to 7 million, and this will go up to 3 million tons, Durgapur 2.1 million tons.
Rashi Chopra: And just 1 last question, what a re your volume targets for this year? Has there been any change in what you said last time around ?
Anil Tulsiani: Volume target for this year, we are planning a crude steel production of around 20.87 million tons and sales volume of around about 19.26 mill ion tons.
Moderator: The next question is from the line of Abhishek Poddar from HDFC Mutual Fund.
Abhishek Poddar: Two questions on this expansion. First is regarding the funding. If we look at you're already sitting on a debt of INR35,000 crores, and the capex for this you highlighted is INR37,000 crores -- and if you look at your annual cash flows also today, given the sustaining capex of INR6,000 crores to INR6,500 crores and then the interest payment on the debt -- it doesn't leave a lot of cash flows l eft. So how would you fund it? And would it leverage your balance sheet a lot in 3, 4 years' time frame if you continue with this expansion?
Anil Tulsiani: Yes. Actually, when we had made an earlier projection, we had worked it out that we'll be giving aro und 1 lakh crores for all our expansion with 15 million tons expansion. But -- and then we had worked out the cash flows -- and you were seeing that we will probably -- at any point of time, you will reach the highest of 1.1 debt -to-equity ratio.
But now w ith the current market, we'll again have to work it out how we are going to end up maybe probably what is going to be the debt equity ratio and how much further funds will be required. We'll have to have a recalculation of that.

Abhishek Poddar: Okay. Sir, any sense of peak debt you could see in the next 3, 4 years? What number would it be?
Anil Tulsiani: We have not assessed that immediately. And again, I was telling you, because of this change d scenario where suddenly these prices have come down and the margins have come down. So we will have to hear on work on that actually.
Abhishek Poddar: Right. But irrespective of market conditions, you will continue with this expansion?
Anil Tulsiani: Yes. We are continuing with this expansion.
Abhishek Poddar: And sir, any IRR or payback analysis we have done for this Bokaro plant for INR37,000 crores.
Anil Tulsiani: It's IISCO plant and we have made an analysis. It's quite favorable. I think it's 18% -- 18% is IRR.
Abhishek Poddar: Okay. And what steel price assumption is building in that number, sir?
Anil Tulsiani: The assumptions were again -- were given earlier of the steel prices which are prevailing in the last average of last 3 years. We have considered back and worked it about -- and the other things which you have assumed is some stamp charge battery where the price of input coal will

be reduced to a large extent -- and a lot of other techno -economic improvement parameters, which hasn't worked into it.
So, it's based on that. Of course, latest technology has been taken, so we'll be benefiting on that. But we ju st have to work it out again, before we're going for the Stage 2 clearance of the project.
Abhishek Poddar: Understood. And sir, just last question. Any sense on this Durgapur and Bokaro capex . This 3.5% total will be how much?
Anil Tulsiani: See, there wa s an indicated figure driven by the consultants, and we were not too happy with it. So , we have sent back to the consultan

ts with the current guidelines of reworking on that.
So, nothing is concrete at this point in time.
Moderator: The next question is fr om the line of Pallav Agarwal from Antique Stockbroking Limited.
Pallav Agarwal: So just want to check, are there any implications due to the recent Supreme Court judgment on the states having the power to levy say so, because in the annual report of last year, I couldn't really find any major contingent liability. So is there any provisional impact that could have on us?
Anil Tulsiani: See, there are certain state -related taxes, which we are already paying. That is in Chhattisgarh and Madhya Pradesh. And i n case of Jharkhand, we have recently announced that they'll be imposing INR100 per ton -- per ton for iron ore and coal.

This is going to have a prospective effect of around INR150 crores to INR100 crores -- you can say, under INR200 crores. I mean in case of Odisha, we are having , we also have our mines . There's no clarity as well. So we are just waiting for further clarity on them.
Pallav Agarwal: Okay. So because we saw -- the other steel companies and mines in Odisha, they have been providing for the continue liability for many years now, so which is not there in our books of accounts or...
Anil Tulsiani: No, it is there, I think, modest there . There was earlier in case of Odisha, they had the goals of 15% tax on the ore which w as being extracted from there. But then I think that ruling went in our favor. So we did not provide any contingent liability thereafter. And after that, there has been no claim by the Odissa government, nor have they have gone further litigated the thing.
So we don't have anything much on that count.
But yes, we do not know what is the final direction which will be given by the Supreme Court.
So based on that, we will have to assess our liabilities or if there is any other thing we will have to assess that at a later stage.
Pallav Agarwal: Sure, sir. So also even you mentioned that we have some coking coal inventories. So benefits will not flow in the next quarter. But Q3, maybe we can see some reduction in coking coal?
Anil Tulsiani: Yes, Q3, there will be a reduction of around about you can say -- But then again, it depends on the supply or the rates which are being finalized in this August, September quarter -- in this August, September month. So , it will then that will flow into the third quarter.
Pallav Agarwal: If you assume that spot rates sustained, then we should see some benefit in the...
Anil Tulsiani: Yes. Some benefit.
Moderator: The next question is from the line of Rajesh Majumdar from B&K Securities.
Rajesh Majumdar: So sir, my first question was that normally 2Q bounce on quarter is a weak quarter for the industry. But last year also we saw decent volume in 2Q. Now with the recent price correction do you effect the system to build up inventories and the volume can actually be much better than Q1. That was the first question, sir?
Anil Tulsiani: Yes. The volume should be better than Q1 especially when our Bokaro plant has also now come up. So the volumes will start flowing from there, too. And yes, always you must have seen in the industry that Q1 and especially sales is no exception, that Q1 is normally not very good. And this year also, it has not been too good mainly because of Bokaro because of which we had substantial impact on our profitability. And then we also have to take a hit of around about INR300-odd crores this year for some exceptional items. So that is the main reason where to our EBITDA is good, but our PBT and PAT are lower.
Rajesh Majumdar: Yes. And sir, my other question was that we have been carrying sub -grade iron ore fine inventory for some time. And currently, the market -- with the current condition, there is a

strong demand for this so do we expect to realize some extra sales from this in the coming quarters?

Anil Tulsiani: Yes, we will see if we get a good price for it. I t's not that we are in any hurry to sell it off. Because we have a lot of plans for this sub -grade fines besides selling them off we have got plans of using them in our steel plant also because though we can say, though we are being told -- though we alway s mentioned that it's sub -grade fines but the quality of these fines is very good.

It's more or less equal to what has been mined now. So this is that -- besides that, we have got plans for setting up pellet plant. We are also having plans of setting of pe llet plants on COM basis. So these signs will be utilized by us also.

Rajesh Majumdar: Yes, just a follow -up question. When are the pellet plants and what capacity will like to come up over the next couple of years?

Anil Tulsiani: We have -- you can say no t in the next couple of years. But I think the COM Plant will be set up, you can say, 2, 2.5 years -- 2 years' time or 2.5 years. We have our own plans of setting up a plant at Gua Ore Mines , a pellet plant at Gua Ore Mines of 4 million ton. So this should take around of 3.5 to 4 years from now.

Moderator: The next question is from the line of Somaiah V from Avendus Spark.

Somaiah V.: Just want to understand a bit on the coking coal cost front, so this INR25,000 per ton, which you are referring roughly comes to around $300 per ton. So, is that the carrying cost one for this quarter? And also if I go back last 2, 3 quarters, this number the import price that you're referring to is more or less flat around INR25,000, INR26,000 per ton, but international benchmarks have come off. Just want to understand on that.

Anil Tulsiani: See, basically, what is happening is this is the price landed at our steel plant. Okay so there are some other c osts in all like there is customs duty involved. And besides that, there are handling costs at the port and the transportation cost. So all these are included while we're intimating you the landed price of imported coal at our plants.

Somaiah V.: Understood, sir. I was looking more from the la st 2, 3 quarters, this number has been more or less flat, INR24,000, INR26,000 and INR25,000. But generally, the coking coal International benchmark prices have come off.

Anil Tulsiani: No, but I don't think -- see, what is happening is I'm just seeing the figures which I have got with myself. The Q4 figures were INR26,500 and now it's INR24,500. This is a landed price at our steel plant. So there is a reduction of around about INR2,000.

Somaiah V.: Understood, sir. Got it. Sir, also on the domestic coking coal that you said, so the current mix would be roughly 15%, 20% of your total requirement? Is that right understanding?

Anil Tulsiani: Yes.

Somaiah V.: And is there any limitation in terms of how much we can use t his or blend this to what extent we can go ? And also what is the scope for increasing -- I mean, in terms of production or I mean or taking intake of this domestic coal, will it kind of go up in the next 2 quarters thereby helping us a bit on the cost front?

Anil Tulsiani: See, we don't -- we can go up to round about 25% also. But the only thing is that the availability of the coal is not there. And for this, we have already taken a very big step, like we have our own mines, Tasra mines. So these mines will be developed a lo t. We have already given -- awarded the job to an MDO. And these mines will start -- this mine will start producing. It's already started producing limited quantities and we expect around about 4 million tons per annum of production from this. So this will work out you can say around about 2 million tons of coking coal that will be given -- that will be ava

ilable to us in the future from this particular mine.

Moderator: Next question is from the line of Shweta Dikshit from Systematix Group.

Shweta Dikshit: I needed the clarity on debt. If I'm not mistaken, I think the FY '24 closing net debt was around INR35,000 crores, was it -- and this number that you've given today INR35,659, is it as of FY '24?

Anil Tulsiani: No, no actually. I would just clarify that i s Ind As and this is Non Ind As what we are talking. It was INR30,000 crores. At the end of the financial year, as of 31st March, it was INR30,593 crores, which has now gone up to INR35,659 crores.

Shweta Dikshit: All right. Sir, any target by the end of t his year? Because last year, I think the target was to bring it to around INR22,000 crores or INR23,000 crores kind of a number, but any target that you're setting for this year?

Anil Tulsiani: We are trying to bring it down to the INR30,000 crores level. See, with the liquidation of the stock, we will be getting at least INR3000 crores to INR4,000 crores from there. And besides that, of course, cash realized will be much better in the coming 9 months. So we expect it to come down to at least INR30,000 cror es by the year.

Shweta Dikshit: And I missed the number, what is the expansion plan which is under discussions for Bokaro right now?

Anil Tulsiani: For Bokaro, we have only given you the figures . For ISP, IISCO steel plant, it is INR37,000 crores. The figures for Bokaro and Durgapur, they are being re worked .
Shweta Dikshit: No, no, not the capex volume wise, like you mentioned Durgapur 0.9 million tons and Bokaro?
Anil Tulsiani: Bokaro should be 2.4.
Moderator: The last question is from the line of Falguni Dutta: from Mansarovar Financials.
Falguni Dutta: My question has been answered.

Moderator: Ladies and gentlemen, that was the last question for the day. I now hand the conference over to Mr. Ashish Kejriwal: for closing comments.
Ashish K ejriwal: Yes. Thank you, and thank you, everyone, and many thanks to, sir, for giving patient answers to all the questions. Sir, my only last question was on account of our expansion at IISCO. Even if greenfield plant, if we consider, normally, we consider INR7,000 crores per ton. But in case of IISCO despite having land, we are having 4 million -ton at INR37,000 crores, which is more than INR9,000 crores per ton. So anything specific or extra what we are doing with others are not incorporating the numbers -- or it seems to be very, very high.
Anil Tulsiani: See, we haven't yet gone in from the tendering part of it. Okay. And see, what happens is when we talk about others, they don't have these -- I do not know how much of the expenditure during construction. So, what happens is the entire project salaries and all they are put into the cost of the project. So , these are there. And the fact that there is just 1 figure which we have got -- that's for 1 million tons, it's $1 billion. So basically, if you see, it was around INR34,000 crores to INR35,000 crores.
Ashish Kejriwal: Okay. Okay. Fair enough. And best wishes for future. Any closing remarks, sir, you want to give?
Anil Tulsiani: I thank all my -- all the investors for reposing faith in us and I'm hopeful t hat they shall continue to do so in future also. Thank you.
Moderator: On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

ASTEEL AUTHORITY OF INDIA LIMITED
CA-17(44)/2024-25 13^*^ November, 2024
- The General Manager (MO) The Asstt. Vice President
Bombay Stock Exchange National Stock Exchange of India Ltd.
Through BSE Listing Centre Through NEAPS
th
Sub: Transcript of conference call held with Analysts & Investors on 8
November, 2024. ~
Ref: Regulation 46 of SEBKLODR) Regulations. 2015: (Security IDrSAIL).
Dear Sir,
This is in continuation to our letter No.CA-17(44)/2024-25 dated 8"^ November, 2024,
intimating the link to the Audio Recording of the Conference Call held on 8"^ November, 2024.
Transcript of aforesaid Conference Call is attached herewith.
Thanking you,
Yours faithfully,
For Steel Authority of India Limited
(M.B .Balakrishnan)
ED(F&A) & Company Secretary
End: As above

"Steel Authority of India Limited
Q2 FY '25 Earnings Conference Call "
November 08 , 202 4

MANAGEMENT : MR. ANIL TULSIANI – DIRECTOR FINANCE – STEEL AUTHORITY OF INDIA LIMITED

MODERATOR : MR. ASHISH KEJRIWAL – NUVAMA INSTITUTIONAL EQUITIES

Moderator: Ladies and gentlemen, good day, and welcome to Steel Authority of India Q2 FY '25 Earnings Conference Call hosted by Nuvama Institutional Equities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on y our touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ashish Kejriwal from Nuvama Institutional Equities.
Thank you, and over to you, sir.
Ashish Kejriwal: Thank you, Yusuf. Good afternoon, everyone. On behalf of Nuvama Institutional Equities, we welcome you all for Q2 FY '25 Conference Call of Steel Authority of India. We are delighted to have Mr. Anil Tulsiani, Director of Finance, along with his team for t his call. And I would like to thank the management for giving us an opportunity to host this call.
Now I will request Mr. Tulsiani for his opening remarks. And thereafter, we will open the floor for Q&A. Over to you, sir.
Anil Tulsiani: Thank you, Mr. Ash ish. Good afternoon, everyone. I welcome all our investors and analysts, who are joining this results con call for the financial results of SAIL for the period Q2 and H1 financial year '25. Though I'm sure most of you would have already seen the results on the

website of the company and stock exchanges, I would briefly run through the same for the benefit of the house.

First, I will deliberate on the world economic scenario. The global economy has been reeling under the impact of several factors like high inflation and consequent monetary tightening policies to counter the same , rising geo -political uncertainti es, supply chain disruption, etcetera. The scenario has, however, been showing a gradual improvement with headline inflation moderating leading to ra te cuts by major central banks.

While this will support growth, economies need to watch out for downside risks like resurgence of monetary volatilities and deeper slowdown in China. These have led to revisions in the projections for global economic growth . IMF, in the World's Economic Outlook released during October '24, has retained the projections for 2024 at 3.2%, but the same has been revised downwards to 3.2% during 2025 f rom earlier projection of 3.3%.

The projection for emerging and developing econ omies are set to decline in 2024 and 2025 to 4.2% as compared to the estimates for 2023 at 4.4%. On the other hand, the advanced economies see a marginal improvement in the projections for the two years at 1.8% compared to estimates for 2023 at 1.7%.

Now coming to the Indian economy, the Indian economy has also been impacted on global cues with the GDP growth for Q1 FY'25 being estimated at 6.7%, down from 8.2% achieved during FY '24. However, bolstered by the strength of policy frameworks and increasing

demand, it continues to fare much better than its counterparts. India has countered the forces of inflation better than other economies, thereby maintaining relative stability in the domestic market.

The sustained momentum in manufacturing and services, hi gher frequency of investment activity, government's continued thrust on infrastructure development, expansion in steel consumption, improved prospects in private consumption have all pointed to a robust outlook. The projection by major agencie s like RBI, W orld Bank, IMF, et cetera ., the economy is poised to grow between 6.5% to 7.3% over the next 2 years, helping it maintain its position as one of the fastest growing amongst the major economies.

Coming to the world steel scenario. The slowdown in China, this is the biggest producer and consumer

of steel, has led to major impact on the performance of the global steel industry. The demand for Steel in China has been particularly impacted as investme nts in the Real Estate sector has been consistently coming down. The demand for steel is estimated to be 3.3% lower in 2023 than previous year and expected to remain negative at 3% in 2024 and 1% in 2025. Meanwhile, the production in the country has also come down by 3.6% during Jan to September '24 over CPLY. The surge of exports from China has dented the international prices in a big way. And the performance of the industry in general and SAIL in particular has been impacted significantly on the back of international price trends.

The developed world is projected to experience a 2% decrease in steel demand in 2024, as major steel using economies like the U.S., Japan, Korea and Germany face significant declines. At the same time, the demand growth for ste el in the European Union also remains a big challenge. The demand is set to decline by around 5% in 2024 and by 0.7% in 2025.

The overall growth in demand for the world is poised to remain negative by 0.9% in 2024 before turning positive at 1.2% during 20 25, respectively, as countries like India, Germany, Brazil, U.S. and Japan will drive the growth.

Coming to the Indian steel industry. Despite all challenges, including the softening of the steel prices, Indian steel industry has consistently been growin g in terms of production as well as consumption. During H1 '25 as well, crude steel production has grown by 3.6% over CPLY. At the same time, finished steel consumption has grown by 13.5% during the period over CPLY.

As for WSA, India has emerged as the strongest driver of demand for steel since 2021 and projected to grow at more than 8% during 2024 and 2025. Indian steel demand will continue to charge ahead driven by the continued growth in all steel using sectors and especially by continued strong growt h in infrastructure investments.

The top line and bottom line for Indian producers have been impacted as the prices declined consistently till August 2024 . As there have been signs of prices strengthening, especially for long products, especially after th e monsoon season , the industry is hopeful of better results in

the coming quarters. With the pricing of imported coal also remaining in check, the industry can also heave a sigh of relief on the cost front.
Now coming to the performance of the company for the half year. The company -- the performance of the company during H1 '25 stands as follows. The crude steel production is at 9.457 million tons, which is similar to CPLY of 9.47 million tons. Saleable steel sales volume at 8.108 million tons registered a decline of 6.3% over CPLY of 8.651 million ton s.
The percentage decline in the domestic sales has been lower at 4.5% to stand at 8.063 MT. With the NSR declining by around 5%, the turnover fell by nearly 10% over CPLY to stand at INR48,262 crores. On the profitability front, the company registered an EBITDA of INR5,593 crores, PBT of INR1,127 crores and PAT of INR844 crores.
With the concerns of rising borrowings, we are happy to share that the borrowing stands at a similar level as compared to Q1 financial year '25. Borrowings at the end of Q2 financial year '25 stood at INR35,596 crores. In fact, the borrowings during August peaked to INR39,163 crores, and since then, it has been reduced by almost INR5,000 crores, and it stands at INR34,224 crores at end of October 2024.
In the area of operational efficiency, the company has been making st eady progress for reducing coal/coke for consumption, increasing the use of CDI, bringing down the specific energy consumption and improving BF productivity. SAIL is undertaking various drives towards decarbonization in 3 Phases . With the first phase having brought down th

e specific
CO2 cons umption by almost 20% , the company is now gearing up to bring it down by 12% to 2.19 tons per ton of cr ude steel by financial year 2030 -31.
Continuing with the drive towards improving the product mix, the proportion of semis and saleable steel production stood at around 16%. By engaging conversion s ervices in and around the plant/ demand sectors, the percentage share of semis in sales has been lower at 9%. Order for a Bar Mill of 1 MTPA capacity at the Durgapur Steel Plant has been placed, which will furthe r reduce the percentage of semis.
Going forward, the boost from the various measures being taken by government on infrastructure spending augurs well for steel demand in the country. With the overall outlook positive for the sustained growth in domestic c onsumption, we are hopeful of the realization and consequently, the margin will improve for the company in the quarters to come.
With these words, I hand back to Mr. Kejriwal for opening the Q&A session. I'm sure you all have lots of queries on the perfor mance. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Amit Dixit from ICICI Securities.
Amit Dixit: I have 2 questions. The first one is around the rail price provision and the benefit of INR1,637 -odd crores that has been recognized in this quarter for prior periods. So just wanted to

understand what is the quantum of FY'23 towards rail price revision still left? And is there something for FY '24, if you can quantify it? And when do we expect to get the mone y for there ?
Anil Tulsiani: Yes. This rail price increase, whatever is there, it is based on -- see, there's a system wherein we have -- normally, the railway gives us an ad hoc price for the rail for a particular financial year. Subsequently, the cost is finalized by the CA Cost. And after that, based on that, we put up the recommendation of CA Cost for a discussion with the railways. So this is for 2022, '23, where earlier, our ad ho c price was around INR75,000 and the CA Cost has now revised to roundabout INR89,000. And the benefit of this is roundabout INR14,000 per ton.
Now in this particular quarter, we'll be submitting the cost for '23, '24 also to CA Cost. And probably by the e nd of this financial year, we will be able to assess what will be the pricing for the rate for '23, '24. Now I think I answered both your questions.
Amit Dixit: Sir, just a little bit of clarification now since for FY '23, there is a difference of INR14,00 0. We have already recognized INR1,637 -odd. How much is remaining now to be recognized for FY '23?
Anil Tulsiani: No, for FY '23, there will not be anything. There will be some -- there will be a couple of rounds of talks with the railways. And if this pri ce is agreed to, then we'll raise the invoices in line with this on the railways.
Amit Dixit: And when do we expect the cash inflow to happen?
Anil Tulsiani: It should happen in the -- probably from end of this quarter and will continue in the next quarter , the fourth quarter also.
Amit Dixit: And this will also reduce...
Anil Tulsiani: Sorry , will reduce now?
Amit Dixit: This will also reduce your leverage.

Anil Tulsiani: Yes. Sure, it will really reduce leverage.
Amit Dixit: Okay. The second question is around coking coal. So is it possible to let us know that -- what kind of coking coal reduction we saw in Q2? And what do we expect to see in Q3? Also, if you could highlight the realization uptick that we might see in Q3 based on the price increases taken so far?
Anil Tulsiani: In Q2, the pricing or the imported coal price, which we had, was at round about -- in the range of roundabout INR22,000. Okay. And if you see that in Q1, it was around INR24,000, so the average is coming to roundabout INR23,000 f

or H1. This is the thing.

And going ahead, we have got a projection of roundabout -- it is working out to roundabout INR20,000 in the month of October and November. But again, in the month of December, there may be a slight upward increase because the Platts and Argus indices are -- have increased a bit during these 2 months.
Amit Dixit: Okay. And what about realization, sir?
Anil Tulsiani: Realization, you want to know about the figures of October and November?
Amit Dixit: Yes.
Anil Tulsiani: October and November, the average realization has been in the -- in October, it was lower at roundabout INR48,000 -odd. And in the month of November, it is roundabout INR49,500, It has mainly increased in November because of this thing, because of long prod ucts. Flat products, it still remains a challenge.
Amit Dixit: Okay. And how does it compare on an average with the realization in Q2?
Anil Tulsiani: With Q2, it is -- the Q2, the realization was around INR50,500 on overall basis, and H1, it was INR52,000.
Moderator: Next question is from the line of Sumangal Nevatia from Kotak Securities.
Sumangal Nevatia: Sir, my first question is on our sales volume. We've seen a very significant decline. And if we compare with all the peers and industry, which has repor ted, our performance is much worse. So what is the likely reason for this? Any reason why we are losing market share versus peers as well?
Anil Tulsiani: Yes. Actually, there has been a decline because basically -- I'll just give you the data for that. There has been a decline of around -- in the home sales, there has been a decline of around about 5.2% because of -- see, what has happened is that due to the lower exports from the country, more of the product has come into the market. So that has had an imp act on our sales also.
But if you really see, in Q2, we have improved over the Q1. In Q1, we had around -- sales of roundabout 4.01 million tons. And in Q2, it has become 4.10 million tons. The impact is basically we have not been able to export much mate rial. So that has also had an impact on our sales -- overall sales quantities.
But in the month of October, I would just like to tell you that in the month of October, we have been able to sell quite a lot of quantity. And this has helped us reduce our st ock by around 1 lakh ton. So the sales during the month of October has been 1.648. So if we actually take it as -
- like going ahead for the entire quarter, it could end up to around 5 million tons.

Sumangal Nevatia: Understood. And sir, in previous questio n, you answered NSR. Was it blended? Or was it only long for any particular...
Anil Tulsiani: Yes. I gave you the blended answer.
Sumangal Nevatia: So roughly, we are looking at maybe around INR2,000 -- INR1,500, INR2,000 drop in 3Q. And on the cost side, you shared coking coal for October, November. But given the inventory lag, what sort of cost reduction we are looking in 3Q from coking coal front?
Anil Tulsiani: Coking coal front, we expect a drop -- see, because already -- I mentioned to you that in Q1, it was -- in Q2, it was INR21,681 and now we are getting at around about INR20,000. So if we continue, I think we should get the benefit of the lower coal prices in the month of Octobe r and -- September and October. We'll surely get into the month of Nov ember also for our consumption.
So it should be in the range of around INR20,000. So there should be a benefit of around, you can say, INR1,600 or INR1,700 on Q2 prices. And on H1, if you see, it will be around about INR2,000 -odd.
Sumangal Nevatia: Understood. Got it. Sir, my second question is on the balance sheet. Our net debt -- I mean,

we've not started any growth capex , but our net debt has been on the rise over the

last 2, 3
years. What sort of annual capex are we looking at this year, next yea r? And when do we start
the growth capex for the new expansion?
Anil Tulsiani: For this year, we have actually projected to the ministry of roundabout INR6,000 -odd crores of
capex . But next year, of course, it will go because many of our major capex -- we'll be freezing
most of our contracts for our IISCO modernization also and also some of the major projects,
which we have taken up, like the blast furnace of -- revamping of the blast furnace of
Durgapu r and the bar mill at Durgapur.
So the major expenditu re for this will start coming in from next year onwards. So next year,
we are -- I'm not able to predict the exact figure to you, but it should be surely more than what
it is for this particular financial year.
Sumangal Nevatia: Got it. And sir, if I can j ust squeeze in one more. For the last few years, we've just been able to
sell aro und 2 million, 2.5 million ton s of iron ore, and we are holding around 40 million tons of
iron ore inventory, which we have basically recording in the balance sheet at around
INR4,000 -odd crores. Sir, I mean, are we -- I mean, what are we looking practically over the
next 1, 2 years? And are we looking to write it off because this is unnecessarily inflating our
book value and impacting our return ratios.
Anil Tulsiani: There is no question of writing it off. Actually, it's an asset, which we have got. And this is an
asset, which is not just -- which was -- like it came into our book sale on about 3 years ago, but
it is an asset, which is there. Iron ore fines are not going to di minish its value since they are

lying out there for another 3 years because they are stocks -- we have stocks which are -- you
can say, are more than 40 to 50 years old also. So they were just valued around 3 years ago.
And yes, we have a plan of reducing these stocks. We have already got our pellet plant and
manifestation plant at Goa in the pipeline. So once that comes in, so there will be a depletion
of around about 3 million to 3.5 million tons of iron ore from Goa, which is a main place
where majority of the stock is there. And now we have got permission also to dispatch from
there to our steel plants also. So we are gradually dispatching material from there to our steel
plant.
Moderator: Next question is from the line of Amit Murarka from Axis Capital .
Amit Murarka: So just on rails notional price booking, just wanted to understand generally how do you do it.
Like typically, let's say, if pricing is going up, is it also possible in that phase that there is
overbooking of rails realization and then there is, let's say, some write -back that happens later?
Is that also possible? Or you always book it on a conservative basis?
Anil Tulsiani: Actually, what happens is we have got a system of railway pricing. Like normally at the
beginning of the year, the railways normally tell us that -- this particular ad hoc price for a
particular year. So we consider that for raising our invoices on them.
Subsequently, we take up immediately -- because that is based on some historical data. Then
we take up with the ra ilway that the prices have gone up or there are indications of the prices
and the cost going up. And we request for -- request the railways to give us an ad hoc price. So
once the revised ad hoc price is given, we do the accounting on that, invoicing as we ll as
accounting on that.
Subsequently, when we submit our details to the CA Cost organization. So once the CA Cost
finalizes the prices for us, we submit it to the railways. Now based on whatever prices have
been finalized by the CA Cost, we have discuss ions with the railways. So when we have
discussions with the railways, so there are some sort of negotiations with them.
And normally, a few -- you can see some -- certain per

centage of prices, they request for a
reduction, which we negotiate and we final ly come to our final price. So that is the final price
for a particular year. So this is the basis on which we work. So basically, each and every step,
whatever is the price available with us, we do our accounting on that.
Amit Murarka: Understood. So also to understand, let's say, the notional price, that ad hoc price that railways
would have shared with you, let's say that price is actually higher than the current market
trends. So would you kind of then advise the railways about it and accordingly book the
realization at a lower price? Or where you look now?
Anil Tulsiani: Amit ji, normally , what happens some -- for example, we just give the railways that our price
is going to be X figure. So railways is also a bit conservative. Normall y on that, they'll reduce

another INR5,000 or something like that and give it to us as an ad hoc price. They will not give us that exact price. So then once the CA Cost finalizes it, then we get the benefit of that.
Amit Murarka: The bottom line, it is alw ays lower than the real market price and there is always a higher recovery that comes in the...
Anil Tulsiani: Yes. Except when the final pricing negotiation goes on with the railways. So at that point of time, we have to -- we normally have a reduction ef fect. That's when we take it into the particular quarter where the impact comes in, where we finalize it.
Amit Murarka: And the final price that is decided, is it a cost -plus mechanism? Or is it simply linked to how, let's say, the historical prices have b een?
Anil Tulsiani: No. It's cost. Absolutely. CA Cost, Chief Adviser Cost is the agency who actually takes all the cost details from us. And based on that, the cost -- the pricing of the rails is right.
Amit Murarka: So it's a fixed margin business in a way, is it?
Anil Tulsiani: Yes, yes, it's a fixed margin business.
Amit Murarka: Understood. And the receivables again would be subject to railway budgets, right, I mean, how good the budgets are, if the budgets are...
Anil Tulsiani: Yes. Actually, normall y, what happens is railways have -- we haven't faced much of a challenge for budgets from the railways because ours is a very small portion of the entire railway budget. But there were some challenges in the year 2021 when the -- '19, '20 and 2021 when the budgets were exhausted. So then they give us extra budgetary support in the beginning of financial year 2021.
Amit Murarka: Understood. And also lastly, could you also refresh about the capex plans for this year and next year?
Anil Tulsiani: Well, this ye ar, like I told you that we'll be having a capex of roundabout INR6,000 crores -- around INR6,000 crores. Though initially, we had estimated in our budget estimates for '24 at INR6,300 crores. So we expect that it should be around about INR6,000 crores. We have spent how much? I can just give you the -- we have already spent roundabout INR2,250 -odd crores in the H1 period. And normally, the capex picked up when we -- during the second half.
Amit Murarka: Sure, sure. Understood. And the big capex program wil l mostly start from FY '27, the expansion program...
Anil Tulsiani: Not for -- not FY '25. I think some major expenditures will start coming in from '26, '27. '25, '26, we may -- we will have these initial advances, which we have to give. And for the drawi ngs and engineerings and all those things, we will have to give some money for that. And some expenditures, I had also told you earlier that we have already placed orders for some of

the major packages, so like the bar mill at Durgapur and the blast furnac e also at Durgapur and also stand charging battery for Rourkela. So the -- some progress payments wi

ll start coming
in from next year onwards, '25, '26 also.
Moderator: Next question is from the line of Kirtan Mehta from BOB Capital Markets.
Kirtan Mehta: This quarter, we are seeing an improvement in the structural steel production to 16% from historical trend of 8% to 9%. What has helped to increase the structural steel production this quarter?
Anil Tulsiani: Actually, what has happened is that we have got 2 major new mills. One is an MSM at Durgapur Steel Plant. And the other one is the -- just the Medium Structural Mill and then we have the Universal Structural Mill in IISCO. So these mills have now stabilized, and the products have now also been accepted in the market. So because of that, there has been quite a good increase in the volumes of sales of these products.
Kirtan Mehta: But in terms of the profitability, when we look at around INR3,100 per ton, this is still not sort of fairly good profitability. So what will be the reason that despite the increase in structural steel production, we are not seeing the corresponding increase in the profit?
Anil Tulsiani: In the profit means -- see, basically, what is happening is that the price of fla ts has not gone up during -- these flat products has not gone up during this quarter. So this is a major challenge, which is there. As far as longs is concerned, which also includes the structural, the improvement in prices is there. And further in the mon th of October also, we see a further improvement in prices, firming prices of long products.
Kirtan Mehta: Typically, this structural product from MSM and the USM, how much additional realization it will generate over the benchmark indicator?
Anil Tulsiani : It will -- see, what happens is now -- see, we have got basically these 2 major mills, which are there -- from this, we will be trying to market the products. There will be some mills for -- where we'll be gradually phasing it out. Like we have a section mill in Durgapur. So the

products from that will be gradually phased out over the years. So you can say that whatever indication of the pricing is that it is of these major mills only.
Kirtan Mehta: Another question in terms of when we look at the saleabl e steel in Q1, it was around 4.2 million tons against the crude steel production of 4.7 million tons. That has changed to 4.6 million tons during this quarter versus crude steel production of around 4.8 million tons. What is the reason for lower saleable s teel availability during Q1?
Anil Tulsiani: Yes. We will just tell you what has happened is our hot strip mill at Bokaro, it was under major maintenance. It was, of course, a planned maintenance during Q1. So that is why there is a difference of the saleab le steel and crude steel.

Kirtan Mehta: And what is the reason for increase in the semis proportion to around 16% this quarter, which was sort of trending down to 13%, 14% in the earlier quarter?
Anil Tulsiani: It could be -- it is similar as the thing bec ause, see, what is happening is we have produced flats, which are also considered as semi. So that production has entire -- has actually changed this ratio to some extent. That's for the Bokaro, where we were not able to take HR Coil. We were not able to p roduce the finished products.
Kirtan Mehta: Understood, sir. In terms of the expansion projects that we are undertaking in IISCO and Durgapur, what stage of approval we are in at this point of time?
Anil Tulsiani: Actually, the Durgapur Steel Plant, yesterday in the Board meeting, the Board has considered a proposal of brownfield expansion of Durgapur Steel Plant also.
Kirtan Mehta: So we have now the Stage 2 approval to go ahead with...
Anil Tulsiani: We don't have Stage 2 approval. See, we have Stag e 1 -- well, we will be having the Stage 1 approval for this brownfield expansion of Durgapur. And we alrea

dy have the Stage 1 approval for IISCO Steel Plant also.
Kirtan Mehta: Right. And how far we are from the Stage 2 approval now?
Anil Tulsiani: Stage 2 for -- Durgapur should take another -- you can say, 8 months or something, 6 to 8 months because we'll immediately start on the tendering and then come back to the Board for the Stage 2 approval. And in case of IISCO Steel Plant, already out of the major technical packages, I think out of 14 major technical packages, I'm not sure of the figure, but it should be 14, out of which already 8 packages we have tendered out. So we'll start getting the offers now and evaluate it. Probably by middle of next year, we'll be able to freeze that also.
Kirtan Mehta: Right. So probably the capex spend will start after basically in the second half of the next year once we get the Stage 2 approval.
Anil Tulsiani: That is what I had already explained earlier also that maybe the initial payments, like the upfront payments of -- against some -- some milestone payments will be made next year, say, '25, '26 by the end. And some progress payments of already the projects which are already for which we have placed orders, like the stand charge battery and the mills and the blast furnace at Durgapur, they will start in '25, '26.
Moderator: Next question is from the line of Pallav Agarwal from Antique Stock Broking .
Pallav Agarwal: I have a question on the segmental data. So if I look at the segment assets and liabilities for this quarter, it is sharply lower than previous quarters across all plants. So is there -- has there been some reclassification or is it -- or there's some error in reporting these numbers?

Amit Agarwal: Yes. Pall av ji, this is Amit. Actually, yes, you've noted it correctly. There has been some inadvertent error while reporting those numbers. We've already taken action against that, and the revised numbers will shortly be put up on the website. Maybe you can refer to the Q2 numbers that are -- H1 numbers that are being displayed there. These are the numbers, which will hold true for Q2 as well.
Pallav Agarwal: Okay. At least in terms of the assets liabilities, that should be the same.
Amit Agarwal: Yes.
Pallav Agarw al: Okay. So the other question was on the coal cost that you mentioned of INR20,000 that you expect. So this is really imported coal or this is a mix of both imported and domestic coal?
Anil Tulsiani: No, this is imported coal.
Pallav Agarwal: And what wi ll be the mix right now of imported and domestic?
Anil Tulsiani: See, basically, we are having a 85%, 15% mix. 85% of imported coal and 15% is indigenous coal.
Pallav Agarwal: And how would the domestic coal...

Anil Tulsiani: Indigenous domestic coal, it's in the range of roundabout -- it is also linked with the imported coal prices. And it will be in the range of around about INR13,000 to INR13,500.
Pallav Agarwal: Sure, sir. Sir, lastly, so what is the utilization levels that you're operating at in terms of crude and saleable steel? Because if I remember, we had some, I think, debottlenecking at the billet caster or something at this plant. So are you operating close to optimum capacity right now? Is there some headroom still available?
Anil Tulsiani: No. Actually, we are basically operating at a very good capacity. So we will be having an annualized crude steel production of around 19.2 million tons. So this is more or less -- I think it will be more than 95% of our capacity.
Pallav Agarwal: Okay. So unles s we go for the next year of expansion, volume growth may not really happen in a material way?
Anil Tulsiani: It's not like that. Actually, we have got some of our debottlenecking schemes also, which will be coming up now. And we are trying to sweat our as sets also so that they go up by -- means another 2.5 million to 3 million tons are added

during these coming 2 to 3 years.
Moderator: Next question is from the line of Rashi Chopra from Citi Group .
Rashi Chopra: Just on the NSR, you mentioned that the aver age was about INR50,500 in this quarter. Could you split it up for flats and longs, please?

Anil Tulsiani: Yes. For this quarter, the long will be around INR52,000 and the flat will be roundabout INR49,000.
Rashi Chopra: And on a spot basis, what is the [inaudible 0:38:18]? Where are flat and where are long?
Anil Tulsiani: In the month of October, it was -- for the flat, it was around INR46,500 to INR47,000. And for the flat, it was INR42,500 to INR53,000 – long side. For the long, it is INR52,500 to INR53,000.
Rashi Chopra: This is October. And November as we speak?
Anil Tulsiani: November, a slight marginal improvement. Marginal improvement in both the cases.
Rashi Chopra: Then on the volume side, how much finished steel inventory you have at the end of the quarter?
Anil Tulsiani: Come again. I didn't get your question.
Rashi Chopra: The finished steel inventory, which was about 1.84 million as of June -- the end of the June quarter, what is that standard as of September end?
Anil Tulsiani: It's at 1.93 million.
Rashi Chopra: And what sales volume are you targeting for the full year now, FY '25?
Anil Tulsiani: Around 18 -- between 18 -- around 18, we can say.
Rashi Chopra: Just lastly, on your last question, on the growth plan, are you maintaining that -- the 35 million ton target by FY '31?
Management : Yes. We are still maintaining it.
Anil Tulsiani: And we are going in line with that.
Rashi Chopra: Okay. So as of now, it's sweating capacity by about 3 million tons. You have IISCO at 4 million tons, Bokaro at about 2.5 million and Durgapur about 1 million.
Anil Tulsiani: 1 million. And then we have got Rourkela Steel Plant, which will also be coming in. So that is also there around 3.8 million tons.
Rashi Chopra: When is this expected?
Anil Tulsiani: This will be -- we are awaiting for some clearances of land. So once those clearances of land come in place, so then after that, we'll take up this expansion plan. But then it is planned within -- by '31.
Moderator: Next question is from the line of Rahul Gupta from Morgan Stanley.

Rahul Gupta: A couple of questions. First, just taking forward this expansion pipeline. I remember you've talked about Bokaro expansion as well of 2.4 million tons. Any update on what's happening on its approval? Durgapur, you go t first round of approval. But any update on Bokaro?
Anil Tulsiani: Bokaro will be -- actually, a PFR has already been made for Bokaro Steel Plant. And the final DPR, it has already been prepared, but it is under examination.
Rahul Gupta: Got it. Another question that I have is on coking coal. I remember last quarter, you talked about some long -term coking coal contracts booked, which would have run off by December or January. So what -- and what's the update on that? The reason I ask this question is because you talked about coking coal -- international coking coal prices coming up by INR1,600,

INR1,700 quarter -on-quarter. So just trying to weave both the data over here.
Anil Tulsiani: See, basically, these long -term agreements, we have a s ystem of having a long -term agreement for 3 years, which is extendable by another 2 years. So the majority of these are now in the year '24, '25. They'll be coming to end, but then we'll be continuing this contract with these long-term suppliers.
And the pricing, of course -- see, the pricing is very clear that it is a percentage or discount or a premium on the Platts and Argus index. So that will be negotiated. This is normally negotiated by all the steel companies during normally the -- for this --

for a financial year, just in the quarter but prior to the beginning of the financial year. So that is what we are doing.
And regarding these agreements, already, we have taken up with all the suppliers to finalize these agreements, which are mainly the commer cial terms, which will be finalized before we go in for these negotiations with the suppliers regarding the quantities and the rates, which will take place in the month of April.
Rahul Gupta: Okay. Got it. So just trying to understand this better. So when you had done this contract earlier this year, so where are prices now versus the contracted prices then?
Anil Tulsiani: See, as I explained to you, all our prices are based on the indices. Okay. So whatever is the price which is arrived -- I suppose I have a supplier from whom I have negotiated and taken an X percent discount. So this X percent discount prevails for throughout the year based on -- and the base of that is the Platts and Argus index.
Moderator: Next question is from the line of Pratim Roy fro m B&K Securities.
Pratim Roy: I have just 1 or 2 questions. Just firstly, I just want to know how much more rail price revision benefit you can expect in the second half. That is the first question. And the second question is that what kind of debt reduction you can expect in the next 2 to 3 years as coking coal prices is happening and there is no major capex in the pipeline. So how much debt you can expect to be put down next 2 to 3 years? These are the 2 questions, sir.

Anil Tulsiani: Yes. Regarding the pricing of rail, the system, wh ich normally is there is now -- see, it's -- steel cost has submitted its pricing to the railways for '22, '23. Now '23, '24 rail pricing has to be submitted by CA Cost to the railways. So for that, the railways have to submit request to the CA Cost to fin alize the pricing. So that, we are now following up with the railways to request the CA Cost to start that activity.
Once that activity starts, we submit the details to the CA Cost. And then normally, they finalize it within 2 to 3 months' time. So this i s regarding how the price will be finalized. If the CA Cost is able to indicate the pricing for '23, '24 within, say, 31st March '25, then we'll be taking the benefit of that in '24, '25 as it will get carried over to the next year s. And regarding the debt reduction...
Pratim Roy: [inaudible 0:45:47]
Anil Tulsiani: Regarding the debt reduction, we are -- from today's level, like it's round about INR34,500, we are planning a reduction of around about another INR4,500 crores to INR5,000 crores in the remaining part of this financial year provided the markets support us.
Pratim Roy: In this financial year, we are expecting that INR5,000 crores debt reduced...
Anil Tulsiani: Yes, INR4,500 crores to INR5,000 crores from today's level. So you can say it sh ould be in the range of INR29,000 crores -- INR29,000 corers to INR30,000 crores.
Pratim Roy: At the end of this financial year, right?
Anil Tulsiani: Yes, yes.
Moderator: Next question is from the line of Vikas Singh from Phillip Capital .
Vikas Singh: Sir, now that we have also decided to grow the Durgapur plant as well, just wanted to understand with IISCO and Durgapur already the finalizations happened. What is the peak level of debt which we will be comfortable with? Because as you see that our inter est cost is very high and we are very susceptible to the EBITDA levels.
Anil Tulsiani: See, we have planned our entire expansion considering a debt -to-equity ratio of 1:1. So in that, the maximum debt, I think, we will reach is -- this will be at around INR1 lakh crore s. The debt equity, just 1 sec. Please hold on. The debt will be -- in the year, it will maximize at -- in the financial year '28, '29 and the debt equity ratio at that point of time will be around

INR1.1
crores .
Vikas Singh: Understood, sir. And so sir, any update on our raw material and pellet plant site, if you could -- like to give?
Anil Tulsiani: See, pellet plant, there are quite a few pellet plants in the offering. Some are coming on COM basis, construct, own and manage, and maintain -- so construct, operate and maintain. So this -

- one plant is coming up at Bhilai of 1 million tons, then we are having another plant, which is coming up at Rourkela Steel Plant. So this will also be there of roundabout 2 million tons. And then we have one large plant, which we are planning to set up at Gua Ore Mines. So this plant also -- it's basically a 4 million ton pellet plant, which we are planning out there. So this is also -- there's -- also some jobs have already been started by our consultants to prepare the final DPR for this. And besides that, for IISCO and Durgapur pellet security, we will also be having a COM plant of this.

Vikas Singh: Understood. Sir, just one last question. Though we have heard about a INR1 lakh crore s capex number, as of no w, we only understand that the scope would be INR35,000 crores. So could you give me what -- how much plant size we are thinking about spending this bifurcation of this INR1 lakh crore s over plant size?

Anil Tulsiani: See, the DPRs of the other plants have not yet been frozen. So this is just an indicative figure, which we have taken for the time being. And once the DPRs are frozen -- and maybe not only the DPR, once orders are placed, we will come to know what is the a ctual capex outflow for these modernization and expansion projects. So for the time being, we are only considering this on some sort of an assumptive basis. It is -- the moment any of the projects is frozen or the expansion plan in frozen, then only we'll be able to declare of what is capex .

Vikas Singh: Understood, sir. Sir, just 1 clarity on these assumptions of INR1 lakh crores, this INR1 lakh crore s assumption is average or on the higher side? Basically, just wanted to understand, once we start finalizi ng, what is the probability of this number going up?

Anil Tulsiani: We really do not know what is going to happen. This is our calculations. This is the calculations by our consultants and our team of experts and all. So we maintain that for the time being .

Vikas Singh: Thank you.

Anil Tulsiani: Let that be the last question. We'll take balance offline.

Moderator: Okay, sir. Ladies and gentlemen, we will take this as a last question for the day. I now hand the conference over to the management for the closing comments.

Anil Tulsiani: Thank you very much. Quite a lot of good questions asked by the various analysts. And I appreciate their -- the thinking about sales. And I assure you that this company is improved in the coming months with a lot of emphasis on cost reduction and profit maximization. And so thank you, everyone. All the best.

Moderator: Thank you. On behalf of Nuvama Institutional Equities, that concludes this conference. Thank you all for joining us, and you may now disconnect your li nes.

Call: Feb 2025

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The General Manager (MO)
Bombay Stock Exchange
Through BSE Listing CentreThe Asstt. Vice President
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Sub: Transcript of conference call held with Analysts & Investors on 12*''
February. 2025.
Ref: Regulation 46 of SEBKLODR^ Regulations. 2015: (Security IDrSAn.L
Dear Sir,
This is in continuation to our letter No.CA-17(44)/2024-25 dated 12^'' February,
2025, intimating the link to the Audio Recording of the Conference Call held on 12^^
February, 2025.
Transcript of aforesaid Conference Call is attached herewith.
Thanking you,
Yours faithfully,
For Steel Authority of India Limited
(M.B .Balakrishnan)
ED(F&A) & Company Secretary
End: As above
sfrF 110003, : 011-24367481-86 : 011-24367015 www.sail.co.in
Steel Authority of India Limited, Ispat Bhawan, Lodhi Road, New Delhi 110003, Phone : 011-24367481-86 Fax: 011-2436
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"Steel Authority of India's Q3 & 9M FY'25 Post-Result
Conference Call”

February 12 , 2025

MANAGEMENT : SHRI PRAVEEN NIGAM , EXECUTIVE DIRECTOR , FINANCE ,
STEEL AUTHORITY OF INDIA
MODERATOR : MR. ASHISH KEJRIWAL – NUVAMA INSTITUTIONAL
EQUITIES

Steel Authority of India
February 12, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Steel Authority of
India Q3 F Y25 Earnings Conference Call hosted by N uvama Wealth
Management L imited.
As a reminder, all participant lines will be in listen -only mode and there
will be an opportunity for you to ask question s after the presentation
concludes. Should you need assistance during the conference call, please
signal an operator by pressing "*" then "0" on your touchtone phone.

Please note that this conference is being recorded .
I now hand the conference over to Mr. Ashish Kejriwal from N uvama Wealth Management Limited. Thank y ou and over to you, Sir.
Ashish Kejriwal: Thank you, S ejal. Good morning, everyone. On behalf of N uvama Institutional Equities , we welcome you again on SAIL Q3 FY25 Post-Result Con Call .
We are delighted to have Executive Director – Finance Mr. Praveen Nigam along with his team. Now, I will request "Mr. Nigam for his Opening Remarks" and then we can open the floor for "Q&A. " Over to you, sir.
Praveen Nigam: Yes, thank you, Mr. Kejriwal. Good morning, everyone. I welcome all our investor s and analysts who are joining this Result con -call for the Financial Result of SAIL for the period Q3 and 9M Financial Year „25 .
Before I present the highlights of the result , I would like to briefly apprise the house about the global as well as the domestic economic scenario in which we a re operating of late as these impact the result significantly .

After the presentation on the economic scenario and the result , we shall take up your queries in the Q &A session.
Now, as far as the world economic scenario is concerned, the current global economic landscape is characterized by moderate growth with the International Monetary Fund projecting a global GDP increase of 3.3% for both 2 025 and 2026. This growth is , however , uneven across the region s, influenced by factors such as trade , policies, inflation rate and geopolitical tension. The projection for emerging and developing economy stand at similar level as of 2025 and 2026, that is at 4.2% to 4.3%.
On the other hand, the advanced economy sees a margin improvement in the projection for the two year s that is 2025 and 202 6 at 1.9% and 1.8% respectively compared to the estimate for the 2023 at 1.7%.
The announcement of 25% tariff on all steel and aluminum import into the US has raised concern among global producer s about the potential retaliatory measure and impact on the global trade pattern.
The imposition of tariff by US has also led to increased volatility in the global market. While US steel ma rket stock has surged in anticipation of gaining a competitive advantage, global producer s are experiencing decline.
Additionally, concern about rising inflation and protectionist policies has emerged with varying impact dep ending upon countries and industries involved.
As far a s the global steel industry is concerned , global steel industry is navigating a complex landscape influenced by economic trends, trade

policies and technological advancements. The global economic scena rio in 2025 presents both challenges and opportunities for the steel industry. While certain region s may benefit from protective trade measures, the overall impact is complex with potential for increased cost, market volatility and shift in global trade dy namics . The World Steel Association forecasts a 0.9% decline in global steel demand for 202 4, reaching 1 ,751 mt, modest recovery is anticipated in 2025 with the demand expected to increase by 1.2% to 1 ,772 mt. Meanwhile, the steel industry is increasingly focusing on sustainability and technological advancement. There is a growing emphasis on reducing carbon emission through innovative production method and adoption of re

newable energy sources.
The integration of artificial intelligence and automation is en hancing manufacturing processes , improving efficiency and reducing costs.
In Indian economy, the Indian economy has also been impacted on global cues with the advanced estimate for the GDP growth for Financial Year „25 being estimated at 6.4% , down from 8. 2% achieved during financial year '24.
The Reserve Bank of India has reduced its repo rate by 25 basis points to 6.25% , marking the first rate cut in nearly five years. This decision aims to

stimulate economic growth amid easing inflation, which is approac hing the RBI 's target of 4%. The RBI anticipate s a growth rate of 6.7% in the fiscal year 202 5-26, slightly higher than 6.4% estimated for the Current Fiscal Year .
India is, however, facing much better than its counterpart, b olstered by strengthening of po licy framework and increasing demand .

The World Bank note s that India service export have remained robust, and the current account deficit is narrowing, indicating a strong external economic position. The Indian economy has countered the forces of inflatio n better than the other economies , thereby maintaining relative stability in the domestic market. Despite the projection for GDP growth rate in near future is coming down in the range of 6.5 % to 6.7%, India continues to maintain its position as one of the fastest growing among the major economies.
Now , let me talk about the “Indian Steel Industry” :
India steel industry is experiencing significant growth, driven by robust domestic demand and strategic investment. Despite all challenges including the softening of the steel prices, Indian steel industry has consistently been growing in terms of production as well as consumptio n.
During Financial Year „25 , that is till January '25, c rude steel production has g rown by 4.5% over CP LY, at the same time, finish ed steel consumption has grown by 10.8% during the period over CPLY .
As per the World Steel Association, India has emerged a s the strongest driver of demand for steel since 2021 and projected to grow at more than 8% during '25 and '26. Indian steel demand will continue to charge ahead, driven by continued growth in all steel using sector s and especially by continued strong grow th in infrastructure investment.
The top line and the bottom line for Indian producers have been impacted as the prices declined consistently. We are hopeful that the prices have bottomed out and considering that we are now in the fourth quarter, which is traditionally the strongest for the steel industry, the industry is hopeful for better results in the coming quarter.

With the prices of imported co al also remaining in check , flat index for hard coking co al of Australian origin stands at USD188 per ton. T he industry can also have a sigh of relief on the cost front.
The Indian steel industry is poised to continue d growth, supported by strong domestic demand , strategic investment, however, addressing challenges such as import competition and environmental sustainability, will be crucial for maintaining this positive trajectory as far as your Company performance is concerned in the nine month s period .
Coming to the performance of the Company during this nine-month period stand as below:
The crude steel produ ction at 14.1 mt stood at similar level as compared to CPLY when it was 14.2 mt, at the same time, s alable steel sales volume was at 12.5 for mt, was also in the similar range of the CPLY which was 12.46 mt.
The performance of the CMO, th at is the Central Marketing Organization in the domestic market has been hi gher by 1.8% over CPLY, while the sales by the plant have also grown by 25.8% during the period over CPLY .
The export, however, have come down by 73.7% over CP LY. While the NSR declin

ing by more than 6.5% , the turnover fell by 5.5% over CPLY and stand s at 72,595 crore s.
On the profitability front, the Company registered an EBITDA of 7 ,983 crores, profit before tax of 1 ,445 crore s and PAT of 970 crore s.

With the concern of rising borrowing , we are happ y to share that the

borrowing s during the quarter have been reduced by 1 ,700 crore s. Borrowing at the end of Q3 of Financial Year „25 stood at 33,09 7 crores as compared to 35,596 crore s in Q2 of Financial Year „25 . The bor rowings as on date stand at 32,600 crore s as again st 30,593 crore s which was at 31st March 2024.
As far as the sustenance and operational efficienc y is concern ed, in the area of operational efficiency, the Company has been making steady progress for reducing coal co-consumption, increasing the uses of CDI, bringing down the specific energy consumption and improving the blast furnace product ivity.
SAIL is undertaking various drives towards decarbonization in three phases . With the first phase having brought down th e specific CO2 emission by almost 20%, the Company is now gearing up to bring it down further by 12% to 2.19 per ton of crude steel by 2031. SAIL plant and units have entered into number of M oUs with the renowned suppliers, technology provider s, etc. , towards decarbonization drive.
Continuing with the drive towards improving the product mix , the proportion of semis in the sellable steel production stood at less than 14% . By engaging conversion services in and around the plant or demand sector, the percen tage share of semi s in sales has been even lower at 8%. Steps are being envisaged for further reduction in the proportion of semis in the product mix under the next phase of expansion.
Going forward, the boost from the various measure s announced by the Government of India in the recent uni on budget like 1.5 lakh crore s outlay in the infrastructure , extension o f Jal Jeevan Mission up to 2028 ,

incentivization of power sector reform, creation of 1 lakh crore Urban Challenge Fund, creation of Maritime Developme nt Fund of 25,000 crore s, etc., augurs well for steel demand in the country. We are hopeful of realization and consequent margin will improve for the Company in the quarter to come as the overall outlook positive for sustained growth in the domestic consum ption.
With th ese word s, I hand it back to Mr. Kejriwal for the opening of the Q&A Session. I am sure you all have lots of queries on our performance.
Moderator: Thank you very much . We will now begin the question -and-answer session. Anyone who wishes to ask a question may press „*■ and „1■ on their touchtone telephone. If you wish to remove yourself from the question queue, you may press „*■ and „2■. Participants are requested to use handsets while asking a question. L adies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: Yes, hi, sir . Thanks for the opportunity . Sir, my first question is , what should we make of government 's thinking of potential safeguard duties, impor t duties? We have heard a lot about it, but nothing has happened as yet. So , how are you looking at it? Th at's the first question. The second question is on the cascading royalty . I think the Supreme Court had given a deadline of 7th of Jan. It got pushed out to 7th of Feb. Is there specific update over there? That's the second question. And the third question, sir, if you could give your thoughts on Karnataka proposed access on which way it can actually go forward or can the centre put a tap on the extent of levy that the state government can potentially propose ? These are the three questions. Thank you.

Praveen Nigam: As far as safeguard duty is concerned , as you are aware, that we have given all our input to the ministry, whatever was required and there was a demand of 25% of the safeguard duty. The issue is still pending with the finance ministry. We are also waiting for the outcome of the decision of the finance ministry. As of now, there is no such communication from ministry to us, which we can share. The only thing we can share is that we have given all the input which are required and now we are waiting for the decision of the ministry. As far as the royalty is concerne d, that is based on the Supreme Court decision . We have our min es at three locations: Chhattisgarh, Jharkhand and O disha. In Jharkhand, they have already levied a cess of Rs.100 per ton on the mineral s, Odisha and Chhattisgarh have not yet come out with an y such proposition. We are waiting . The moment something comes from the government , we will be in a position to update you. As far as Karnataka is concerned , see, we do not have any operation in Karnataka or any mines in Karnataka . So, that is not going to have any impact as far as SAIL is concerned.

Ritesh Shah: Sure. That's helpful . And s ir, just a bookkeeping question. S ir, how did the flat and the long prices move from Q2 to Q3 ? And i f you could highlight with the current spot prices also that will be quite useful ? Thank you.

Praveen Nigam: Yes. As far as the long is concerned , from Q2 to Q3 , Q2 it was around 52,000 which has increased in the Q3 to 53,400 , you can say roughly 1,300 has increased as far as long is concern ed from Q2 to Q3. Flat also was 49,000 which has come down to 46,800. You can say roughly Rs.2,000 per ton the prices has gone down . Overall, if you see that both flat and long, in Q2 it was around 50,500 , which has come down to 49,700 or you can say roughly 800. So , there has been some decline because of the stress in the flat market. And as far as the future is concerned, yes, we

have a positive indication for the market , we are expecting that the prices will increase in the coming months , exact price we cannot decl are right now because it is still in the consideration, but yes , there is a positive sentiment in the market particularly for the flat.

Ritesh Shah: Sure. Thank you so much. I will j oin back in the queue .

Moderator: Thank you. The next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: Yes, hi. Good morning, everyone, and thanks for the opportunity. Congratulations for good performance in a very challenging quarter. Three questions if I may from my side. The first on e is on sales volume growth, which we saw at 16 %-odd YoY in the quarter. Now, this quarter I understand was a period of very tepid consumption at least in December and none of your peers have shown this kind of growth. So, just wanted to understand the spe cific areas where we saw th e demand in this particular quarter ?

Praveen Nigam: You are talking in terms of volume ?

Amit Dixit: Volume, yes. sales v olume.

Praveen Nigam: Carry on. What is your next question?

Amit Dixit: The next question is essentially if I look at your plant wise EBIT , so Rourkela has turned around very well in this quarter and Bhilai if I exclude the rail price revision adjustment in last quarter has also t turned around . So, just wanted to understand t he drivers for that ? The third one is on co al cost. I f you could just let us know the co al cost that was there last

quarter and what you see it going in this quarter? The se are the three questions from my side .

Praveen Nigam: Okay. So, I will start with yo ur last question first , that is the co al cost. I will talk about the bl end cost. The bl end cost in last quarter was around 20,600, which has come down

to 19,200. So, you can say overall there has been reduction as far the co al cost is concerned . That is mainly because of the reduction in the co al prices as far as the imported coal is concern ed. What was the second question?

Management : Bhilai.

Praveen Nigam: Yes, as far as the performance is concerned, as you talked about Bhilai and Rourkela also , there h as been consistent improvement as far as the techno -economic parameters are concerned. Apart from that , we have got as you know that ref erring the input prices. And input prices basically has let other than the techno -economic parameter for improvement in the performance. And your first question was regarding sales volume growth. So, last year in Q3, our total sales was 3.81 m t, which has increased to 4.43 m t in this particular quarter. So , there has been a n increase in the volume. That is why the above performance has improved. And if you compare with the Q2 also , then also there has been a growth because in the Q2 it was 4.10 m t and in the Q3 of financial year ' 24-25 it was 4.143 . We have also said in our opening remarks that the total improvement was around 16.3% as far as the volume is concern ed.

Amit Dixit: No, sir. Wanted to understand the drivers behind that because we have not seen this kind of growth in your peer Company in this quarter. Which area… w hich sector did you see this demand traction?

Praveen Nigam: Mainly the increase in the consumer sector , that is infrastructure sector where the increase has happened. In fact, if you see that in the last quarter , the sales was on the lower side, which actually is now a substantial increase and the main is this consumer sector.

Amit Dixit: Okay. How is the coal cost expected to move in this Q4 ?

Praveen Nigam: Coal cost in Q4 is expected to come down further because the imported coal price s have further come down. Expected i s that the imported co al will come down to roughly 19,000 you can say . So, there will be further reprices for coal is concerned.

Amit Dixit: So, you mentioned 19,200 as co al cost in this quarter and you are saying that -?

Praveen Nigam: Rs.19,200 was the bl end cost. Now, if we say s pecific to imported c oals, imported co als price in Q3 was 20,000 which we are expecting will come down by another 1,000 in Q4.

Amit Dixit: Okay. On a blended basis, we can expect another Rs.1,000 or -

Praveen Nigam: Roughly Rs.1,000.

Amit Dixit: Got it, sir. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of S umangal from Kotak Securities. Please g o ahead.

Sumangal: Hi, thank you for the chance. The first question is on the pri ces. So, you mentioned average was around 49 ,700 in 3Q. So , can you share in January what was the average price or blended price for us?

Praveen Nigam: Average blende d price in January is 48,400 you can see.

Sumangal: Okay. So, it is around Rs.1,200 down versus 3 Q average, right?

Praveen Nigam: Yes.

Sumangal: Understood. Sir, the next question is on the CAPEX . So, first, can you share what is the nine month s CAPEX, full year guidance and FY26?

Praveen Nigam: Nine months CAPEX is a round Rs.3,900 crore s. As f ar as the expansion is concern ed, as we have told in the last con call that Stage -I approval for the steel plant was given by the board . The process is on for forming of th is order . Bokaro and Durgapur Stage -I approval has also been given by the board . So, now that is coal steel plant, Bokaro and Durgapur , we are in the process of forming of the co st. Once the cost is finalized, we will go for the Stage -II approval.

Sumangal: Understood. While we are working on this, what could be the CAPEX for FY26 because this we believe will be more f rom FY27 onwards, right?

Praveen Nigam: Yes, it w

ill be in the range of 7 ,500 roughly you can say because the expansion CAPEX will also start happening in FY26.

Sumangal: And so these three plan ts put together, what is the capacity we are looking to add ?

Praveen Nigam: So, it will be roughly 7.5 m t all the three plants together.

Sumangal: Okay, sir. C an you give us rough gross CAPEX , this 7 , 8 million tons expansion will take, would it be around -?

Praveen Nigam: Yes, it will be in the range of around 55 ,000 to 56,00 0 crores .

Sumangal: Okay. And spread across how many years?

Praveen Nigam: This plan is for 2031 as we said in the previous con call also that our expansion which is going to come across sale, it will be happening by 2031.

Sumangal: Okay. But sir, that we believe was for 15 million tons, right , I m ean this is only 7 .5 mt .

Praveen Nigam: 15 mt. We are going for the phase wise expansion . In this Phase -III plant have already got the Stage -I approval. We are in the process of getting the Stage -I approval of the rest two plant s also and the total expansion what we are expecting by 2031 is 15 mt. So, you can say this also will come that the production o r the facility will become operational by 2031.

Sumangal: Understood. That's very clear. S ir, one qu estion on the overall net debt. So, net-debt we were guiding for around 5 ,000, 6,000 crores of reduction this year. I think we started the year with 30,000 crores net debt . So, can you kind of share the latest thoughts on debt reduction by say fourth quarter end?

Praveen Nigam: As I told in my opening remarks also that as of now the total debt is around 32,600, which is slightly higher than what it was in 31st March 2024 ; it was around 30,500. In last con-call, we said the same thing that we are planning to reduce our debt and bring down to the level of 31st March 2024. As we have said that in the Q2 our total debt was around 35,000. This has already come down to 32,600 level a nd we are expecting that by the end of this particul ar financial year, our debt will be in the similar range as it was in 31st March 2024.

Sumangal: Understood . Understood. And lastly, sir, any guidance on the volume front for this year and next year?

Praveen Nigam: For next year, we are still in the proces s of finalizing our business plan. We cannot exactly comment . But this time it is around 18.5 m t crude steel .

Sumangal: Understood. Okay. Thank you so much. All the best , sir.

Moderator: Thank you. The next question is from the line of Mohit Bansali from Aryan Group. Please go ahead.

Mohit Bansali : Yes. Thanks for the opportunity. I want to know what the current inventory is and what is the value of that inventory ?

Praveen Nigam: So, total inventory of finish ed and semi -finish ed goods is 2.98 m t and the value of this is around 12 ,000, 13,000 crore s.

Mohit Bansali: Okay, sir. So, second question is regarding expansion or CAPEX. Since you are going for a very huge CAPEX , I just want to understand what is the peak debt level SAIL wants to maintain because alre ady the debt is increasing without expansion since the last two years, your debt was around 13,000 at the end of March '22 as I see in the presentation , now, it has gone up to around 32 ,000, 33,000. So, without any major significant expansion, your debt is going up. So, when you go through this CAPEX, further, you will take the debt from the bank. That is what I think . So, do you have any picture about what is the peak level of debt SAIL is thinking about?

Praveen Nigam: First of all, let me answer you r query that the debt has increased. You see , the debt increase was because of the abnormal increase in the imported coal price s which has cooled down substantially. So, going forward , you

can see there has

been consistent reduction as far as the debt is conc erned without any expansion which was in the range of 35,000 in the month of September, has already come down to 32, 600. And as we told that, it will further come down by the end of this financial year and we will be maintaining at least that level of 31st March 2024 if not less. As f ar as the expansion is concerned, our projection is that it should remain 1 :1. But at the peak sometimes it might go up to 1.2 but not beyond that whatever the projection we have made.

Mohit Bansali: Okay, sir. Sir, this expansion , don't you think that first of all you should control your cost like your employee cost , your operational cost , even your net sales realization is not good as compared to private players , so don't you think that first you should improve overall y our own performance, because right now your capacity is around 20 million crude steel that you are not able to produce because market is not that favorable , so don't you think first of all you should improve all your parameters and

generate some good cash and then you should go for the expansion, sir?
Praveen Nigam: As you see, one of the investor s has asked a query what was the reason for a better performance as compared to a peer in the previous question, we said that we are in the process of improving our techno -economic parameters as there has been substantial improvements. So, that result will come , as far as the cost is concerned, the cost will further come down and will give benefit to us. Now , it's a continuous process , it's n ot that first we have to do this and then we go for the expansion. We are continuously focusing on improving our performance a s far as the cost is concerned , improving our product mix , which will ultimately give benefit a s far as the cash realization is concerned. We are expect ing that going forward, the NSR will also strengthen , because we are expecting th ere will be some

relief from the government as far as the safeguard duty is concerned and the coal prices which are continuously coming down and maintaining a level of $188 to $190 per ton. So, this all will give generation of additional cash. So, we will be in a position to maintain a debt -equity ratio of 1 :1 on an overall basis , and I think debt-equity ratio of 1:1 with the expansion of 15 mt is a quality good proposition.
Mohit Bansali: Okay, sir . Got it. Got it. Sir, third question is , are we going to get revised rail prices next year or what is the current rail price you're getting from the railways?
Praveen Nigam: You s ee, price declaration probably would not be very good in this forum . We will give you offline. We have got the rail price for '22-23 from the CA cost. As far as '2 3-24 is concerned, yes, all is to the CA cost as you are aware , therefore rail price , railway s has given this responsibility to chief adviser c ost, it is a department of expenditure in the Ministry of Finance , they give the fair value of a particular product. For '23-24, we are in the process of finalizing a price. It has not yet come . And we are exp ecting that soon it will come and will give benefit to us.
Moderator: Thank you. Ladies and gentlemen, in order to ensure that the management is able to address questions from all the participants, please limit your question to two per participant. If you have a follow up question, I would request you to rejoin the queue. The next question is from the line of Pallav Agrawal from Antique S tock Broking. Please go ahead.
Pallav Agrawal: Yes. Good afternoon, sir. So, first question was on -
Moderator: Sorry to interrupt , sir. I would request you to please use your handset.

Pallav Agrawal: Yes, I am using the handset. Am I audible now ?
Pallav Agrawal: Sir, first question was on the coking co al. So, with i

mported coking co al
prices coming down, is there an indexat ion for domestic coal as well or domestic coal prices stay the same despite imported coking coal prices coming down?
Praveen Nigam: Actually, this domestic co al prices have import parity with both upper and lower capping. So, there is a parity with the imp orted co al. So, naturally when there is a parity, so there will be some reduction in the domestic coal price also.
Pallav Agrawal: Okay, but may not be in the same proportion as a fall in import?
Praveen Nigam: Not be in the same because there is upper capping or lower capping involved, so they may not be in the same proportion, but yes , reduction will be there.
Pallav Agrawal: Okay. And what would be the proportion – is it 85-15% mix between domestic and imported ?
Praveen Nigam: We are using a blend of you can say almost 85% of the imported coal and 15% of the domestic coal at SAIL as a whole.
Pallav Agrawal: Okay. And do we purchase any coke externally or most of it is captive coke?
Praveen Nigam: No, no, no , we are producing , we are not procuring , there could be one -off cases when we might have pr ocured, but otherwise no , as a policy we are not procuring.

Pallav Agrawal: Sure, sir. Okay. And I just missed the CAPEX number that you mentioned for the nine months F Y25 and F Y25 guidance. If you could just -
Praveen Nigam: I said that i t was 3 ,900 crore s in this particular financial year till December and next year that is FY26 expected i s 7,500.
Pallav Agrawal: Right. Thank you. That's it.
Moderator: Thank you. The next question is from the line of Prat im Ro y from B &K Securities. Please go ahead.
Pratim Roy : Hi, sir. Thank you for the opportunity. You mentioned that 15 mt capacity will come into play and w hat will be the timeline for that? You said that it is by 20 31. A nd if you could give me the detail ed breakup of 15 mt? And secondly, how much cost will be incurred on that basis ? And if the capacity go up, then how much will be funded t hrough internal cash and how much will be the debt portion on that? Thank you.
Praveen Nigam: Yes. As we said that our t otal expansion envisaged by 2031 is 15 mt, out of which around 7 mt has already got the first phase expansion in I ISCO , Bokaro and Durga pur. And for this Rourkela and this Bhilai steel plant, we are still in the process of getting this first stage approval . We cannot exactly tell the quantity or quantum which is going to come in these two plants, but roughly it will be in the range of Rourkela say around 3.5 m t additional and rest will be in Durgapur in the second phase.
Pratim Roy: Okay, sir. What is the C APEX impact of 15 mt expansion?
Praveen Nigam: Roughly, if you say , thumb rule figure that it would be in the range of 1,10,000 to 1,20,00 0 crores of 15 mt. As far as the funding is concerned , we are maintaining 1 :1, that is the debt -equity ratio .

Pratim Roy: Okay, sir. T hank you, sir.
Moderator: Thank you. The next question is from the line of T ushar Ch audhari from Prabhudas L illadher Capital. Please go ahead.
Tushar Chaudhari: Yes, good afternoon, sir. Thanks for the question and thanks for the opportuni ty. Sir. in earlier con calls once we had discussed in 1Q FY25 that we had a few long-term agreements for coking co al with few of the coal miners. Just wanted to know , are they over and when will we get the benefit of lower coking co al over the period, can the imported co al cost to go down to Rs.16,000, Rs. 17,000 per ton in the next few quarters ?
Praveen Nigam: Yes. As we said in the previous con-call also, the long -term contract what we are having is a continuous process and it will keep moving in the similar fashion. So , there is no issue as far as the contract is concerned for the co al mines is concern

ed.
Tushar Chaudhari: So, now with the lower prices also we are doing long -term agreement ?
Praveen Nigam: Yes, yes. Actually, you see, we have a lo ng-term contract, but the prices are determined by the average of flat and long index , the discounts are given based on that on the monthly basis. So, there is no issue as far as the price is concerned . The moment this ind ex come down, the prices will come down automatically.
Tushar Chaudhari: And secondly, sir, in this result, do we have any one -off item in other expenses , because i f I do it on per ton basis, it is quite low ?
Praveen Nigam: Can you repeat your question?

Tush ar Chaudhari: Is there any one-off item in lower other expenses? Basically, o ther expenses is lower vis-à-vis the prior quarters on per ton basis which is around Rs.16,000.
Praveen Nigam: No, there is no specific item under the other expenses which we can mention here. It's a general improvement y ou can say in all.
Tushar Chaudhari: Great. Thanks a lot.
Moderator: Thank you. The next question is from the line of Vikas Singh from PhillipCapital. Please go ahead.
Vikas Singh : Good afternoon, sir, and thank you for the opportunity. S ir, just wanted to understand one thing , out of all our plan ts, Du rgapur has the largest semis component. So , basically any downstream projects which we are taking to

bring down this semis c ontent if you could give us some insight into it ?
Praveen Nigam: Yes, we have a plan to bring down this 1 mt TMT mill and also on B U basis 0.4 mt TMT mill. So , the plan is to utilize the s emis as much as possible internally.
Vikas Singh: So, by when this TMT mills are s upposed to come?
Praveen N igam: The process is on . The starting stage has already been received, we are in the process of as I told the forming of the cost , and after that you can say roughly it will take another three to four years.
Vikas Singh: So, till then this sem is component will continue as it is, right?
Praveen Nigam: No. As we said in our opening remarks that we are in the process of tying up with the conver sion agent and our semis in the sales has come down

substantially . So, we are continuing in that process . We will furt her increase our conversion agreement with the various parties . The efforts are already on to reduce the semis portion as far as the saleable steel is concern ed.
Vikas Singh: Understood. And s ir, just couple of calls back, you have given us some insight in to our low grade iron ore as well as pellet plant capacity to utilize this low grade further. So, a ny further update on the same , what is happening in the Jharkhand , whether we got the approval and when our pellet plants are coming up so that we can utiliz e Goa ore which is not unutilized as of now ?
Praveen Nigam: As far as t he Goa iron ore is concerned , that is subgrade iron ore fines which is lying there . For conversion of that into the p elletization , we are yet to get this first stage approval from the board . We are in the process of forming of the board note and if we put to the board and once the approval is given, we'll go ahead , but the plan is there to convert it to p ellet. Am I clear ?
Vikas Singh: Mostly. So, any near-term plan to sell ir on ore as well because we still have a permission in Odisha and Chhattisgarh?
Praveen Nigam: We have a permission in O disha and Chhattisgarh . There we are selling also. In Jharkhan d, we are yet to get that local approval from the state government. If we get the approval from the state government, which we are pursuing with the government , we will sell also , there is no such thing that we cannot sell. But till the time we get the approval , we have to use it domestically internally only.

Moderator: Thank

yo u. The next question is from the line of Rashi Chopra from Citigroup. Please go ahead.
Rashi Chopra: Thank you. Just some bookkeeping questions . What is the current NSR for flats and long separately?
Praveen Nigam: You mean to say for Q3 ?
Rashi Chopra: No, current . You give us a blended for January was 48 ,400.
Praveen Nigam: For January, the NSR in the long was 51,500 and this flat was 45 ,800 and blended was 48,400.
Rashi Chopra: Got it. In FY25, what is your CAPEX target as in what is remaining for the fourth quarter?
Praveen Nigam: In FY25, our total CAPEX target is 5,700, out of which 3 ,900 we have already incurred by December, s o the remaining you can say 1 ,800 in the next three months , that is January, February and March.
Rashi Chopra: Got it. You've given us a crude steel target for the year, but sales volume wise, how much have you done in January , and what is the target for the full year?
Praveen Nigam: Up to January, we have achieved the sales target of 1.57 m t and our total target is around 17.5 mt for the whole year.
Rashi Chopra: Got it. And just a last question f rom me . You gave the total inventory for semi -finished and finished , 2.98. What i s the finished good s amount in there?
Praveen Nigam: Finished good s is 1.79 m t.

Rashi Chopra: And this was 1.93 mt as of September, right?
Praveen Nigam: Yes, it was 1.93 mt number, that's right .
Moderator: Thank you . Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.
Praveen Nigam: Yes, t hank you very much. My closing c omments are , the for ecast of the Indian economy by various agencies have been quite encouraging and the support by the government is strengthening the belief that the economy will continue to do well , steel demand also continues to prosper, and we are hopeful that the price will maintain the momentum that has gained post-monsoon. Apart from the improvement in the operational performance, the Company also remains committed towards sustainable performance including emphasis on the decarbonization, improving capacity utilization , value addition and achieving cost competitiveness. I thank all the investor for their reposing faith in us and I am hopeful that the same will continue in the future as well. Thank you.
Moderator: On behalf of N uvama Wealth Management Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2025

ASTEEL AUTHORirV OF INDIA LIMITED
CA-17(44)/2024-25 4'*' June, 2025
The General Manager (MO)
Bombay Stock Exchange
Through BSE Listing CentreThe Asstt. Vice President
National Stock Exchange of India Ltd.
Through NEAPS
Sub: Transcript of conference call held with Analysts & Investors on 29**^ May, 2025.
Ref: Regulation 46 of SEBKLODRJ Regulations. 2015: (Security IDrSAIL).
Dear Sir,
This is in continuation to our letter No.CA-17(44)/2024-25 dated 29^^ May, 2025, intimating the link to the Audio Recording of the Conference Call held on 29*^ May, 2025.
Transcript of aforesaid Conference Call is attached herewith.
Thanking you.
Yours faithfully,
For Steel Authority of India Limited
CL,(M.B.Balakrishnan)
ED(F&A) & Company Secretary
End: As above

“Steel Authority of India Limited
Q4 & FY '25 Conference Call ”
May 29, 2025

MANAGEMENT : MR. ASHOK PANDA – DIRECTOR FINANCE – STEEL AUTHORITY OF INDIA LIMITED

MODERATOR : MR. ASHISH KEJRIWAL – NUVAMA WEALTH MANAGEMENT

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '25 Conference Call of Steel Authority of India, hosted by Nuvama Wealth Management Limited. As a reminder, all participant l ines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this call is being recorded.
I now hand the conference over to Mr. Ashish Kejriwal from Nuvama Wealth Management Limited. Thank you, and over to you.
Ashish Kejriwal: Thank you, Yashasvi. Good afternoon, everyone. On behalf of Nuvama Wealth Management, we welcome you all for Q4 FY '25 post -results call of SAIL. We are delighted to have Dr. Ashok Panda, Director o f Finance, along with his team. Mr Panda can help us in understanding the quarter 4 results and his view going forward . Now I will request Mr. Panda for his opening remarks, and then, we can open the floor for Q&A. Over to you, sir.
Ashok Panda: Thank you very much, Mr. Ashish Kejriwal ji, and I welcome all the participants through this con call. Good afternoon, everyone. I welcome you all, investors and analysts, who are joining

this results con call in this -- for this financial year sales for quarter 4 and financial year '24 - '25.
Before I present the highlight of the results, I would like to briefly apprise the house ab out the global as well as domestic economic scenario in which we have been operating off late, as this impacts the results significantly. And also, we will tell about the improvements that we brought in, in our company at this stage. After the presentation on the economic scenario and the results, we will -- we shall take up your queries in the Q&A session.
So world economic scenario, about this, the rising uncertainties and volatilities due to the tariff war, geopolitical scenarios, et cetera, have led to the global GDP projections being lowered by all major agencies. IMF, in its world economic outlook, published during April 2025, has mentioned that owing to the high degree of financial integration across the globe, the tariff war is bound to lead to an ec onomic slowdown. The uncertainty around the trade policy and monetary policy is another factor that could lead to economies taking a southward trend.
The IMF has reduced its projections for global GDP growth rate in the current year, 2025 to 2.8% and 3% in 2026. This growth rate is, however, uneven across the regions, influenced by various other factors like trade policies, inflation rates and geopolitical situations. Projections for emerging and developing economies stand at 3.7% and 3.9% for 2025 and 2026 , respectively. On the other hand, the advanced economics stand at much lowered GDP growth rate of 1.4% and 1.5% for 2025 and 2026, respectively. That is the overall scenario of world economic situation.
Coming to global steel industry, the global steel in dustry is navigating a complex landscape influenced by economic trends, trade policies, technological advancements. Global economic scenario in 2025 presents both challenges as well as opportunities for the steel industry. While

certain regions may benefit from protective trade measures, the overall impact is complex with potential for increased costs, market volatility and shifts in global trade dynamics.
Global steel production has seen a decline of around 1% in 2024. In the October 2024, SRO, the World S teel Association has forecast a demand growth of 1.2% in the year 2025. However, given the changing scenario, the positions may vary. Meanwhile, the steel industry is increasingly focusing on sustainability and technological advancements.
There is a

growing emphasis on reducing carbon emissions through innovative production methods and the adoption of renewable energy sources in which all the companies are focusing their energies towards this, so also SAIL, Steel Authority of India Limited. The integr ation of artificial intelligence and automation is also the key to enhance manufacturing ability, capacities as well as reducing cost.
On the pricing front -- actual prices front, we can see that prices of coal, which is one of the important parameters in the expenditure side as well as steel products, have remained sublime during the year 2024 -'25. They have remained downwards.
Coming to Indian economy scenario, the Indian economy has also been impacted on global cues with the second advance estimates for growth -- GDP growth for FY '24 -'25 at 6.5%, down from the earlier revised estimate of 9.2%. RBI has reduced its key repo rate by 25 basis points to 6% after the first rate cut of 25 basis points announced in February '25.
This decision of RBI aims to stim ulate economic growth amid easing inflation, which is approaching the RBI's target of 4%. RBI anticipates a growth rate of 6.5% for this financial year '25 -'26 and 6.7% for financial year '26 -'27, which is slightly higher than 6.5% estimated for the curren t fiscal year.
Despite the projections for GDP growth rate in the near future coming down in the range of 6.2% to 6.7%, India continues to maintain its position as one of the fastest growing among major economies, which recently we have seen that India eco nomy has become the fourth largest in the world, so we are growing in that rate.
Coming to Indian steel industry, India's steel industry is experiencing a significant growth, driven by robust domestic demand and strategic investments. Despite all challenge s, including the softening of the steel prices, Indian steel industry has consistently been growing in terms of production as well as consumption.
During fiscal '24 -'25, crude steel production has grown by more than 5% over the previous year. At the same t ime, finished steel production -- consumption has grown by more than 10% over the previous year. India has been one of the strongest drivers of demand for steel in the recent past and projected to grow at more than 8% during next few years. Indian steel de mand will continue to charge ahead driven by continued growth in all steel using sectors and especially by continued strong growth in infrastructural investments.

The top line and bottom line for Indian producers have been impacted, as the prices declined consistently. However, the prices of coal also declined. So on the whole, there was some impact on the bottom line.
With the safeguard duty notification coming into picture recently -- which has come into picture recently, we are hopeful that the domestic prices should stabilize and give a boost going forward. However, the ensuing monsoon season needs to be negotiated safely with hopes for better results in the coming quarters.
With the Platts index for hard coking coal of Australian origin, which is standi ng at around USD190 per ton, the prices of imported coal seemingly have stabilized, providing relief on the cost front to the industry.
Indian steel industry is poised for continued growth, supported by strong domestic demand and strategic investments. How ever, addressing challenges such as import competition and environmental sustainability will be crucial for maintaining this positive trajectory going forward.
Next, coming to company's performance, performance of Steel Authority of India Limited for quart er 4 and annual results for FY 2024 -'25. Coming to the performance of the company during FY 2024 -'25, the same stands as follows , while the production of crude steel at 19.17 million ton s stood at similar levels as compared to the previous year of 19.24 mill

ion tons,
sales volume has grown by around 5% to stand at 17.9 million tons. This has resulted in reduction in the inventory of the finished goods. And this is the best ever annual sale s performance by the company.
With the decline in sales prices, more than the reduction in the imported coal prices, this turnover as well as profitability was impacted as compared to the previous year. However, due to sustained efforts by the management i n the steel units, we have improved our technological parameters during this year and which has resulted in around INR650 crores of advantage in terms of cost. And that has also gone into the bottom line of the company.
The turnover stood at INR1,02,000 cr ores approx. EBITDA, PBT and PAT stood at INR11,644 crores -- INR11,764 crores, INR3,009 crores and INR2,148 crores, respectively.
Coming to the performance of the company during quarter 4 '24 -'25, the same stands as follows , the crude steel production dur ing the quarter 4 stood at 5.09 million tons, a growth of approximately 10% over the previous quarter and marginally higher than last year's quarter 4.
The sales volume of 5.33 million tons during quarter 4 was the best ever quarterly performance, growing by almost 20% over previous quarter and 17% over last year quarter 4. And that is why this has resulted in inventory reduction as well of finish goods.
With prices also getting a marginal boost towards the end, that is in quarter 4, the turnover grew by al most 20% over the previous quarter to stand at INR29,121 crores. Profitability like EBITDA, PBT and PAT showed a substantial growth over previous quarter to stand at INR3,781 crores, INR1,593 crores and INR1,178 crores, respectively. In fact, the net profi t has grown by more than 16% over the last year figure of INR1,011 crores.

The performance during the quarter has helped reduce the borrowings on 31st March 2025, not just for the quarter, but also for the year. The borrowings stood at INR29,811 crores as against INR30,593 crores as on 31st March 2024, with a reduction of around INR700 crores during the year.
The borrowings had gone up to a level of INR35,659 crores as on 30th June 2024, before coming down to INR33,907 crores as on 31st December 2024. Ultim ately, it ended up with INR29,811 crores as on 31st March 2025.
Coming to sustenance and operational efficiencies. In the areas of operational efficiency, SAIL has showcased some of the best ever performance in the areas of coal -coke consumption, specific energy consumption, BF productivity, et cetera, which has led to a cost reduction of around INR650 crores.
Coke rate has reduced to 421 kg per ton of hot metal vis -a-vis 440 kg per ton of hot metal during the previous year. The annual average BF productivi ty, blast furnace productivity, has gone beyond 2 tons per meter cube per day. The same stood at 2.02 as against 1.88 in the previous year.
SAIL is undertaking various drives towards decarbonization in 3 phases. SAIL plants, units have entered into a numbe r of MoUs with renowned suppliers, technology providers, et cetera, towards decarbonization drive. During FY '24 -'25, the specific CO_2 emissions reduced by over 3% over the previous year, and we are making all efforts to reduce it further.
Going forward, t he boost from various measures being taken by Government of India on infra

spendings, notification of safeguard duties, which has happened now, et cetera, this augur well for steel demand in the country and also the recent reduction of repo, that also is a booster for the economy.
We are hopeful that the margins will improve further for the company in the quarters to come as the overall outlook is quite positive for sustained growth in domestic consumption. So with these few words, I hand it over to Mr. Kej riwal for opening the Q&A session, please.
Moderator: We'll take our

first question from the line of Amit Lahoti from Emkay. Please go ahead.
Amit Lahoti: Thanks for the opportunity and c ongratulations on a great set of numbers. My first question is on the expansion plans, if you could indicate a timeline when we are going to start spending capex . And on the same question, have you secured Board and government approval for the expansion pl an?
Ashok Panda: Yes. Mr. Amit, we have got an expansion plan. Right now, we are at around 20 million tons of capacity, and we want to go towards 35 million tons of capacity by 2030. So these are focused on various units to start with. We started doing the tendering activities in ISP, IISCO Steel Plant, followed by other plants. Other plants -- it will follow in other plants as well.

So that is the kind of plan we have. And for that, we are lining up our investments, et cetera, for that as well. And the capex, we are going to increase the capex . And in stages, we'll be taking approvals. Approvals are coming from SAIL Board, et cetera.
Amit Lahoti: Sir, in terms of timeline, when are we going to start the first, say, round of capex on this?
Ashok Panda: Yes. The first -- as I've said now, the capex will take place in stages. And since it has already taken off in ISP, which is IISCO Steel Plant, the tendering process has started, et cetera, so some initial payments have been started over there.
And as we go ahe ad, once the packages are tendered out and the activity starts, then the chunk of investments will come from the next year. I mean, some chunk will come in '25 -'26. From '26-'27 onwards, major chunks will start coming in terms of capex .
Amit Lahoti: Okay. And my second question, again on capex , if you could provide a specific guidance for FY '26 for capex ?
Ashok Panda: We have decided INR7,500 crores capex for '25 -'26.
Moderator: We'll take our next question from the line of Amit Murarka from Axis Cap ital.
Amit Murarka: On the volumes that you did in Q4, so could you help understand what was the mix of the volume in terms of finished, semi -finished?
Ashok Panda: Yes. In Q4, the Q4 total volume was 4.72, isn't it? Total saleable steel production volume was 4.72, out of which finished volume was 4.09 million tons in Q4.
Amit Murarka: And in sales?
Ashok Panda: And in terms of sales?
Amit Murarka: Yes. Sales volume mix, I mean.
Ashok Panda: Sales volume? Sales volume was much more than this, just 1 sec, 5. 33 million tons.
Amit Murarka: Yes. And the breakup I meant. I have the volume. I wanted the breakup of finished.
Ashok Panda: 5. 33, that's total. 5.33 is total, out of which the semifinished would be -- semifinished is around 0.48 or 0.5, you can take.
Amit Murarka: Okay. I was just wondering that realization for you was flat Q -o-Q, like generally, there was an improvement in steel realization across the board in the quarter. So I was just trying to understand like why the realization for you was flat.
Ashok Panda: Are you talking about quarter 4 or you're talking for the entire year?
Amit Murarka: Quarter 4. Right now, quarter 4. So if you could give NSR for quarter 4.

Ashok Panda: Just 1 sec. So far as long products are concerned -- you're talking about flat products or long products or in totality?
Amit Murarka: Yes, if you could give both of them.
Ashok Panda: Like, for example, in case of long products, actually between quarter 3, quarter 4, there's not much of a change because in quarter 3, the NSR, which is net sales price, is around INR52,500 crore, which almost remains the same in quarter 4. While in case of flat products, there's been improvement.
In quarter 3, the numbers were INR46,80 0 and which has improved to INR 47,300 in quarter 4 for flat pr oducts. So on the whole, on the average al

so, there is improvement around -- of
around INR300 to INR400 per ton between quarter 3 and quarter 4.

Amit Murarka: Understood. Understood. And what would be the coking coal cost in the quarter?
Ashok Panda: Cokin g coal cost in the quarter, if I talk about imported coal cost, so between quarter 3 and quarter 4, there is a reduction of around INR1,500 because in quarter 3, it was average around INR20,000 per ton, which came down to INR18,500 in quarter 4.
Amit Murar ka: Sure. And guidances for the same, NSR and costs.
Moderator: Amit, I request you to join back the queue.
Amit Murarka: And sir, just a follow -up, so NSR and costs, if you could give guidance as well.
Ashok Panda: Yes. NSR, as I said, actually, there was a bit of improvement in NSR post this safeguard duty and other things. And because the demand is going to grow, there will be boost in the demand. So we believe there will be improvement in the NSR, maybe after monsoon or something like that. And regardin g imported coal price, right now, it is almost kind of a stable kind of a thing. Probably it will continue at that level or maybe it will increase a little bit if not.
Moderator: We'll take our next question from the line of Sumangal Nevatia from Kotak Sec urities.
Sumangal Nevatia: Sir, just continuing on the previous question. Sir, my first question is if you could share April, May average, what is the NSR for flat and long? We have fourth quarter. So for the first 2 months, if you could share that? And al so on the coking coal front, what is the cost expectation for 1Q or for the first 2 months, whatever we have seen?
Ashok Panda: Right. So the answer to your question is that taking NSR, first of all, net sales price, for the long products, the NSR in April and May are almost like INR55,000 per ton. And so far as flat is concerned, there's improvement in the flat products post this safeguard duty and which is around INR0,500, INR50,600, INR50,700, like that. That's about the NSR front. In the imported coal p rices, as you've asked, in the imported coal prices, the coal prices are almost hovering around INR17,000 to INR7,500 per ton.

Sumangal Nevatia: Okay. So from fourth quarter, we are seeing almost in flat INR3,000 and in long INR4,000 increase, and in cokin g coal, we are seeing around INR1,500 reduction. Is that the right calculation?
Ashok Panda: I mean, as you said, in the imported coal side, there has been a reduction of around, say, INR1,000. And in the NSR front, it's not INR3,000, INR4,000 actually, as compared to quarter 4, in the long, there is around INR2,000 -- INR1,700 increase. And in th e flat, it is around, say, INR3,000 -- INR2,500 to INR3,000, yes. So it varies between INR1,500 to INR3,000 between long and flat.
Sumangal Nevatia: Okay. Sir, one question on employee cost, if you could guide what is our expectation? Last 2, 3 years, it's been very stagnant. So what is our expectation for '26 -'27?
Ashok Panda: Yes. As we've been telling that, actually, our employee cost is coming down over the years because of the natural separations. So you can see on the absolute figures, the employee co st has come down in '24-'25 as compared to the previous year, and we are expecting a further reduction in the coming financial year, which is '25 -'26 by at least INR400 to INR500 cr. This is our expectation.
Sumangal Nevatia: Okay. And just one accounting clarification, sir. So for the full year, there was a railway provision for previous years of around INR650 -- sorry, INR687 crores. But then in the second quarter, we had shared some INR1,600 crores -- INR400 crores of rail price revision provision for FY '23. So just wanted to understand, for the full year '25, this INR650 crores is inclusive of that or we have to add the INR1,600 crores of the second quarter as well?
Ashok Panda: For the entir

e year, it will be -- INR625 crores is the figure for quarter 4. The net figure is INR625 crores, INR685 crores minus some other adjustment of INR61 crores is INR625 crores for quarter 4. And that is a part of the total figure of INR2,200 crores for the entire year.
Moderator: We'll take our next question from the li ne of Rajesh Ravi from HDFC Securities.
Rajesh Ravi: My first question pertains to this -- that incentive, which -- the railway price revision, which you mentioned as a footnote. So the contract number, the revenue contract numbers, what do the cumulative and the YTD numbers mean? Because they don't add up. If you do the YTD numbers, when you report in Q4 or in Q3, and in the fourth quarter, the provisional numbers, which you report separately, they don't add up. And also what is this cumulative number whic h you report, if you could explain, please?
Ashok Panda: This is regarding which figure, if you can clarify? Actually, can you give the numbers?
Rajesh Ravi: Sir, the railway -- the supply for railway, government entities, so far in Q4 you have mentioned INR2,073 crores. And if I look at the YTD number in March, that is INR9,496 crores. But if I add up the 4 quarterly numbers, they total up to a much higher number of more than INR10,000 crores, almost INR11,000 crores, while the reported number is INR9,500 crores for full year.

Ashok Panda: Just to clarify -- can you hear me? Just to clarify, this includes railways as well as other than railways, like defence and others. So the figures will not exactly add up -- these figures may not exactly add up to that number. This includes railways...
Rajesh Ravi: I'm just looking at the number which you report as a Q4 number and as a YTD number and similarly for even the preceding -- previous press releases, those numbers, the YTD numbers don't match with the sum of th e 2 quarter numbers or 3 quarter numbers.
Ashok Panda: What we can do is we can take this question and clarify you, okay?
Rajesh Ravi: Also, what do you mean cumulative numbers?
Ashok Panda: Cumulative for the year. Cumulative is till date actually, till date.
Rajesh Ravi: No, from which date? Because cumulative for March quarter you report in...
Ashok Panda: Till March '25. Since all these years, till March '25. We will take this -- we can take this specific question, and I'll give you the answer for bett er clarity.
Rajesh Ravi: Okay. And secondly, you've mentioned that you're looking to reduce your employee costs. But in Q4, there is a sharp jump on an employee cost number on a Q -on-Q basis by almost 20%. So what does this pertain to? And you mentioned th at you're looking to reduce by INR400 crores to INR500 crores in FY '26.
Ashok Panda: Right. So let me answer this question. Actually in Q4, there has been a jump of around INR500 crores to INR600 crores, if I believe, as compared to the previous. The reas ons are because of 2, 3 aspects. One is reduction in the discounting factor from 7.29% to 6.7 -odd percentage. That has got an impact.
And then the final pension provision, which was earlier 3%, it has been increased to 7.5% or something. So that has got an impact. And then, looking at the profitability, the incremental PRP, which is to be provided for the entire year and has been provided in quarter 4. So basically, pensions, PRP and then discounting factors. These are the 3 reasons for increase in salary w ages in quarter 4. These are accounting adjustments taken in quarter 4 compared to previous quarter.
Rajesh Ravi: So just to clarify, this INR3,300 crores, it is only pertaining to all the adjustments pertaining to only Q4 or it is like full -year adjustmen ts, let's say, reflected in the March quarter.
Ashok Panda: It is the full adjustment, which has been done in the March quarter, quarter 4.
Rajesh Ravi: Okay. So the average number of aro

und INR2,900 crores is one should look at on a quarterly basis?
Ashok Panda: Yes, on a quarterly basis.
Rajesh Ravi: And lastly, could you share on your -- thoughts on volumes -- yes, I'll just -- I'll complete my question and move out, on the -- guidance on the volume front for FY '26?

Ashok Panda: Yes. In FY '26, we are l ooking forward to having more volume as compared to the previous year. If you are looking at the crude steel numbers, crude steel numbers were 19 million tons in '24-'25. We are looking at a number of around 20 or beyond in -- good numbers.
Moderator: We'll take our next question from the line of Vikash Singh from PhillipCapital.
Vikash Singh: Sir, just wanted to understand that our semi sales at almost 14% still stays very high. So is there any chances that in the next year we could come down this? And out of the 19, 20 million tons of total production, what is your own sales target, sir?
Ashok Panda: Out of 19 million tons of crude steel production, our saleable steel production is actually 18.4, 18.5 million tons or, you can say, 18.5 million tons. So out of that, the semis will be around -- just 1 sec, around 2.75 million tons, which is roughly 15%.
Vikash Singh: So sir, my question was that next year when we are targeting 20 million tons of crude steel production, what would be our sales target? And can we bring down this 14 million, 15 million tons of semis or it will remain at that level?
Ashok Panda: So coming back to the question, actually, when we're targeting 20 million tons of crude steel, the saleable steel will be around 19.2 million, 19.3 millio n tons, and we are targeting sales of more than that. And within that, we are targeting semis of less than 14%. That means around 10% to 12% we are targeting because we are taking various other steps for that.
And going forward, actually, the semi's will further come down because we're going to put up a new TMT bar mill at Durgapur steel plant, so which will come after 2.5 years. So at that time, you look at the semis, it will be almost kind of zero or very, ver y less, negligible.
Vikash Singh: Understood. Sir, my second question pertains to this INR7,500 crores capex plan, how much is towards the RM, especially the pelletization plant, if you could clarify that. And what is the stage of our pellet plant in terms of construction?
Ashok Panda: Yes. Coming back to the question actually, INR7,500 crores doesn't include the pellet plant because pellet plants are coming in the BOO -- on BOO basis. So the capex will be done by

the BOO operator. So we'll be incurring onl y O&M cost after it is set up. So that is the answer to that question. Coming back to when they're going to come, they will be coming in stages. At Bhilai mines, it is going to start after a month, this month, May end, or June, some time, like that.

And th en the other ones, like in Rourkela and Durgapur, they are at the tendering stage, so it will take some time. It will take around 3 years -- up to 3 years' time, you can say. And there are other pellet plants also in the pipeline, for which we may give the go ahead signal for tendering.

Vikash Singh: Noted, sir. Sir, Jharkhand inventory can be used in this pellet plant or those low -grade inventory would remain idle?

Ashok Panda: Yes. Coming to Jharkhand inventory of low grade, I can say, actually, we are pl anning a 4 million tons pellet plant at Goa itself, which will be consuming these low -grade as well as fresh fines in the ratio of 50%, 50% initially. So that pellet plant is geared up towards this.

Moderator: We'll take our next question from the line of Pallav Agarwal from Antique Stockbroking.

Pallav Agarwal: Sir, first question was on the volumes. So this quarter, we've probably liquidated some inventory. But I also want to check that NMDC had mentioned that NMDC Steel is also having a marketing arrange ment with SAIL. So any of this quarter volumes include some steel from NMDC Steel?

Ashok Panda: Yes. It includes steel from NMDC -- NSL, NMDC Steel Limited to the tune of around 3.6 lakh tons.

Pallav Agarwal: So this 5.33 includes about 0.36 million tons o f NMDC Steel. Is that correct, sir?

Ashok Panda: Yes. Yes.

Pallav Agarwal: Okay. Okay. So that would be mostly trading sales.

Ashok Panda: That is kind of actually trading on some arrangement actually. So the stock is happening in our books. We will be tak ing from them. So there is some management for that, commercial management.

Pallav Agarwal: Sure. And this year, did we have any sale of iron ore fines, you were planning to sell from Odisha and Jharkhand? So have you seen any sales happening there?

Ashok Panda: We have sold some quantities from Bolani Mines only in Odisha Group of Mines. And going forward, we are planning more sales from Bolani and also in Chhattisgarh going forward because after improving mining over there only, then we'll be able to sell something from Chhattisgarh as well, from Rowghat mines. But presently, we are selling from Bolani, and that will continue.

Pallav Agarwal: And nothing from Jharkhand? I think you were waiting for some...

Ashok Panda: Nothing from Jharkhand because we are still waiting for the permission from the state government, which is not yet available.

Moderator: We'll take our next question from the line of Prateek Singh from Dam Capital.

Prateek Singh: The first question is just a bit of sense on the INR686 crores or INR625 crores provision or kind of a one -off from the prior periods that we're talking about. That comes into revenue also, right? Or does it lower your expenditures?

The reason I'm asking is if I adjust for it, your NSR kind of fell on a Q -o-Q basis. M aybe I have to adjust for volumes also from NMDC Steel, but on a topline basis, it seems NSR fell if I adjust for these revenues. Is that the right understanding?

Ashok Panda: Yes. Yes. So let me try to explain this particular number, actually. INR625 is not INR686, minus INR61 crores, it is INR625 crores. And this INR625 crores is coming on the top line, which is the turnover, but it's not a part of the NSR. NSR is not including these areal figures.

And so far as prior to Q4 numbers are concerned, because Q4 numbers are INR85 crores, so INR625 crores minus INR85 crores is INR540 crores, which is the figure which is prior to Q4 numbers, which is there in the top line of Q4.

Prateek Singh: Okay. So sir, NSR fell on a Q -o-Q basis because of this, if I just -- at a root base number from...

Ashok Panda: No, no, no. It is not to be reduced from the NSR numbers because NSR numbers are rupees per ton, and that doesn't include these area numbers. So the NSR numbers that we discussed sometime back, those remain as it is without getting impacted by this number -- these rupees crores numbers.

Prateek Singh: Okay. And my second question is just extending the discussion on employee cost. Two things, sir. One, when is the pay commission impact would come in once the federa l government finalizes it for us? And second, given that we are doing a lot of brownfield expansion going ahead, is it safe to assume that the bulk of the employees, which are -- who are already working in those sites would be shared with the new capex -- new capacity coming in? And hence, the cost structure of the new capacity would be significantly better than what we are seeing right now because employee cost has been kind of an Achilles heel for us. So safe to assume that the new capacities will be more efficient from an employee cost perspective?

Ashok Panda: You're absolutely correct, actually, because we are planning right now f

or a brownfield as well as greenfield expansion, which are going to come in the next 3, 4, 5 years. And in the -- during that time, the employee cost would have come down significantly through normal separation and a little bit of induction of fresh blood.

So at that point of time, we'll find that all these new facilities, they will be having less manning and more automation and AI -related applications. So they'll be very, very efficient in terms of manpower cost.

Today, we can see our new plant, which is IISCO Steel Plant, where the manpower cost is pretty less as compared to rest of the other legacy plants. So going forward , all these major facilities, which will be coming in, all the units, they will have more efficient manpower cost structure in those facilities.

Prateek Singh: And on the pay revision timeline, sir?

Ashok Panda: Pay revision, as you know, actually, it happ ens every 10 years. So next is due in 2027. So we'll look into that whenever it comes, any guidance, et cetera.

Prateek Singh: CY '27, right? or FY?

Ashok Panda: I mean that is slated for 2027, CY '27. So then only we'll come to know about it.

Moderator: We'll take our next question from the line of Parthiv Jhonsa from Anand Rathi.

Parthiv Jhonsa: Just to take my point on capex . Actually, in starting, you said that you'll be doing about INR7,500 crores of capex , and thereafter, the capex would increase from '27 onwards when your facilities come on stream and you do more capex . Just wanted to get your view on the debt. How is debt going to play out over the next 2 to 3 years?

Ashok Panda: Yes. Today, the debt is around INR26,800 crores, INR26,700 crores, something like that, and we're planning to reduce it further in this financial year. Last year also we reduced by around INR750 crores. And now we are planning to reduce month -on-month. And going forward, when the capex will be increasing, we'll have 2 -pronged approach.

Number one, we'll try to increase our profitability. So from internal accruals, we'll be able to compensate a part of the requirement. And the rest part we will line up other instruments available for getting the fund, et cetera. Our debt -to-equity ratio is good enough to take care of these two aspects going forward.

Parthiv Jhonsa: All right. And sir, in your opening remarks, you mentioned that because of some technical parameters, you were able to save close to about INR650 -odd crores, which directly had populated down to your bottom line. Just wanted to know that there are possibility to better this going forward or it will -- we can take this number as the standard num ber going forward.

Ashok Panda: No, surely, our target is much more than that. Actually, that is what happened last year, while our target was more. And in this year also, again, we are aiming at more figures compared to that number. Much more cost reducti on because that is a continuous process actually.

And there has been improvement in all these critical parameters over the years, specifically in '24-'25 over '23 -'24, there has been a good improvement, and we are looking forward to better improvement in ' 25-'26. The numbers should be better than this. This is our target.

Moderator: We'll take our next question from the line of Aditya Welekar from Axis Securities.

Aditya Welekar: Sir, my question is with respect to the capacity expansion, which we are targe ting up to 35 million tons. So can you break it down, means, by FY '28, do we expect any incremental capacity to come on stream? And if you can further break it down in terms of plans, which capacities will come first? A slightly more detailed answer on th at.

Ashok Panda: I'll try to give you as much as possible, not entirely as you want. But the question is that I have told you actually it's is 35 million tons from current 20 million tons, increas

e of 15 million tons, includes brownfield as well as greenfi eld. So in the brownfield, there are debottlenecking efforts as well as setting up of new facilities. These are the 2 things which are happening.

And in that process of debottlenecking, by 2028, we are expecting to increase it by maybe around 2 million to 3 million tons, something like that, around 3 million tons, something like that by then because debottlenecking projects will come quickly.

And so far as brownfield and greenfield projects are concerned, they take their own timeline of around 3 years, some thing like that, after they start doing the execution activities. So those will happen subsequently.
Now as you said, about the plants, the first plant that we started doing this is ISP, which is IISCO Steel Plant for the brownfield project as well as a bi t of -- for the greenfield project as well as a bit of brownfield out there. So in the brownfield, maybe around 0.5 million tons will come in ISP by that '27 or '28. But the entire 7 million tons ultimate capacity will come by 2029. So that is for ISP.
And similarly, brownfield and the debottlenecking activities are going on in Durgapur Steel Plant as well as Bhilai Steel Plant as well as Rourkela Steel Plant. So this will also add capacities of 1 million to 1.5 million tons by 2028. But so far as the green field projects are concerned, they are taking shape in these plants. And then all of these are geared up towards giving benefits by 2030.
Aditya Welekar: Okay. And what will be the peak capex ? You mentioned -- you've given guidance on '26 capex , but you sa id that in '27, the capex will peak. So what quantum will be that?
Ashok Panda: No, in '27, it may not be peak. Today let me try to answer it. Because this year, we have given a capex of INR7,500 crores, and slowly and slowly as the projects take up, so the payments will start. And based on the milestone payments, the capex is going to increase. So this peak level of -- this capex may happen sometime around maybe -- just 1 sec, could be somewhere around '28, '29, like that.
Aditya Welekar: And what will be that, any -- if you can quantify that?
Ashok Panda: That we have to see actually from -- I mean, anybody can guess the number with respect to capacities, but then it will increase quit e a lot. If it is INR7,500 crores today, so it may increase by around INR10,000 crores, INR15,000 crores, something like that. At that point of time, we need to quantify because these are very dynamic kind of a thing, and depending on how the projects take up and then the kind of milestones they have, based on that the capex plans are done.
Moderator: We'll take our next question from the line of Nirbhay Mahawar from N Square Capital.
Nirbhay Mahawar: Just a follow -up on the cost side savings. Is it more dr iven by the better utilization of plant?
Ashok Panda: Can you please come back once again on your question?
Nirbhay Mahawar: We have seen substantial improvement in your techno economic parameters. Just wanted to understand, is it because of better utilization of our plants, and this is going to continue in future also?
Ashok Panda: Yes, let me answer this question. Let me answer this question. The major steps that we've taken in '24 -'25 are that we have stopped some of the inefficient old blast furn aces. Three number of blast furnaces stopped in Bhilai and Rourkela in different, different points of time.

And then we increased production from the other bigger blast furnaces. Because bigger blast furnaces, when you increase production, you can concentrate on reducing the -- bettering the techno economic parameters. That is how exactly has happened. And if you see actually, BF productivity on an average for the entire year for SAIL has b

een more than two in spite of the fact that these 3 blast fu rnaces are stopped in between.
So this year around, the BF productivity is going to go beyond two, there's no doubt about it. And production ramp -up is taking place from other blast furnaces, which are operating -- other larger blast furnaces which are ope rating. So there, we are getting a bunch of cost reduction over there. And we're targeting -- that is why we're targeting better cost reduction as compared to previous year as well.
Nirbhay Mahawar: Okay. Sir, another thing on the market side, is the sprea d for long products much better than flat right now? And that's -- how is the outlook for the future?
Ashok Panda: See, what's happening is between LP and FP, although last year, LP was doing good, FP was sublime -- subdued. And after this safeguard duty, et cetera and some international dynamics, there has been a look up in the FP prices , and it is cyclical as well.
And as the economy is going to improve right now, as we are expecting, we hope that FP's market is going to improve going forward. And LP also will improve because of the infrastructural sector boom. So both the things should remain good in '25 -'26, that is our expectation.
Nirbhay Mahawar: Are our higher share of long product overall is helping us in overall operating performance vis -a-vis peer s?
Ashok Panda: See, in case of SAIL, actually, we are making a -- we are maintaining a balance of 50 -- almost 50:50 between LP and FP. So given the cyclicity of any of the side, the other side gives us the

benefit.
Moderator: Ladies and gentlemen, due to time constraints, we'll take that as the last question for today. I now hand the conference over to Mr. Ashish Kejriwal from Nuvama Wealth for closing comments. Over to you.
Ashish Kejriwal: Yes. Thank you, everyone, for attending the call. And on behalf of Nuvama, we really thank the management to give us the opportunity to hold this call. Sir, lastly, if I had to sum up what you have discussed in this call, is it safe to assume that we are expecting something like INR3,000 price increase in quarter 1 FY '26 over FY '25 Q4 along with INR700, INR800 /t decline in coking coal cost and lower employee costs also, which was somewhat higher this quarter?
Ashok Panda: Let me sum up and tell you actually, so far as imported coal price is concerned, we expect that it is almost kind of stable. So that reduction may continue, number one. Number two, so far as sales price is concerned, although it appears to be INR3,000 or INR2,000 as compared to quarter 4, but it is market driven. It is market driven.

So it will be up and down as compared to that. And more so because the monsoon is going to come. So during that time, it will remain a little subdued. And after that, we expect better improvement in that. And the third question was about employee costs. Yes, employee cost , as I told you with certainty that because of the natural separations, that is going to come down.
Ashish Kejriwal: That's great, sir. Thank you so much and all the best for future, sir . Any closing remarks, sir?
Ashok Panda: Yes. Let me tell you. Thank y ou very much, Mr. Ashish. And the focus for Indian economy by various agencies have been quite encouraging, and the support by the government is strengthening. They believe that the economy will continue to do well. Steel demand also continues to prosper, and we are hopeful that the prices will maintain and momentum that has become visible recently may continue going forward.
Apart from the improvement in operational performance, the company also remains committed towards sustainable performance, including emphasis, more emphasis on decarbonization, improving capacity utilization, value addition and achieving cost competitiveness. At the end, I thank all our investors for their reposing faith

in us, and I'm hopeful that the same will continue in future as we ll. Thank you, everybody, and thanks a lot.
Moderator: Thank you, sir. On behalf of Nuvama Wealth Management Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

^SAIL
CA-17(44)72025-26 1^^ August, 2025
The General Manager (MO)
Bombay Stock Exchange
Through BSE Listing CentreThe Asstt. Vice President
National Stock Exchange of India Ltd.
Through NEAPS
Sub: Transcript of conference call held with Analysts & Investors on 28"* July.
2025.
Ref: Regulation 46 of SEBKLODR^ Regulations. 2015: (Security IDiSAILT
Dear Sir,
This is in continuation to our letter No.CA-17(44)/2025-26 dated 28^" July, 2025,
intimating the link to the Audio Recording of the Conference Call held on 28^" July, 2025.
Transcript of aforesaid Conference Call is attached herewith.
Thanking you,
Yours faithfully,
For Steel Authority of India Limited
(M.B .B alakrishnan)
ED(F&A) &. Company Secretary
End: As above

“Steel Authority of India Limited
Q1 FY '26 Earnings Conference Call ”
July 28 , 202 5

MANAGEMENT : DR. ASHOK KUMAR PANDA – DIRECTOR FINANCE –
STEEL AUTHORITY OF INDIA LIMITED

MODERATOR : MR. ASHISH KEJRIWAL – NUVAMA WEALTH
MANAGEMENT

Moderator : Ladies and gentlemen, good day, and welcome to Steel Authority of India Limited Q1 FY '26
Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode
and there will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during the conference call, please signal an operator by pressing
star then zero on your touch -tone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Ashish Kejriwal from Nuvama Wealth. Thank you, and
over to you, sir.
Ashish Kejriwal: Thank you, Hamshad. Good afternoon, everyone. On behalf of Nuvama Wealth Management,
we welcome you all for Steel Authority of India's first quarter call. We are pleased to host Dr.
Ashok Kumar Panda , Director Finance , along with his team.
Now I would request the managemen t for his opening remarks and, thereafter, we can open the
call for Q&A. Thank you, and over to you, sir.
Ashok Kumar Panda : Thank you very much, Mr. Ashish. A very good afternoon, everyone, present through this con
call. Let me welcome all our investors a nd analysts who are joining this results con call for the

financial results of SAIL for the period quarter 1 FY '25 , '26.
I'm sure most or all of you would have gone through the financial results available on the website of the company and stock exchange. Results were out on 25th. However, I would briefly apprise you on the same before we move to the question -and-answer section where we would be happy to receive questions from your side and try to answer those questions. Let us look at the economic scenari o.
Let me first apprise you on the economic scenario in which we've been operating. The global economy has been battling the inflationary forces for quite some time now. The countermeasures by the economies across the globe led to the decline in GDP growt h rates in the countries. Global GDP growth rate is projected at around 2.4% in 2025, down from nearly 2.9% in 2024, driven lower by escalating trade tensions, rising protectionism and policy uncertainty.
IMF forecast is at approximately 3.3% and OECD expects advanced economies like U.S. and Eurozone to grow just at 1.3% to 1.5%. This slower pace is fueled by tariff, particularly sweeping U.S. trade measures and fragmented sup ply chains.
Global inflation is cooling right now. Headline inflation is expect ed to fall to around 4.1% to 4.2% in 2025, down from pandemic era peaks. Nonetheless, central banks remain cautious about it. The ECB recently held its benchmark rate at 2%, giving lingering trade war risk, while U.S. Federal Reserve, despite maintaining a high interest rate, hints at rate cuts later in the year if inflation continues to abate.
Amid the global headwinds, India continues to outperform. India's fundamentals remain stronger. Over 80% of Indian CEOs are optimistic about the growth prospects, b uoyed by demographic advantages, expanding middle class and a shift t owards service -led development.

In fiscal year 2024'25, GDP growth reached around 6.4%, driven by robust private consumption growth at 7.3% and healthy activity across agriculture, indus try and services. Central agencies like OECD and the UN project India's economy will expand by roughly 6.3% to 6.7% through 2026. Inflation levels are remarkably low. Retail inflation in June stood at just 2.1%, well below the RBI's full year target of 3. 7%.With easing price pressures, the RBI is signaling room for interest rate cuts to boost liquidity and investment in the country.
The Indian government's multipronged strategy aims to counter global disruptions with domestic strength. Capex is the growth engine for our country, and we are expecting capex to increase further. It wil

l result in sustaining long -term growth, promoting infrastructure -led
investment and job creation in the country. Foreign trade push, the recently signaled India - U.K. FTA in July 24 -- 24th July 2025 is expected to unlock opportunities for start -up companies, manufacturing and services exports without compromising India's strategic interest.
On the front of global and domestic vulnerabilities, will remain with respect to rising protectionism and volatile capital flows due to trade disputes, particularly U.S. tariffs on China and Europe, agricultural and rural inflation spikes post monsoon, climate shocks impacting global food supplies and commodity prices.
India should build the capabilities in services and high -value sectors going forward. When we talk about the world steel scenario, coming to the steel scenario, the same has been much in line with the economic situation. As of mid -2025, the global steel market is growing slowly with total demand expected to rise by just 1.7% globally according to WSA.
Advanced economies, particularly Europe, Japan and U.S. are experiencing stagnant or declining demand, mainly due to slower construction activity an d higher interest rates. On the contrary, developing economies led by India, Southeast Asia and parts of Africa are driving demand through infrastructure urba nization and industrialization.
China, which accounts for more than 50% of the global steel produ ction is facing a historic slowdown in domestic demand, largely due to prolonged real estate crisis, tight credit conditions and weak exports. In response, Chinese producers are uploading excess steel in international markets at lower prices, leading to gl obal oversupply and price suppression. This has triggered trade tensions and protective measures across several countries, including India, UAE countries and U.S.
Now let us look at the Indian steel industry. Coming to this industry, domestic steel demand is growing at a rapid pace, over 8% annually. This demand is driven by infrastructure projects, affordable housing, railways, ports, highways, growth in automotive, defens e and renewable energy sectors.
India's per capita steel consumption has doubled in the last decade, reaching more than 120 kg right now, though still below the global average, but it is indicating immense headroom for growth in the future years.

However, challenges remain in the form of rising imports, global oversupply and input depen dence. Input dependence means it is basically coking coal, its variability in the price is determining t he cost of production out here.
Rising imports means steel imports surged over 24% in 2025, especially from China, Vietnam and Japan, creating price pr essure on domestic producers; however, imports in this quarter 1 of this year is under control. The prices of steel have also been operating in a narrow band, but with the prices stabilizing in the past 1 or 2 weeks right now. There are hopes for improveme nt in the next quarters, which has traditionally remained the strongest for steel producers.
Now let us discuss about the company performance for the quarter Q1. Coming to the performance of sales during quarter 1 FY '25, '26, the same has been as follows : Saleable steel production during the quarter stood at 4.7 million tons as against 4.2 million tons last year quarter 1 with a growth of 12%.
Sales volume stood at 4.55 million tons as against 4 million tons in last year quarter 1 with a growth of 15%. I n fact, this is the best ever first quarter performance in sales in any financial year for SAIL.
On the financial front, due to impact of lower prices, turnover could register a lower growth of 8%. Added by improvement in efficiency parameters, the profit before tax registered a growth of more than 2.7x to stand at INR890 crores this quarter vis -a-vis INR326 cror

es last year
quarter 1 before exceptional items.
And after exceptional item, it was, I think, only INR14 crores last year quarter 1. The company continues its drive towards reduction in borrowings as on 30th June 2025, which stood at INR28,741 crores as against INR29,811 crores as on 31st March 2025. So we have reduced our borrowings by around INR1,100 crores in quarter 1 this year.
So on the fron t of sustenance and operational efficiencies, we have improved the fuel rate, coal to hot metal ratio, increased CDI and reduced coke rates, reduced basic energy consumption in this quarter as compared to the previous quarter, which has given us advantage in the cost front as well as the steel.
Our CO2 emission levels have also improved in this quarter as compared to the previous quarter -- as compared to quarter 1 of last year; however, we are still having more targets to improve it further. We are focusi ng on zero liquid discharges, eco -restoration of areas and regions, and we are focusing also on CSR activities for giving benefit to the stakeholders in the society. So this is in nutshell about the overall scenario.
With these words, I hand it back to Mr . Kejriwal for opening the Q&A session. Thank you. Mr. Ashish.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Amit Lahoti from Emkay Global.
Amit Lahoti: My question is on cost. So how much was our blended cost of coking coal in Q1?

Ashok Kumar Panda : Yes, that is the question. It is INR16,918 per ton.
Amit Lahoti: Okay. So it is flat versus the previous quarter?
Ashok Kumar Panda : Previous quarter was INR17,653 on an average. So the re's a bit of improvement, yes, around INR600, INR700 per ton.
Amit Lahoti: Okay. So we are seeing better coking coal prices as well as the coke rate. So one thing which I wasn't able to reconcile was the delta in EBITDA per ton, and that is due to -- partially due to higher cost. So if you can help reconcile that, which cost items have actually moved up?
Ashok Kumar Panda : Yes. Regarding your -- you're talking about EBITDA per TSS, Which is INR6,400 now as compared to INR6,000 in quarter 1 last year. So wh en we look at the imported coal price, average coal blend cost, INR16,918. So quarter 1 previous year was -- just 1 sec. So it is a little less than that. There is an improvement in the production volumes in this quarter 1 as compared to the previous quarter 1.
Yes, so in the EBITDA numbers, when we talk about EBITDA numbers, actually we've got advantage in the imported coal and because the royalty is more in the iron ore, so there is a disadvantage in the NSR growth front, there is a disadvantage, bu t EBITDA is also down -- EBITDA per ton of saleable steel is down primarily because of the stock valuation rates.
Because as you understand, because of the reduction in the imported coal rates, the cost of production has come down. And as a result of that , the stock valuation rate of the items -- steel items and iron items, they have come down drastically. So it has impacted the P&L account in terms of accounting. That's the reason why the EBITDA per ton of saleable steel appears to be

a little less as com pared to last year quarter 1.
Amit Lahoti: Okay. And where do we see the guidance for Q2 on coking coal?
Ashok Kumar Panda : Because so far as Q2 guidance is concerned, the coking coal prices are almost flat as it was in quarter 1. We are hoping that it wil l remain at the same level, a little bit of variation here and there, won't be on the downside, could be a little up or maybe at the same level. That's about the coking coal.
Now talking about the stock valuation impact, it is a onetime impact, which has come in quarter 1 because of the reduction in the cost of production and then transition from last year to this year. So that impact is unlikely in quarter 2. It will not be there in the quarter 2. So quarter 2, we'll have advantage with respect to stock v aluation rates. And the coal prices will remain flat, so that will ease out our cost of production.
Moderator: The next question is from the line of Amit Dixit from Goldman Sachs.
Amit Dixit: A couple of questions from my side. The first one is on the capex. So what was the capex in this quarter? How much capex do we expect this year? And if you can also highlight the status of the capex project that we have planned, plant -wise?

Ashok Kumar Panda : Yes. capex , first of all, let me tell you, capex last year was close to INR6,000 crores. And this year, we have kept a target of INR7,500 crores throughout the year, which is a higher target, and we are confident that we'll be able to achieve that.
And in quarter 1, we have already crossed the target, w hich we had given. I'll just give you the number a bit later. The number is quarter 1 target was how much? Quarter 1, we have achieved INR1,642 crores, which is more than the target we had set for the quarter 1.
And then, for the entire year, the target i s, as I have told, INR7,500 crores, and we have got the plans to achieve it. So far as the facilities are concerned, as you said, actually, we have got the facilities, which are in the pipeline, the facilities which are under execution from there, we are getting the capex . And SAIL is doing expansion and to start with in IISCO steel plant. So the majority of the -- a lot of expenditure of capex in IISCO will come from next year.
So that means from next year onwards, the capex figures will be still higher t han INR7,500 crores, which is there this year. A bit of that IISCO capex on account of expansion may surface this year. But most of the capex will be from the ongoing projects, which are happening in the various plants.
Amit Dixit: Okay, sir. The second qu estion is on the rail price revision. So saw some advantage that we had to the tune of INR173-odd crores. Now this pertains to FY '24 as highlighted in notes to accounts. So just wanted to understand the current rail price and what was the rail price booke d in FY '24? And how much of this advantage can we get further down the year?
Ashok Kumar Panda : Yes, let me tell you the figure. The figure, which was finalized by Joint Pricing Committee was for '23, '24 and, on that basis, because we had taken the income at INR78,000, so it was a little more than that INR79,000 something. So it got around INR173 cr ores in the accounts.
That is for '23, '24. Now '24 -'25, incomes were at INR78,000, which was continuing.
Now from '25, '26 onwards, the provisional price has been at INR74,000 per ton because of the softening of imported coal prices, so the provisional p rices have been capitalized. So that's the reason why accounting is already done in this manner. And going forward, we'll have no issues on this.
Amit Dixit: Can we expect some more benefit from this or everything for FY '24 has already been taken into acc ount?
Ashok Kumar Panda : More benefit in this sense, this already...
Amit Dixit: Due to rail price revision?
Ashok Kumar Panda : Yes, rail price revision benefit will not come in this year further because this is already actualized, and that is why no more areas are expected in this year.
Moderator: The next question is from the line of Ashish from MLP.
Ashish: Sir, how much is the stock valuation impact this quarter?

Ashok Kumar Panda : Yes, stock valuation impact this quarter is around INR1,050 crores.
Ashish: So this is -- so INR1,050 crores is a one -off, which will not repeat next quarter onwards. Is that correct to say?
Ashok Kumar Panda : It will not repeat next quarter. This is quarter 1 versus quarter 1.
Ashish: Okay. And this was not there in Q4?
Ashok Kumar Panda : This was not during last Q4. Last Q4 -- every quarter there is some amount of stock valuation

impact, either it is plus or minus, something like that. But majorly it was not there in Q2. So when we compare this Q1 versus Q4, impact is aro und INR950 crores.
Ashish: Okay. And also, what would be the impact because of higher royalty on iron ore, this quarter?
Ashok Kumar Panda : This quarter is basically because of the IBM prices...
Ashish: Versus Q4?
Ashok Kumar Panda : Yes, versus Q4, it coul d be somewhere around we had say, around INR250 crores or INR260 crores. Just 1 sec. INR173 crores to be specific. Around INR173...
Ashish: Okay. And did you get any revenue -- sorry.
Ashok Kumar Panda : Yes, please?
Ashish: Did we get any revenue for sale of NMDC steel? I mean, for marketing NMDC steel this quarter? Last quarter, we highlighted we got some revenue?
Ashok Kumar Panda : Yes. 0.373 million tons we have sold actually and -- so we have got a revenue of around -- in this quarter, around INR1,800 crores odd, that revenue we have sold.
Ashish: Okay. So adjusted for that, what would be the realization increase this quarter versus Q4?
Ashok Kumar Panda : In terms of what rupees per ton?
Ashish: Rupees per ton, yes. NSR in crease rupees per ton for Q1 versus Q4.
Ashok Kumar Panda : So Q1 versus Q4, Q1 is around, you can say, INR1,600 per ton increase in NSR.
Ashish: INR1,600?
Ashok Kumar Panda : Yes.
Ashish: Okay. And how should we look at the NSRs for average of Q2 versus Q1?
Ashok Kumar Panda : See, everybody knows about it actually because in the rainy season, which is there in Q2, the prices remained little suppressed. So prices -- steel prices are down in July. But as I have

already given in my opening remarks, that in the last 1 or 2 weeks, it has started improving. There are signs of improvement in the prices in the flat a s well as in the long products. So hopefully, next month and next to next month, August and September, the slide, which has taken place in July would be offset. But Q2 prices will be down as compared to Q1 that is what it looks like at this moment.
Moderator: The next question is from the line of Prateek Singh from DAM Capital Advisors.
Prateek Singh: Just following on Ashish's question earlier, if you ca n give us actual numbers for NSR, both flat and longs for Q1 as well as Q4 in rupees per ton?
Ashok Kumar Panda : Q1 and Q4. So Q1 long is INR54,500 and Q4 long is INR53,300. In case of flat, Q1 is INR50,400 and Q4 is INR47,300.
Prateek Singh: Sir, if we sa w a decent increase in NSR, I was a bit confused when I look at the slides. So the slide where you show an EBITDA bridge from Q4 to Q1, 2 things caught my eye. One was that the sales price/NSR, we are putting a negative number, in the sense, that it's impa cting the EBITDA negatively when mov ing from Q4 to Q1. That is one. And second is the raw material usage is also hitting us negatively. What is the raw material usage? I mean I would assume that given that we produce less, so usage also would be lower?
Ashok Kumar Panda : Yes. No, it is not like that actually. I can explain you. When we compare -- you were asking a question about Q1 versus Q4, so when we compare Q1 versus last year Q1, everything appears to be very positive. But when we compare Q1 versus Q4, then even raw material usage front, there is a negative because the technical parameters in quarter 1 are adverse as compared to quarter 4 because quarter 4 happens to be the best producing month, and that is why best technical parameters as well as pr oduction volumes.
In quarter 1, what happens in all the organizations, they go for capital repair, shutdowns and all that. So productions are not that consistent as compared to quarter 4. And that is the r

eason
why when we regulate and throttle the produc tion, then the technological parameters also get impacted.
So that is why the raw material usage is adverse in this quarter 1 compared to quarter 4; however, these are better than quarter 1 of last year. And so the production volume in this quarter 1 is l ess than that of quarter 4 of last year. But quarter 1 as compared to quarter 1, there is an improvement even in the production volumes. So that is why...
Prateek Singh: And on the NSR?
Ashok Kumar Panda : Sorry .
Prateek Singh: On the NSR, sir, why are we s howing an adverse impact of NSR despite an improvement?
Ashok Kumar Panda : No. If you look at that, actually, that can be split into 2 categories, which we'll do from the next time. One is NSR impact and the other one is the stock valuation impact. So when we

look at the total net impact is INR258 crores minus. Out of that, around INR950 crores minus is because of the stock valuation.
And you can say around INR600 crores to INR700 crores plus is because of the sales price increase. So on the sales NSR fron t, there is a positive of around INR650 crores to INR700 crores; however, there is negative on account of stock valuation rate impact of around INR950 crores. So on the whole, it is minus INR258 crores.
Prateek Singh: Understood, sir. And sir, can you just tell us what are the spot NSRs right now in longs and flat?
Ashok Kumar Panda : What are the -- Sorry ?
Prateek Singh: What are the current NSRs, sir, we are seeing right now maybe as of July...
Ashok Kumar Panda : Okay. Current NSR means July expected NSR is somewhere around -- long is around INR51,500 and flat is around INR48,600.
Prateek Singh: Understood, sir. And sir, any guidance as to what kind of full year volumes in terms of sales you would be doing?
Ashok Kumar Panda : Well, in quarter 2?
Prateek Singh: No sir, full year, for '26. '25, '26?
Ashok Kumar Panda : Yes. For the full year, we are expecting somewhere around 18.5 million tons.
Prateek Singh: Okay. And just the last -- just a suggestion. This is something, which I have seen over the past few quarters. In the production performance slide, sir, it would be best that we mention whether it's for the quarter or for the cumulative till that quarter because this time, it's saying FY '25, so I as sume it's 1Q because it's easy.
But usually, in 2Q, 3Q also, it says FY '25, then we get confused whether it is for the first 3 quarters or only for that quarter. Just a suggestion to make it more clearer in the production performance slide, sir.
Ashok Kumar Panda : Yes. We have noted your suggestion. We'll do the needful.
Moderator: The next question is from the line of Kamlesh Bagmar from Lotus Asset Managers.
Kamlesh Bagmar: Sir, I just wanted to understand more about this stock valuation. I think it is more of a finished goods valuation. So is it more that we have valued the inventory at the current prices or what we have done with the stock valuation? Because for the first time, we are hearing in the -- we are getting the adjustment from your side that in SAIL, we are s eeing the stock valuation thing?
Ashok Kumar Panda : No, let me answer this question. Actually, stock valuation is there everywhere, every time by every company, it is done by every company, it's a part of the P&L account. And now in this

year, beca use there's a transition from last year to this year and as all of us know, coal prices are down. So when the coal prices are down in quarter 1 as compared to average of last year by around INR6,000 or whatever it is, based on that, the cost of production is also quite less.
And since cost of production is less and our stock valuation is taking place with respect to cost of production, not NSR, that is why the

re is a hit on the stock valuation rate in stock accretion and decretion. And this impact is aroun d INR1,050 crores quarter 1 versus quarter 1 and around INR950 crores quarter 1 versus quarter 4. So this is just onetime true -up of the stock valuation rate in the stock accretion -decretion.
Kamlesh Bagmar: It is related to coking coal only?
Ashok Kumar P anda : It is mostly related to the coking coal. But the cost is not only decided by coking coal, it's based on the efficiency and other things, but impact of other items are pretty less as compared to the imported coal.
Kamlesh Bagmar: Okay. And secondly, on the capex side, sir, have we got the approval from the Board on the capex side because we were telling that -- we were guiding that there would be new capacity announcements and all that sort, and we would be ordering -- placing the orders for that capacity, so any update on that part?
Ashok Kumar Panda : Yes, we have got it approved. INR7,500 crores for this year is approved by the Board, and that is our target. And as you have mentioned about the new capacities, we have got the expan sion plans in pipeline. And the tendering activities are going on in IISCO steel plant, wherein we are planning to have 4.5 million tons expansion over there.
And as I have already explained that the expenditure in that will generally start from the next year from '26, '27 because the orders will be placed and then the other activities will start from next year, and that is how the expenditures will start coming from the next year regarding that expansion. And back -to-back, we are planning expansion in oth er plants as well in other facilities, so those things will also follow going forward.
Moderator: The next question is from the line of Sumangal from Kotak Securities.
Sumangal: A couple of questions. First is, sir, given that the IISCO expansion will kind of pick up pace next year, this INR7,500 crores could go to what number ballpark for FY '27 capex ?

Ashok Kumar Panda : So actually, as we have discussed, after tendering and order placement, the execution activities start and the expenditure will start fro m the next year, we are expecting a good jump as compared to INR7,500 crores next year onwards. So the actual numbers will come only when the packages are crystallized. But then I can expect that a good jump will be there in the next year as compared to th is year.

Sumangal: Okay. And this IISCO will be roughly 4 million tons new capacity and some debottlenecking, right, 0.5 million ton debottlenecking?

Ashok Kumar Panda : Yes.

Sumangal: Yes. So total, we are looking at some -- I mean, for IISCO only, what would be the total capex , somewhere around INR30,000 crores, INR35,000 crores?

Ashok Kumar Panda : You can say, ballpark 4 x 9,000, it will be INR36,000 crores.

Sumangal: Okay. And sir, w e'll be spending over 3 years, right, FY '27, '28 and '29? That's broadly...

Ashok Kumar Panda : It's spread for 3 to 4 years. Actually, after order placement, actually, it is around 36 months. That's the guidance.

Sumangal: Got it. Got it. Sir, my second question is with respect to this NMDC contribution, can you explain how is it getting accounted? Is the volume boosted because of that? Or is it just some line item in revenue and some costs associated with it?

Ashok Kumar Panda : It's -- basically, it's ha ppening as a line item as well as part of the stock, so that is how it is appearing right now in the books of accounts. And in the books, it is very clear. Once we see it, we can understand.

Sumangal: Okay. Sir, can you explain what is the line -- I mean, revenue and cost contribution in 1Q for this?

Ashok Kumar Panda : I mean, it's kind of a purchase actually from their side, so purchase -- in the stock, you can see -- in the purchase -- in the expenditure, you can see it is the purchase of

stock in trade. It is -- I mean, purchase of the stock in trade and it is also there on the revenue side.

Sumangal: Okay. And the volume of 4.55 million tons, does it include anything from NMDC volumes also?

Ashok Kumar Panda : In quarter 1?

Sumangal: Yes.

Ashok Kumar Panda : Yes, it includes around 0.37 million tons from there.

Sumangal: Okay. All right. And sir, what would be the margin contribution or difference between revenue and cost for this?

Ashok Kumar Panda : What? For financial? You're talking about...

Sumangal : Yes, margin contribution of this NMDC marketing what we are doing?

Ashok Kumar Panda : No, it is done based on an agreement between them and us. And on that basis, we do it.

Sumangal: So at EBITDA level, it is neutral or is it positive? Is it negative?

Ashok Kumar Panda : It could be -- and details -- it could be a little bit positive because which will be compensating the efforts being made by marketing team.

Sumangal: Okay. And then, sir, for our full year volume guidance...

Moderator: Sorry to interrupt sir, but I may request you to re -join the question queue for follow -up questions.

Sumangal: Just a clarification. Just one last one. For this volume guidance of 17.5, are we including NMDC volume in this or not including?

Ashok Kumar Panda : 18.5.

Sumangal: Sorry, 18.5, yes.

Ashok Kumar Panda : Yes, that is with respect to SAIL products, our products.

Moderator: The next que stion is from the line of Vikas Singh from ICICI Securities.

Vikas Singh: Sir, my first question is towards this railway pricing, this INR74,000, which you said that is finalized right now, what is the cost of basically production cost you are factoring, especially the coking coal? Since coking coal has been declining, is there a risk of this pricing coming down?

Ashok Kumar Panda : See, let me try to clarify this point. Actually, this cost is done after -- is prepared after completion of the quarter and year, and then it is also examined by different levels and then it will be done. So the point of INR74,000 what you said is basically provis ional guidance. It has nothing to do with the actual prices.

Vikas Singh: Noted, sir, but then is there -- because coking coal prices have been come down significantly. Is there any cost advantage, which we need to pass on to the railway in the subsequent

quarters?
Ashok Kumar Panda : Yes. Because if you remember, if you go back to 1 or 2 years back till the prices of rail price -- the price of rail was pretty high as compared to what we are looking at right now. And so this cost examined by a competent auth ority at the government level and after thorough investigation, examination records, cost records and everything and accounts, everything, it is finalized.
So the reflection of imported coal price is coming into the rail price itself after examination by the competent authorities. That is how it is coming. And as coal prices softened, so the rail prices also softened that you must have already seen. Going forward, because the coal prices are at this level, so things will also be at this level.
Vikas Singh: Noted, sir. Sir, in terms of our finished goods inventory, how much of inventory we are carrying? And is that inventory is at the closing price of 1Q level, so there is a risk of markdown of these inventories as well going forward?
Ashok Kumar Panda : Yes, let me answer this question actually. We are holding around 1.7 million tons of saleable steel and 1.3 million tons of in -process stock. So these 2 put together steel stock, it is steel stock. And it is trued up to quarter 1 cost right now, which are almost at a very lower level. That's the reason why the stock valuation impact has come as we've already explained. So

going forward, we do

not see any further reduction in this. There could be improvement, but no reduction.
Moderator: Sorry to interrupt, sir, but I request you to re -join the question queue for follow -up questions.
The next question is from the line of Rahul Gupta from Morgan Stanley.
Rahul Gupta: So just to understand, you have some finished -- some inventory of being purchased stock and you are marketing NMDC steel products, so can you please help us understand how should we look at sales of NMDC steel from your end for rest of the year?
Ashok Kumar Panda : Yes, that is based on the contract and then their requirement, it is being done. So exact numbers, it will be very difficult to tell right now because -- the plant is also sort of ramping up and they have their own ways of doing it. So as per the requirement and the quantity cannot be frozen at this point of time regarding NSL numbers.
Rahul Gupta: Okay. Got it. And just to reconfirm, 18.5 million ton volumes for fiscal '26 is excluding NMDC, right?
Ashok Kumar Panda : Yes, that is our target, for Steel Authority.
Rahul Gupta: Got it. Just one more question. Where are we in terms of coking coal inventory right now? And where is it compared to normal inventory days?
Ashok Kumar Panda : Yes, let me tell you actually, coking coal inventory right now is around -- hovering around anything between 25 to 30 days in the ports and could be around 5 da ys in the plants. So those are at the normal levels that we generally expect. We try to maintain those levels of 25 days, something like that -- hovering around that. So right now, the stocks are also at those levels.
Moderator: The next question is from t he line of Raashi Chopra from Citigroup.
Raashi Chopra: Just wanted to clarify the NSR, what is the blended NSR for this quarter?
Ashok Kumar Panda : For this quarter, the average NSR is INR51,700 per ton.
Raashi Chopra: And what was that in the fourth quarter?
Ashok Kumar Panda : INR50,100.
Raashi Chopra: And for July?
Ashok Kumar Panda : And for July, this figure is expected around INR50,000.
Raashi Chopra: Okay. Then on the coking coal side, you mentioned the blended coking cost was INR16,900. What was the imported coking coal?
Ashok Kumar Panda : This is -- imported coking coal is INR17,600 and average was INR16,900.
Raashi Chopra: And the imported coking coal was INR18,500 in the fourth quarter, is that correct?

Ashok Kumar Panda : In fourth quarter it w as INR18,500, you're right.
Raashi Chopra: All right. And just last question on the inventory, that number, 1.7 million finished and 3 million total, what was it in the March quarter?
Ashok Kumar Panda : In the March quarter, it was 1.7 against 1.4 and 1.3 was 1.3. So basically, March quarter was 1.4 plus 1.3 and 30th June is 1.7 plus 1.3.
Raashi Chopra: Got it. And sorry, just one more question on NMDC Steel, you indicated that the revenues were about INR1,800 crores in this quarter?
Ashok Kumar Panda : Yes.
Raashi Chopra: And the purchase on stock in trade that you mentioned is about INR2,000 crores in the P&L,

but...
Ashok Kumar Panda : Something will be in stock also. After purchase, something will be lying in the stock.
Raashi Chopra: So is it fair to assume that you're pretty much breaking even at NMDC or there is something positive?
Ashok Kumar Panda : In our case, actually, we do not have a negative. We have positive only in that.
Raashi Chopra: Can you quantify that?
Ashok Kumar Panda : It's breakeven plus positive actually.
Moderator: The next question is from the line of Tushar Chaudhari from Prabhudas Lilladher Private Limited.
Tushar Chaudhari: Sir, this NMDC steel, you said only revenue and this raw material line gets affected in PP&L. There is no thing in other expenses, right? Or is there anything in other expenditure also because this quarter's ot

her expenditure seems to be on a -- little bit on a higher side, even if I look at on a per ton basis?
Ashok Kumar Panda : Yes. There is nothing of NSL i n the other expenses. The other expenses are higher compared to last year quarter 1, primarily because of the royalties.
Tushar Chaudhari: Because of the iron ore royalty?
Ashok Kumar Panda : Iron ore royalty, yes.
Tushar Chaudhari: Okay. And the tendering process at IISCO had started last quarter, so how long do you think this will take?
Ashok Kumar Panda : As per the scheduled dates given by them actually, order placements will take place in '25, '26.
Tushar Chaudhari: So order placement, do we expect by th ird quarter or fourth quarter?

Ashok Kumar Panda : Yes, end of third quarter and fourth quarter, all of fourth quarter. I mean, the schedule is December, January like that.
Moderator: The next question is from the line of Ashish from MLP.
Ashish Kejriwal: Let that be the last question, please.
Moderator: Okay, sir.
Ashish: Sir, one quick clarification. On the stock revaluation of INR950 crores, how much of it would be because of coking coal and how much of it would be because of finished steel?
Ashok Kumar P anda : I mean it is on finished steel -- it is on steel only, finished as well as in -process put together. And the reduction in the cost, which has given INR950 crores of adverse impact with respect to quarter 4 is primarily because of the imported coal pri ce.
Ashish: I'm not able to understand.
Ashok Kumar Panda : Because the imported coal prices come down around INR5,000 to INR6,000 per ton. That is why the cost of production is also down in quarter 1 as compared to quarter 4 as well as previous year quarter 1. That is why the stock valuation rate, which is equal to the stock valuation cost, so it has come down. And it has got an impact of a round INR950 crores with respect to quarter 4. So the reduction of cost is primarily what accounts for the imported coal rate.
Ashish: Understood. So then is it fair to say that as the imported coal rates increases, then the impact to us would be much lowe r because then we will get a revaluation benefit on the upside?
Ashok Kumar Panda : Yes, of course, going forward, suppose the stock is lying over here, a similar quantity or less quantity or more quantity. And if coal prices go up, then the stock rate will also increase. And that will also increase the positive impact on this also.
Ashish: And if I look at the next quarter versus this quarter, so we will not have this INR950 crores of impact, then INR250 crores of additional royalty or excess royalty becaus e of the iron ore price, IBM prices are now more or less flat. So that should not be there. And then there will be a negative impact because of realization. Is that the 3 variables that we should look at for the next quarter?
Ashok Kumar Panda : These are t he 3 basic reasons -- basic variables.
Moderator: Ladies and gentlemen, we will take that as our last question. I would now like to hand the conference over to Mr. Ashish Kejriwal from Nuvama Wealth for closing comments.
Ashish Kejriwal: Yes. Thank you, Hamshad . Sir, before we ask for the final call from you, just last question from my side. One, when you are talking about stock valuation impact, definitely, that's there. But in other expenditure also, we are seeing it's on a much higher side because more o r less fourth quarter versus first quarter, it was flat despite the fact that volume was lower. So we are

more concerned about the higher other expenditure as compared to what it was in the fourth quarter.

And secondly, in terms of valuation, when we are talking about, it's INR950 crores, assuming that nothing changes in second quarter, only price variation is there and cost is n

ot going to change, then definitely, second quarter versus first quarter, do you think that our earnings will be deviated only because of the price change -- steel price change?

Ashok Kumar Panda : Yes. Let me answer one by one, actually. So far as other expense is concerned, other expense within other expense, one of the major components is royalty. Apart from that handling and other expenditures are also there. So in the royalty front, because of the IBM price movement, so these figures also change. In quarter 1, the figures are higher. That is why other expenses figure is higher. But this may vary from quarter -to-quarter dependin g on the IBM prices.

Now coming to the stock valuation rates because that was a onetime kind of a hit in quarter 1, so that it will not be there in quarter 2. So it will give us a relief in quarter 2 and going forward, so the variability will be, again, b e primarily driven by the NSR front, in the NSR front, and we are hopeful that we'll be doing our production and technological parameters as per our own guidance. So primarily the NSR, which will be driving the fluctuation.

Ashish Kejriwal: Understood. So sir, rightly, you pointed that base, whatever we have given in first quarter from there to second quarter, main variatio n is because of the steel price?

Ashok Kumar Panda : Yes.

Ashish Kejriwal: Okay. That's great, sir. Sir, if you can give the final remark , then we can close the call.

Ashok Kumar Panda : Yes, thank you very much. So while we are quite concerned about the global economic scenario and focus, the Indian economy stood out as stronger with strong demand and consumption patterns. The forecast for Indian economy by various agencies have been quite encouraging and the economy is expected to grow in the range of 6.3% to 6.7% over the next 2 years, which is enough to categorize it as the fastest growi ng amongst the major economies.

The steel demand fo recast by WSA for India are also quite promising in excess of 8%. The government focus on infrastructure spending is a big boost to the economy in general and steel industry in particular.

The residential sector is also expected to grow backed by affordab le housing projects and urban demand. India's capital goods sector is also expected to benefit from the momentum in the infrastructure and investment in renewable energy. Automotive and consumer durables are expected to maintain healthy growth driven by su stained growth in private consumption.

The company remains committed towards improving operational efficiencies and with the market expected to be more good and supportive in coming quarters, I am hopeful that the good times will aid us a nd our investors going forward. Thank you very much for this interaction.

Moderator: Thank you. On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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Dear Sir,
2025.This is in continuation to our letter No.CA-17(44)/2025-26 dated 30'h October, 2025'
intimating the tink to the eudio Recording of the conlerence call held on 30'n october'
Transcript of aforesaid Conference Call is attached herewith'
Thanking you,Yours faithfullY,
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"Steel Authority of India Limited Q2 FY'26 Post Result s
Conference Call "

October 30 , 2025

MANAGEMENT : DR. ASHOK KUMAR PANDA – DIRECTOR (FINANCE),
STEEL AUTHORITY OF INDIA LIMITED
MODERATOR : MR. ASHISH KEJRIWAL – NUVAMA INSTITUTIONAL
EQUITIES

Steel Authority of India Limited
October 30 , 2025

Moderator: Ladies and Gentlemen, Good Day and Welcome to Steel Authority of India Limited's Q2 FY26 Post Results Conference Call hosted by Nuvama Institutional Equities.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is b eing recorded.
I now hand the conference over to Mr. Ashish Kejriwal. Thank you and over to you, Mr. Kejriwal.
Ashish Kejriwal: Thank you, Ranju. Good morning, everyone. On behalf of Nuvama Institutional Equities, we again welcome you all for Q2 FY26 Post Results Conference Call of Steel Authority of India.
We are pleased to host Dr. Ashok Panda – Director (Finance), along with his team for this call.
Now, I would request Mr. Panda to have an opening remark, and then we can open the floor for

questions. Ove r to you, sir.
Dr. Ashok Kumar Panda: Thank you very much. A very good morning, everyone. I welcome all our investors and analysts who are joining this Results Conference Call for the Financial Results for SAIL for the period Q2 and H1 „25 -26.

Before we mo ve to Q&A session, let me brief you on the results for this period. We start with economic scenario, global scenario, Indian steel scenario, and performance of SAIL in brief. In the economic scenario front, beginning with global economic scenario, the unce rtainties and volatilities stemmed from the tariff war. This continues to impact the demand/supply situation globally as well as it has got an impact in the domestic market as well.

The projections for GDP have improved in line with the same for economies individually as well as regionally, and it has improved the global averages. The IMF had improved its projections for global GDP growth rate to 3.2% in 2025 and 3.1% in 2026. The projections for India have also been revised upwards to 6.3% by various agenc ies.

In the "Global Steel Industry " front :

The global steel industry is weighed down on the adverse demand/supply situation as some of the largest producers are finding demand lowering in their own geographies. The landscape is influenced by economic trend s, trade policies, and technological advancements. While certain regions may benefit from protective trade measures, the overall impact is complex, with potential

for increased costs , market volatility, and shift in global trade dynamics right now. That is global steel scenario.

And looking at the Indian steel scenario, Indian steel industry continues to enjoy robust demand for steel with consumption during H1 '25 -26 which has grown by more than 8% over the same period last year. This was, however, sort of overshadowed by the growth in production as crude steel production grew by more than 12% in this half -yearly over same period last year.

During this same period, imports have come down substantially whereas exports have recorded increase. Even then, India remains a net importer during H1 '25 -26. There is a reversal in trend of imports versus exports in this half -yearly as compared to last year. During this time, the imports have come down and exports have gone up. Exports have gone up because during H1, the production was more than that of the demand in the domestic market. So, that is the reason why there was a bit of oversupply situation in the country due to which the exports have gone up. And maybe because of this safeguard duty and other things, the imp orts have come down drastically. That has given some kind of a relief. But because of the oversupply situation in H1, the pressure was on the price front. We hope that during the later part of Q3 and Q4, the Indian economic pickup a

nd demand will increase and this will then give a relief to the price front. So, the challenges continue on the pricing front as of now with the global trends not very good, but in India, we are expecting that it will improve in later part of Q3 as well as Q4.

Coming to the "Performance of Sales as a Company for Q2 and H1 '25 -26":

The crude steel production is steady at 9.5 million tons as against 9.46 million tons during last year H1. The sales volume is at 9.46 million tons which grew by around 17% from 8.11 million tons during H1 last year. There is a huge increase in the sales volume during this period of H1 so far as SAIL is concerned. So, that has resulted in reduction in the borrowing as well. During H1, we have reduced more than Rs.3,000 crores of borrowings and that i s where the interest burden has come down significantly.

Revenue from operations at Rs.52,625 crores in this H1, grew by 8% as against Rs.48,672 crores during the same period last year.

EBITDA margin stood at Rs.5,754 crores with a growth of around 3% over the same period last year.

Profit before tax at Rs.1,443 crores, increased by 28% and profit after tax at Rs.1,112 crores increased by 32% over the same period last year.

Debt reduction drive continues as borrowings on 30th September came down by Rs.3,384 crores as compared to the similar period last year.

Going forward, as the monsoon season is over and festivities are over, we hope that the market is going to have uptick in terms of its demand as well as the production will be robust, demand will increas e so pressure on the pricing front may ease out and prices may improve. That is the expectation.

As the coal prices continue to remain range -bound, however, because of the depletion in rupee with respect to US dollar, there is some impact on the bottom lin e. But in terms of index of coal price, that is almost kind of range -bound. So, the margins are likely to improve going forward. That is our expectation.

So, with these few words, I hand it over to Mr. Kejriwal for opening the Q&A session, please. Is that alright? Is that okay?
Ashish Kejriwal: Yes. Ranju, please open the floor for Q&A.
Moderator: All right. Thank you. We will now begin the question -and-answer session. The first question comes from the line of Amit Lahoti with Emkay. Please go ahead.
Amit L ahoti: Thanks for the opportunity. My first question is on capacity expansion and CAPEX. So, currently we are generating EBITDA of around Rs.5,000 crores. In our capacity expansion plan, what is the development capacity and R&D plan, sir?
Dr. Ashok Kumar P anda: Can you please repeat the question? It is not very much audible.
Moderator: Mr. Lahoti, this is the operator. We have lost the line of Mr. Lahoti. We will promote the next, that is Rahul Gupta. Please go ahead.
Rahul Gupta: Yes. Hi. Thanks for taking my question. A few questions. First, any specific reason why realization trends have been better than what we have seen with the steel pricing trend during the quarter, has inventory liquidation has any impact on this, any color on this would be very help ful. So, that is my first question.
Dr. Ashok Kumar Panda: Yes. The answer to this question would be actually even if the sales prices come down in Quarter 2, but we can find that the realization has gone up primarily because of more sales, because as we c an understand, the sales growth has been there for SAIL; H1 over H1, it is around 16% growth. So, that is primarily the reason. And as you correctly said, this has resulted in a reduction in inventory

to some extent, but production was also good. And at th e same time, this has resulted in a reduction in the borrowings greatly.
Rahul Gupta: No, no. What I am asking is that the decline in steel prices in 2Q versus 1Q was much higher than

what your steel realization has reflected into the numbers. So, any spec ific reason for that?
Dr. Ashok Kumar Panda: Yes. The reason for that between Q2 and Q1 is that actually the sales volume of by -products and the scrap items, that has increased a lot in Q2. So, we have made a lot of sales of that and we have reduced the in ventory of by -products as well as scrap items. That is the reason why overall realization is more in Q2.
Rahul Gupta: And what is the inventory for finished steel now? I remember it was around 1.8 million tons last quarter.
Dr. Ashok Kumar Panda: Yes, finished steel inventory is 1.9 million tons as on 30th September, but the important thing is that the in -process stock has come down from 1.3 million tons to 0.7 million tons. There is quite a lot of reduction in in -process stock. So, if we talk abou t the total steel inventory, between opening and closing, the opening was 2.72 million ton in this year and closing is 2.69 million tons.
Rahul Gupta: Got it. One final question from me is any update on iron ore sales? I remember you had got approval for s ales. So, by when can we expect you liquidating your massive iron ore inventory that you have?
Dr. Ashok Kumar Panda: Yes, let me give you the perspective in this respect actually, two, three points on this. One is we have been selling from Odisha Group of Mines, that is from Bolani continuously. If I remember correctly, they have sold around 0.3 million tons. I do not have the figure right now, but it is around that. So, that is going on against the target set by us. So, far as Chhattisgarh Group of Mines is concerned, we do not have much quantity to sell as of now, but going forward, the new mines is getting opened up, which is Rowghat. Once production picks up over there, we can think about it. Now, coming to Jharkhand Group of Mines regarding the dump ir on ore fines, which is having a stock of around 33 million tons, so there are two things that are happening – One is we are dispatching and the dispatch quantity has gone up significantly. We are dispatching this quantity to various sister plants. Like in a month, we are dispatching around 60,000 to 70,000 tons, which is at the rate of around 0.7 to 0.8 million tons per annum. So, we have increased the dispatches from that dump iron ore fines to various sister units. That is number one. Number two, recently we have put up an auction for one million tons of dump fines. So, we are looking forward to participation from the prospective customers in that respect. Yes, that is the answer to this question.

Rahul Gupta: Thank you so much.
Moderator: Next question comes from the line of Parthiv Jhonsa with Anand Rathi. Please go ahead.
Parthiv Jhonsa: Hi, good morning, sir. Thank you for the opportunity. So, my first question is pertaining to the sales offtake. We have seen a very good number in H1 and also in Q2 co nsidering the overall market. Is it possible to quantify what is your guidance for FY26 and '27 considering not a major capacity expansion from IISCO anything is expected in the next two to three years and only de - bottlenecking kind of a capacity expansion is expected, so can you give some guidance for Q3, FY26 and 27 as far as your sales volume is concerned?
Dr. Ashok Kumar Panda: Yes, let me try to answer this question. As you said correctly, actually, FY26 -'27 will have de -

bottlenecking efforts which are going on because of that the production volumes as well as sales volume will increase. We have been making a lot of strategies to increase the sales both on the domestic front as well as on the export front to some extent. And as you can see, in H1, we ha ve tried to reduce our inventory volumes of steel in totality, and thereby the reduction in borrowings. First, let me talk about the Q3, Q4, then FY26 -'27. In Q3 and Q4, we are looking at a reduction in the sellable

steel inventory by increasing the sales volumes more than that of the production volumes. That means in Q3, Q4, our production volume is going to increase also. At the same time, increase in sales volume should be more than that of the production volume so that the overall inventory can come dow n. In '26 -'27, we will have still a good target as compared to '25 -26 regarding our production, because we have de -bottlenecking efforts which are going on at various steel plants. Certain things we have already done in IISCO steel plant and we are going t o take up at Rourkela steel plant if the market picks up, then we will start kind of a old furnace and start increasing our volumes as well. So, that is the kind of effort. So, that is why in '26, -27, the volumes will be more than that of '25 -'26. And beca use we have got inventory of sellable steel that will also be liquidated to a greater extent, at least by 50% during '26 -27 and on to that the production volumes. So, this sales volume growth will also be there in '26 -'27 as compared to '25 -'26. That is our expectation, and also our efforts are towards that as well as we understand that the steel economy in domestic market is improving. So, our economy will also support that.
Parthiv Jhonsa: So, that is actually quite helpful, sir. Sir, my se cond question is pertaining to your borrowings. We have seen the borrowings going down substantially in Q2, right? Do you expect this momentum to continue at least for the next two to three quarters before the IISCO CAPEX kicks in or do you expect this to increase by the end of '26 and '27?
Dr. Ashok Kumar Panda: No, we do not expect this to increase because in '25 -26, we are trying to reduce the borrowings to the extent possible , reduce our debt -equity ratio to the extent possible so that we keep a room to

accommodate IISCO expansion. The CAPEX of that will start picking up from '26 -27. You are correct. We have a target to reduce our borrowings further. The momentum of reduction in borrowings will continue in Q3 and Q4 for this year as well.
Parthiv Jhonsa: So, let me just squeeze a quick question. Can you give us some guidance on the coal cost for Q3?
Dr. Ashok Kumar Panda: Q3 or Q2? What are you talking about?
Parthiv Jhonsa: Q3.
Dr. Ashok Kumar Panda: I mean, So, as we can see that in October, the importe d coal price in our plant units are around Rs.17,300, which has gone up from the August level of Rs.16,600. That means between August and October, there is an increase of around Rs.700. This is primarily because of a depreciation of rupee with respect to U SD, but now onwards in this month, by October end, we are finding that the indices have increased a bit. Of course, the indices are range -bound, but it has increased from September level of 187 to 194 right now. It may soften. We do not know about that, bu t it is varying between say 185 to 195 in that range. So, right now, the index is little on the highest side, 194. So, as you said, what about Q3 and Q4? Because in Q3 and Q4, the demand is going to pick up everywhere. So, we believe the imported coal pric e will remain a little higher as compared to what it is today. Today, it is around Rs.17,400, it may go towards Rs.18,000, Rs.18,100, something like that in Q3 I expect. In Q4, we will see how it continues.
Parthiv Jhonsa: So, should we expect around $6 to $8 kind of an increase in coal cost?
Dr. Ashok Kumar Panda: That is what it is, because from 187, it has gone to 194 I believe it will remain there or it will be more around that figure.
Parthiv Jhonsa: Sure. Thank you for the answer, sir. Thank you so mu ch and best of luck.
Dr. Ashok Kumar Panda: Yes, thank you.
Moderator: Next question comes from the line of Rajesh Ravi with HDFC Securities. Please go ahead.
Rajesh Ravi: My first question is, can you share what is the NMDC volume contributio

n and revenue
contribution in this quarter? And your 18.5 million tons core volume that remains intact for FY26?
Dr. Ashok Kumar Panda: NMDC, so Quarter 2 volume is 3 lakh tons, almost a lakh every month and it is Rs.3 lakh and 1,500 crores.

Rajesh Ravi: Okay. And this 18.5 million tons which you had guided, that remains intact for FY26?
Dr. Ashok Kumar Panda: Yes, yes, yes, that remains intact.
Rajesh Ravi: Okay. And you mentioned that because of higher scrap sales and all, this time in Q2, your net realization appears to be better off compared to the normal steel price decline. So, maybe in Q3, we will have that impact getting reversed?
Dr. Ashok Kumar Panda: Pardon?

Rajesh Ravi: In Q3, with scrap sales normalizing or lower scrap sales and given that steel prices have further weakened, you would be looking at a higher decline than the normal steel price decline?
Dr. Ashok Kumar Panda: Let me explain actually. Even if there are pressures on the price front right now, but I believe from November middle or end of November, things would improve and prices would improve. This time also from December onwards, there was improvement in the prices. December and entire Quarter 4 remained under improvement. So, that is going to improve, number one. Number two, so far as sales of by -products and scrap and defectives are concerned, we are having our efforts towards that. We will continue to have our momentum towards liquidating those stocks through frequent auctions and all that. So, that is happening in all the steel plants as well a s in stockyards. So, we are going very aggressive on that. So, on that front, the realization will be quite good as well during Quarter 3 and Quarter 4.
Rajesh Ravi: Okay. And on the cost side, you mentioned that the coking coal prices will be higher by $6 to $7, right, in this quarter?
Dr. Ashok Kumar Panda: It looks like, it looks like.
Rajesh Ravi: It looks like? Okay. And in terms of overall margin, how do you look at the second half versus 1H?
Dr. Ashok Kumar Panda: Because in second half, two or three things will happen actually, even if coal price could be a little on the higher side, which we do not know at this point of time. And that is linked with the steel market situation. And if this remains at this level, then the steel prices are also going t o go up. So, it will balance out. That is number one. Number two, in Quarter 3 and Quarter 4, because our capital repairs are over in all the steel plants. So, production is going to go up and movement in the blast furnaces will improve, thereby, the cost reduction will be also there actually. So, in Quarter 3, Quarter 4, we will have better cost reduction. So, that will add to our profitability.

Rajesh Ravi: Okay. And so one last question, which I even had asked in the last call, your provisional price revenue, the table which you shared in the footnotes, how do we read into those numbers, what do you mean by the cumulative number and the YTD numbers, because if I look at in Q2, you have mentioned Rs.2,500 crores for the current quarter and YTD you have mentioned around Rs.4,900 crores, but in Q1 you had reported Rs.2,600 crores. So, ideally it should have been Rs.5,100 crores. And then what is this cumulative number which you share, can you explain what is the working behind those numbers?
Dr. Ashok Kumar Panda: Yes, I will try to explain rail price. This is regarding the rail pricing. Okay. So, that is a constant thing in SAIL P&L and balance sheet every time. So, the rail price has been finalized up to '23 -24 and '24 -25 is under process. So, that is on track. So, in the pendency of the finalization, what is happening is the provisional price is decided by the joint pricing committee in which there are members from SAIL as well as railways. So, that is wh

y right now, whatever revenue has been recognized as per IndAS 115 in the books of accounts, that is based on the provisional prices and the provisional prices are already set. So, in that provisional price, we have got our revenue recognition done, which is in line with the market prices right now. So, once '24 -25 p rices are finalized, then the different sale will also be booked to the profitability. And after that, the provisional price will also be reset. So, with every finalization of a price, the arrear amount is also put in the P&L account as well as the provisi onal price is reset. So, this is a line in the notes to the accounts, which always we show as a part of the disclosure.
Moderator: Thank you. Mr. Ravi, please rejoin the queue for more questions. Next question comes from the line of Pallav Agarwal with Ant ique Stock Broking.
Pallav Agarwal: Hello! Good morning. Just a question on, you said you expect realizations to improve. So, could you just give a break up of how the flat and long prices move between Q1 and Q2 and currently where spot prices are compared to Q2 average?
Dr. Ashok Kumar Panda: So, Q1 in case of long, Quarter 1 was Rs.54,500 and Quarter 2 is Rs.49,000. So, it is around Rs.5,500 reduction between Q2 and Q1. That is regarding long products. In case of flat, Q1 was Rs.50,400 and Q2 is Rs.48,700 . That means reduction of around Rs.1,700. So, if you look at the average actually on an average, Quarter 1 was Rs.51,700 and Quarter 2 is Rs.49,000. Around Rs.2,700 average reduction in sales price, NSR between Quarter 1 and Quarter 2.
Pallav Agarwal: Sure, sir. And so this was you see partly offset by the sale of scrap and defective. So, this did not show up in the blended realization?
Dr. Ashok Kumar Panda: Partly offset by that and partly offset by the input prices as well.

Pallav Agarwal: So, when we g ive this guidance of 18.5 million tons, this is excluding the NMDC trading volumes, because at 0.3 million tons per quarter, maybe we will touch an annual run rate of 1 to 1.2 million tons. So, this 18.5 million tons is only SAIL production, right?
Dr. Ash ok Kumar Panda: Yes, that is on SAIL production.
Pallav Agarwal: Okay. And we want to get a rough sense of the profitability on the NMDC trading sales. We have

the purchase of materials. So, is that a fair reflection of the purchase cost from NMDC?
Dr. Ash ok Kumar Panda: Yes, there is a fair reflection on the purchase cost on NMDC based on an agreement kind of a thing. So, that goes as per that.
Pallav Agarwal: Sure, sir. Lastly, if you could also just share how spot prices in October compared to Q2 average how much are they lower than that?
Dr. Ashok Kumar Panda: Which one?
Pallav Agarwal: Spot, sir, let us say October prices?
Dr. Ashok Kumar Panda: Yes. So, October long price is Rs.49,900 and flat is Rs.46,600. So, in October, we can say that the flat pric es are down by around Rs.1,200 to Rs.1,300 per ton, while long prices are flat. That means in case of long products, the prices are flat in October as compared to September. But there is a downward trend in HR coal prices, flat excluding PM plates. So, in PM plates, the price is almost flat. But, in case of HR products and CR products, there is a reduction of around Rs.1,200 to Rs.1,300 in October as compared to September.
Pallav Agarwal: Sure, sir. Yes, thank you so much.
Moderator: Next question comes fro m the line of Rashi with Citi. Please go ahead.
Rashi : Thank you. Sorry, I just missed the October flat realization. Did you say it was Rs.46,000 something?
Dr. Ashok Kumar Panda: Rs.46,600 ma'am.
Rashi : On the coking coal side, what was the average cost i n this quarter?
Dr. Ashok Kumar Panda: Average cost in Quarter 2 is Rs.17,400.

Rashi : And how much was imported coal?
Dr. Ashok Kuma

r Panda: Yes, imported coal is Rs.18,150.
Rashi : So, that Rs.17,400 is currently trending at Rs.17,300 now, is that what you said?
Dr. Ashok Kumar Panda: Rs.17,400 was in Quarter 2. And right now, it is almost at the same level as far as October is concerned.
Rashi : On the CAPEX side, we have got the non -IndAS debt numbers. Can you just give the IndAS net debt number for Septem ber, please, and also the projected CAPEX for the year?
Dr. Ashok Kumar Panda: Regarding CAPEX we have achieved in H1 Rs.3,375 crores. This is above our target of Rs.3,100 crores. And for this year, we are targeting in excess of Rs.7,500 crores of CAPEX. That is regarding CAPEX. So, you are referring to the IndAS and non -IndAS . Are y ou talking about the borrowings?
Rashi : Yes.
Dr. Ashok Kumar Panda: You are talking about the borrowings? Now, when you are talking about the borrowings, IndAS borrowings are Rs.33,663 crores as on 30th September 2025 and non -IndAS borrowings is Rs.26,427 crores. So, that is the actual borrowing. Non -IndAS borrowing is the actual borrowing in the books of SAIL, which is Rs.26,427 crores, which is a reduction of around more than Rs.3,000 crores as compared to the opening.
Rashi : Got it. Thank you.
Moderator: Next question comes from the line of Siddharth Gadekar with Equirus. Please go ahead.
Siddharth Gadekar: Hi, sir. Good morning. Can you from next quarter onwards just spell out the NMDC volumes and revenue and cost item in the presentation, so it will be more helpful for us to understand how much is the gain from NMDC?
Dr. Ashok Kumar Panda: I mean, the quantities and realization we can certainly give for information of everybody. So, the gain part is inbuilt in the system, so it may not be exactly possibl e to quantify that at this point of time.
Siddharth Gadekar: And secondly, what is the quantum of scrap sales in this quarter?

Dr. Ashok Kumar Panda: It has gone up quite a lot, Rs.1,140 crores actually as compared to Rs.869 crores in Quarter 1, o, increas e of around Rs.250 crores.
Siddharth Gadekar: All right. Thank you so much.
Dr. Ashok Kumar Panda: Thank you.
Moderator: Next question comes from the line of Somaiah V with Avendus Spark. Please go ahead.
Somaiah V: Thanks for the opportunity. Sir, you did talk about scrap increase QoQ. On value -added products, can you give a similar number?
Dr. Ashok Kumar Panda: Yes, total value -added is around 57%. So, we have been trying to increase this value -added products quarter -after-quarter. We are expecting that this will improve further in Quarter 3 and Quarter 4. If you can compare in Quarter 1, it was 55%, it has improved to 57% in Quarter 2 and going forward, we are targeting more than 60%.
Somaiah V: Sir, also on the by -products, which you said, which also increased and helped on the realization front, is there any quantum, nature of the products and what is the quantum of it?

Dr. Ashok Kumar Panda: Yes, the nature I can explain, actually, the nature is, in the scrap side, defectives rejected material scrap, iron and steel scrap, crude tar, slag, and other things put together. So, these are the nature of items, all the waste material.
Somaiah V: This QoQ increase of Rs.200 crores includes everything or it is only the scrap?
Dr. Ashok Kumar Panda: It includes everything actually. We have been focusing on having frequent auctions for the by - products as well as steel items. Steel means defective and scrap items, so that there is liquidation of stock as well as cash flow releases, working releases.
Somaiah V: Sir, any quantum that you can give in terms of inventory that we carry on these items either in volumes or value?
Dr. Ashok Kumar Panda: We have, but we will be able to provide afterwards. Right now just in front of me, it is not there, but yes, we do maintain that volume as well.
Somaiah V: Bu

t as you were saying, this is something that you expect to continue in the next subsequent quarters also, further auctions and then liquidation of this?

Dr. Ashok Kumar Panda: Yes, we continue that because there are other rejected materials and defective material lying in the subfloors. So, that we are trying to bring it to one place and bring it to the yards for conducting auctions. We want to reduce that stock actually.
Somaiah V: So, one clarification on the long horizo n. So, one, at an industry level, we have seen a shorter rebar price correction, which is close to Rs.6,000 -7,000, whereas, as you were mentioning, between Q1 to Q2, only Rs.4,500. What could be the difference -- is it like discounts or any product mix? Th at is one. And second, you mentioned about current long prices as of September. If you could give a current long versus Q2 average, that would be helpful?
Dr. Ashok Kumar Panda: Current long price in October is Rs.49,940 as compared to Q2 average of Rs.48, 800, that means around Rs.1,100 current price on the higher side as compared to Q2 average.
Moderator: Thank you. Mr. Somaiah, please rejoin the queue for more questions. Next question comes from the line of Kartikeya Kumar with B&K Securities. Please go a head.
Kartikeya Kumar: Thank you for the opportunity. So, I just wanted to understand how much volume growth can we expect in FY27 as compared to suppose a provisional FY26?
Dr. Ashok Kumar Panda: In FY'26 -27, we expect to have growth of more than 5% as compared to FY25 -26. We will be targeting anything between 5% to 7% at least. That will happen through the de -bottlenecking process.
Kartikeya Kumar: And then beyond FY28, say, like any new CAPEX that you are looking at, any update on that?
Dr. Ashok Kumar Panda: Yes, primarily the CAPEX will come from two accounts. One is the expansion in IISCO, and the other one is the de -bottlenecking packages in other places. So, that is why actually if in this year we are targeting in excess of Rs.7,500 crores, these a re going to jump substantially from next year onwards.
Kartikeya Kumar: Okay. Can you give a ballpark number or like -?
Dr. Ashok Kumar Panda: Yes, next year onwards, it will be in excess of Rs.10,000 crores in FY26 -27 and after FY26 -27 it will be still fu rther more.
Kartikeya Kumar: Okay, I just wanted to understand what is your long -term debt reduction strategy, like any specific ratio, net debt -to-EBITDA or something that you are looking at that you target internally?

Dr. Ashok Kumar Panda: On that count actually now that we are reducing our borrowings. If you look at our debt equity ratio on non -IndAS basis, it is around 0.46, which is where we want to reduce it down to 0.3, 0.35 or maybe 0.4 by the year end. And after that, from next year onwards, as I have already discussed, that our CAPEX is going to pick up, primarily because of the de -bottleneckin g projects, as well as the expansion projects of IISCO. So, that is why the borrowings are going to go up. So, we are creating a headroom for having more borrowings to fund our expansion projects going forward. So, expansion projects are outlined for the n ext four, five years in a bigger way.
Kartikeya Kumar: Okay. And then what should be the proportion of debt or internal accrual that you are looking to fund?
Dr. Ashok Kumar Panda: We are looking at 50 -50% at this point of time.
Kartikeya Kumar: That is he lpful. Thank you.
Moderator: Next question comes on the line of Parthiv Jhonsa with Anand Rathi. Please go ahead.
Parthiv Jhonsa: Hi, sir. Thanks for the opportunity again. Just on the by -product scrap sales and everything, I just had a very quick question . I believe in this quarter, you said you did about Rs.1,140 crores kind of realization from those categories. Considering you hav

e done some recent auction in coal tar, and especially in iron ore you have received some better interest compared to coal. Is this number expected? And considering you are going to sell more, and the quantum in each and every auction

is getting higher and higher, is it expected that this number of Rs.1,140 is expected to go up higher in Q3?
Dr. Ashok Kumar Panda: Yes, it is goin g to go higher in Q3 and Q4 also because it is not just coal tar, it is also the defective as well as the iron and steel scrap items and also the slag items. So, all put together, this is a bundle of all those plant sales.
Parthiv Jhonsa: Okay. And is it f air to assume that this entire benefit of Rs.1,140 has flowed down to EBITDA and PBT?
Dr. Ashok Kumar Panda: Yes, because it was in the stock exchange, so the differential amount between sales price and stock
valuation rate, that has gone to the PBT and EB ITDA. Because the borrowings have come down, so in terms of reduction in interest, that has also gone into the PBT.
Parthiv Jhonsa: Absolutely, absolutely. Is it possible to quantify the positive quantum what it had on your profitability?

Dr. Ashok Kumar P anda: Right, say for example, if there is a reduction of around Rs.300 crores between Q2 and Q1 increase
in that realization, so out of that at least 20% to 25% has flown into the EBITDA and PBT.
Parthiv Jhonsa: Okay, perfect, perfect. This is quite helpfu l. Thank you so much.
Moderator: Next question comes from the line of Tushar Chaudhari with Prabhudas Lilladhar Pvt. Ltd. Please go ahead.
Tushar Chaudhari: Yes, good morning, sir. Thanks a lot for the opportunity. Sir, would like to know the progress of DPR I think for IISCO. So, can you give us more details on the projects which are going to come up in second half of FY27?
Dr. Ashok Kumar Panda: Yes, so in case of IISCO, where we are planning 4.5 million tons of expansion at a cost of around Rs.36,000 cro res, so the major packages were already tendered and majority of that are already finalized. So, order placement in certain cases have already been made and in one or two months, order placement for the balance major packages will be completed. And after t hat, the design engineering will start and then the physical active supplies and physical ground activities will start over there. So, that means in '26 -27, there will be major CAPEX payments towards IISCO packages. So, so far as order placements are conce rned, they are almost on track.
Tushar Chaudhari: And rest of the projects, any DPR activities done?
Dr. Ashok Kumar Panda: Yes, in rest of the projects, we are looking at the debottlenecking projects at Durgapur, at IISCO, at Bhilai, at RSP. So, these are also on track. And in certain cases, orders have been placed, for example, in case of Durgapur Steel plant, the rebar mill order was placed last year. So, the ground activities already started over there. So, in blast furnace of Durgapur, they are also fi nalizing orders like that. So, in all the plant units, the tendering process are going on and in certain cases, orders have been placed and work has already started.
Tushar Chaudhari: Okay. Sir, one last question. On this scrap, you said for 2Q we sold Rs. 1,140 -odd crores of scrap?
Dr. Ashok Kumar Panda: Yes. Scrap and by -products put together.
Moderator: Next question comes from the line of Rajesh Ravi with HDFC Securities. Please go ahead.
Raje sh Ravi: This by -product and others which you mentioned, in the annual report, in schedule, this is mentioned as either secondary and by -product, which was like in FY25, Rs.3,300 crores revenue or income from this?

Dr. Ashok Kumar Panda: Yes, this is a part of that by -product.
Raje sh Ravi: Yes, yes, understood. So, this is part of around Rs.2,000 crores is what you have realized in first h

alf, is this understanding correct?
Dr. Ashok Kumar Panda: Yes, sir, it is correct.
Raje sh Ravi: Okay. And secondly, I was again coming back to your disclosures regarding the provi sional price table which you put in. Just want to understand technically what do you mean by the cumulative number over there, because that number and also the half yearly number, they do not match, the first two quarters sum do not match?
Dr. Ashok Kumar Panda: Just one thing. If you can be specific on the numbers, we will try to explain?
Raje sh Ravi: Okay. The standalone of the result table is #9. So, for this quarter, you have mentioned the number is Rs.2,500 crores and Q1, this number which we had prese nted was Rs.2,600 crores. So, together should be around Rs.5,100 crores, but half yearly number which is put in this quarter table is Rs.4,840 crores, and similar differences are there even in the last year numbers which I have tabulated. So, why this diff erence, first. And second, what is this cumulative till 30th September number of Rs.13,800 crores, what does that mean?
Dr. Ashok Kumar Panda: Okay. So, cumulative till date is Rs.13,800 total provisional cumulative which includes not only rail items, actu ally it includes rail as well as defense items put together, anything which is sold to

the government. So, majority of that is rail items, but after that also we have other items like the quantities which are going to defense from different, different plan t, all three plants. So, this Rs.13,800 includes rail as well as defense items.

Raje sh Ravi: Okay. And this half yearly and quarterly numbers, how do we match them up?

Dr. Ashok Kumar Panda: These numbers vary a little bit based on the debit advices and cr edit advices which are concurrent in nature.

Raje sh Ravi: That is all from my end. Thank you.

Moderator: Next question comes from the line of Siddharth Gadekar with Equirus. Please go ahead.

Siddharth Gadekar: Just a follow up question. First, on the employee wage revision, when do we expect the next employee wage revision to kick in?

Dr. Ashok Kumar Panda: Yes, regarding wage revision actually it was from 2017 to 2027. So, it is 1st January 2027 after which it will be due.

Siddharth Gadekar: Okay. And so the quantum of increase that we are expecting in employee cost beyond that?

Dr. Ashok Kumar Panda: Because there is no guideline right now, actually it will not be possible for us to quantify, even we do not know.

Siddharth Gadekar: Okay. Thanks.

Moder ator: Next question comes from the line of Vinit Thakur with Plus 91 AMC. Please go ahead.

Vinit Thakur: Hi, sir. Good morning. Sir, I just want to know why is there a reduction in the OPM as in QoQ and year-on-year as well?

Dr. Ashok Kumar Panda: Pardon? Can you please repeat the question once again?

Vinit Thakur: I saw there is a reduction in OPM QoQ and year -on-year. So, could you shed some light on what is the reason behind it?

Dr. Ashok Kumar Panda: Yes, reduction in OPM between Q2 and Q1 we are talkin g about. That is primarily because of two things. One is reduction in the sales price and the other one is actually in Q2 we have taken certain capital repairs and there were some issues with Bokaro steel melting shop in Q2. So, that is why there is a redu ction in Q2 in OPM. But all the capital repairs are over as well as Bokaro has come back on track. So, from Q3 onwards we are expecting good improved numbers.

Vinit Thakur: Sir, could you shed some light on would we be back to original numbers around 12% o r would we be going down or would we be around 11% as per last quarter?

Dr. Ashok Kumar Panda: Talking about Quarter 3?

Vinit Thakur: I am talking about the Q1 of FY26 and the Q2 of FY24. So, FY25 had around 12% and FY26 had around 11. So, I just want to k now, would be around the same number or would be going lower?

Dr. Ashok Ku

mar Panda: EBITDA margin you are talking about?

Vinit Thakur: Yes, sir.

Dr. Ashok Kumar Panda: So, EBITDA margin actually in H1 '24 -25 it was 12.9% and average '24 -25 was 11.57. Right now it is 11.01%. We are expecting that it should improve in Quarter 3 and more so in Quarter 4 actually; in Quarter 4 there should be a good number because every time we find in Quarter 4 things improve a lot; it will go towards 14 -15% something lik e that in Quarter 4. So, in Quarter 3 it may remain flat or may improve a bit depending on how the market behaves. But as I said all the capital repairs are over, the production is going to go up. So, things are looking up.

Vinit Thakur: And the reduction in production as well is due to the Bokaro plant?

Dr. Ashok Kumar Panda: If you look at the crude steel and hot mill they are linked to each other. So, it is primarily because of Bokaro plant. They had issues with steel melting shafts which is resolved jus t couple of days before. So, now it has started improving production.

Vinit Thakur: Okay, sir. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of question -and-answer session. I wo uld now like to hand the conference over to Ashish Kejriwal for closing comments.

Ashish Kejriwal: Hi, thank you everyone and I would like to thank the management to give us an opportunity to host the call and Dr. Panda for patiently answering all the ques tions. Sir, any closing remarks from your side, that will be helpful?

Dr. Ashok Kumar Panda: Yes, thank you very much, Mr. Kejriwal and all our members who participated here. I would like to give my closing remarks here. The second half of the financial ye ar is always the best for the steel industry, and we hope the trend would continue in this year as well. Meanwhile, steel demand also continues to prosper. And with the improvement on the efficiency front and cost control measures, we will try to improve o ur margins in balance period of the year. Also, the company also remains committed towards sustainable performance including emphasis on decarbonization, improving capacity utilization, value addition, and achieving cost competitiveness. I thank all our in vestors for imposing their faith in us and I am hopeful that the same shall continue in future as well and we will try to come up with better numbers as well as the time progresses. Thank you. Thanks a lot to everybody.

Moderator: Thank you. On behalf of N uvama Institutional Equities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Dear Sir,
This is in continuation to our letter No.CA-17(44)/2025-26 dated 2"^ February,
2026, intimating the link to the Audio Recording of the Conference Call held on 2"^
February, 2026.
Transcript of aforesaid Conference Call is attached herewith.
Thanking you.
Yours faithfully,
For Steel Authority of India Limited
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"Steel Authority of India Limited Q3 FY26 Earnings
Conference Call"

February 02, 2026

MANAGEMENT : MR. ASHOK PANDA – DIRECTOR (FINANCE), STEEL
AUTHORITY OF INDIA LIMITED
MODERATOR : MR. ASHISH KEJRIWAL – NUVAMA INSTITUTIONAL
EQUITIES

Moderator: Ladies and gentlemen, good day and welcome to the Steel Authority of India Q3 FY26
Earnings Conference call hosted by Nu vama Institutional Equities.
As a reminder, all participant s■ lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need

assistance during the call, please signal an operator by pressing „*■ then „0■ on your touchtone phone.
I now hand the conference over to Mr. Ashish Kejriwal from Nu vama Institutional Equities.
Thank you and over to you, sir.
Ashish Kejriwal: Thank you, Reyo . Good afternoon, everyone. Once again, we welcome you all for Q3 FY26 Post-Result Concall of Steel Authority of India. We are pleased to host Dr. Ashok Panda – Director (Finance), who is along with his team.
Now, I would request Mr. Panda for his opening remarks and thereafter, we will open the floor for Q&A. Over to you, sir.
Ashok Panda: Thank you, Mr. Ashish Kejriwal. Good morning, everyone. I welcome all our investors and analysts who are joining this result concall for the financial results of SAIL for the Quarter Q3 and nine -monthly FY25 -26.
Before we move to Q&A session, let me brief y ou on the results for the period. In the economic scenario front, beginning with global economic scenario, the certainties and volatilities are almost stabilizing right now, as it seems. Global inflation has also been largely steady as of now. The projecti ons for GDP has improved in line with the same for economies individually as well as the regional as well as global averages. Global growth is projected to remain resilient at 3.3% in 2026 and expected to be 3.2% in 2027, rates similar to estimated 3.3% ou tturn in 2025. The forecast marks a small upward revision for 2026 from the present levels.
The projections for India have also been revised upwards to 6.4%, from 6.4% to 7.3% by various agencies. So, it seems the economy is going to grow at a better rate. So far as global steel industry is concerned, the landscape for the global steel industry is influenced by economic trends, trade policies and technological advancements. Of late, it has seen positive movement in the demand and cost push in the prices, pr imarily because of increasing coal price as of now.
In the Indian steel industry front, Indian steel industry continues to enjoy robust demand for steel, with consumption during nine -monthly FY25 -26 grown by almost 7% over CPLY. The growth in production of crude steel has been still higher, at around 9.5% during the same

period. This has led to India again becoming a net exporter, as exports grew by around 33% to stand at 4.8 million tonnes, vis -à-vis imports, which has reduced by about 37% to stand at 4.65 million tonnes this time. When we compare to last year, the scenario is totally different, because this time the exports have been much more than the imports, and of course the safeguard duty also is playing a role in this. We can find that there is some sort of stability in the domestic markets from December onwards.
We will now discuss about the company performance of sale for Q3 and nine -monthly FY25 - 26:
Coming to the performance of the company during nine -monthly FY25 -26, the highlights are as follows :
Crude steel production grew by 2% from 14.08 to 14.35 million tonnes, whereas saleable steel has grown by around 4 %-5%. Sales volume grew by 16.3% for the company and we have started outreaching to the retail as well as other consumers, and because of this huge growth in sales volume in nine -monthly, it has resulted in an inventory reduction by a good number, as well as reduction in borrowings.
Revenue increased by 9% from Rs 73,152 crores to Rs 79,997 crores, broadly in line with the growth in the v

olu me. And PAT increased by 60% in nine -monthly of this year as compared to CPLY last year. It is highlighting operational efficiency, liquidation of inventory due to sales growth, and cost optimisation as well as good treasury management. So, in other words, we can say it is due to better financial prudence.
Reduction in debt is close to Rs 5,000 crores in nine -monthly, and in January alone, we have again reduced by around Rs 2,000 crores, and momentum continues for February as well as March.
Going forward, a s the monsoon season and festive seasons are already over, we hope that the market will see an uptick in terms of pricing in Q uarter 4. As the coal prices continue to remain range -bound, in fact, a little on the higher side, and the market support is also there, so the margins will remain good in Q uarter 4, this is what we are expecting. So, Q uarter 4 again, there will be a better growth for sale.
With these few words, I hand it back to Mr. Kejriwal for opening the Q&A session.
Moderator: The first question is from Amit Lahoti from Emkay

Amit Lahoti: In the 1st Quarter of FY26, we took Rs. 1,000 crore of inventory write -off due to falling coking coal prices. And now that prices have gone up, was there any gain in Q3? And then how much it could be in Q4 at th e current prices? That's my first question.
Ashok Panda: Answer to this question is that actually in the 1st Quarter, as you said correctly, it was close to Rs. 1,000 crores of impact in the stock valuation rate on P&L account. In Q uarter 2, it was not much. In Q uarter 3, we had a positive and that could be somewhere around a maximum Rs. 100 crores. In Q uarter 4, because the coal prices are on the rise, we expect that the cost of production is going to go up in Q uarter 4. So, we have not yet estimated, b ut yes, it will have a good positive impact on the profitability as well as the margins, so to say.
Amit Lahoti: Any broad number at the current prices, how much that could be?
Ashok Panda: We can't exactly say primarily because the coal price is increasin g, but now it is a little bit stable at $251. But at the same time, production level is also increasing. So, they will nullify it to some extent. But even then, we believe there will be an upward positive impact on the profitability. The numbers, anybody c ould guess, could be around 200, 300, 400, but that we cannot say as of now. But obviously, it will be a positive one , based on our guess.
Amit Lahoti: My second question on the expansion plans, as we have a sizable cost disadvantage compared to our peers to start with on the margins and cost, how much it could narrow once we start getting in the incremental volumes from expansion projects, particularly I ISCO, which is coming like two years from now? How to think about that?
Ashok Panda: As far as I ISCO is concerned, actually, we have a project over there which is around Rs. 36,000 crores estimated. And most of the major packages have been already ordered out. So, the ground activities have already started. They are going to finish in three years' tim e. That is the timeline. And we believe after we get that, then the production volume as well as the margin which will come from there will really bolster our profitability to a greater extent. And for that matter, to accommodate those borrowings, we have already reduced our working capital borrowing quite a lot. As I already told, we are keeping a margin to accommodate for the expansion CAPEX .
Amit Lahoti: Is it possible to quantify that number either in terms of, say, EBITDA per ton or cost per ton? How much it could benefit once it comes in?
Ashok Panda: See, those will be new facilities. So, right now, our EBITDA per ton is, I think, just one second. Right now, we are hovering around Rs. 6,000 to Rs. 7,000 right now. So, Quarter 4 will be

better than th at. And we believe that ISP expansion, once expansion is over in time, then the numbers will be more than Rs. 10,000 per ton from ISP expansion.

Amit Lahoti: As a follow -up to this, is there any revised CAPEX guidance for FY26 and FY27?
Ashok Panda: The CA PEX guidance for FY 26 -27 is Rs. 15,000 crores.
Amit Lahoti: Rs. 15,000 crores for FY27?
Ashok Panda: For FY26-27. Because, actually, some of the CAPEX payments towards ISP expansion, I ISCO expansion will be there, actually, next year.
Moderator: The next question is from Pinakin Parekh from HSBC.
Pinakin Parekh: My first question is, can you quantify the price increases that you have taken in December and January across flat and long products ?
Ashok Panda: You are talking about Jan uary or December?
Pinakin Parekh: December and Jan uary, total.
Ashok Panda: Actually, the market started improving from middle of December. Till November, it was subdued, kind of. September -October numbers were quite subdued situation. So, towards the end of December, it started i ncreasing. Market started improving and started increasing prices in long as well as flat. So, in December, when we look at it, the actual impact, increase of the prices got reflected in January, did not get reflected in December, either for long or for fl at. So, the real increase of around, say, Rs. 2,000 to Rs. 2,500 was reflected in January in long and around, say, Rs. 3,300 to Rs. 3,500 in flat in January so far as sales price is concerned. But the actual increases happened during the month of June in 2 -3 tranches. So, all of that will get reflected in February. So, that means in February, the real increase in sales price will be quite encouraging. And primarily because the coal price also is having upward journey. So, that's the reason why it will be pr ice increase in domestic market.
Pinakin Parekh: Now, what we understand is that the price increases at the trade level in India have been much larger, but the company level price increases have been lagging so far. So, do you expect further price hikes at the company level in February and March?
Ashok Panda: That's what I am saying, actually. In the month of January, because the price increase took place in 2 or 3 tranches during the month. So, all of that could not be reflected because it got

averaged out in the sales price of January. So, that is getting spilled over to the next month.
Means in February, actually, you will find a good jump in sales price. And at the same time, I
am telling you that actually the coal price also there is a good jump. So, ki nd of, they are going
in the same, in tandem.

Pinakin Parekh: What is the coking coal cost increase that you see in the 4th Quarter? Because spot prices have
surged to $250, average $184 in 3Q. So, what kind of cost increase should we see?
Ashok Panda: When we talk about imported coal price , like in January, the average imported coal price is
Rs.18,500 and which is expected to increase by Rs.1,200 in February, which is Rs.19,700. And
this is because of the weighted average arrivals and the stock quantiti es and all that. But
otherwise, as you said correctly, the index has gone up to $251 per ton. It was hovering around
$190, $185, $190. So, in February, we are expecting around Rs.1,200 increase in consumption
rate will be there. And in March, there could b e an increase of another Rs.1,000 over and
above this. And we don't know whether it will further increase beyond Rs.251 or it will then
taper down. I personally feel that actually it should not increase much. It will stabilize and after
that, after the sit uation improves in Australia, probably it will taper down.
Pinakin Parekh: My last question is that if you look at the sales volume that you quoted, stee

l sales volume,
how much was NMDC volumes in this and what would be the margins in that?
Ashok Panda: NMDC volume . Total sales volume is 14.6 million tons and NSL is almost 1 million tons.
Pinakin Parekh: Out of that, NMDC is 1 million tons.
Ashok Panda: Yes, NSL is 1 million tons.
Pinakin Parekh: The margins on that steel sales would broadly be the same as what you are seeing at your
operating company. They are higher, lower. I mean, how long will this arrangement continue?
Ashok Panda: See, this pricing is exactly as per SAIL, Steel Authority of India Limited . So, we are targeting
the products mostly in the South market. So, that is going exactly in line with our own
products. So, there is no difference in their pricing compared to the pricing of SAIL so far as
the quantities that we are handling. There are some quantities which they are handling. We
can't comment on that. So, this is at par with SAIL products in whichever market it is going.
Pinakin Parekh: And the pricing is the same, but what about the cost, sir?
Ashok Panda: It is kind of an arrangement between NSL and SAIL . So, the delta, we can't exa ctly say right
now. I have to check it out. But mostly, we are maintaining a price parity in the market without
any disadvantage to SAIL or NSL. So, it is to an advantage to SAIL as well as NSL as well as
to the marketplace.
Moderator: Next question is fro m Vikas Singh from ICICI Securities.
Vikas Singh: My first question pertains to our employee cost, which has surprisingly gone down on
sequential basis. So, first thing, what is the main reason? Secondly, how should we look at the

employee cost going ahea d in the next year since there is a mandatory wage revision would be
coming in?
Ashok Panda: Actually, salary wages would be around 11.5% right now. So, as compared to last year, it is
almost at the same level if you look at last year. You are talking about Quarter 3 or what?
Vikas Singh: Sequential was a decline.
Ashok Panda: No, it is almost at the same level because I am finding that whether it is Quarter 3 to Quarter 3
or even if you look at Quarter 2 to Quarter 3, then there is a reduction that is just an adjustment
of the actuary and all that. So, that is a different thing. But broadly, if you look at 9M to 9M,
both are remaining almost at the same level of 3100 crores. Last year also, 9M was 5943 and
now it is 6080, broadly at th e same level.
Vikas Singh: I was looking at the 3Q. If you look at the last quarter was 29 39 crore. So, it has come down
almost 100 crore basically on a sequential basis. So, what was the actual valuation difference
which had not come this quarter or there was a reversal or provision if you could give me that
number?
Ashok Panda: There are two reasons for it. One is actuary which is depending on the discounting factor. That
is a different thing and factor is increasing. The other thing is basically the grat uity component.
As you can see that in H1 we have taken a hit because of that 25 lakhs. After achieving 50% in
IDA, then it was increased to 25 lakhs. So, that was the reason why actually Q2 was appearing
to be on the higher side and also the discounting r ate is increasing. So, all put together in Q3
we are finding that it is appearing to be little less than that and the same thing will continue in
Quarter 4 as well. Now coming to your other question of salary revision that will happen from
2027 -2028 onward s. It is not from 2026 to 2027 just to clarify because it will be applicable

from 1st January 2027. So, most of that impact will come in 2027 -28. At the same time as you are finding we are having around 50,000 number of employees on our rolls right now who are legacy people. So, every year there is a hefty reduction in the manpower. So, on the whole because of manpower reduction the cost is going to go down and b

ecause of the salary revision
which we do not know how much it will be. It will be calculated based on the guidelines. Guidelines are not there in position right now. So, we will see there will be plus and minus both the sides. So, there will be some net impact maybe but that will come in 2027 -28, not now.

Vikas Singh: My second question pertains t o our product mix. Since we have already reached at least the production volume peak out has happened , is there any scope for us to enrich our product mix, bring down the semis for the next year and bring up the EBITDA pattern or the demand of these produc ts are such a way that this would be difficult to do. So, if you could give us some thought process on the commissioning side on this.

Ashok Panda: Before I give the number, let me tell you the context , is that we have been trying to reduce the semis as mu ch as possible. One is by increasing our own production. And right now, semis percentage is 10%. If you compare the previous years it is less because our focus is on having finished products more than the semis by taking 3 -4 prompt actions. One is in the mills we are trying to increase the production as much as possible by having more availability, better availability of the mills , better care regarding the equipment , etc. Number two, we are having conversion contracts in place as well. We are maximizing th at. So, through these two things actually we are trying to have more finished products in the market compared to the semis. So, the semis percentage has been coming down gradually. And number two, at Durgapur Steel Plant we have started one project which i s 1-million -ton TMT bar mill. So, that will come up maybe 2 years from now. Already ground activity started. Once that comes up you will find that semis will be almost very close to zero percentage at that point of time. So, it is only a matter of time tha t we will see that semis will be zero.

Vikas Singh: And by when this could be possible.

Ashok Panda: It will take around 2 years■ time from now. It will take 18 months ■ time . Ground work is already started. So, if we are end of 2025 -26 right now, 18 to 24 months is the timeline. You can say 18 months■ timeline for that. For completion of project activities and after that stabilization and commissioning those things will be there.

Vikas Singh: One last question about the news on the accident at the plant dur ing 3Q. So, wanted to understand had this anything spilled over to 1Q as well or overall production wise , etc., there was no loss? Basically , because we are having this kind of incident every year. So, any plan how to control this?

Ashok Panda: If you are talking about the incident of Bhilai Steel Plant SMS because you are not specific on that. Are you asking about that question?

Vikas Singh: One incident happened in Bokaro and then just recently in Bhilai within a span of 4 months there were 2 incidents. S o, I want more understand about the recent Bhilai which could have impacted the 4Q performance.

Ashok Panda: Let me address these 2 questions. One is the Bokaro which we also discussed during H1, and one is the Bhilai which happened right now. So, far as B okaro is concerned actually that is already sorted out. It impacted us in Quarter 2 greatly and now the SMS both the converters in SMS , Steel Melting Shop, so they are in full gear, and they are producing at almost 100% target levels. So, the re SMS is alright because of which blast furnace they did not have any problem. So, blast furnace is picked up, hot metal is picked up, cold steel is picked up. They are almost operating at 98% to 100% capacity right now. That is a story regarding Bokaro and they will go like this in Quarter 4 and going forward also like that because we have taken

certain actions that in future such tube leakages can be avoided in the converters because we got the spare parts and all that. Now, so far as the Bhilai SMS is con cerned again it is back on rail. In Bhilai SMS the converter which had the vessel changed , after that actually there is a bit of problem because of which spillover of metal had taken place, and it had burnt the electrical cables. And it was down for around 15-20 days. Now, it has come back. So, the production at Bhilai Steel Plant has again picked up to its normal level of around 18,000 to 18,500 tons per day of hot metal. So, it had impacted us around 15 days to some extent. Around 2000 tons per day was th e impact in physical terms for around 15 to 16 days. Now, it is completely alright and in future also in Quarter 4 it is not going to have any problem. So, all our 5 ISPs are full blast right now. They are producing at the highest levels, and this trend wi ll continue for Quarter 4 .

Moderator: The next question is from Pallav Agarwal from Antique Stock Broking.

Pallav Agarwal: First question was on the EBITDA bridge in your presentation from 2Q to 3Q. There, one of the negative things has been shown as the v olume impact. But I thought we had an increase in volumes compared to on a sequential basis. Any reason for that negative impact due to volume?

Ashok Panda: Between Quarter 2 to Quarter 3 . That's primarily because of the reduction in production of saleable steel. Even if there is improvement in hot metal and cold steel to some extent, but saleable steel came down because of the reason that actually in the previous quarters at RSP, New Hot Str ip Mill has more capacity. So, they were producing more by taking slabs from the excessive stock of Bokaro Steel Plant. So, right now because in Bokaro Hot Strip Mill has picked up and everywhere it has picked up , so, in -process stock has come down at Boka ro Steel Plant. That is the reason why actually at RSP, the saleable steel level remained low. So, that was the primary reaso n for reduction in saleable steel volume in Quarter 3 compared to Quarter 2. In Quarter 4 , all the 5 plants, they have already incr eased their production because all the capital and everything is over. So, all the mills are in full blast. Blast furnace as well as SMS, they are at 100% level or more than 100% level. So, availability of slabs for Rourkela Steel Plant to meet more requir ement, the higher requirement of SSM 2 will be there. Will be sourcing slabs from Bokaro as well as B hilai to Rourkela to have that delta production at SSM 2 at Rourkela Steel Plant. So, that was the reason.

Pallav Agarwal: So, primarily it is because of l ower saleable steel production, not the sales volume.

Ashok Panda: Yes. A s you can see, sales volumes have picked up like anything. Despite having bad market, it was around 16% growth in 9 monthly compared to previous year.

Pallav Agarwal: The other thing, the same thing, input price cost, there is a positive number. I thought coking coal cost would have gone up sequentially. So, could you just clarify that as well?

Ashok Panda: Coking coal cost actually went up after December. After December and it is also having a savings of the power cost in that. Coking coal partly and mostly because of the power cost. Because we are trying to reduce our power cost by sourcing it from RE power sources. So, we have taken certain actions in different plant units and that h as given rise to some savings.

Pallav Agarwal: So, this should be structural saving going in?

Ashok Panda: Yes, this will be structural. It is a part of that and we will further improve. We are working on that. It is a requirement as well. RE power is a re quirement for us. As well as by going for RE power, we are getting also price advantage in certain cases.

Pallav Agarwal: Al

so, the NSL volumes you mentioned for the 9 months, could you also give us the 3rd Quarter volumes?

Ashok Panda: 0.37 million tons, Quarter 3.

Moderator: Next question is from Rashi Chopra from Citigroup.

Rashi Chopra: On your realization, what was the exact change in realization sequentially, NSR from 2Q to 3Q?

Ashok Panda: In Q2, if you look at average NSR, in average NSR, there is a drop. In Q2, it was 48,836. But in Q3, it was 47,735. But if you compare between long and flat, in long, it has increased from 48,885 to 49,021. In flat, it dropped from 48,790 to 46,580. So, there was a drop in NSR in flat as compared to long. So, avera ge NSR also, there was a bit of drop.

Rashi Chopra: Then, on the coking coal cost, you mentioned that the J an cost was Rs.18,500. I assume this is your blended coking cost, right?

Ashok Panda: That is actually average. Ye s, you are correct.

Rashi Chopra: What was that number in the 3rd Quarter ?

Ashok Panda: 3rd Quarter number was Rs.18,351 .

Rashi Chopra: On the CAPEX, you mentioned that in FY27, the CAPEX was going to be Rs.15,000 crores. For this full year, FY26, what is the CAPEX going to be?

Ashok Panda: For the full year, initial guidance was Rs.7,500 and then final guidance is Rs.10,000 crores. It will be anything between these two.

Rashi Chopra: And how much has been spent in the 9 months?

Ashok Panda: 9-monthly figure was Rs.5,428 crores.

Rashi Chopra : On the volumes, what are you targeting for this year and next year?

Ashok Panda: This year if you see, April to December, hot metal volume is 15.14 million tonnes. And year ending figure of hot metal could be around 20.5 or something like that. Close to 21 million tonnes. So next year, we are targeting 22.5 million tonnes of hot metal.
Rashi Chopr a: And on the sales side?
Ashok Panda: Sales volumes are on the higher side. So, if my total sales volume in 9 -monthly is 14.6 million tonnes , so it is going beyond the production levels, and we are reducing our inventory. Our inventory levels have come do wn. In 9 -monthly, if you look at, our inventory levels are down by around 0.3 million tonnes as compared to starting of the year. Both in in -process as well as saleable steel put together. So further reduction will be there. So going by this, we will be ab le to achieve a sales volume around 19.5 year ending which will be more than the production.
Moderator: Next question is from Sumangal Nevatia from Kotak Securities.
Sumangal Nevatia: First question is, I want to understand at the EBITDA level is there any contribution from this arrangement of NMDC volumes, NSL?
Ashok Panda: Let me tell you actually, as I have always told in case of NSL products, it is beneficial to NSL to SAIL as well as to the market players. So that is purely based on the arrangements we have made. But mostly, as I told you, it is just keeping a parity of the pricing strategies of SAIL in various regions. We are concentrating mostly on the south. We have concentrat ed mostly on the south so far as 9-month ly is concerned, the quantities have already been told. So, there are positive margins. However, the margins are small. It's not very high. But it has given a market stability. So, all three fronts, people have benefited out of this.
Sumangal Nevatia: So, this year when we are seeing abo ut 16% growth, I mean ex of NSL, it's around 7 %-8%. So, the guidance ex of NSL would be 18.5 million ton volumes for this year?
Ashok Panda: For this year , yes you are correct.
Sumangal Nevatia: But 1 million is already done in the 9 months, right?
Ashok Panda: 1 million is already done. And in Quarter 4 , much of quantity may not come. So, in a way, if we try to end up at 19.5 sales figure, so our own figure could be somewhere around 18.5 or something like that.

Sumangal Nevatia: And in absence of new capa city, where can this 18.5 go in, say, next two years, 2027 and 2028?
Ashok Panda: Let me address this question for 2026 -2027 first. While in this year, in 2025 -2026, we were trying to finish hot metal at 20.5 million tons to 21 million tons. We are targeti ng 22.5 for 2026 -2027. That means you can say around 21 million tons of saleable steel in 2026 -2027. And then we can have further growth in 2027 -2028. Once we achieve this particular growth, then we will have further growth in 2027 -2028. So, you can say in 2027 -2028, it could be 23 million tons of hot metal and 21.5 million tons of saleable steel. And after that, we will see that ISP modernization will be there.
Sumangal Nevatia: This is ex of NSL or including NSL is 1 million tons?
Ashok Panda: This is ex of NSL.
Sumangal Nevatia: Next year, CAPEX is substantially increased. I think earlier it was around 10,000. Now we are talking about 15,000. So, can you give a breakup? And in this I ISCO expansion, how much are we spending and what is the time frame for the expenditure for the next 2 -3 years?
Ashok Panda: IISCO expansion, CAPEX total will be around 36,000 crores. So, from 2026 -2027, we will have major amount coming from I ISCO. So IISCO amount could be maybe around 7,000 to 8,000 crores in case of IISCO so far as 2026 -2027 is concerned. And after that, we can pick up. Means the peak figure will be in 2027 -2028 and also, in 2028 -2029 for I ISCO.
Sumangal Nevatia: The completion could be towards the end of 2029 or maybe FY30 as well, right?
Ashok Panda: FY30, yes. Somewhere around FY30. End of 2029 or 2030 something like that.
Sumangal Nevatia: The coking coal cost which you shared, so the increase in Feb ruary versus 3Q average is just around 7 %-8%. Is that the right comparison? Because if you look at the Dollar price, it's gone up by more than 20%. So, have we got the numbers right? It is 19,700 versus some 18,000.
Ashok Panda: Which one you are talking about?
Sumangal Nevatia: The coal cost, sir.
Ashok Panda: Yes, coal cost.
Sumangal Nevatia: So average 3Q ver sus spot, can you explain us what is the increase?
Ashok Panda: The average 3Q actually, which we told, it is 18,351 , that is basically because of the averaging of the stock out here as well as the supplies we are getting from time to time. But the spot

prices have gone up. The spot price is $251, that is index price and based on that, actually we

have 98%, 97% , etc., from different sources. So, these prices are getting reflected slowly and slowly, partly in February and partly in March. And also, the effect is going to come in April as well. As you know, there is a time lag of around 1.5 months to 2 months for these prices to get reflected in the consumption. And also , Dollar-Rupee parity is also impacting this.
Sumangal Nevatia: So, on consumptio n basis, what is the quarter -on-quarter increase? Can you explain that sir?
Ashok Panda: Because Q uarter 2 was 18,158 and Q uarter 3 is 18,351. There was not much of increase in Quarter 3. But in Q uarter 4, you will find an increase of around Rs. 1,500 over Quarter 3. This is what I am getting.
Moderator: The next question is from Tushar Chaudhari from Prabhudas Lilladher .
Tushar Chaudhari: Last quarter we sold around Rs. 1,140 crores of sale of scrap. How much was this quarter? Scrap and by -products.
Ashok Panda: Can you ask the next question before you take up the first question?
Tushar Chaudhari: So, CAPEX, you are saying Rs. 7,500 to Rs. 10,000 crores for FY26. And FY27, it will be Rs. 15,000 crores odd. Am I right on this?
Ashok Panda: You are right.
Tushar Chaudhari: There were some debottlenecking projects at DSP, RSP, BSP, which you talked about earlier. Can you throw

some light on how much CAPEX will do for them?
Ashok Panda: So far as RSP is concerned, they have already completed Caster No. 4 , and the production is going to start now. It has already started over there. So, that part is over. So far as DSP is concerned, the debottlenecking downfield project has already started and that will take around 18 months to 20 months■ time .
Tushar Chaudhari: Which you said the TMT mill.
Ashok Panda: TMT mill, ye s. Which we said the TMT mill at the same time. After TMT mill also, we are starting one blast furnace over there. We will knock off one old blast furnace. We will start a new blast furnace. So, along w ith blast furnace, we have another converter, etc. So, beyond TMT mill, we have also approved another package for them. And which will also increase the overall capacity of Durga pur Steel Plant by 1 million tonnes. So, TMT is a mill which is 1 million tonn es and that activity has already started. It will be completed in another 18 months■ time, and this will reduce the semis to zero. But after that, overall capacity of hot metal and cold steel will increase by 1 million tonnes through another debottleneckin g activit y in which

we are going to put up one blast furnace, one converter and caster. And we will knock off the old one. Coming to your first question. Q2 was 1140, now it is 1279.
Tushar Chaudhari: How much is the finished steel inventory now?
Ashok Pan da: Finished steel inventory sale as a whole is around 1.5 million tonnes and in -process inventory is 0.9 million tonnes. Together 2.4 million tonnes. As on 31st March, it was 2.7 million tonnes.
Moderator: We will take that as the last question. I would now like to hand the conference over to Mr. Ashish Kejriwal for closing comments.
Ashish Kejriwal: Thank you, sir. Just before closing, one question from me also. We are talking about 19.5 million tonnes of sales volume guidance for FY26 which means that i n 9 months we have already done around 14.6. So, do you want to say that our 4th Quarter volume will be more or less lower than 3rd Quarter? Because 14.6 we have already done and we have done 5.15 in 3rd Quarter. So, how is the volume in 4th Quarter?
Ashok Panda: 14.5 is already done in 9M. And our Q4 volumes will be more than that of Q3. Only thing is that actually in case of NSL, we may not take much of a volume from NSL. That's the only consideration. We want to sell as compared to the other ones. So, th e NSL numbers may be less in Q uarter 4 as compared to 9M. That's the reason.
Ashish Kejriwal: But overall, do you think that we can do 5.5 million tonnes? Because if that happens, then total volume will cross 20 million tonnes.
Ashok Panda: Let's see. We are trying a lot. Because as you can see, in January also we had a stock reduction of around 0.3 million tonnes. And February and March, I am expecting optimistically 0.3-0.3 million tonnes. So, that's the reason we will make an endeavour towards that.
Ashish Kejriwal: Lastly, when you are talking about average price increase of around 3000 in tranches in January, so are you saying that we are going to increase further prices in February or it's because the average price in January will be lower than the spot price?
Ashok Panda: There is an upward movement in the market right now because of the coal prices. So, as you said correctly, the guidance is that it will be upward , even in March also.
Ashish Kejriwal: Thank you so much. Sir, any clos ing remarks from your side . We will then end the call. Thank you.
Ashok Panda: Thank you very much for the Q&A session . The second half of the financial year is always the best for steel industry. Things have already started looking up and we hope that the trend and momentum will continue. Meanwhile, steel demand is also significantly moving up and with

the improvement on the efficiency front and cost control measures, it will improve the margins in the balance period of the year, that is, Quarter 4 , despit e the coal prices remaining high. And there will be a lot of inventory reduction in this Quarter 4 , and borrowings will go down drastically. And because of the reduction in the borrowing so the interest cost is going down. As you know, in 9 monthly, our in terest cost has come down by Rs. 500 crores. We expect that another 500 crores reduction in inventory will additionally happen in Quarter 4 . So, overall, for the year, the interest cost reduction could be around Rs. 1000 crores. Also, the company remains c ommitted towards sustainable performance including emphasis on decarbonization, improving capacity utilization, value addition, reducing semis, and achieving cost competitiveness. We are also trying to reduce the cost as well as improve the top line. And y ou will find that in this particular year, your top line, which was remaining almost at Rs. 1 lakh crores earlier, now it is going for a big number in this year. I thank all our investors for their reposing faith in Steel Authority of India Limited, and I am hopeful that the same shall continue in future as well. Thank you very much.

Moderator: Thank you very much. On behalf of Nuvama Institutional Equities, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now di sconnect your lines.

Call: May 2026

CA-17(44)/2026-27A^SAIL
20'" May, 2026
The General Manager (MO)
Bombay Stock Exchange
Through BSE Listing CentreThe Asstt. Vice President
National Stock Exchange of India Ltd.
Through NEAPS
Sub: Transcript of conference call held with Analysts & Investors on 16*"
May, 2026;
Ref: Regulation 46 of SEBKLODR) Regulations, 2015: (Security IDiSAILL
Dear Sir,
This is in continuation to our letter No.CA-17(44)/2026-27 dated May, 2026,
intimating the link to the Audio Recording of the Conference Call held on 16"^ May,
2026.
Transcript of aforesaid Conference Call is attached herewith.
Thanking you,
Yours faithfully,
For Steel Authority of India Limited
(M.B.Balakrishnan)
ED(F&A) & Company Secretary
End: As above

“Steel Authority of India Limited
Q4 FY26 Earnings Conference Call ”
May 16, 2026

MANAGEMENT : MR. ASHOK PANDA – CHAIRMAN AND MANAGING
DIRECTOR – STEEL AUTHORITY OF INDIA LIMITED
MR. T.N. NATARAJAN – DIRECTOR , COMMERCIAL –
STEEL AUTHORITY OF INDIA LIMITED

MODERATOR : MR. ASHISH KEJRIWAL - NUVAMA WEALTH
MANAGEMENT

Moderator: Ladies and gentlemen, good day, and welcome to Steel Authority of India Limited's Q4 FY26 Earnings Conference Call hosted by Nuvama Institutional Equities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunit y for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Kejriwal from Nuvama Institutional Equities. Thank you, and over to you, Mr. Kejriwal.

Ashish Kejriwal : Thank you, Michelle. Good morning, everyone. On behalf of Nuvama Institutional Equities, we again welcome Dr. Panda and his team for giving an opportunity to host this Conference Call. We are delighted to have Dr. Ashok Panda, who has now become Chairman and Managing Director of SAIL with an additional charge of Director of Finance.

On behalf of Investors' Committee, we congratulate you, sir, for this, and we wish that SAIL will achieve newer heights in terms of financially as well as operationally under your leadership. And we would also like to mention that we are privileged to have Shri T.N. Natarajan ji, Director of Commercial, who will also be there on the call today.
So without further ado, I'll request Dr. Panda for his opening remarks, and then we can open the floor for Q&A. Over to you, sir.
Ashok Panda : Yes. Thank you, Mr. Ashish, and everybody connected to thi s. Let me give my remarks first, then we can start Q&A session. Good morning, once again, everybody. I welcome all our investors and analysts who are joining this results con call for the financial results of SAIL for the quarter Q4 and annual FY '25 -'26.
Before we move to Q&A session, let me brief you on the results for the period. And let me go one by one. Regarding economic scenario, beginning with global economic scenario, the geopolitical situation in the Middle East has set the otherwise stabilizing e conomic scenario, again, bringing uncertainties and volatilities to all of us.
The economies across the globe have suffered with most seeing the projections being reduced by almost all major financial and analytical agencies. Accordingly, the projections f or global GDP have been reduced by IMF and similar agencies for calendar year 2026. Though projections for current year 2026, '27 are at slightly higher level than the previous year, they are still below '24 -'25 levels.
The projections for India also remain range bound between 6.5% to 6.9% by various agencies.
So far as global steel industry is concerned, the landscape for the global steel industry is influenced by economic trends, trade policies and geopolitical situations, as well as technological ad vancements.

The positive movement, which was visible during the previous quarter, may again get impacted, while the production in Iran have already been impacted to push out of the top 10 countries globally. WSA has, however, not published its SRO since Oc tober 2024. But of course, the steel industry globally is impacted and especially impacted because of this Strait of Hormuz situation in terms of fuel constraints as well as in terms of raw material movement through that port.
Indian steel industry, when w e talk about that, Indian steel industry continues to enjoy robust demand for steel with the consumption during FY '25 -'26, which has grown by almost 8% over the same period last year. The growth in production of crude steel has, however, been at 11%. The steel industry has grown by 8%, but the growth of production is 11%. That's the reason why, during last year, actually, export numbers were pretty high. India finishes FY '25 -'26 as a

net exporter with exports marginally higher than the imports. And the ex ports have grown by around 36% and degrowth of imports is around 32%. And in terms of absolute numbers, they are almost matching, 6.5 million tons versus 6.6 million tons. So it's a balancing figure.
When we look at our company performance of SAIL, so ther e is growth in crude steel production. And when we talk about quarter 4 of this '25 -'26, crude steel production grew by 4% to stand at 4.9 million tons as against 4.7 million tons in the previous year quarter 4. And sales volume has also grown by 4% to 5.3 million tons in this quarter 4.
And sales turnover has also grown by 5% in quarter 4 to INR30,541 crores. That's the thing. Profitability has also improved by 48% in PBT and 43% in PAT terms as compared to quarter 4 of last year. There is a debt reduction of INR3,200 crores alone in quarter 4 of '25 -'26. That is about quarter 4 performance.
When we look at the annual performance of '25 -'26 for Steel Authority of India Limited, crude steel production has grown by 1% from 19.2 million tons in FY '24 -'25 to 1 9.4 million tons in FY '25 -'26, but saleable steel has grown by around 7% from 17.9 million tons in FY '24 -'25 to 19.2 million tons in FY '25 -'26.
Company has posted highest ever sales volume at 19.9 million tons, almost like 20 million tons, which margina lly -- I mean, it is close to 20 million tons with a growth of 11% as compared to the previous year. The production has grown by 7%, but the sales has grown by 11%. That's a very good sign, and it has resulted in huge inventory reduction and reduction in borrowings.
The sales turnover is close to INR110,000 crores in this year, which has grown by 8% compared to the previous year. And stock reduction is around 0.9 million tons, out of which 0.4 million tons in saleable steel category and 0.5 million tons in in-process steel category. In totality, it is close to 1 million ton reduction of inventory has taken place on the back of good amount of sales quantities.

That is the reason why the borrowings have also come down by around INR8,150 crores in FY '25-'26, w hich has given sterling advantages in terms of finance cost to us. Even the cost of borrowings has also come down from a level of 7.3% in the previous year to 6.2% this year. This has also given rise to improvement in the interest cost for all of us.
So wi th all this, the PBT, profit before tax for '25 -'26, there is a growth of 44%. And in PAT numbers, the growth is 51%. This is highlighting operational efficiency, liquidation of inventory, cost optimization, sales volumes etcetera . So these profit numbers are purely from the basic operations and sales of this company and good efforts made by the company.
And I would like to say, last year, actually, we had rail price revision arrear into the profit, but this year, there was no arrear into the profit. Still, we have exhibited more than 50% increase in PAT as compared to the previous year. So that shows the potential SAIL has to take it forward.
Going forward, the domestic market remains steady on both demand and price fronts. Of course, it keeps on changing f rom month -to-month on seasonal effects and the sentiments.
With the coal price remaining in range bound -- coal prices remaining on the higher side range bound actually, we hope that the margins will continue to improve further.
The company will continue to take actions on efficiency improvement and cost reduction front as well. Because of this depreciation of rupee with respect to USD and international steel prices are also firming up right now, so we believe the steel prices will remain at this level and the margins will remain good during '26, '27.
And one more important thing for all of us is that after a pretty long time, many years and decades, you can say, that the balance sheet of '25 -'

26 is totally clean from the qualifications.
There are no qualif ications in the balance sheet after a pretty long time.
So we've taken care of those qualifications in terms of the developments and whatever required provisioning, etcetera . So entire balance sheet is clean from the qualifications. That's the major thing happened during this year '25 -'26 with the efforts of the finance fraternity.
With these words, I hand it back to Mr. Ashish Kejriwal for opening the Q&A session.
Moderator : The first question is from the line of Chaitanya Iyer from Goldman Sachs. Please go ahead.
Chaitanya Iyer : Congratulations on a great set of numbers. So the first question is on the lines of what would be the sales volume guidance for the next 2 FYs, that is FY27 and '28? And the capex has picked up in FY26 . Can you give an update on the expansion at 3 plants? And what would be the capex guidance for the next 2 FYs?
Ashok Panda : Yes. Thank you for your questions. Actually, sales volume last year, as I said, was around 20 million tons. So this year, we're expecting 22 million tons. Tha t is the kind of target, 10% on

the higher side, we're keeping it. And we are geared up towards that. That is number one answer to your question.
Number two is capex . Capex in '25 -'26, we ended up -- I mean, target was INR 10,000 crores, we ended up around INR9,100 crores, something like that. Guidance for '26 -'27 is INR15,000 crores. And since our expansion projects are ongoing in different, different plants. So in '27 -'28, the capex figures will be in excess of INR2 0,000 crores. That is our expectation.
So far as expansions are concerned, actually, we've cleared for 3 plants. One is IISCO Steel Plant, wherein major packages have already been tendered out and farmed up. So another one is Bokaro, and third one is Bhilai, which we're just clearing this now.
Chaitanya Iyer : Thank you So much . And the second question was in terms of -- so as you mentioned, we saw the impact of downward revision in rail prices. Can you please let us know if there is any further scope of such downward revision in the near future ? And on the Bokaro Steel Plant, can you detail out the factors which were behind the sharp recovery in EBITDA quarter -on-quarter for that plant?
Ashok Panda : Yes, let me tell you. First question first. The first question is about rail price. Actually, du ring '24-'25, we had the arrears of previous 2 years. So that was factored in the profitability of '24 -'25, which was to the tune of around INR1,800 crores. But in '25 -'26, there was no such rail price revision arrear.
I mean, as of now, actually, we are r unning with the provisional price of '24 -'25 and '25 -'26. That takes some time at government level. So '24 -'25, rail price will be finalized, which will have its own effect in '26 -'27 financial year. So that's about rail price. And rail prices keep changin g actually depending on the imported coal prices as well as the efficiency levels.
So sometimes they go up, sometimes they go down. So in '25 -'26 and going forward in '26 -'27, the provisional prices are on the lower side. So in spite of having those on the lower side in '25-'26, still we could post a profit which is with a growth of 50% -- in excess of 50%.

Coming to Bokaro numbers, Bokaro actually in '25 -'26, they have improved, because in '24 -
'25, they had a lot of breakdowns, and they had a Hot Strip Mil l, which is their parent mill. It
was under capital repair for 1 month, but it got extended by 2 months. So in '24 -'25, that
problem as well as coupled with flat steel prices on the downward side, so Bokaro had a
negative figure in '24 -'25. But these were not the cases in '25 -'26. In '25 -'26, things have
improved.
There are issues in SMS, Steel Melting Shop, in '24 -'25. All these things have been taken care.
So in '25 -'26, i

n H2, things have improved and they're looking up in terms of production, in
terms o f sales volumes, as well as because they're in flat products, so NSR is much better. So
that is why there has been a lot of improvement in Bokaro Steel Plant EBITDA levels. And
that will continue and they will still do better in '26 -'27, that is our expect ation.

Moderator : We'll take the next question from the line of Sumangal Nevatia from Kotak Securities. Please
go ahead.
Sumangal Nevatia : Congratulations on very strong performance. First question is on the prices and cost. So if you
could guide what wa s the realization in 4Q, and basis April and May, what is your expectation
of increase in prices or NSR in 1Q '27?
Ashok Panda : Yes. So in quarter 4, NSR of -- average NSR of long products was INR53,400 and flat was
INR51,000. When we compare this with April, NSR of long products is INR57,600 and NSR
of flat is INR56,700. In May, mid -month, expected May, long NSR is INR57,800, same level,
and flat also INR56,000. So that means, as we can see, there is an increase of arou nd INR4,000
between quarter 4 and April to May in the sales price.
Sumangal Nevatia : And sir, similarly, for cost also, mainly coking coal cost?
Ashok Panda : Coking coal, when we look at actually in quarter 4, the coking coal average price is
INR18,200, which has gone up in April and May. April average price is INR21,000 and May
average price is INR21,800. So there is an increase of around, say, INR3,000 -- INR3,400 to
INR3,500 in coking coal prices.
Sumangal Nevatia : Okay. And sir, I mean, this is the p urchase. So in the results in the coming quarter, which will
be on consumption, will the same increase reflect or it will reflect over the next quarter?
Ashok Panda : No, it will -- because the April and May prices are the procurement prices, but that will get
blended with the stock that we are holding. So depending on the stock, stock level is around 30
days stock actually, so stock prices are less. So the impact will be a little less as compared to
the procurement prices in this quarter.
Sumangal Nevatia : Okay. Okay. And sir, generally, given the Middle East issue and overall inflation, any other
cost item influxes or something where we are seeing inflation in cost?
Ashok Panda : See, the increase could be there in terms of -- so far as SAIL is concerned, so far as Steel
Authority is concerned, we will have some impact with respect to the fluxes, limestone,
etcetera , which we are buying from Dubai. So there, the landed cost, the CF R cost is going to
go up, because it was around, say, $23, $24, now it will be around $35.
But overall, in sellable steel, its impact will be hardly INR100 or INR200. So it is more of a
raw material security than the price increase. We are working towards tying up with the parties
to get more quantities from Middle East through di verted routes. And so far as fuel is
concerned, so fuel concern was there in quarter 4, but we have come out of it by using PNG in
certain locations and creating LPG banks in other locations. So that's not going to be a major
challenge for us in quarter 1.

Sumangal Nevatia : Understood. Sir, my second question is on capex and employee cost. So one is employee count
is reducing at a very good pace. So if you could guide, based on the superannuation, what is
the outlook for '27 -'28? And given the pay commission revision also which is coming up, how
should we look at fuel cos t -- sorry, employee cost in FY27 and '28, both years?
Ashok Panda : See, 2 questions to this. One is employee numbers are going down. Today, we are at around
50,000 employees. Just one second. Do you have the number? So just one sec, I'll give you the
numbers as well.
So that's the reason why total configuration is decreasing.

So as on 1st April 2026, the numbers
are 49,752 as compared to 53,159 opening of this year. So a reduction of around 3,400
numbers. So this is giving us advantage in terms of salary wages numbers. But the other things
are the normal increments, then the gratuity, etcetera , savings have increased. So that is also

adding pressure to it.
But if you look at the employee remuneration in the P&L account, there is a decrease of around INR200 crores to INR300 crores as compared to the previous year because of various reasons for that. One is the number issue. The other one is leave encashment. Many other things are contributing towards that.
And as we look at -- I mean, similar numbers will be reduced also in '26 -'27 and '27 -'28, means around 3,400 to 3,500 numbers will be reduced in each of the years, next 2 years, but there will be some influx of material -- I mean, influx of people actually through induction, fresh induction at lower leve ls.
So every year, there could be increase of around, say, 300, 200 numbers, because we are also expanding. And on the top of that, actually, we have taken out a VRS scheme right now, which is aiming at reducing number by 500 to 1,000. So that is our targe t. So in that process also, separation will take place and numbers will come down.
So far as pay revision is concerned, that will be applicable from 1st January 2027. Guideline is yet to come from government because the committees are yet to be formed. So we'll see the kind of guideline which will come from there actually, then we'll have a look at that in the quarter 4 of this year. And we are ready to absorb those costs depending on the guidelines which we'll receive from government, pay commission -- through pay commission. .
Sumangal Nevatia : Okay. So this INR11,400 crores, where should we see this -- flattish level for '27?
Ashok Panda : No, it is going to go down. Actually, this year -- how much is it? INR11,589 crores, I think so in '25 -'26. So there will be further reduction of manpower. So I think this number will further come down this year. Of course, we'll have VRS. So because of VRS, there could be some impact.

But on the overall, you can think that either it will come down a little bit. In '25 -'26, it is actually INR11,392 crores, it has come down. I'm expecting that it will further come down in '26-'27 despite having VRS impact also, because the overall strength will come down by 3,000 -odd.
Sumangal Nevatia : Got it. And sir, in this yea r's volume, what is the NSL volume in fourth quarter and full year, if you could just share?
Ashok Panda : NSL volume in totality is 1.12 million tons. And fourth quarter, actually, it is pretty less, maybe around 0.1 million tons or something like that, b ecause we have kind of discontinued their product selling, because they are on their own right now. So we've started selling based on the request from RINL.
So we have started selling RINL products. NSL, fourth quarter is 0.48 -- RINL is 0.48. Right. So th at's what it is actually. Most of the sales of NSL was in 9 monthly and only a bit of quantity in January. That's all. So right now, NSL, they are selling on their own.
Sumangal Nevatia : So third -party RINL, NSL put together, fourth quarter is 0.5 million tons?
Ashok Panda : Fourth quarter numbers only 48,000, 50,000 tons, that's all, because RINL started in the month of February after doing the agreement, etcetera . So now it is picking up.
Sumangal Nevatia : Okay. And sir, for '27 also, it will be at a ve ry low level?
Ashok Panda : You're talking about '26 -'27?
Sumangal Nevatia : Yes.
Ashok Panda : So in '26 -'27, RINL products will be sold to the tune of around 0.6 million tons or 0.7 million tons. It will increase for RINL.
Sumangal Nevatia : Okay. Okay. All right. So sir, if you adjust this, our volumes are close to 19 million t

ons. So
this 19 million tons, which is our own volumes, that we are expecting to go to 22 million tons? Is that the right way to understand?
Ashok Panda : Yes. Last year, we sold around 19.9 million tons, which is around 20 million tons. If you take out 1 million tons, it is 19 million tons for us. So the 19 million tons, we're targeting to go to 22 million tons in this year.
Sumangal Nevatia : Okay. And jus t one last question, if I can. The capex is almost doubling this year. So are we in a position to disburse so much from, say, INR8,000 -odd to INR15,000 crores in FY27?
Ashok Panda : Yes. Last year, our capex was around INR9,100 crores. And this year, we ar e expecting INR15,000 crores, and we'll be disbursing, because this will be partly for the debottlenecking

projects, partly for the AMR projects, as well as partly for the expansion projects of steel plant. We are ready for that. That is what is required.
Moderator : The next question is from the line of Prateek Singh from IIFL Capital. Please go ahead.

Prateek Singh : The first question, just a clarification. In 4Q, when you said RINL it's 0.48 million tons or 48,000 tons?
Ashok Panda : 48,000 tons.
Prateek Singh : Okay. And the 0.6 million to 0.7 million ton guidance for RINL in FY27 , that is on top of 22 million tons that we are seeing right now. Is that correct?
Ashok Panda : No, it is within that.
Prateek Singh : 22 million tons includes 0.7 million tons?
Ashok Panda : Correct.
Prateek Singh : Okay. So sir, just to get a sense as to what's our crude steel capacity right now? I mean, we used to think that it's around 20 million tons, 21 million tons, but now we're talking about selling more than that. So as we speak right now, what's our crude steel capacity? And how do we see it going in '27 and '28?
Ashok Panda : Yes. Actually, last year, we produced around 19.43 million tons of crude steel. Our capacity is 21 million tons, and w e are targeting to produce 22 million tons. I think it is 22.5 million tons so far as our target is concerned for '26 -'27.
Prateek Singh : So this is without any capacity addition, just from debottlenecking, we think we'll be able to...
Ashok Panda : Yes, this is through debottlenecking and making 100% capacity from the facilities that we have.
Prateek Singh : And when will the new capacity be coming online, sir, for any further growth?
Ashok Panda : New capacity will start coming after 3 years from now, me ans from '30 -'31.
Prateek Singh : So we can assume that the '27 volume number will largely remain same in '28, '29 as well?
Ashok Panda : I mean actually what is happening is, through debottlenecking -- not exactly debottlenecking, through operational effi ciencies, we are trying to stretch beyond the capacities. So when we are looking at 22.5 million tons this year, this can again increase to 23 million tons going forward. So we have our own efficiency levels through which we can -- we have more flexibility and efficiency levels through which we can stretch beyond our capacities. So that happens with all the facilities which have stabilized.

Moderator : The n ext question is from Pinakin Parekh from HSBC. Please go ahead.
Pinakin Parekh : Sir, my first question is, if you can give us the slightly medium -term capex outlook. So you said this year is INR15,000 crores. It will step up further. So over the next 3 to 4 years, what is the capex that SAIL plans to spend and how will this ramp up?
Ashok Panda : Yes. The capex for '26 -'27 is INR15,000 crores, which is going to go up as we progress in our expansion. As I told clearly, our expansion in IISCO is in the advan ced stages. They have been formed up, and so the groundwork is going to start over there. As the groundwork starts over there, the expenditur

es will be done and the expenditures will start increasing from '27 -'28 onwards. A bit of that will come in quarter 4 of '26 -'27.
And followed by that, the Bokaro and then the Bhilai is going to join. But there the expenditures -- majority of the expenditures will come maybe from '28 -'29. This is what I'm guessing. So that means actually in '26 -'27, we'll spend around INR15,000 crores. In '27 -'28, it can be around INR18,000 crores, INR19,000 crores.
And after that, this will go towards every year almost INR20,000 crores to INR25,000 crores, when expansion in these 3 plants will have its own effect. And we will manage th rough our fund management activities.
Pinakin Parekh : Got it, sir. And sir, my second question is that the employee cost guidance that you have given, this would not include any provisions you will be making in Q4 for the wage revision, right? Historicall y, wage revision has been around 15 %-odd or so. So that will be over and above whatever guidance you're giving?
Ashok Panda : So as I told clearly, actually, government notification, etcetera , will come regarding pay revision. And after that, we'll make a provision in quarter 4 of next year, '26 -'27. So those figures will be known only when we get the guidelines, and that will be over and above the figures that we are talking about now.
Moderator : The next question is from the line of Darshan Mehta from Do lat Capital. Please go ahead.
Darshan Mehta : Sir, my first question was, if I see the PPT, I can see that our coke rate has basically improved by almost 20/kg in last 2 years. So I understand that part of it could be due to high PCI, but is there any other thing which I'm missing? Like have we improved on grades or something? Or can you explain the reason?
Ashok Panda : Yes. The reason is actually reduction in coke rate is because of increase in PCI as well as by increase in oxygen in the blast furnace s. So these are the 2 vices we are using, whereby we are trying to reduce the coke rate. Even if the coke rate has come down by INR20/kg, etcetera , over the years, but we are still not satisfied with that. We need to reduce further by INR20/kg in '26 -'27.

Darshan Mehta : In '26 -'27, you are saying your goal is to reduce this by more 20/kg, you are saying?
Ashok Panda : Yes. Yes, yes.
Darshan Mehta : Okay. Okay. And in terms of, sir, just continuing on that, even in terms of BF productivity, I think it has improved considerably over last 2 years. So what has been the reason for the same?
Ashok Panda : The reason is because of the operational efficiency in the furnaces as well as by closing down the inefficient furnaces and ramping up production from the bigg er furnaces. These are the 2 reasons.
Darshan Mehta : Okay. So you're saying basically the smaller furnaces -- you are producing more from the bigger furnaces. Is that what you are saying?
Ashok Panda : We have closed down the smaller furnaces and started ramping up from the bigger furnaces. These are the reasons.
Darshan Mehta : Okay, sir. And sir...
Moderator : Mr. Mehta, I'm sorry to interrupt you, sir. Please rejoin the queue for follow -up.
Darshan Mehta : Sure, sure.
Moderator : We'll take the next que stion from the line of Raashi from Citigroup. Please go ahead.
Raashi : Just to understand a little bit on the volume side, what is your current capacity utilization?
Ashok Panda : Volume side ? As I told you actually, our capacity is 21 million tons of crude steel, but our target is 22.5 million tons of crude steel for '26 -'27.
Raashi : To understand this correctly, in the 22 million tons, you have 0.6 million from RINL?
Moderator : I'm sorry to interrupt you, your voice is not clear. I would request you to kindly use your handset.
Ashok Panda : Yes, 22.5 million tons, that includes 0.6 million tons of RINL as well.
Raashi :

So on a like -to-like basis, purely volumes from SAIL, if I just remove RINL and NMDC volume this year, you are at about 18.8 mil lion tons of sales, and you're essentially saying that pure SAIL volumes will go from 18.8 million tons to upwards of 21 million tons in this year. Is that correct?
Ashok Panda : Yes. I'm saying that it will go from 18.8 million or close to 19 million tons, from 19 million tons to 22 million tons, that is our target, excluding NMDC, NSL and RINL.
Raashi : So 22 does not include RINL?

Ashok Panda : No, 22 doesn't include RINL. 22.5 include RINL.
Raashi : Understood. Got it. Okay. And just what was the blende d -- you gave the NSR for longs and flats separately. What was the blended NSR for the quarter?
Ashok Panda : Blended NSR for the quarter 4 is INR52,000 per ton. And in April, it is around INR57,000 per ton, April and May.
Raashi : Okay. And just one last question for me. On the capex , you mentioned IISCO, Bokaro and Bhilai, what is the capex for each of these projects, like if you have to break it down, IISCO, Bokaro, and Bhilai?
Ashok Panda : capex of IISCO is around INR36,000 cror es -- maybe INR35,000 crores. And Bhilai, which is yet to be announced is around INR30,000 crores, and Bokaro is somewhere around INR18,000 crores, something like that.
Raashi : And what would be the corresponding capacity?
Ashok Panda : Corresponding capa city in IISCO is around 4.5 million tons. At Bhilai, it will be around 3.5 million tons. Bokaro also will be around 3 million tons.
Moderator : The next question is from the line of Pallav Agarwal from Antique Stockbroking.
Pallav Agarwal : Congratulations on a good set of numbers. So just on, I think, in the EBITDA bridge in the presentation, I think there is some raw material saving also between the third and fourth quarter. So could you just quantify -- I guess, it's primarily from coking coal cost. So c ould you just quantify what was the coking coal consumption cost in Q3 and Q4?
Ashok Panda : Yes. Between Q3 and Q4, raw material -- you mean to say what? Input price, it is negative actually. In Q4, the prices of coal was more as compared to quarter 3, an d it had an impact of INR272 crores. But so far as raw material usage is concerned, because of better usage in quarter 4, we've gained around INR429 crores. So it has offset the impact of input price increase.
Pallav Agarwal : Okay. This is because of higher PCI and more oxygen usage?
Ashok Panda : More oxygen, higher PCI and better usage of iron ore, etcetera . And quarter 4 being a dry month and production remaining pretty high, all equipments are good in quarter 4 after capital repair. So performance has been better. Operational efficiency, you can say, because of that

reason.
Pallav Agarwal : Sure, sir. Also, in terms of our iron ore mines, so is there any risk to our mines expiring 2030, or we will not face that problem of the different lease periods for our mine?

Ashok Panda : We don't have major problems, risk to our mines, and the productions are going to go up, because last year we produced 38 million tons, while this year, we have kept a target of 56 million tons, out of which some quantity will be sold. And going forward, we are trying to ramp up to 80 million tons. So major issues are not there. There are stray cases, stray issues, those we are taking up. So far as renewals are concerned, major renewals, no issu es, except the Chiria thing, which everybody knows about it.
In Chiria mines, we are looking at getting that mining lease. It's not a renewal actually, it's a new mining lease. So that would enhance our capacity. But notwithstanding that, today, whatever m ining capacity we have, we are going to ramp up and our mines are quite good enough, and there are no renewal is

sues in that. No major renewal issues in those.
Moderator : We'll take the next question from the line of Ritesh Shah from Investec. Please go a head.
Ritesh Shah : Sir, I have 3 questions. Sir, first question is, is there a way in which a government can allocate iron ore lease to any company? This is -- given post MMDR options is a way. But is it possible, say, if there is some backward district, government can allocate an iron ore mine to a company?
Ashok Panda : Government can allocate a mine through auction process to any private company through NPP process. So there is a set procedure for that. They can do that. So far as allocation to public sector is concerned, it forms a different way. The methodology is different, everything is different.
Ritesh Shah : Right. Sir, I didn't understand. You said for private sector, allocation is possible?
Ashok Panda : For private sector, allocation is possibl e through auction route.
Ritesh Shah : Through auction route only. Okay , fine. Okay. That’s great. Yes. Sir, my second question is, sir, you indicated on rail price revision with the benefit likely to come in FY27 . If you had to look at, say, spot prices o r look at the average pricing, is there a number that you would like to give out how much could be the benefit because of rail price revision in FY27 ?
Ashok Panda : I said that actually. What I said is that in '24 -'25, we had rail price revision arrear of INR1,800 crores, which had gone into the P&L account of '24 -'25. In '25 -'26, there is no rail price revision arrear. So in spite of not having INR1,800 crores advantage in '25 -'26, still we posted 50% additional profit as compared to '24 -'25. So far as '26 -'27 is concerned, we can't say anything about whether we'll get an advantage from rail price revision or we'll get a negative on rail price revision. So things are not very clear at this point of time.
Ritesh Shah : Perfect. And sir, just last question, you indicated flats and longs prices at INR51,000 and INR53,400 for Q4. Just wanted to understand how much was the price increases that were taken in the month of March?

Ashok Panda : In the month of March, long produc ts prices were INR55,500 and flat was INR52,778.
Ritesh Shah : Sir, I'm asking the price increase which happened from 1st of March to, say, 31st of March, because there might be the benefit which will come into Q1?.
Ashok Panda : So it is around INR1,400 p er ton.
Ritesh Shah : Sir, that is for longs. And for flats, sir?
Ashok Panda : For flat, it is INR1,400.
Ritesh Shah : And for longs?
Ashok Panda : INR1,500.
Moderator : The next question is from the line of Parthiv Jhonsa from Anand Rathi. Please go ahea d.
Parthiv Jhonsa : So my first question is pertaining to your debt levels. Now considering that you are in one of the best state of balance sheet after many, many years. And you just indicated that next year, rather in '27, your capex is INR15,000 crores, and eventually going to INR20,000 crores, INR22,000 crores over next couple of years.
Considering your cash flows are at similar levels, would it mean that you'll be funding a lot of these capex ? Apart from internal accrual, majority of the capex would come in through debt basically over the next couple of years?
Ashok Panda : Yes. Let me tell you that. Actually, we're trying to ramp up our steel production as well as sales. And on the face of a good market, we will try to improve our profita bility. We'll have focus on cost reduction as well. So going forward, in '26 -'27, the capex guidance is INR15,000 crores, suppose it happens, INR14,000 crores, INR15,000 crores, we will see how to meet it

from the internal accruals, because that is our per sonal target.
So that means in other words, actually, we will try to improve our profitability to a level in which the cash flows will be bette

r, means the profitability plus depreciation will give us a
cash flow, which probably will be able to take care of this year's capex to a large extent. But going forward, the same level of profitability we are trying to maintain. And beyond that, the incremental will come from the long -term loans, borrowings.
Parthiv Jhonsa : Okay. But you're considering the cash flows sustain at the current level with the same kind of steel prices, right? If by any chance, the steel prices go down, maybe in the next couple of quarters or a couple of years down the line, then I think your balance sheet would have to -- you might have to borrow high er quantum, right, at the end of the day?
Ashok Panda : So that what I'm telling actually. We are trying to increase our profitability on an average over the years, because during the year, in different quarters, steel prices travel differently. And it is

not only a journey of steel price, it is a journey of steel price as well as coal price. And on the top of that, our own operational efficiencies.
We'll be focusing more on operational efficiency as well as on the special steel component, so that we will r amp up our kind of profitability as well. So this profitability on an average over the year, over various quarters in the year, should remain at a high level, by which we can fund our capex through internal accruals. This is our expectation in this year, a nd we are working towards that.
Parthiv Jhonsa : Okay. So my second question is pertaining to your guidance, what you have basically given at 22 million tons, 22.5 million tons. Theoretically speaking, you are at a 21.5 million ton kind of installed capaci ty. Even if you take a couple of million tons of debottlenecking, the capacity utilization will be over 90%, 95%, which is practically unheard of in the industry. How do you basically justify that at 21.5 million tons or maybe 22.5 million tons, you're goi ng to do over 100% kind of utilization when theoretically, it's not possible.
Ashok Panda : See, actually, in steel making and iron making, actually, theoretical calculations do not hold good. This is what we have experienced over a period of time. By givi ng better enablers and raw materials, the blast furnace productivity levels, they go much beyond their DPR capacities. If DPR said it is 2.3, they can easily go to 3 for productivity. This is what is happening with us, with JSW, with Tata Steel and everybo dy.
So there is per se no theoretical capacity for a blast furnace or Steel Melt Shop. It is only enablers and the raw material and the practices which we improve, by which we can easily go beyond 100%. And we have already seen in the past and more of such things will be exhibited going forward in the future.
Parthiv Jhonsa : Okay, sir. And any threshold limit for the net debt -to-equity or leverage, if you can give?
Ashok Panda : Our net debt to equity right now is around 0.3 3, how much? Right now it is 0.37. And as you said, in this year, we are trying to improve our profitability by various actions and debt level should not increase in this year. This is what we are looking at. So if that is so, then 0.37 will further come down in '26 -'27, if that happe ns. So that it will give a good room for huge capex going forward.
Moderator : The next question is from the line of Rajesh Majumdar from 360 One Capital. Please go ahead.
Rajesh Majumdar : Sir, my first question was on the sharp reduction in debt in this quarter, which has been achieved on account of some liquidation of inventories. So looking at this sharp rise in steel prices and the forthcoming monsoon season, do we anticipate that there will be some inventory buildup, which will lead to, again, working capital rising a little bit in the coming months?
Ashok Panda : Yes. What we are looking at actually, we are personally looking at no incre

ase in inventory
during quarter 1, but that is a wish list. It again depends on the market conditions and

geopolitic al situations. We are looking at zero -zero in quarter 1. I mean, let's look at that. Let's see how it works out. So after quarter 1, quarter 2 becomes a little sluggish. And again, it will start picking up from quarter 3 onwards.
So quarter 3 and quarter 4 will have good amount of inventory reduction. So quarter 2 will be quite challenging as compared to quarter 1. We are making our strategies towards that to see how less increase of inventory can take place during quarter 1 and mostly in quarter 2, so that all of that can be taken care of in quarter 3 and quarter 4, and we will attempt at further reduction in inventory.

Rajesh Majumdar : Right, sir. And sir, my second question is on the stainless steel setup we have. They are still bleeding and we don't hav e any plans of expansion. So do we have any plans on selling -- what do you want to do with this asset?
Ashok Panda : Yes. So far as Salem is concerned, the bleeding, as you're correct, but we are trying -- we have got a plan to reduce the bleeding and imp rove the EBITDA levels over there. So there, the main concern is the operational efficiency in the CR mill. So in CR mill, where the yield right now is only 84%, 83%, we are trying to increase it to 90%. We have taken a couple of other actions like replaci ng LPG with PNG, which has given quite good benefit.
And we are trying to replace costlier power with cheaper sources also. That is number three. Thereby the cost of production will go down. Number 4 is we are trying to ramp up the production of the mills, because the mills have the spare capacities, CR mill and SR mill, they have got the spare capacity as compared to SMS.
So we'll be feeding stainless steel slabs from imported sources to increase their production. So the management guidance is to increase the production from Salem Steel Plant, whereby the losses will come down and more availability of stainless steel within the market. Once that happens, then we'll have a look at further expansion over there , if it is feasible.
Rajesh Majumdar : And BISL?
Ashok Panda : BISL, right now, it is in that list of disinvestment. So we are looking at getting a comfort from the government. After that, we'll have some plan for specialty steel.
Moderator : Ladies and gentlemen, we'll take that as the last question for today. I would now like to hand the conference over back to Mr. Ashish Kejriwal for his closing comments. Thank you, and over to you.
Ashish Kejriwal : Yes. Thank you, Michelle. Thank you, everyone. Sir, quickly last question for me. Two things, because t he kind of price increase which we have seen until April, and you mentioned that May was more or less, you can say, rollover from April.

So by looking at the current prices, do you think that there is a possibility of some kind of demand slowdown or buyers are resisting the price hikes? As well as the way government capex has been there in fourth quarter, do you think that there could be a possibility of some slowdown in that, especially in the environment on the back of this Middle East crisis? That's one.
And secondly, in terms of cost, you have mentioned about the cost increase of coking coal in first quarter. But overall cost guidance, if you can help us what kind of cost increase you are witnessing in first quarter versus fourth quarter, that will be he lpful. Thank you.
Ashok Panda : Yes. So let me give my explanations. First one is demand. Generally, demand remains muted in quarter 1 and quarter 2, as all of us have seen, on the back of more sales in quarter 4. So there are events of destocking in quart er 1, which is taking place and this time also it is there. So price levels

are almost the same level because internationally, the prices are going up, and dollar versus rupee also, rupee is depreciating. So landed cost is remaining pretty on the higher side. So far as flat products are concerned, we have a safeguard duty in place also. That is why blended cost of imported goods is less. That's the reason why imports are not taking place in that great number.
But demand is a little muted. It remains in thos e ranges in quarter 1 and quarter 2. But after that, again, it starts picking up. So that is on the demand front. On the cost front, as we have told that the imported coal rates have increased. So in April, around say how much, say, average of quarter 4 is somewhere around INR19,500. And right now, it is INR21,500.
So you can say around INR2,000 increase in quarter 1 as compared to quarter 4. So when it is INR2,000 increase, that means its impact on the cost of production will be somewhere around INR1,400 t o INR1,500 if you look at cold, hot, and the blend with indigenous coal, etcetera , put together.
So you can say that the cost impact will be around INR1,400 to INR1,500 per ton. So that will be the impact in quarter 1 from there, but the NSR, the sales pri ce levels are supporting this. And on the top of that, we'll have to increase our sales volumes, so that inventory reduction will be there and it will give us working capital comfort.
Ashish Kejriwal : Great, sir. Thank you so much. And I would request you for our closing remarks then.
Ashok Panda : Yes. Thank you very much. Thank you for your patient hearing as well as Q&A session. The domestic market has remained fairly stable despite challenging scenario outside. As the company continues to take actions on efficiency improvement and cost reduction front, we are hopeful of delivering even better results and value addition for all our stakeholders going forward.

Also, the company remains committed towards sustainable performance, including emphasis on decar bonization, improving capacity utilization, value addition, and achieving cost competitiveness in this year and in future. I thank all our investors for their reposing faith in us, and I'm hopeful that the same will continue in future as well. Thank you ve ry much.

Moderator : Thank you, sir. Thank you, members of the management. On behalf of Nuvama Institutional Equities, that concludes this conference. We thank you for joining us, and you may disconnect your lines now. Thank you.

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Rcf- Regulation 46 of SEBKLODR) Regulations. 2015: (Security ID:SATL).
Dear Sir,
This is in continuation to our letter No.CA-17(44)/2026-27 dated 28^" July, 2026,
intimating the link to the Audio Recording of the Conference Call held on 28"" July'
2026.
Transcript of aforesaid Conference Call is attached herewith.
Thanking you,
Yours faithfully,
For Steel Authority of India Limited
1(M.B.Balakrishnan)
ED(F(feA) & Company Secretary
End: As above
WT, 110003, : 011-24367481-86 : 011-24367015 www.sall.co.in
Steel Authority of India Limited, Ispat Bhawan, Lodhi Road, New Delhi 110003, Phone : 011-24367481-86 Fax : 011-2436
7015 Website : www.sail.co.in
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“Steel Authority of India Limited
Q1 FY27 Earnings Conference Call ”
July 28 , 2026

MANAGEMENT : MR. ASHOK PANDA – CHAIRMAN , MANAGING
DIRECTOR AND FINANCE DIRECTOR – STEEL
AUTHORITY OF INDIA LIMITED

MODERATOR : MR. ASHISH KEJRIWAL – NUVAMA WEALTH
MANAGEMENT

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY27 Earnings Conference Call of Steel Authority of India , hosted by Nuvama Wealth Management. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, pl ease signal an operator by pressing star , then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ashish Kejriwal from Nuvama Wealth Management.
Thank you, and over to you, sir.
Ashish K ejriwal: Thank you. Good morning, everyone. On behalf of Nuvama Institutional Equities, we

welcome Dr. Ashok Panda, Chairman and Managing Director with additional charge of Director of Finance of Steel Authority of India along with his team .

I would reque st Dr. Ashok Panda to give his opening remarks, and then we can open the floor for Q&A. Over to you, sir.

Ashok Panda: Thank you very much, Mr. Ashish Kejriwal. Good morning, everyone. I welcome all our investors and analysts who are joining this results c on-call for the financial year of SAIL for the period quarter 1 '26 -'27. Though I'm sure most of you might have already seen the results on the website of the company and through stock exchanges, I would briefly run through the same for the benefit of the house.

When we look at the economic scenario globally, the period was impacted adversely by the geopolitical situation in the Middle East. Not only did it impact the supplies of fuel across the globe, it also affected the supply chain for inputs like limestone, etcetera. And even it also affected to some extent, like the gas supplies, propane, etcetera, for the steel industry.

On the other hand, the rising fuel cost led to inflationary pressures against raising the various expenditure heads. However, n otwithstanding the projections for India also remain range bound between 6.4% to 7.2% by various agencies over the next 2 years. So far as Indian steel scenario is concerned, the landscape for the steel industry is highly influenced by economic trades, tra de policies and technological advancements.

Indian steel industry, however, continues to enjoy robust demand for steel with consumption during quarter 1 '26 -'27, which has grown by more than 8% over CPLY. The production, however, showed a muted slightly l ower growth of around 3% during this year -- during this quarter '26 -'27. Due to higher growth in imports as compared to exports, there was increase in imports as well as increase in exports and the net import for quarter 1 '26 -'27 was to the tune of

aroun d 0.4 million to 0.5 million tonnes as against maybe 0.3 million tonnes last year quarter 1.

Now let us have a look at -- briefly look at the company performance for quarter 1 '26 -'27 performance of Steel Authority of India Limited. Before highlighting the performance of the company during quarter 1 '26 -'27, I would like to inform the house that owing to the circumstances that prevailed and the threat that loomed at large, SAIL decided actually to advance some of its major capital repairs during quarter 1, so that it will be free after that and will start producing better in the next quarters.

Mostly, we had major capital repairs in IISCO Steel plant, Durgapur Steel Plant and also Bokaro Steel Plant , which were done in quarter 1 by design. So that is the st ory about this quarter 1 compared to last quarter 1. While this impacted the production volumes as per design, but then ultimately, it helped us in some of the things and which led to a good profitability going forward.

Coming to the performance of the com pany during quarter 1 '26 -'27, the highlights are as follows. Crud

e steel production stood at 4.8 million tonnes in quarter 1 '26 -'27 as against 4.9 million tonnes CPLY. This reduction is because of the capital repairs which have been advanced in this quar ter 1 by design. Sales volume was 4.2 million tonnes, which fell by around 7% to 8% as compared to the previous year. And there was increase in inventory by around 0.2 million tonnes in the finished goods.

The company, however, remains very much committed towards increasing its sales volume, including inventory liquidation in the balance period of this year as we've done last year as well and also will be -- our endeavor will be to reduce the working capital borrowings. And when we look at the borrowing po sition as on 30th June 2026 at the end of this quarter, we are almost at the same level as that of the beginning of this year in spite of the fact that the inventory has increased by 0.2 million tonnes.

On the back of better realizations, sales turnover in creased by well over 1% as compared to previous year quarter 1. Despite significant increase in prices of major inputs like coking coal and fuel, limestone, the company was able to improve its profitability through measures towards operational efficiencies , better financial management and treasury management during this period of quarter 1. EBITDA at INR4,356 crores showed for quarter 1 '26 -'27 has a growth of more than 50% as compared to CPLY figure of INR2,925 crores.

EBITDA margin at 16.7% is one of the best since '21 -'22, when the steel market at that time was at its peak and coal price was at its bottom in '21 -'22. EBITDA per tonne also crossed a benchmark figure of INR10,000 per tonne and stood at INR10,464 per tonn e in quarter 1 '26 - '27. While talking about PBT and PAT, PBT and PAT stood at INR2,159 crores and INR1,636 crores in quarter 1, respectively, as compared to INR890 crores and INR685 crores, respectively, for CPLY period with a growth of around 150%.

As men tioned earlier, the cash outflows were managed smartly through better treasury management efforts which helped to keep the borrowings under check. And this is -- this stood at INR21,729 crores as on 30th June, which is almost at the same level of -- the le vel as on 1st March 2026 was INR21,663 crores. The debt equity ratio was further reduced to 0.36 on actual basis at the end of quarter 1 '26 -'27.

Going forward, while Q2 has traditionally been a toughest quarter for the steel industry because of the rain, incidence of rain, etcetera , but efforts are being made not to increase our inventory during quarter 2. And after that, our efforts will be to reduce inventory in quarter 3 and quarter 4 so that on a yearly basis, there will be inventory reduction. We wil l continuously strive for increasing our efficiency levels and cost reduction efforts.

One another good thing which has happened during this quarter, '26 -'27, is that our focus on mines has been foremost. Now we are trying to increase production for our ca ptive mines and as well as consume and the rest quantity to sell in the market wherever it is possible. And during this quarter 1, we could have sales of around INR400 crores more as compared to last year quarter 1 which has resulted in a profit of around INR150 crores as compared to last year quarter 1.

So these are the highlights. With these words, I hand it back to Mr. Ashish for opening the Q&A session.

Moderator: Thank you, sir. We will now begin the question -and-answer session. T he first question come s from the line of Alok Deora with Motilal Oswal Financial Services.

Alok Deora: Sir, just had a couple of questions. First is, if you could indicate what was the NSR in 1Q as against 4Q? And based on July and how the prices are moving, what do you expect for the second quarter?

Ashok Panda: Yes. Quarter 1 average NSR was INR57,100 as compared to quarter 4 of IN

R52,000 that
means an increase of around INR5,000 per tonne between these 2. So far as Q2 is concerned, as I already told, because there is monsoon season right now. But traditionally, there is always a reduction in the NSR. So far as Q2 expectation is concerned or maybe when you talk about July, so the prices of the flat products, there is not much of a reduction in that. But there are fluctuations i n the long product prices. There were reductions.

But recently, there is a positive momentum, which is visible because of which there is a possibility of increase in long products price. So as we can see, you can say that between June and July, in the lon g product price, if there was a reduction of around INR3,000, around INR3,000 per tonne. So maybe it will improve by INR500 to INR1,000 right now in the long products. In the flat products between June and July, there could be a reduction of around INR1,000 per tonne, something like that.

Alok Deora: Got it. And how about the coal cost, sir? What was the coal cost on a consumption basis in 1Q? And what's the guidance for the second quarter?

Ashok Panda: The imported coal price in quarter 1, '26 -'27 was on a higher side, INR21,300 as compared to INR18,100 in quarter 4, means around INR3,100 increase. The index of imported coal, which was at a peak of around 235 a couple of days before, now it has come down to a level of 220 today. So that is -- that means there is some softening effect in the coal index -- imported coal index, others and flat and others index. We hope that because in the rainy season, there are monsoon situation, et cetera, demand may come d own. And because of that, maybe the prices will soften in quarter 2.

Alok Deora: Okay. So any guidance on coal cost you can provide on -- yes?

Ashok Panda: We are expecting that in Q2 going forward, maybe from August onwards, there could be a reduction of around INR1,000 to INR2,000 progressively in the coal cost -- in the imported coal cost on a…

Alok Deora: Got it. Just last question, sir. So based on the performance, are we maintaining the full year volume guidance?

Ashok Panda: Yes, we are maintaining the full year volume, and we'll be having a growth over last year by the year -end.

Moderator: The next question comes from the line of Amit Murarka with Axis Capital.

Amit Murarka: So just first question would be on cost inflation in West Asia, if you coul d spell out the amount?

Ashok Panda: Your voice is breaking.
Moderator: Amit, you're not clearly audible. I would request you to use your phone in handset mode in case if it's not on the handset mode. We'll move to the next participant that is Ritesh Shah with Investec India.
Ritesh Shah: Sir, first, just a clarification in the prior answer, you indicated we expect coking coal prices to go down by INR1,000, INR2,000 into Q2?
Ashok Panda: I mean on a monthly basis, actually, I'm not talking about the average . But when we look at month of August, maybe there will be reduction of around INR1,000, maybe in September for the INR1,000. This is my expectation.
Ritesh Shah: Okay. That helps. Sir, second is, can you indicate the volumes, excluding RINL or any other sales that we have done for, say, NMDC Steel for the quarter?

Ashok Panda: So when you look about that particular figure, so NMDC Steel , as you know, actually, we are not doing the marketing this year. So it is still almost kind of nil NSL. But whereas CPLY quarter 1 had 3.73 lakhs of sales. This time, it is 0. In RINL, we sold around 93,000 tonnes, which was not there last year in quarter 1. So on the whole, if you combine NSL and RINL, then last year's CPLY, CPLY means last year quarter 1 had a quantity of around 2.76 lakhs tonnes in that as compared to this year.
Ritesh Shah: Perfect. Sir, jus

t 2 quick questions. Sir, how do you see the pricing gap between primary and secondary longs? You did indicate that we are hopeful for long product prices increasing by INR500,000. Sir, how should we look at the divergence between primary and secondary? That's one. And sir, second question is, how are we reading into the antidumping duty investigation, which has just got initiated? And is there any probability of safeg uards basically to be reinstated again?
Ashok Panda: Yes. Let me answer one by one, actually. First question is about the gap between primary and secondary in the TMT, in the long products. So now the gap has narrowed down. The gap is around INR5,000 right now, which is a healthy gap. So that's the reason why probably there is an uptick in the NSR in the prices of the primary TMT products. This is my guesswork. And number two, you asked about safeguard duty and antidumping duty.
In safeguard fro nt, actually, yes, there is a step. Safeguard is still in place, which is 11.5% as of now because it was there for 3 years, and now we are in the second year right now. So that still continued. It is giving a relief to the -- much needed relief to the stee l domestic market. So far as antidumping thing is concerned, that is going on. And based on the investigation, maybe some measures will come as a relief to the domestic steel sector.
Moderator: The next question comes from the line of Parthiv with Anand Ra thi Group.
Parthiv: Sir, my first question is pertaining to the subgrade ore fines. I believe you said that in the first quarter, you did some extra INR400 crores from sale of ore. So the question is actually divided in 2 parts. Number one is on the subgra de ore of iron ore, what you have, the inventory.
The second is, if you see the recent auction data of Steel Authority, the volume has actually been going down, especially in the June month from a couple of mines. So do you expect this third -party sales o f ore to continue? Just wanted to get your thought process on that.
Ashok Panda: Let me try to answer one by one. The last question, I didn't get it. But the first question and second question, let me take. The first question is about SGF, sub -grade fines. We are having a volume of around 32 million tonnes inventory in the balance sheet. And we have put up in the auction around 3 million tonnes. The rates are yet to come, and we are hopeful that this time, we'll be able to click that particular thing. So th at will become a beginning of selling -- of our efforts towards selling 32 million tonnes going forward. Number two, about sales from the mines. The sales from the mines is primarily from the Orissa group of mines from where we've been selling iron ore fin es, fresh iron ore fines, tailings from there.

So the quantities have become more than twice as compared to last year. That's the reason why turnover from there has increased by around INR400 crores and profit from there has increased by INR150 crores. Our efforts are to increase our production further and sell more and more in the market. We are also planning to sell from Chhattisgarh Group of mines. 2 auctions have fructified recently just a few days back, which is in quarter 2. And that will testify our possibility of increasing further sales from Chhattisgarh mines. And we're also trying to sell from Jharkhand mines, efforts are on in that.

Parthiv: Okay. Okay, sir. Sir, just one quick clarification. The 3 million tonne is the '27 target, right?
Ashok Pa nda: Pardon.
Parthiv: For the subgrade. The subgrade over 3 million tonne auction target is for the entire year of '27 or it's for '28?
Ashok Panda: No, this is the first case actually, once it happens and starts moving, then we'll also see. That is the ta rget for '26 -'27.
Parthiv: Okay. Okay. And sir, I believe just wanted to quickly get your understanding on the r

ailway
price revision, whatever you can share, what is your expectation? How are we supposed to see that going forward for the current year?
Ashok Panda: Yes. All that I can say, as you know, that it is based on the provisional prices, rail price. You're talking about rail price, isn't it?
Parthiv: Yes, sir.
Ashok Panda: So for the year '26 -'27 because the imported coal prices are on the higher side and our provisional price is pretty low at INR74,000. So we are expecting a better price compared to that. And so that is going to improve our profitability whenever it is declared.
Parthiv: So are you expecting anytime soon?
Ashok Panda: For '26 -'27, it will come in '27 -'28 and '25 -'26 prices come in '26 -'27. So we will see how it comes out at that point.
Parthiv: But do you have any preliminary understanding for last year's pricing, sir?
Ashok Panda: I mean '25 -'26 prices will be more than that of ' 24-'25 prices. It all depends how it gets. And this may get...
Parthiv: If I may just quickly squeeze in the last question from my side. I think recently, Government of India imposed a definitive ADD on met coke for, I think, about 5 years. Would it be impacting you in any sense? Because I think...

Ashok Panda: It is not going to impact still because we have our own capacity, which is equivalent to our requirement or maybe...
Moderator: The next question comes from the line of Pinakin Parekh with HSBC Ba nk.
Pinakin Parekh: Yes, 3 quick questions. Firstly, can you give us your updated capex guidance for this year and the next couple of years given whatever the plans are?
Ashok Panda: Yes. So far as capex is concerned, this year, we're planning a target of INR15,000 crores, and this is going to increase in the next 2, 3 years because our expanses are on. That means next year, it could be in excess of INR20,000 crores. And after that maybe INR25,000 crores, INR26,000 crores like that. So it will go on increas ing for the next 4, 5 years. This year, it is INR15,000 crores, and we are likely to complete that.
Pinakin Parekh: Got it, sir. My second question is, sir, you said that NSRs are -- basically July was better than June. But if I take the average NSR for th e June quarter, the first quarter versus what has happened in long product prices, 2Q NSR should be broadly be down by INR2,000 to INR3,000 a tonne or flat? Or how should we look at it?
Ashok Panda: When I -- when we talk about the NSR actually, I said tha t quarter 1 of this year, NSR is higher than quarter 4 but in quarter 2, that is starting in July, the NSR will be less than that of quarter 1, primarily because of the monsoon and demand and all that. That means in -- what I said is that in July, August a nd September, so reduction in flat prices may not be that much, but reduction in TMT means LP long products will be more actually.
So in June and July, while there was a reduction of around INR2,000 in NSR of long products, recently, there is an upward mo mentum for the long products NSR. It might further increase by INR1,000. So kind of -- if you talk about quarter 2, quarter 2 NSR as compared to quarter 1 could be down by around INR1,000 to INR2,000, maybe. This is just a guesswork.
Pinakin Parekh: Got it , sir. And sir, my last question is, can you give us an updated guidance for your employee cost for this year and whether you will start providing for the wage provision in the January, March 2027 quarter?
Ashok Panda: Salary basis this year in quarter 1 i s INR2,937 crores as compared to last year's figure of INR2,944 crores, almost at the same level. While in this quarter 1, it includes the VR -- differential VR amount, VRS Voluntary Retirement because our VRS scheme is on. So many people have taken VRS. T hat factor is also there in the employee remuneration. The number of employees are coming down and VRS is on.

So we're expecting that the employee cost should come down, number one.
Coming to your point of wage revision possibility, so they are in quarter 4, we'll look at the probability and possibility of making some provision towards wage revision. Those aspects we

will evaluate and examine in quarter 4 because that time, it will be due. So a particular group will look into that.

Moderator: The next question comes from the line of Pallav Agarwal with Antique Stock Broking .

Pallav Agarwal: Just a couple of questions. First one, can you just update us on what is the current product mix breakup between flats, longs and semis?

Ashok Panda: Yes. Just 1 second. It's almost kind of 50% -50%. And one thing is that the semis have come down. The semis have come down from, say, 14% last quarter 1 to 11% this quarter 1 and between long and flat, t he long is -- flat is 52.7%, long is 34.8% and semis are at 12.5% in quarter 1.

Pallav Agarwal: Sure, sir. Because in the slide, in your sales performance slide, the proportion of semis is showing as 6%. So are we getting some semis converted outside and t hen into finished products?

Ashok Panda: Yes, of course. Semis are getting converted to finished goods. That's the reason why I told you that the finished steel has gone up from 86% to 89% this year. So we are trying to convert most of the semis into finis hed and pushing that in the market.

Pallav Agarwal: Okay, sir. So I think the slide mentioned 6%. So maybe that's after conversion, the final sales is about 6%.

Ashok Panda: Correct. You're right.

Pallav Agarwal: Okay. Sir, also in terms of the coking coal, what is the breakup? I mean most of it is imported, but how much are we getting -- are we getting anything from our captive mines? And what is the proportion from coal India?

Ashok Panda: Yes, captive mines actually is from Sitanala and Tasra . So tha t is a part of the indigenous coal that is not part of the imported coal. So imported coal are at around 85%, indigenous coal is 15%. So out of that 15%, we get somewhere around 5% from our own mines and which is likely to go up from December onwards becau se production from Tasra mines, which is under development right now is going to take place in the month of -- expectedly in the month of December. So fourth quarter will be a better quarter expectedly for us in which we'll be getting more indigenous coal from our captive mines. And this will also give an advantage in terms of pricing.

Pallav Agarwal: So could you just give us some idea of what is the cost benefit of indigenous versus imported coal?

Ashok Panda: See, in quarter 1, the indigenous average pri ce is INR13,100 as against imported price of INR21,200. That indigenous is INR13,100, but when we'll be getting from our own mines, it

may be somewhere around INR5,000 to INR6,000, around INR6,000. So that component is going to increase from December onwar ds.

Pallav Agarwal: Sure, sir. Also, sir, just lastly, if you could just give us a sense of in our coke carbons, what is the sort of blending -- you've given the PCI, the coke rate and the PCI injection. So broadly, how much of what is the proportion of pure hard coking coal that goes into our coke mix?

Ashok Panda: Just one second. The percentage of hard coking coal -- the percentage of soft coking coal is around 25% to 27%. So the rest is hard. And within that also in totality, if you look at, our impor ted component is around 85%, indigenous component is around 15%. That is under hold. But when we want to breakup between soft and hard, soft is around -- what percentage? 23%. 23% is soft and 61.7% is around hard coking coal. That means actually indigenous coking coal is 15%, then imported hard is 62% and imported soft is 23%. That is how it becomes 100%.

Moderator: Th

e next question comes from the line of Sumangal Nevatia with Kotak Mahindra Bank.

Sumangal Nevatia: Sir, I just want to clarify a few things. One is the fourth quarter NSR you said is INR57,100, right? Can you share the breakup of flat and long?

Ashok Panda: Yes. Fourth quarter is NSR is...

Sumangal Nevatia: Sorry, 1Q -- sorry, sorry, sorry. I meant 1Q.

Ashok Panda: Yes, INR57,100 is the averag e out of which almost same. Long is INR57,100, flat is INR57,200. So it is average INR57,150 to be precise.

Sumangal Nevatia: Got it. Got it. And sir, what is the July NSR for long and flat?

Ashok Panda: Yes, July NSR average is INR55,600. The flat is INR56,900 and long is INR54,200.

Sumangal Nevatia: Understood. Got it. Sir, for the captive mines, when we shared that sales was INR400 crores, profit was INR150 crores. Can you share what was the volume here? And for the full year,

what is our expectation?
Ashok Panda: So volumes are 1.1 million tonnes. And last year, quarter 1 was 0.31 million tonnes. And when it is 1.1 million tonnes this quarter, last year, we sold around 3 -odd million tonnes, although we are targeting a very high target of 8 million tonnes , let's see how far we can go.
Sumangal Nevatia: Okay. So last year, we sold 3 million tonnes for the full year?
Ashok Panda: For the full year, around 3.5 million tonnes or something.
Sumangal Nevatia: And what was the revenue and EBITDA contribution of i ron ore volumes last year?

Ashok Panda: Last entire year, I have to check up actually , but I can tell you about the quarter 1. I can tell you about the quarter 1. Actually quarter 1, as I told you, the turnover from the sales of iron ore was INR157 crores last year quarter 1. And in this year, quarter 1, it is INR574 crores.
Sumangal Nevatia: And EBITDA for this year is INR150 crores, right, for 1Q?
Ashok Panda: Yes. You can say it is roughly the EBITDA also.
Sumangal Nevatia: Okay. Okay. Sir, in the past, we've not been able to achieve our guidance because there has been some logistic constraint. And I think even for subgrade mines, the demand for that quality is not there. So are those constraints now receding? What's the status on that?
Ashok P anda: Logistics constraint is still there. We are trying to buy with that through better availability of rakes as well as by increasing, enhancing our quantities through road. So those are the efforts we are making so that the logistics constraints to some extent can be eased out. Those things are going on.
And regarding the quality of the iron ore, subgrade fines, there is a lot of demand for the subgrade fines as well as tailings because these are not very low -quality subgrades. These are 59% to 60%, and they are having a good -- it is having a good marketplace. Even in case of tailings from Bolani, that means from Odisha group of mines, which are 57%, 58%, 56%. That is also having a good market demand. So market is good for that. We can achieve our sales quantities.
Sumangal Nevatia: Okay. And just one last question on the coking coal, sir, you shared consumption was around INR21,300. What is the likely consumption cost for 2Q? I mean, do you expect a reduction or an increase in consumption cost? I unders tand purchase is getting lower.
Ashok Panda: Yes, yes, it will reduce because now the price is softening, so it will reduce only. Maybe there will be a reduction of around INR1,000 to INR1,500 in Q2 compared to Q1.
Sumangal Nevatia: Understood. And sir, 1Q , what was the capex spend, just last question.
Ashok Panda: INR2,575 crores.
Moderator: The next question comes from the line of Amit Murarka with Axis Capital.
Amit Murarka: So first question is on the cost inflation, which has been there. Generally, we have seen the impact of West Asia coming through on power cost and other raw material costs. In your assessme

nt, what would have been that inflation in Q1 for you?
Ashok Panda: The increase is primarily from 2 fronts. One is on the coal front because, as you know, there is an increase of around INR3,500 in the coal -- imported coal prices compared to last year quarter 1, which is easing out right now. So that is one thing. The ot her thing is fuel cost has gone up to some extent. It has, of course, not impacted sales per se so much, but the impact of

the limestone, increase in limestone cost is also there in this -- in our cost of production. So these are the broad things which hav e impacted the steel sector in totality. But the impact on us is less compared to others because the impact due to fuel is not much in our case.
Amit Murarka: Got it. And also, just to understand, you said that you are processing some semis from third party. So who would be the third party just to understand?
Ashok Panda: We have the conversion arrangements, and that is the domain of the marketing, and we keep on doing it dynamically so as to reduce the semis availability in the market. We are trying to improve our finished steel more and more. That is the reason why I told you there is an increase of around 3% to 4% in finished steel percentage this year as compared to last year quarter 1.
Amit Murarka: And the arrangement with NINL has stopped? Or how is i t working right now?
Ashok Panda: No, it is not a conversion arrangement in NINL. We are supporting them in terms of selling their semis whenever they want.
Amit Murarka: Sir, in Q1, was there any volume then from NINL?
Ashok Panda: Our NINL sales quantity is 96,000 tonnes of semis through our marketing setup.

Amit Murarka: 95,000 tonnes.
Ashok Panda: It is not actually NINL, it is RINL, sorry. It is RINL.
Amit Murarka: Sorry, my bad, not NINL, sorry, my bad. I meant NMDC steel, sorry. NMDC steel.
Ashok Pan da: NMDC steel as I have already told.
Moderator: The next question comes from the line of Netra Deshpande with Mirae Asset Sharekhan.
Netra Deshpande: Just my first question about -- just about the last quarter that you said about flux and the limestone e xpenses has increased on account of strait Hormuz in Dubai. So any impact on that about the saleable steel because as we have seen in that reduction of around INR100 per tonne to INR200 per tonne. So in the coming quarter also, is there any...
Ashok Panda: Let me explain this particular question a little bit more that because of strait Hormuz actually, that is Gulf war situation, there is an impact on the fuel as well as in the limestone and the steel sector. So far as fuel is concerned, so far as Steel Aut hority of India Limited is concerned, we do not have much of an impact because we have our own gases produced inside the plant itself., blast furnaces are healthy. We could produce the gases, use it, not much of an impact. So far as fluxes are concerned, in the fluxes because of this ocean freight itself, the prices have gone up for everybody and so also to us. But the impact of that increase in the price of fluxes

have been offset by reducing the specific usage of fluxes in this quarter 1 compared to the previous quarter 1. And because of that reduction, we've got a saving on that count by around INR25 crores. So more or less, it has offset the price increase due to ocean freight in the fluxes.
Netra Deshpande: Okay. Got it, sir. And sir, secondly, it is about the debt position. What is the -- at present like in the last quarter, like the finance costs have declined and that remained as a major deleveraging supporting the overall debt and debt equity ratio has al so maintained to the multiyear low of 0.55. So what would be this deleveraging in the trend, which is going to continue for the Q1 FY27, not at the current position?

Ashok Panda: Yes, at Q1 level, the debt is standing at INR21,729 crores which is almost at the same level as of the opening of INR21,663 crores. The debt equity ratio has come down to 0.36, maybe from 0.38 or 0.39 in the opening of this year. So deleveraging efforts are on.
And so far as today's position is conc erned, the debt has further come down to a level of INR21,400 crores. Efforts are on to reduce the working capital borrowings in this particular year by reducing the inventory as well as through other sources for improving the cash flows.
And apart from t hat, actually, due to concerted efforts by treasury management, better treasury management, our cost of debt has also come down to a level of 6.24% as compared to last year quarter 1 of around 6.8%. And because of which there is a saving of around INR100 c rores in the finance cost this quarter compared to the previous quarter.
Netra Deshpande: Okay. Got it. And sir, the last is only about the blended gross spread. Can you give me some figures for Q1 per tonne like blended realization you gave for the blende d gross spreads?
Ashok Panda: Blended what? I could not get your question.
Netra Deshpande: Gross spreads. So between like the segment -- the product mix like about the blended realization breakup that you have shared about any adjust...
Ashok Panda: So yo u mean to say blended realization in terms of NSR?
Netra Deshpande: NSR, yes. I mean you can say about it. Blended realization that you have already mentioned about long run flat, but the saleable steel, do you have any particular...
Ashok Panda: I said ac tually, so far as blended realization is concerned in quarter 1, our average NSR is INR57,156. And within that, when you look at the breakup, the flats are at around 52% and long is around 38%, 12% is semis. That is the production front. But as somebody to ld in the sales front, the semis are still less by around 6% because the rest 6% has been converted to finished goods. So in totality, our blend has improved in this quarter 1 as compared to the previous year.

Netra Deshpande: Okay. Okay, sir. Got it. And sir, about the subgrade auction grade that you said about FY27, it would be 3 million tonnes. So are there sales from mines, Orissa and from Jharkhand mine, can you elaborate or give some data.
Ashok Panda: Yes. Let me tell you the expectation actually. La st year, '25 -'26, we had a total sales of around 3-point -odd million tonnes. And all of that had happened from Odisha Group of Mines. So that includes face fines as well as tailings from Odisha Group of Mines.

This year, we're expecting double the quantit y from Odisha Group of Mines, some quantity from Chhattisgarh Group of mines for which the auction is fructified just a few days back with a small quantity, but that is a testimony that we can increase further depending on availability. In the Jharkhand s ite, actually, we are making efforts to sell our subgrade fines, which we are expectedly it is 3 million tonnes. Let's see how much it will go out. And number two, we are also trying to sell the fresh fines from Jharkhand. Numbers, I cannot give at this po int of time.
Moderator: The next question comes from the line of Vikas Singh with ICICI Bank Securities.
Vikas Singh: Sir, just wanted to understand the downward revision in rail packing. What was the benchmark previously? And what is the benchmark now at which you are selling? And for FY26, considering the costs are down, what kind of further downward revision can come?
Ashok Panda: Yes. Let me explain actually, there is no benchmark actually in that. It is guided by efficiency and the coal prices primarily. So it goes up and down depending on the input prices and the efficiency level in our rail mills. These days, our rail mills have a very high level of efficiency, which is even better than the global b

enchmarks. So that is how it is working at Bhilai Steel Plant for rail production, and it is well appreciated by Indian Railways as well.
Going forward, as I said, in '24 -'25 because imported coal prices remaining low, that is why the prices were low. In '25 -'26, there is improvement in the imported coal prices compared to '24-'25. So we are expecting better prices compared to '24 -'25. In '26 -'27, the imported coal price is still highe r, much higher as compared to '25 -'26. So of course, the costing will be more and the price will be more, which will be decided in '27 -'28. So that is how it moves.
Vikas Singh: So you are not expecting any further downward revision in the railway prices a s of now?
Ashok Panda: We are not expecting any further hit on our P&L on account of that.
Vikas Singh: Noted. And sir, my second question pertains to your DSP plant basically, that had the highest degree of semis. There, we were actually putting up some casters to increase the overall...
Ashok Panda: Which plant you said? SP plant?
Vikas Singh: DSP plant.

Ashok Panda: Okay. Durgapur.
Vikas Singh: Durgapur Steel Plant that has the highest semis. So there, we were actually putting some projects to increase the finished goods product. I think the casters, which we are putting. So could you give us some update on at what stage that is? And how much tolling charges we are giving for the semis to finished conversion to the third party?
Ashok Panda: See, let me a nswer your question. Durgapur, we are producing semis and which is in excess of 1 million tonnes per annum. Because of that, actually, we are putting up a TMT bar mill over there. And that will produce around 0.8 million tonnes, 0.8 million to 0.9 million tonnes of TMT from there. And that is expected sometime in 2027, maybe September to December 2027, that is the expectation.
During that time, it is going to come. Once that comes, then availability of semis from Durgapur will come down drastically. And co nversion targets, as you said, actually, these are dynamic in natu re based on certain formula, et cetera. This remains with the best standards of the industry.
Moderator: The next question comes from the line of Ritesh Shah with Investec India.
Ritesh Shah: Sir, just one quick question. What is the total wage commissioning provisioning that we are doing right now? And would it be possible for you to give a number for employee cost for this year and next year, considering this variable?
Ashok Panda: What comm issioning you said?
Ritesh Shah: Pay commission, yes.
Ashok Panda: Pay commission, as you know, is going to come from 1st January 2027. We have not much hear about it, neither there is any calculation available over there. As I said, clearly, in quarter 4, we'll evaluate, examine and see what is possible in terms of provision.
Moderator: The next question comes from the line of Akhilesh Kumar with Emkay Global Financial Service.
Akhilesh Kumar: Yes. So sir, my question is how are we looking at the cost effi ciency program panning out? And what are the exact initiatives we are taking to bring the cost down? And how much of per tonne cost saving you would see to come from these initiatives, let's say, over FY28 and '29?
Ashok Panda: FY28 and '29.
Akhilesh Kumar : Yes. How much of total in terms of rupees per tonne, how much of cost savings we are looking at?

Ashok Panda: See, we are looking at a cost reduction of around INR2,000 to INR3,000 in this year itself. In quarter 1, because most of our -- many of our uni ts are down because of the advancement of the capital, the cost was a little on the higher side. So from quarter 2 onwards because all the mills and facilities are in place so far . So cost reduction efforts will be there and the cost reduct

ion will be ther e, number one.
But when we look at a possibility of cost by '28 -'29, we'll have new facilities coming up in IISCO steel plant and which will reduce the variable cost drastically because of reduction in the fuel rate, coke rate, etcetera, over there. So th at time, the cost reduction, the variable cost would be to the tune of INR3,000 to INR4,000 per tonne. But however, because the new units will come, naturally, there will be push in terms of fixed cost at that point of time.
Akhilesh Kumar: So all in all, if we have to look at net cost per savings because there will be some costs which will be coming up because of the new plants coming up also. So can we fairly say that INR1,500 to INR2,000 per tonne cost savings will directly flow into our EBITDA?
Ashok Pa nda: Correct. You are right, actually by '28 -'29 when we start getting this thing production from IISCO steel plant expansion units, the variable cost will come down by around INR4,000 and fixed cost may go up around INR1,500 to INR2,000. Net -net, there co uld be a cost reduction of INR2,000 at that point of time. But notwithstanding that, before that, from our current operations, we are trying to reduce our cost of production by around INR2,000 through various efforts.
Moderator: The next question comes from the line of Rajesh Ravi with HDFC Securities.
Rajesh Ravi: I have 2 questions. First, given the volume decline and the low capex , which we have done in Q1, does -- could you give us a sense of what we are looking at to maintain our full year volume an d capex guidance? And also second question, the iron ore volume and revenue EBITDA you shared for Q1, could you also share the same number for Q4 FY26?
Ashok Panda: Yes. Let me tell you, so far as capex is concerned, Q1 capex target was INR2,306 crores against which we have met INR2,575 crores. Our yearly target is INR15,000 crores, and we are going on stream to achieve those figures. That is number one. And number two, on the volume front, as I told you, there is a reduction of around 0.1 m illion tonnes of production. That is because we advanced the capital repairs at IISCO at Durgapur and at Bokaro steel mill. So that was by design. So in Q2, Q3 and Q4, the production volumes will be more than that of last year. And on the yearly basis, the re is expected to be a growth as compared to '25 -'26.
Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for the closing remarks.
Ashok Panda: Yes. So from me, a s a closing remark, thank you very much for your Q&A session. The forecast for Indian economy by various agencies have been quite encouraging and support by the government is strengthening the belief that the economy will continue to do well going

forward. Steel demand also continues to prosper, and we are hopeful that the prices will maintain the momentum that has been gained post monsoons.
Apart from the improvement in the operational performance, the company also remains committed towards sustainable pe rformance, including emphasis on decarbonization, improving capacity utilization, value addition and achieving cost competitiveness. I thank all our investors for their reposing faith in us, and I'm hopeful that the same will continue in the future as well . Thank you very much.
Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Nuvama Wealth Management, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.